

Newgen Software (NEWGEN)

Conference call transcripts, oldest-first. 13 call(s). Generated 2026-06-08.

Call: May 2023

Newgen Software Technologies Limited

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Date: 08th May 2023

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Ref.: Newgen Software Technologies Limited

(NEWGEN/INE619B01017)

Scrip Code – 540900 Ref.: Newgen Software Technologies Limited

(NEWGEN/INE619B01017)

Sub.: Outcome Transcript – Conference Call – Q4 FY'23

Dear Sir/ Ma'am,

As intimated earlier through our letter dated 28th April 2023 regarding the Conference Call of the Company, which was held on Tuesday, 02nd May 2023 at 04:00 P.M. (IST), please find enclosed herewith a copy of the transcript of the said call with the Investors/ Analysts.

The transcript of the said call shall be made available at the website of the Company under the URL <https://newgensoft.com>.

This is for your kind information and record.

Thanking you.

For Newgen Software Technologies Limited

Aman Mourya

Company Secretary

Encl.: a/a

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"Newgen Software Technologies Limited

Q4 FY '23 Earnings Conference Call"

May 02, 2023

MANAGEMENT : MR. DIWAKAR NIGAM – CHAIRMAN AND MANAGING
DIRECTOR – NEWGEN SOFTWARE TECHNOLOGIES
LIMITED

MR. T.S.VARADARAJAN – WHOLE -TIME DIRECTOR –
NEWGEN SOFTWARE TECHNOLOGIES LIMITED

MR. VIRENDER JEET – CHIEF EXECUTIVE OFFICER –
NEWGEN SOFTWARE TECHNOLOGIES LIMITED

MR. ARUN KUMAR GUPTA – CHIEF FINANCIAL
OFFICER – NEWGEN SOFTWARE TECHNOLOGIES
LIMITED

MS. DEEPTI MEHRA CHUGH – HEAD, INVESTOR
RELATIONS – NEWGEN SOFTWARE TECHNOLOGIES

LIMITED

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Please note that the transcript has been edited for accuracy purposes

Moderator: Ladies and gentlemen, good day, and welcome to Newgen Software Technologies Limited Q4 FY '23 Financial Results Conference Call. As a reminder all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Deepti Mehra Chugh, Head Investor Relations. Thank you, and over to you, ma'am.

Deepti Chugh: Thank you. Good evening, everyone. I am Deepti Mehra, Investor Relations, Newgen Software Technologies Limited, and I welcome you all to the Q4 FY '23 results of the company. Joining with me today on our call is the management, Mr. Diwakar Nigam, Chairman and Managing Director, Mr. Varadarajan, Whole Time Director, Mr. Virender Jeet, CEO, Mr. Arun Kumar Gupta, CFO.

Before we move on to the discussion, let me highlight that this call may contain certain forward - looking statements concerning Newgen's future business prospects and profitability, which are subject to a number of risks and uncertainties, and the actual results could materially vary from the forward -looking statements.

Past performance may not be indicative of the future performance. The company does not undertake to make any announcement in case any of these forward -looking statements become materially incorrect, or update any forward -looking statements made from time -to-time by or on behalf of the company. For further details, you may please refer to the Investor Relations section of our website.

I will now hand over to Mr. Nigam for presentation of the results, which will be followed by Q&A by Mr. Jeet.

Diwakar Nigam: Good afternoon, everyone. Thank you for joining us today for our Q4 results call. It is a happy moment for us at Newgen as we crossed the INR1,000 crores milestone to total income in this financial year. We witnessed a growth of 25% in revenue over last year. The growth was primarily driven by our traditional markets with India growing at 41%, followed by EMEA at 28%, APAC at 17%, and US at 10%. We have made significant progress as an organization and delivered strong performance across all key business metrics during the financial year.

Expansion of subscription revenue. While accomplishing the growth in the revenue, we continued with our smooth transition from license to subscription revenues. Our subscription

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revenues have now reached INR323 crores. This revenue stream is predictable and recurring in nature and grew faster than the overall revenue growth rate of the organization at 31% Y -o-Y. This comprised 33% of share of our total revenue.

Growing large customer base, our solutions today are driving deeper penetration into our customer base. We have been seeing an increasing trend of average ticket size per customer. Of the 520 -odd active customers today, 51 customers had a billing in excess of INR5 crores for the year compared to 38 last year. At the same time, we continue to maintain low level of client complaints.

Moving to updates on our offerings and opportunities. Innovation is at the core of Newgen, and we continue to invest 10% of our revenues on various R&D initiatives. We are excited to see that our innovative offerings are well positioned to tap the large market opportunity for automation at scale by enterprise.

With the new version of NewgenONE, we are enabling our customers to achieve their digital goals and automate their operation at scale. Our platform is ideally suited to achieve enterprise goal of revenue enhancement,

increased productivity and optimization of costs and business operation and team collaboration. It helps businesses deliver exceptional customer experience, achieve operational excellence and drive continued innovation.

The solutions are so quick to implement and very cost effective. NewgenONE is backed by

cloud-native, multipersona AI/ML data sciences platform for enhancement of document classification and extraction capabilities, integrated process and robotic process automation capabilities. And it strengthens DevOps for easy application deployment and update. Newgen's RPA complements the low-code application development capabilities and is expected to further empower our customers to achieve end-to-end process automation.

Our trade finance solution is taking us deeper into the banking and financial services vertical, opening up opportunities for larger deal sizes. We are now targeting larger size banks and financial institutions across the globe. We are thrilled to be recognized as a leader by various reputed industry analysts across segments. During the quarter, we have been recognized as a leader in the Forrester Wave content platform report. We believe this recognition validates our dedication to empowering business with cutting-edge solutions as we remain at the forefront of content management innovation. NewgenONE has been also acknowledged as a strong performer in the Forrester Wave RPA report.

On the operational front, the year marked prioritization of initiatives aimed at enhancing employee engagement, talent management, and capability building. Our focus has been on fostering culture of inclusion, promoting diversity, investing in learning and development and empowering our employees. We believe that by investing in the growth and development of our employees, we can enhance their skills, knowledge and capabilities, while also driving the retention of top talent. This is a feature for driving our long-term growth.

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On the sales and marketing front, we are continuously working on building our direct sales channel, along with the focused alliances with our partners, especially the system integrators. To expand our market, we have been participating in and hosting multiple face-to-face events across the globe. We also hosted customer meets across Delhi, Mumbai and Dubai for our customers during the year.

We continue to work towards strengthening our relationship with the GSI. We are driving joint sales and marketing activities and campaigns as well as joint solution development with our partner. We have recently entered into a strategic partnership with Mambu, a leading cloud banking platform based in Amsterdam, and Sopra Banking Software of Europe to expand our geographic business.

On profits and margins, we delivered healthy margins during the year. Our EBITDA was stable at INR212 crores, resulting in a margin of 22%. And profit after tax was INR176 crores, leading to net margin of 18%. During the year, apart from investing 10% of our revenues and R&D initiatives, the company invested 22% of revenues on various sales and marketing initiatives. Our balance sheet is strengthening with every quarter. We have a strong network, no debt on our book, and a healthy cash and bank balance, enhancing our financial stability.

Our net cash generated from operating activities during the year was at INR136 crores. Our net trade receivables were INR388 crores at the end of March, which resulted in net DSO of 145 days.

In Q4, our revenues were at INR305 crores with a growth of 32% Y-o-Y. This is the first quarter for us where we crossed the revenue milestone of INR300 crores. We witnessed acceleration in business from customers, especially in US and India region during the quarter.

As we close this financial year, we are excited for the year ahead as we believe there are huge opportunities for automation at scale in enterprises, especially in banking and financial services domain.

Newgen continues to empower enterprises towards a more holistic or enterprise-wide automation, which is built for change. This is essential towards building a sustainable organization for the future. This would, in turn, ensure faster time to market, minimization of cost, and superior customer experience, all building blocks of the organization of the market. We are very fit to take this journey with our cutting-edge products, focused on innovation, skilled team and deeper customer relationships across the globe. We are now open to Q&A.

Moderator: Thank you very much. The first question is from the line of Baidik Sarkar from Unifi Capital. Please go ahead.

Baidik Sarkar: Hi Mr. Nigam, Virender and the rest of the team. Congrats on a very strong trend. A couple of questions. You have shown good traction this quarter. But in light of the systemic banking crisis that the US is subject to today, is there a risk to our pipeline per se? What's the sense from your current conversations?

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And secondly, our go-to-market success in the US this quarter, was that courtesy our system integration partners, or was it courtesy our organic initiatives? What's your sense of traction in the geography per se except banking?

Virender Jeet: Thank you, Sarkar. And I think for the US, as you currently understand, our business is pretty diversified in geos. And the presence for us, in US, is in accounts which are typically in financial services and some large enterprise coming from GSIs.

Today, we don't see any risk in terms of our pipeline on that. Probably, we don't have the same concerns as the larger GSIs, because I believe that most of our business is still growing from licenses, and which are -- opportunities have generated on both sides in terms of when people are looking at efficiency and reduction of costs, our platform plays a very important play, as well as when we are looking at growth and scaling up.

So in that case, I don't see a substantial risk right now. And I think it's not visible for us from the accounts we are dealing with. What has happened in last quarter, I think we have closed some deals organically from our banking side. But also, we got some support from the GSI deals, especially from the existing accounts, which we have already acquired over previous quarters. For the year, since we are resetting the US strategy in terms of some amount of shifts from our traditional banking accounts to slightly larger accounts, I think some amount of early wins have started coming in, but it's still a long way to go before we are completely out of the woods out there. But if US has started contributing towards growth, that's what we are happy. At the year-end, it was still a significant two-digit growth. However, first two quarters was not really good in the US. So going further for the next year, as of now, we don't see any systematic risk or any risk in terms of recession or any other thing from account [inaudible 0:14:21]. Did I answer your question?

Baidik Sarkar: Yes, it does, Virender. On the same line, the Middle East, one really understands the correlation between energy prices and growth investments. Do you reckon we can continue with this momentum, or would you caution saying that this is a cyclical high just given the commodity prices have been and it will be difficult for us to kind of repeat this kind of performance. Your sense of the Middle East business?

Virender Jeet: So it's not cyclic in a way. But what we have always cautioned about Middle East that the market's behaviour changes when oil hits very extreme low levels. More in a moderate climate, even oil going up to \$50, \$60 or so, I don't think there's any impact on our business. And so I think there's two parts of the

is Middle East business.

I think though it is an oil-based economy, but now as many countries are trying to release their economies from oil, there's a lot of economic activity happening in territories like Oman, Saudi has been a great territory, even UAE. So I don't see anything which would bring substantial change in the whole scenario in the market. So what we have delivered over the last two years, three years in Middle East, I don't see any reason why we should not continue the growth momentum this year out.

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Baidik Sarkar: Right. That's helpful, Virender. So given where your pipeline and conversation is, you reckon you're on course for a 20%, 25% kind of growth this year as well for your overall business?

Virender Jeet: See, we don't give guidance, and I think that's a standard answer you guys are used to. But what I'm saying is, I think we have a historical kind of going about 20%. And what we have aimed for the last two years, three years is to accelerate that growth rate. Somewhat of that acceleration has come in last year. And as of now, if all things remain the same, we think that we can continue the growth momentum going next year.

Baidik Sarkar: Sure. The last question before I get in, gentlemen. Your payout this year relative to your cash flows has been rather muted. So what are the broad thoughts on that? There's a cash pile that's increasing. I don't think we are of the DNA that will make aggressive M&A. So what's the long-term plan on your cash build-up and your distribution to stakeholders?

Virender Jeet: So I think we are following the policy of a dividend payout we have maintained over last year, which is a kind of a percentage of what we make as PAT. And of course, you are right, we are generating a bit of cash. And so far, we have not deployed it for any other purpose. But the organization's whole purpose is to invest for growth.

And we are aggressively looking at opportunities, both on organic side and inorganic side, for that growth. I think it will take us at least a few more quarters to come up with a reset policy, either on dividend or looking at how do we deploy that cash. So till that time, we'll have to be a little bit patient on that.

Baidik Sarkar: So look forward, gentlemen. Thank you. All the best.

Moderator: Thank you. Next question is from the line of Mihir from Carnelian Capital. Please go ahead.

Mihir: Yes, hi. Thanks for giving the opportunity. And congratulations on a good set of numbers.

Largely, I wanted to understand the traction on the trade finance side of the piece. I mean, how are you seeing the traction on the trade finance platform given the deal sizes are slightly larger here? And also wanted to understand in this context, I mean, you mentioned that you are moving from traditional banking to larger accounts in the US. So I mean, given the fact that -- how are we looking at trade finance platform plus this comment that you made upon? And how is the organic sales channel specifically panning out in the US? So that was my first question. And second question was on the GSI. I mean, how is the traction now in GSI? If you can quantify the number of deals won this particular quarter and for full year? And how is that compared to last year? And how do you see traction here building up? So those are the questions.

Virender Jeet: Thanks, Mihir. And let me try to answer, and number one -- remind me if I miss something. So I think you're right absolutely on the trade finance. We did this -- it has been almost like 1.5 years since we hit the market with this, and we are finding substantial traction in the market.
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And the traction so far what we are converting is predominantly in Middle East and India. That's the market we are really going to focus on. Having said that,

we do sense an amount of interest

coming from US and other markets as well. But right now, I think if you ask from a business planning perspective, we have closed some significant deals in these markets, some marquee accounts, I think, which we'll be very proud of once we announce, once we have the permissions to announce.

And going this year, we have actually seven more deals across these geos for trade finance, which should help our software in growth as the deals are substantial in size. But as you know, these are projections and I think we'll have to wait for actual results to come in.

For the US, we have seen interest on trade finance, but I would be slightly cautious in terms of we don't have a real go-to-market strategy built around trade finance right now. We are still focusing on moving up the value chain on accounts which are slightly bigger than \$20 billion on banking side and try to sell our traditional products, which has been typically in the lending side, both on commercial as well as retail, as well as there's an opportunity of looking at our platform sales with ECM and BPM and low-code platform what we are trying to sell. That's the market we are focusing on.

Out there, we have started seeing early signs. Last quarter also, we closed a few deals on that front. So we are saying that strategy probably is going to show some kind of returns in coming months and coming quarters. On the GSI traction side, as we have shared, the GSI momentum in the business, it has added value, but has not added value at the speed we've expected. Having said that, as Mr. Nigam said, we have formed new relationships and new alliances with a lot of other companies and other product-based companies which are adding to the funnel side. We did close around three deals, if I'm right. I mean, I'll be sure about the number in this quarter, which are our new deals. But also, we are able to get substantial deals from the existing accounts which were closed previously. Compared to last year, the number of new logos acquired from GSI, the number is not significantly very high, but on the revenue realization from those accounts, we are at a much better position. So Mihir, I will stop here. Does that answer your question?

Mihir: Yes, sure. That's really helpful. And lastly, on the margin side, I mean, given the fact that we saw a margin recovery happening in 4Q. Yes, 4Q is a seasonal quarter. But how should we see FY '24, FY '25 going ahead, given the fact that there is like a 300 basis points kind of a decline at least on a Y-o-Y basis for FY '23?

Virender Jeet: Yes. So Mihir, I think, as you see that, in the last year, the margins have not been what it has been in the previous year because the previous year cost base was not realistic. And last year, for the whole of industry, the manpower costs have been revised substantially, and that has been the predominant cost base growth.

Also, what has happened is our travel restoration as well as the operating expenses of -- I mean, almost 99% of our workforce has in some way started coming back to office, whether on part -
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time or on full-time basis. So on operational, this is a new cost base. And we had set up a target of being around 18% of net margin and around 21% to 20% of EBITDA. I think we are very close to that.

Going this year, we are still looking at this year as our growth here. So we'll continue to invest aggressively in both sales and marketing side and our building capacity for that growth. A lot of

manpower costs which have been incurred last year will also have an impact this year. So I think we should be able to maintain these margin levels for this year and then really have a bit more base for growth.

Mihir: Sure, yes. That's it from my side. Thank you very much.

Virender Jeet: Thank you.

Moderator: Thank you. Next question is f

rom the line of Harsh Shah from Dimensional Securities. Please go ahead.

Harsh Shah: Hi, good afternoon, sir. Just wanted to understand how the competitive landscape is emerging, especially in your traditional markets? And also in the US, given that the larger companies are seeing some sort of pressure or some sort of slowdown in their revenue growth. So is there any sort of pricing pressure that you are facing? So how is the competitor scenario emerging now?

Virender Jeet: Yes. Thanks, Harsh. Regarding competition, I think for our core product categories, I think the competition is pretty standard. And those are -- typically, if you look at the Gartners and Forrester quadrants, you will see all the needs out there. Predominantly, they play in all the markets. Beyond that, for our vertical products, what we do in lending, what we do in origination, or what we do in trade, there are different set of each activity, what we call vertical banking products. Those are the competition.

One of the important developments which has happened is on the core product category, which is ECM, where we have also been rated as the leader by Forrester and S&P. There has been lot of consolidation. And in fact, now we do only see two or three key players emerging in the market. And we think that should help us in terms of if there's a modernization of content management, we should be able to make more inroads.

On the larger what's happening in US and companies, since our revenues are diversified across these territories, we are not seeing the same impact or we don't have the same insight into what's happening with larger companies in the US. And we are growing fast, but on the revenue side, some of the problems of larger companies are from the base accounts, which we are sitting in, probably typically in Tier 1 in US and Europe, and that's where we are seeing the pains.

For us so far, we are not seeing that coming into our -- but I think as the next few quarters show, I think more clarity will come in. We have a very extremely healthy funnel for the next year.

Our order books have improved beyond the revenue numbers we have done. So we are quite confident we should be able to have a good year. But environmental conditions can be very acute
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these days, and we saw that a couple of years back. So we have to keep our fingers crossed until actual things happen.

Harsh Shah: Thank you. And if I have to talk about our growth potential for next three years to five years, how do you expect the growth to come? Will it be largely from more client addition, or will it be more from increasing the revenue per client? How will that pan out?

Virender Jeet: So as a software product company, our aspiration is to be a \$500 million and a \$1 billion company. And that aspiration is based on that there's an unlimited market potential for the product categories we play in. And what we are thinking that our penetration in mature markets is going to give that potential raise in size. Having said that, we have seen enough growth coming in emerging markets over the last three years, four years. We have been growing, and there have been multiple drivers for that growth as they are adopting technology. So I'm very excited that next five years, five years, we are designed to grow at a much higher speed than our traditional growth rates.

The growth is coming predominantly from two factors, you've said right. One is, I think as a product company, net client addition is important. We are pivoting towards slightly larger deals. So our ability to add roughly around 15 new logos in terms of which are the new names is the run rate we're working on. We do expect to improve that in the next two years, three years. But on average deal sizes, as we are shifting to larger accounts, that is improving, as well as ability to mine from existing cus

tomers as our solution stack becomes broad, we are able to do. So per account realization is improving, average deal sizes are improving, but acquiring new logos is very essential to building long term the tail for the business. Does that answer your question, Harsh?

Harsh Shah: Yes, certainly. Thank you, sir. I'm wishing you all the best.

Virender Jeet: Thank you.

Moderator: Thank you. The next question is from the line of Chirag from Ashika. Please go ahead.

Chirag Kachhadiya: Yes. Congratulations on good set of numbers. I have a couple of questions. In your opening remarks, you mentioned that we are targeting large banking and financial groups. So I would

like to understand what strategy we are following to tap such large corporates?

And second, on logo addition front, the net logo count compared to previous years is relatively on lower side. So what strategies are there to increase the momentum in terms of logo addition?

Yes, I would like to know these two questions.

Virender Jeet: Thanks, Chirag. So Chirag, when I said, our ability to -- we are trying to shift. So initially, our banking in US was focused on typically banks which were somewhere in say sizes of \$1 billion to all the way up to \$20 billion. We have slightly pivoted and started focusing typically on banks which are at least \$10 billion or more, upwards all the way up to \$50 billion to \$100 billion.

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And what we have seen is as we have been able to garner some more support in terms of reference ability in US and our solutions have become more mature, we have seen we are able to enter those accounts. We are still not talking to Tier 1 banks. We are still talking about mid-level Tier 2 banks rather than Tier 3 banks and that. That's what I meant in that US banking. And we already have responsibility in that market. We have got early wins. Even this quarter, we closed some deals out there. So we think that's going on as per plan.

On the logo side, you're absolutely right. I think at one time, we have moved over the last four years, five years from around 60 logos, 70 logos to around 50 logos. That's also to do with a lot of smaller account deals, which we were initially pursuing as through channel partners or through in terms of direct sales. We have slightly moved away from that market and looking at lifetime value of those customers have not been in our favour. So we have slightly pivoted. And the acceleration over the next two years, three years will come from more markets where entered. Our Australia has started showing results. Our UK subsidiary has started winning logos. And US, as soon as we stabilize our strategy in banking, we should see the acceleration in logos. Having said that, our traditional markets are driving the growth right now. India, Middle East and APAC also have huge potential. We are actively looking at how do we diversify to more adjacent verticals, which can grow for us. And I think over the time, we'll see that there is going to be an acceleration in number of logo acquisitions. Does that answer your question, Chirag?

Chirag Kachhadiya: Yes, sir. One follow-up question. You mentioned that we are targeting new geographies for logo addition. So the new geographies have similar size of deals which we're targeting to the existing geography?

Virender Jeet: Yes, Chirag. I think the new geographies are typically the mature markets. So we expect the deal sizes to be same or better.

Chirag Kachhadiya: Okay. All the very best, sir. Thank you.

Virender Jeet: Thank you, Chirag.

Moderator: Thank you. Next question is from the line of Saurabh Sadhwani from Sahasr Capital. Please go ahead.

Saurabh Sadhwani: Hello everyone. So I have two questions. First one, given the macroeconomic situation, that the free money has stopped and the EBITDA negative nature of the business of our peers,

are we

seeing any passiveness in bidding by them and have we been able to take advantage of that?

Virender Jeet: Yes. Saurabh, thanks for the question. Saurabh, I think the business, most of the conversation what we hear about Indian IT and the economics is typically from service companies angle and I think predominantly driven by the Tier 1, Tier 2 companies, which operate at a very different size and ratios. So we are not very sure about how to answer that question because we are slightly not in that business. We are still in the business of acquiring accounts and being in terms of what we call a hi-tech sale or what we call serious enterprise sale.

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In terms of right now, what we have seen traditionally before the COVID, before the demand cycle really went down the route, we really felt that the GSI ecosystem was more hungry for these, and they were fighting for these more aggressively in the market. So what I sense is if there's going to be a tightening of probably the economic situation, we will see more-and-more hunger coming in GSIs to go and approach customers and these.

And that happens in some -- and in that case, we are looking at that, that should help our costs, what we have built in terms of investments along with that [inaudible 0:32:03]. Other company is in a downturn, I think every company is more hungry for business. I don't think there is any lack of competition. So I think there's going to be a more heightened competition in terms of -- if there's a slightly downward economic side.

Saurabh Sadhwani: Okay. And the second question was related to a simple business clarity that I wanted to

understand. Our Product Division's products are built in India. And given the labour arbitrage that we have, do we make our products at a lower cost compared to given? So all else equal, we should be always winning on pricing, right?

Virender Jeet: Yes. Saurabh, you are absolutely right. I think there is a 6%, 7% advantage on R&D costs. The same R&D, if it was supposed to be done in the US, the cost would have been roughly maybe 20% of the revenue or 22% of the revenue. So there is a cost advantage, you're able to do. With lesser costs, you're able to do and more. So you have an inherent advantage of doing things. But then I think that advantage that gets balanced by the size of some of our peers.

Generally, we are fighting much larger companies. So they have much larger budgets at the size they are in terms of R&D. So I think the whole cost side of arbitrage is that the advantage to at least compete out there. And the cost of developing R&D does not translate into cost of the product. Cost of the product is the market reality, the benefit we've transferred to the customer. So pricing the products are benchmarked towards how the market determines. So there's no direct correlation. What you're saying is true more directly related to services.

Saurabh Sadhwani: Okay. Thank you. That's all.

Virender Jeet : Thanks.

Moderator: Thank you. The next question is from the line of Manoj Bahety from Carnelian Asset Management. Please go ahead.

Manoj Bahety: Hi, good evening. Thanks for taking my question. And congratulations for good set of numbers and superb execution. I have a couple of questions. First one is, just wanted to check that our GSI strategy particularly, the way the things are shaping up, like last two years, three years, we are trying to get into ads with our GSI partners. So just wanted to understand, is there something not clicking or something which is leading to a delay in terms of getting the traction on GSI strategy? So if you can give some more colour on that, that will be helpful?

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Virender Jeet: Manoj, thanks. And you're absolutely right, last two years, three years we've been building on

this GSI strategy. And I think we're very lucky to get some extremely good early wins, which really established both recall of Newgen within the GSI minds here, and also have relation to other GSIs. See, in terms of success or failure of GSI is determined by the ambition we have around that. We do get a lot of business with GSIs. I think in fact, 20% of the revenues today are driven by partners. And we have some amount of marquee wins every year with GSIs.

What we expect this to drive the next phase of big growth in mature markets for us. Out there we haven't really reached a number where we could say that, hey, it is a little delta of 5% or 10% lower revenue. So it is all adding up, but not at the speed we desire. Having said that, I think we have looked at that strategy. While we continue what we are doing out there, we have expanded the ecosystem. We have looked at pairing partners out there. We also look at ecosystems beyond GSI, which is the product Mr. Nigam talked about some of the relationships what we are trying to build with Sopra or Mambu or any other company.

So we're expanding. The reality for a product company is that their next stage of growth does come from the partner ecosystem, what we call a GSI other thing. I'm very sure our company will continue to perform great and grow as the markets which we are operating in right now have huge potential and upside for our kind of products. But I'm very sure that for our \$500 million and \$1 billion achievement target, the GSI and the partner ecosystem strategy has to fire. And it may take one year, two years, three years, five years, but we'll be on it till it fires.

Manoj Bahety: Just further on this, like when you enter into a partnership with a GSI, I'm sure that GSI must be dealing with your competitor's product or they may have other competitive products. So just wanted to understand that vis-a-vis their existing products, what kind of -- or in terms of our offering vis-a-vis their existing product, generally is it a cost factor which plays big consideration, or is it something else?

Virender Jeet: Yes. So Manoj, I think that this is typically a very, very large question and a very large answer. But I'll try to summarize. So what is happening in any product company? I think we've become very good in certain areas of our operation. Today, Newgen, for any content-based process automation or any automation which needs scale in terms of when you're doing hundreds of processes, we are probably the best product in the market. Now the whole world may not know it. But some of these GSIs do know it because they have done this work with us for multiple customers in different geos. So they understand our positioning.

Having said that, they also have in their portfolio other products. So one is that GSIs do understand the value we bring in, and that value is in terms of the coverage of our product, the value is in terms of flexibility which we exhibit as we have a closer relationship with them. But also as a company, it is finally our goal to sell to the end customers. So we have to influence the end customers. That's about our brand, that's about our presence in Gartner and Forrester. That's

about our size of business .

So it has to work on both sides. While we work with GSIs, show the unique value prop we provide them, show them the advantage of cost and flexibility, but also, we have to work with Newgen Software Technologies Limited
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the end customers in terms of that there is a customer willing to buy my product. So most of the products are not sold by the GSIs. It's also the customer has a big play in 70% of the cases what product they choose. The issue is, if they choose me, then do they think that there is a trained GSI ecosystem which has an implementation capability to implement that. So that's what we cover with GSIs.

Manoj Bahety: Right. That's hel

pful. And I have one last question. If you can touch briefly on operating margin, because what I understand, our kind of business has a scope of big operating leverage. And as you mentioned in one of the questions earlier that right now your emphasis will be growth rather than expanding margins, but in terms of operating leverage, how do you think that after what level, what scale, operating leverage will start kicking in and we will start seeing good expansion in margins along with top line growth?

Virender Jeet: So the question is, we are already sitting at decent margins. And I think, yes, product companies generally can generate much higher margins as our gross margin position is much better. I think we do generate around more than 64% of gross margin, and roughly around 50% of our revenue has no direct cost associated with that, which is our license, subscription, ATS. But also you have to understand, for product companies to exist and survive, we have to continuously invest in R&D and sales and marketing.

Now the global benchmarks for the product companies are much higher than what we invest in today, because we got some amount of operating leverage because the cost base is in India. So as I said, our bias is for growth and to maintain healthy margin. But naturally, once you become a very sizable company, and sizable companies, we have seen roughly around \$400 million and above companies. And if they become on slower growth trajectories, they have to keep on expanding margins for many, many years. So I think our ability to generate net margin of somewhere between 18% to 20% is what we think right now is feasible for the next two years, three years and then investing everything else on growth.

Moderator: Thank you. Manoj, sorry to interrupt you. I request you to join the queue again for a follow-up question. The next question is from the line of Devang Bhatt from IDBI Capital. Please go ahead.

Devang Bhatt: Hi. Thanks for taking my question. Congrats on a good set of numbers. So one of your GSIs highlighted that low-code and no-code is gaining traction. So are you seeing such increased traction in major markets in the current scenario?

Virender Jeet: So I think we are very -- see, I think we have a methodology over the last 20 years of pushing low-code, no-code. And I think we have come through different names, which is BPM, iBPS, low-code, no-code, hyper automation. These are all categories of the same name. There's a huge interest in enterprises across the world that they don't want to take the traditional engineering methods for building their apps. They want the low-code method. So that way there's an interest. Having said that, in terms that interest is also very horizontal.

So every customer, every application has to be low code. So that's a huge market opportunity across the globe. And we are very, very excited about helping customers in that automation side.

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So we are seeing interest in a lot of RFPs coming on low code across market. It's not only US market, but also other markets. And we are really strongly pushing our strategy on low-code and hyper automation to be one of the core product players in that space.

Devang Bhatt: So a follow-up is that, will you be able to see a higher US growth in this year because of this? And will you be able to sustain the Q4 kind of margins that you have seen this quarter?

Virender Jeet: Yes. So I think that as part of what we sell, all things we sell are based on low-code strategy. So I don't think there is any different thing out there. We do expect that as soon as in the downturn and the cost optimization projects come, there's renewed interest in automation. And automation is low code based automation because we don't want to have very, very long projects. So there is an interest. Now I think we'll have to wait fo

r how the market unfolds in those opportunities

and how many opportunities a GSI can take us out there and how many can we generate on our own. So that's about low code. Sorry, what was your second question?

Devang Bhatt: Just a bookkeeping, like in your tax rate, it has been lower around 19%. So will you be able to sustain this kind of tax rate in FY '24?

Virender Jeet: Yes. So I think on the tax rate, we are fine for next one year, two years or so because we are still under the SEC rules for many of our revenue. On the Q4 margin, I think you should also understand that we are still -- since there's a large percentage of our revenue which is license based, there's a sequential revenue growth from Q1 to Q4. Q4 and Q3 being the largest quarter for us. So the margin positions in the cost are very flat. Generally, you have very substantially large margins in Q4. But on Q1, Q2, you will have little margins, and then Q3, Q4 margins will be like that. So having said that, we should be able to sustain the overall margins for that, yes.

Devang Bhatt: Sir, my question was more related to the US Q4 margin, because we have seen some dip and then improvement in US. So that margin...

Virender Jeet: Yes, I would say, we have still smaller revenue size to look at segment margins. I would still focus as a company on the overall margin, because in segment margins, a lot of our cost is attributed cost because we operate out of India. Predominantly, all the services are provided to that. So if the top line growth is high in US, the margins will be high. But I would still recommend that we look at the margin positions at the company level and at the annual level.

Devang Bhatt: Thank you, sir. Thank you for taking my question.

Moderator: Thank you. Next question is from the line of Rahul Jain from Dolat Capital. Please go ahead.

Rahul Jain: Yes, hi. I just have one question that you talked about the partnership with Mambu and Sopra. Can you just explain how these are beneficial? And what are the intersection of the offering?

And what are the complementary elements involved here?

Virender Jeet: Yes. So thanks, Rahul. So Rahul, I think what we have done is we are looking at the whole partner ecosystem more broadly in terms of finding what are the complementing products and
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go-to-market strategies. So these are typically, these are both to do with banking. So while in Sopra we are working on the digital lending side, how we can sell our digital lending product in Europe and adjacent areas, because Sopra is very strong in those markets and that's our alliance. And Mambu, I think this is a core banking product, basically more for digital banks. Again, we are looking at how to extend beyond core banking, more structured loan products, enterprise content management, customer communication management products with them. So both these things, we are in the early stages. And I think with Mambu, we have some successes in the market. We're also working quickly to have some more success on the Sopra side.

Rahul Jain: So specifically, let's say, for example, for Sopra, don't they have their lending solution as of now?

Virender Jeet: So what we have as a product in lending, which is a low code based lending platform configurable, I think we have found that to be more attractive, what they can carry to their larger customer base. They have other product categories, and it complements their offering.

Rahul Jain: Okay. And in this kind of a go-to-market arrangement, where they are also primarily a software business. So are they going to sell on their own, or this is also through their partnership eventually being sold by SI and how the revenue share would come in case they generate these leads for us?

Virender Jeet: So see, they have got a huge customer base across those places. They are looking at their customer

base and their prospect base. So that's a direct sales for them and we are selling jointly along with them. Wherever we are selling, we are looking at net to Newgen revenues. And finally, the net to Newgen revenues is what predominantly is either list price or somewhere around 35% -minus list price. So in our books, it's always net to Newgen.

Rahul Jain: Okay. And how do we define the market in terms of what is targeted through this channel versus what is targeted directly and what is targeted through SI in these markets?

Virender Jeet: So I think it's a much more detailed discussion .. Basically, we follow named account strategy. In all our markets, we have set up target accounts and some target verticals where we have six, seven offerings, which we want to take through as enterprise sales.

With the GSI, we focus on more horizontal products, enterprise content management, replacement, modernization, low code offering, where they can go to any vertical, because they have the knowledge of other verticals. With alliances like Sopra, Mambu, it's around adding capabilities to their overall go-to-market strategy they're offering. So we are predominantly adding our content management and lending capabilities to their product offering.

Moderator: Thank you and sorry to interrupt you, sir. I'll request you to join the queue again for a follow-up question. The next question is from the line of Dhruv Bhatia from AUM Fund Advisors. Please go ahead.

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Dhruv Bhatia: Hello. Can you just throw light on the increase in DSO days to 145 days in the current quarter?

Virender Jeet: Yes. So yes, it has increased over the last year. So generally, what happens, our year-end DSOs are very high. As I said, a lot of billing happens towards the later part of the year. And that's the lopsided nature of our business where we do license sales. We have done roughly around more than INR350 crores of billing. And predominantly, the last month would be a significant part of that billing. That does affect the DSO. So our billing has grown at much higher speed than our revenues. So there is much higher DSO.

Having said that, we have optimized it from a very large number, and we are targeting that to be around 120 is the right number and safe number to be around like and then look at optimization beyond that. I think in some markets like EMEA and India, we are slightly higher than that number, that's pushing it up. But in APAC and US, we are at much lower number. So I think, again, our endeavor is going to keep on bringing it down to a number of 120 and then. So it's going to be generally for the next three quarters, it's going to be a much smaller number. But as an annual number, we are targeting that at the year-end it should be less than 100.

Dhruv Bhatia: Okay. Thank you.

Moderator: Thank you. Next question is from the line of Jiten Parmar from Aurum Capital. Please go ahead.

Jiten Parmar: Yes. Most of my questions are answered. I have only one question, more of, what do you think is the threat of AI and basically the way things are moving in that particular domain? So if you can throw some colour on that, will it be beneficial for us or it could be some threat?

Virender Jeet: Yes, Jiten, it's a million dollar question. And I think everybody is -- I have a personal opinion on it. I don't know the official -- but I think when you look at any disruption in technology, significant technology disruptions like cloud, mobility, we have always seen that it helps for the companies because they end up leveraging that technology faster than the market and then creating more products and services around using that technology.

So the recent -- what has happened over the last four months in the generative AI, we think that shows up a lot of opportunities for us in content services, in search optimization, in content

generation, so there are a lot of areas for us on the table as an opportunity next three years, four years. So I believe that the speed by which we can innovate over the next three quarters, four quarters is going to determine whether we lag or whether we can ride this.

But there are other wide implications of generative AI which will happen over the next three years, four years in the markets around augmenting capability for engineers, being able to do much more faster work. I think those should be much more operational benefits which we can get. I think some amount of challenges which the IT industry is looking at generative AI is more from the services nature in terms of when you are deploying hundreds and thousands of people to do some routine jobs. Fortunately, we are not in that business. We're still in the business of innovation. And if generative AI can help our innovation cycle, I think we should be very happy with that.

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Jiten Parmar: Great. Thank you. That's the only question I had. Thank you.

Moderator: Thank you very much. Ladies and gentlemen, we'll take that as our last question. I will now hand the conference over to Ms. Deepti Mehra Chugh for closing comments.

Deepti Chugh: Thank you so much, everyone, for joining us on the call. For any further questions, you can connect with me or you can go to our website. Thank you.

Moderator: Thank you very much. On behalf of Newgen Software Technologies Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Jul 2023

Newgen Software Technologies Limited

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Ref.: Newgen Software Technologies Limited

(NEWGEN/INE619B01017)

Scrip Code – 540900 Ref.: Newgen Software Technologies Limited

(NEWGEN/INE619B01017)

Sub.: Outcome Transcript – Conference Call – Q1 FY'24

Dear Sir/Ma'am

As intimated earlier through our letter dated 13th July 2023 regarding the Conference Call of the Company, which was held on Wednesday, 19th July 2023 at 04:00 P.M. (IST), please find enclosed herewith a copy of the transcript of the said call with the Investors/ Analysts.

The transcript of the said call shall be made available at the website of the Company under the URL <https://newgensoft.com>.

This is for your information and record.

Thanking you.

For Newgen Software Technologies Limited

Aman Mourya

Company Secretary

Enc.: a/a

~newgen

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"Newgen Software Technologies Limited

Q1 FY'24 Earnings Conference Call"

July 19, 2023

MANAGEMENT : MR. DIWAKAR NIGAM – CHAIRMAN AND MANAGING
DIRECTOR – NEWGEN SOFTWARE TECHNOLOGIES
LIMITED

MR. T.S. VARADARAJAN – WHOLE TIME DIRECTOR –
NEWGEN SOFTWARE TECHNOLOGIES LIMITED

MR. VIRENDER J EET – CHIEF EXECUTIVE OFFICER –
NEWGEN SOFTWARE TECHNOLOGIES LIMITED

MR. ARUN KUMAR GUPTA – CHIEF FINANCIAL
OFFICER – NEWGEN SOFTWARE TECHNOLOGIES

LIMITED
MS. DEEPTI MEHRA CHUGH – HEAD, INVESTOR
RELATIONS – NEWGEN SOFTWARE TECHNOLOGIES
LIMITED

MODERATOR : MR. SUMEET JAIN – ICICI SECURITIES LIMITED

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Please note that the transcript has been edited for accuracy purposes

Moderator: Ladies and gentlemen, good day, and welcome to the Newgen Software Q1 FY '24 Earnings Conference Call hosted by ICICI Securities. We have with us today, Mr. Diwakar Nigam, Chairman and Managing Director; Mr. T.S. Varadarajan, Whole Time Director; Mr. Virender Jeet, Chief Executive Officer; Mr. Arun Kumar Gupta, Chief Financial Officer; and Ms. Deepti Mehra Chugh, Head, Investor Relations. We will start off with the remarks from management. After which, we will open the floor for Q&A session.

As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Newgen management. Thank you and over to you.

Deepti Mehra Chugh: Good day, everyone. I'm Deepti Mehra Chugh, Investor Relations of Newgen Software, and I welcome you all to the Q1 FY '24 results of the company. Joining with me is the management team at Newgen. Before we move on to the discussion, let me highlight that this call may contain certain forward-looking statements concerning Newgen's future business prospects and profitability, which are subject to a number of risks and uncertainties, and the actual results could materially vary from the forward-looking statements.

Past performance may not be indicative of the future performance. The company does not undertake to make any announcement in case any of these forward-looking statements become materially incorrect or update any forward-looking statements made from time to time by or on behalf of the company. For further details, you may please refer to th

e Investor Relations section

of the website. I would now hand over to Mr. Nigam for presentation of the results, which will be followed by a Q&A by Mr. Virender Jeet.

Diwakar Nigam: Good afternoon, and thank you for joining us today for our Q1 financial results call. Getting you straight into the business performance. The first quarter of the fiscal continued the strong growth momentum of last year. Q1 witnessed revenues of INR252 crores, up 34% with robust growth across all geographies. APAC market witnessed a growth of 46%; EMEA, U.S. and India markets witnessed a growth of 38%, 36% and 25% respectively.

Historically, the business has been seasonal in nature, with Q1 being the leanest quarter. We have been in the process of reducing the seasonability by increasing annuity business, and thus, Q1 growth is reflecting that.

Our annuity revenues have been getting larger and we are at INR168 crores. We continue to steadily build our subscription revenues. They were INR89 crores in Q1 and comprised almost 35% share of our total revenue. It was a strong license growth quarter as well with license revenue at INR42 crores, growing 1.9 times compared to Q1 last year. During the quarter, we witnessed strong traction and booking from both existing and new customers. ~newgen
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These include large orders from existing bank customers as well as healthy new logo additions. We added 13 new logos across the geographies in Q1. Some key customers include providing digital account opening solution for a privately held bank in Americas region, providing lending origination and management solution to a leading diversified business group in Saudi Arabia, operating across 7 core sectors, providing Trade and Supply Chain Finance Solution to a leading financial institution in the UAE market.

We are witnessing expanded opportunities across different segments, particularly in banking.

The renewed thrust on digital journeys across the banking sector has resulted in significant increase in our orders particularly from existing bank customers. We are also witnessing revival of new journeys in insurance and government segment, creating a high demand for service

accelerators in these verticals. Globally, there is a growing emphasis on automation at scale, especially in financial organization like bank, wealth management growth, etc. These organizations are actively planning to integrate their front and mid offices, leading to a surge in interest from customers. This increased interest has translated to large licenses and implementations indicating a strong market. We are excited to see that our innovative offerings are well positioned to tap the large market opportunity.

The new generation of our product suite, NewgenONE, is designed to provide enterprises with the tools they need to build, deploy and manage applications, building automation silos and streamlining the processes.

Our platform's modular design, advanced AI capability and cloud-first approach will enable organization to deliver superior customer experience, operational excellence and business innovation. It has contemporary user interfaces and more integrated environment. The NewgenONE also produces better applications using low code principles. It allows development of attractive portals with very little effort, facilitate end-to-end integrated processes at enterprise scale.

We are adding AI/ML capabilities in process automation for suggestive and prescriptive intelligence. For work introduced timelines can be estimated, work can be diverted to suitable person, etc. We are enriching our lending solutions with the AI/ML based auto decisioning and no touch, low-touch strategy. In our recently launched trade finance solution, we are again using our AI-based strategy for extracting data from paper images and PDF docs.

On the operational front, we have been working extensi

vely at enhancing employee engagement,

productivity, talent management and capability building. In fact, we are working on utilizing the different AI technologies to enhance employee productivity. At the same time, we are also focusing on expanding strategic hires to lead our growth.

In the sales and marketing front, we are strengthening our direct sales channel, along with a focused alliance with our partners, especially the system integrators to expand our market footprint. As a part of growth strategy, Newgen is building across relationships with 4 types of ~newgen
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strategic partners: GSI, the Global System Integrators, consulting firms, technology partners for enhancing capabilities and largely marketplace partners like Mambu and Guidewire.

On profits and margin, we delivered healthy growth in profits during the quarter. Profit after tax was INR30 crores, witnessing a growth of 57%. As we grow, we are investing heavily in technology and sales and marketing initiatives, while maintaining cost discipline. During the quarter, apart from investing 10% of our revenues on R&D initiatives, the company invested 24% of the revenue on the various sales and marketing initiatives.

On the balance sheet front, our net cash generated from operating activities during the quarter was at INR57 crores. Our net trade receivables were INR359 crores at the end of June, which resulted in a DSO of 126 days.

For the year ahead, we are excited about the growth opportunities across geographies. Newgen is dedicated to staying at the forefront of technology and innovation and continue to empower enterprise towards a more holistic automation. Newgen is working on leveraging AI to bring in enterprise-wide transformation, such as meeting the ever-changing customer expectation and empowering employees to make intelligent decisions. We are looking forward with this interesting journey and driving a positive change to our products and solutions. Thank you. We are now open to Q&A.

Moderator: Thank you very much sir. The first question is from the line of Baidik Sarkar from Unifi Capital. Please go ahead.

Baidik Sarkar: Congrats on a strong quarter. The beat we've had this quarter on the license revenues was good to note. Should we read this as a sign of acceleration to come in the product -- in the licensed product side of the business given your go-to-market efforts, especially in the U.S. over the last 2 years? Or would you caution this as a one-off? And does this in any way change the H2 loaded license revenues that with you anyway?

Virender Jeet: So, thanks, Baidik. Yes, your question about the license. See, as part of our growth, we are already seeing strong license business, because that's our primary business. The issue is about realization of those licenses. In some cases, we have perpetual license sales. In some cases, we have annuity-based license sales. In annuity-based license sales, the revenues are deferred. So, talking about this quarter, we had some of the perpetual deals coming in, and they were coming across all territories, including U.S.

We do still expect this year to be very strong on licenses, because we need to get at least a substantial level of perpetual licenses again in this year, along with other subscription licenses. So, I don't think the license is going to be onetime. It's going to be always a continued journey

for Newgen.

In regards to U.S., generally, the U.S. sales are subscription-based sales. I think this time license sale is slightly surprising, but I think there are also many more prospects who are now spending and shifting to more perpetual license sales. There's a kind of a pushback from market from traditional subscription and SaaS sales. So, you're finding that kind of a trend happening across ~newgen
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all geos. So

, it will be difficult to say what's going to happen in future, but we will see that both kind of license, subscription as well as perpetual license sales across all regions.

Baidik Sarkar: That's good to know, Virender. So, keeping that in context, how should we read the growth in order book that was quantified in your opening statement? From an annualized number, from annualized book to the ratio, is there a number -- is there a range that you could share? And what was the quantum of growth that we've seen here in the order book, both from an annualized basis and otherwise? I understand you don't disclose the number, but at least the growth number can be spoken about?

Virender Jeet: See, as Mr. Nigam had just said, some amount of transition from the lopsided revenue in terms of you look at a transition for the last 3, 4 years, the Q1 has been a very small quarter. We have moved from a revenue percentage of 16%, 17% to roughly around 20% of annual revenue. And that transition is happening. So, we do expect normally that Q1 to be a stronger in terms of percentage growth Y-on-Y. For the overall year, we are still maintaining that we'll have a strong year, and we have a historical growth momentum, which is about 20%. We will try to meet that and exceed that. But right now, I think, we are too early in the year and there are a lot of other variables. Taking -- this percentage is that kind of year is not a fair way of looking at.

Baidik Sarkar: Sure, sure. No. Actually, Virender, I was trying to understand what the momentum in your order book was looking like, right? So, is there a range that you can help us understand? Because you did allude to the fact that there was a very healthy growth in your order book. So, from an annualized order book perspective, 12 months earning and the gross number. How much is that? I'm just trying to understand what kind of momentum you're seeing -- you expect to see in the quarters to come?

Virender Jeet: So far, the last year order book was substantially better. And I think the growth in order book at an annual level was much higher than our growth in revenue. So, we were at -- if I'm not wrong, around 30% of growth in order book, whereas the revenue grew by around 24%. So, there is a tailwind on the previous year. So far in the Q1 this year, that momentum continues. The order book is still growing at a substantial pace than the last year's Y-o-Y for the same quarter. But it's very difficult to predict and project trend for the year. So, we have to wait for that. So, I'm saying that all the variables are looking very, very fine for right now. We are not seeing any challenges in the market. The business is -- there's a lot of interest from the customers, especially on the digital journey side for us. And we hope to continue the growth momentum.

Moderator: Thank you. The next question is from the line of Ashish Chopra from Goldman Sachs Asset Management. Please go ahead.

Ashish Chopra: Just a couple of questions. First one, just as a follow-up on the license sales that you did this quarter. So, you mentioned that there is no one-off over here. And when I look at your historical trends as well, just like you mentioned in the overall business, even the license sales tend to be released in the first quarter and then they build as the year goes along, at least that's been the trend in each of the past 5 years. So -- is that something that is likely on such a high base of license number in this year as well? Or do you see that being a little bit different considering just ~newgen
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that you need to triple from where you were in the first quarter last year on the license sales front?

Virender Jeet: Yes. Ashish, what's happening, if you look at last 3, 4 quarters, I think there has been an overall growth in the business. And that growth translates into deals which are sometimes licensed and

sometimes subscription. Luckily for some of those deals in the last 3 quarters have been on perpetual license side. So that's why last year, though the license growth was less than the company's growth, but this quarter, the first quarter, there has been substantial license deals for us.

I don't see the base number in such a large number that we can't exceed that growth target. We will continue to sell a substantial number of licenses every quarter. And I don't think this is a

one-off thing. But what is one-off is that, as you are rightly saying that in some territories like in U.S., we've got a substantial license deal as well as the Q1 being lean, generally, this time, it has defined that leanness, whether that's a one-off thing or is it going to continue, I think we'll have to wait. But I don't see any reason why we can't continue the growth momentum in the next few quarters.

Ashish Chopra: Fair enough, Jeet. And just secondly from my side. So given that the annuity based, or subscription-based revenue is now almost 2/3 of your total revenues. Does that not give you a good semblance of visibility in terms of how the years pans out? And I mean, I'm coming from the perspective that if you are, let's say, 30%-plus Y-o-Y in the first quarter, what would you back from having a clear visibility of at least a 20% plus growth, what has to go wrong for growth to be lower than 20%, when you have an annuity base, which is as high as 2/3? Just wanted to understand some nuances of the portfolio.

Virender Jeet: Yes, Ashish, I will share your enthusiasm. The only thing what you read is slightly wrong that what you're seeing that annuity 2/3 is basically for this quarter. You extrapolated for the year.

Through this quarter is smaller, our annuity is still at between 55% and we may reach up to 60% of the revenue this year. So still, the total annuity is not 2/3. It's more close to 60%. So, there is still variability depending on license businesses.

So, when you're looking at this 2/3 number, you are taking this quarter number, because this quarter, since the other -- generally, it's a smaller quarter for us. So, the traditional business lines are performing much better. So, I hope that over the next few quarters, we can keep on increasing this annuity. And as said, as we are able to explain the subscription sale, expect the mature market sales, we do expect this annuity to go all the way up to 70%, 75% of the business, which should give us much higher availability in the whole year.

Ashish Chopra: Fair enough. And just lastly from my side. So, you articulated that you're not really witnessing any significant pressures in your U.S.-based customers. But anything that you could share on the traction in your own efforts to grow your client base there as well as maybe the results of the GSI channel model? ~newgen

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Virender Jeet: So, Ashish, so I think the U.S. performance this quarter, I don't think you should be taking the reflection that everything is all right on that market, and we are still working on as resolving.

Like we said last time, we have already pivoted -- we're pivoting our strategy from going to larger banks. Some of those deals have come this quarter, and we expect to repeat that. But it's not that all quarters are still firing. We are resetting our GSI strategy out there. We are working on multiple initiatives on that. So, I think this is still some quarters to go before we start building a much more stronger U.S., which mean -- that is the growth for Newgen.

As of now, I would say that, last year was very weak for the U.S. This year, in percentages, it was strong. But I think we'll have to wait for some time before we can really say that U.S. is going to be the growth driver for the company.

Moderator: Thank you. The next question is from the line of Ankur Kumar from Alpha Capital. Please go ahead.

Ankur Kuma

r: Congrats for a great set of numbers and thank you for taking my question. Sir, my first question is on the jump in the other expense. So, while this quarter is lean and Q4, last Q4 is heavy. Other expenses increased to INR75 crores from INR67 crores. So, can you explain the reason? And what can the expectation on this?

Virender Jeet: So, I will have to, excuse me, because other expenses, could you be more specific? So, these are all our SG&A expenses. This is about including our marketing and our all other travel, marketing and all other expenses. So as the business grows, there is already kind of an investment happening on the marketing side and there is some amount of what you call cost base growth on all other head sales there. So, I could not understand, is there a... Yes. I think last year, the first quarter was not even quite open. There is a -- in fact, we have budgeted. So we are in fact, slightly lower than what we had budgeted for this year. So, we don't see any concern on other expense side.

Ankur Kumar: So, any guidance on this number going forward?

Virender Jeet: See, I think, the Q1 cost base is generally, I think, going to be the similar for the -- most of the things. Only the manpower expense would vary after the increments and other things taken. But generally, these are the cost bases we operate for most of the year now.

Ankur Kumar: Got it. Got it, sir. And another question is to the previous participant. You said now Q1 should be around 20% of revenue is generally happening. So even if we assume it to be 20%, this year should be north of 25% of growth. So, am I right on my assumptions on that front, sir? Based on the visibility that we currently are having?

Virender Jeet: So yes, I think, what I said is that our historical trend rates have moved. The Q1, which was 17%

has moved all the way up to 20% up last year. So, we do expect that momentum to continue this year. But I think, it will also depend on our performance on the subsequent quarters. So, if everything remains the same, we can extrapolate the data, but I think that's not going to be that. But having said that, right now, we are quite hopeful of maintaining a strong year this year. ~newgen
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Ankur Kumar: Got it, sir. And on margin side, we generally are talking about 18% to 20% of PAT margin. So, any color on that front?

Virender Jeet: I think, actually staying at around 20%+ on EBITDA and around 17% to 18% on PAT, depending on our investments that year. And generally, the cost bases are very pretty much fixed, as where we reach on the top line will determine the net margin.

Moderator: Thank you. The next question is from the line of Mihir Manohar from Carnelian Asset Advisors. Please go ahead.

Mihir Manohar: Congratulations on good set of numbers. Sir, largely, I wanted to understand on the FSI side of the piece. So, what is driving that? Is it financial services? Is it banking, is it insurance? Is it market?

Virender Jeet: Mihir, I'm sorry, we couldn't hear the second part of your question. But if you can hear me, then I can repeat, I can answer the first part of the question. Mihir, we can't hear you. So -- but I think -- let me answer the first, maybe if you can hear us, let me answer the first part of his question.

Mihir, the -- as you said, the growth momentum, I think we are very strong in BFSI and I think, in fact, the banking is driving the growth. Banking in our emerging markets like India, Middle East, APAC, we are talking about Tier 1 accounts.

And as Mr. Nigam had just said, it is typically the journey, which is an onboarding journey or a digital lending journey which is driving a lot of traffic. And we have pivoted from our earlier deal sizes, which were a few crores to much larger deal size across all these regions, India, Middle East and APAC.

In U.S., we have been focusing on mid-market, and that was our

kind of a bread and butter out

there, but we pivoted slightly to banks which are bigger than 20 billion, 50 billion and above.

Again, in those, I think the origination journeys, the digital journeys is driving. So banking is number 1 where we are finding traction.

But beyond banking also insurance is looking positive. Though we have not converted as many deals as we do in banking, but insurance is looking at also very strong. And again, I think the need for digital revamping, attorneys infrastructure, everything is there. So, I'll stop here, probably Mihir if you can join again and then we could have a chat. Because right now, I can't hear you.

Moderator: Thank you sir. The next question is from the line of Chirag Kachhadiya from Ashika Institution Equities. Please go ahead.

Chirag Kachhadiya: Yes. Congratulations to the entire team for a very strong set of numbers in the lean quarter. And again, it's very really transforming the result on a revenue profile perspective from transition to tradition to the annuity and subscription. So, I have a couple of questions. Let's say, after a few quarters, our revenue largely start coming from annuity and subscription base, then what kind of cost structure are we looking for? And on a sustainable basis, the ballpark aspiration, to reach ~newgen

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500 million of turnover, which we have been provided since last couple of quarters. At that time, what margin profile are we looking forward? And what is your attrition during the quarter? Yes.

Virender Jeet: So, as the revenue mix keeps on change, in terms of becoming more annuity, that happens because of either we sell perpetual license and the ATS part of, the annuity part of license gets compounded, or we sell more subscription licenses. So, it will keep on improving.

In terms of our margin, I think it's not directly connected to that. As company grows, our gross margin position will keep on becoming stronger as the larger percentage of revenue will come from what we call our licenses or subscription sales. But it will depend on our opportunity of growth in market and how much we invest in our R&D and sales and marketing. So that's why when we give a broad guidance about meeting some numbers, we are saying assuming that the larger part of the margin will get reinvested in businesses for growth. So, we'll continue to be around 20%, 21% of EBITDA and 17%, 18% of PAT. On a healthy growth line of anywhere around 20%, that number should be -- we should be able to deliver that.

In terms of attrition, and as I think attrition have come down significantly. I think, we are almost talking less than half what it was last year in the same quarter. But it's just 1 quarter, and I think

less date, I think the market is still looking up now for most -- again, software industry. Let's see how it unfolds.

But I think we are -- on that trend, I think the larger problem of industry, I think we are much away from that problem right now. And we think that this year, we should be at a much, much lower number than compared to the last year. So, I think what was -- I couldn't get your third question, because.

Chirag Kachhadiya: Okay. Sir, 1 more question I have. Like when the wage hike impact is to be there in the quarter, in which quarter we're going to increase the payroll and all. And also, will it be similar to like what we used to give in previous years? Or this time, is there any differentiation considering the growth we have achieved in the last couple of years?

Virender Jeet: No. I think wages are dependent on our growth, our own perception of where we want to be and as well as the market reality. I think, our increment cycles are divided across 3 quarters. April, June and predominantly January. So, I think the impact will -- there is some amount of impact on this quarter. It's already -- there has been increment and there is going to be

some increment

in fact on next year, next quarter. As well as the there's going to be a substantial number of people getting increments in the last quarter. What percentage is, I think, it's a very difficult call right now. I think we'll have to take it very close to that.

Moderator: Thank you. The next question is from the line of Sumeet Jain from ICICI Securities. Please go ahead.

Sumeet Jain: Thanks for allowing ICICI Securities to host your call. So, Jeet, first question I had is, generally the health of the midsize bank in the U.S. Generally, we have heard both the banking crisis in March, the overall technology demand from them has been a tad weak because of the consolidation and merger happening. Now in your client base, within the U.S. portfolio, have ~newgen
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you seen such kind of a pressure playing out because as per your numbers, it doesn't seem like anything of that product played out.

Virender Jeet: No, Sumeet, thanks for your question. So, Sumeet, you're absolutely right. I think, what we are seeing is quite visible in the U.S. I think the mid-sized banks, particularly a smaller end of the mid-sized banks are struggling. And right now, I think the spend on IT is quite weak.

In terms of -- when you look at our performance in banking, it is still, I think, the deals which we have won or what we are winning are slightly in the larger accounts. And we are -- as we said, we are pivoting towards those accounts. And the banking in U.S. right now is under cost pressure. They are looking at projects which we can optimize. And some amount of a player for products is in terms of challenging that existing cost base and doing things at a much more viable cost.

So, we think even on the cost pressure side, there is a demand for our kind of products. But I'd say Q1 is a very small quarter. Any numbers seeming percentages and trends on Q1 may not be a fair thing to take. So, we are also learning how the U.S. market is going to behave to our new kind of offerings. So, I think the process is -- it's half done. So, we can't draw conclusions on that.

Sumeet Jain: So, are you a bit cautious on your U.S. geography demand in the coming quarter? Should we take it like that?

Virender Jeet: Okay. The way I would say it is quite diversified. And last year base is quite small. So, we should be able to do substantially better than last year. But in terms of overall, our perception of building long-term U.S. businesses in terms of GSIs or large-sized banks, I think it's going to be a while before we'll be able to comment on that.

Sumeet Jain: Okay. Got it. Next, I wanted to just ask around this INR35 crores 5-year deal that you mentioned towards yesterday. When will it start ramping up and in which geography and vertical will be to you?

Virender Jeet: Yes. Sumeet, this is a deal from India, 1 of the Indian public sector banks. It's for our new offering, which is trade finance. And this project needs to be executed immediately. I think, the large part of this revenue will come in the next 18 months. And then the part of this revenue, which will follow up ATS/AMC. So, it's a very good sizable deal, and we are very excited about the trade finance offering.

I think last quarters also, we have already communicated, we have won substantial deals in this, or both India and Middle East. And there's an interest in other markets also around this product. So, I think our digital lending and trade and especially larger accounts are driving very different deal sizes, which is also helping our growth.

Sumeet Jain: So, will it take 1 to 2 quarters? Will you see the ramp-up of this deal in your revenue profile? ~newgen
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Virender Jeet: I don't think this deal on its own change the revenue profile, because at the end of the day, if you take 70% of this deal, which is g

oing to be executed over 18 months. 18 months and divide it on quarters. So, this is just another deal for us. But I think you're absolutely right. I think next quarter onwards, we will be executing.

Sumeet Jain: Got it. Got it. And next I wanted to -- just around your debtor days like, you expect 120 debtor days, typically higher than what you have reported in the past years in Q1. So, any particular reasons why the debtor days are much higher this year?

Virender Jeet: No, nothing much. I think, it's our traditional markets where we are having some challenges. But I think the bigger issue is what has happened in Q1, the last year closure, Q4 and Q1, I think there's been substantial amount of billing. And that billing is to do with also a lot of revenue, which is not realized in terms of our subscription advances, our ATS advances as well as the growth rate has been much higher in these 2 quarters.

So, some amount of provisioning is getting created even for day 30 and day 90. So, you have the DSO increase. But also on the other hand, we have a traditional problems in some markets, and on some accounts is getting -- which have added roughly around 10, 15 days of DSO. We are on it. And as I told it, I think in some period of time, we are trying to bring this to near 100 days and then even go below that.

Sumeet Jain: Got it. And just last question to squeeze in. Your gross margins are expanded by almost 400 basis points Y-o-Y. So, is it a function of higher license revenue sales this quarter? Or is it that your wage hikes come in the next 9 months, and we will see a bit of a pressure there? How do you see the gross margin trending over the remaining 9 months?

Virender Jeet: Yes. Sumeet, it's very difficult for me. I think, we're slightly going out of my subject. But as you're saying, you're right. Since the percentage of annuity as well as the license is high on this quarter, the gross margins will look much better. But I think in subsequent quarters, other schemes start kicking in. A lot of the implementation milestones start kicking in Q3 and Q4, which have other service profile, which start balancing the gross margin.

But having said that, I think this year, we have a high-cost base because on the previous year cost, we have multiplied it for 4 quarters, we are on high-cost base. So, we do see margins to remain slightly healthy, but I don't think they will expand 400 basis point for the year.

Moderator: Thank you. The next question is from the line of Rushabh Sharedalal from Equirus PMS. Please go ahead.

Rushabh Sharedalal: Congratulations on a great set of numbers. My question is pertaining to the regional banks of U.S., only the -- again continuation with the previous participant. So, you did mention that we are moving from the smaller end of the regional banks towards the larger. So, the mid-size regional bank. So, what kind of a competition are we seeing from the larger IT companies? And how do we actually plan to play this competition? If you can give some color on? ~newgen
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Virender Jeet: So, Rushabh, in regards to the banks for our kind of products, the competition has remained similar. The competition landscape does not change from the size of the bank. We still on the horizontal side, have the same competitions like Pega, Appian, OpenText. And on the vertical side, there are the same competition like companies like Ncino and all. So, I don't think that dynamic changes.

The only dynamic what changes is that the larger banks can see better value for our platform, our NewgenONE. We can position ourselves better for the holistic end-to-end journey of automation, where we think we have a stronger play. And also, with traditional case studies in terms of reference ability across the geos in the world, showed those better examples out there. And also, the bigger issue was about lifetime value for a customer

, which we thought that in smaller banks, we were not able to realize that in 2 years, 3 years, where we see a good potential. But just to answer your question in a short, the competition landscape does not change very drastically from a midsized bank to a large bank.

Rushabh Sharedalal: Okay. Okay. And -- how big is this pie? So, like in the U.S. regional banks have heard that there are some 4,000, 4,500 regional banks. But how many Indian IT services companies would be going for the same business? And how big is the industry size? If you can give some color on the industry size?

Virender Jeet: You see, the financial entities in banking and credit unions are roughly around 5,000 out there, and they keep on -- but I think, what we had targeted earlier was a section of those banks about

USD2 billion assets which was roughly around 800 in number. I think we have committed to a much smaller number, which is roughly around 150 to 200 accounts.

Now in the 150 to 200 accounts, other regional players also participate. Because these are typically banks above USD 20 billion -- above 50 billion asset size. So, in other banks, if you said 4,000, I don't think there are very niche software players who really play in those.

Rushabh Shreedalal: Okay. And just 1 question on the generative AI thing that is going around in the market. So, are our clients also expecting us to provide some kind of efficiency in terms of delivering the projects when generative AI tool we use? And does it disrupt the industry, the sector in any way?

If you can give some color on that, too.

Virender Jeet: Yes, that's a very wide question, but I'll try to answer it in a small what is relevant for us. We are already in the business of assembling solutions at a very fast pace through a No Code/Low Code kind of technology.

I think, most of the conversation when it comes to demand or optimizing demand is about code generation. We are already in the game, we are code -- generation needs to not be done. But generative AI also adds further value to our products and offerings, which we are trying to put in the road map for the next 12 months.

Right now, the value which we are delivering to the customer is not around people and costs, it's around the solution, the benefit, it's around the product. So, we don't see those pressures right now in terms of cost becoming coming on generative AI. But there's a huge opportunity on our ~newgen
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product side and on the solution tax side, where how we can use AI and generative AI to give better value to the customer.

I think that those road maps are already being drawn. We're working on many of such areas as we are ready to release, we'll release them to market.

Rushabh Shreedalal: Okay. Okay. And just a small bookkeeping question, if you can just quantify the accretion rate for the quarter?

Virender Jeet: I think, I'll ask Deepti to respond. Because she can give you exact number, but I'm not very sure.

Moderator: Thank you. We have the next question from the line of Dhawal Doshi from IDBI Capital. Please go ahead.

Dhawal Doshi: So, my question was on the revenue growth. So, if you look at the last quarter, we grew, let's say, 18% to 20% Q-o-Q. And we ended FY '23 with 25% growth. Now when we look at Q1 performance, it has been healthy on a Y-o-Y basis, 30% plus. So, do you see FY '24 growth to be similar with as FY '23 growth?

Virender Jeet: That's a difficult question to answer, but what we are saying that the way last year was looking right now, we don't see any headwinds like you see in service companies around our growth.

We think there are enough areas for us to keep on doing business. And you're absolutely right. I think on Q4 is stronger always. And we expect this year also the Q2, Q3, Q4 sequentially to be better than Q1 in the previous quarters. So that kind of trend, there is no reason why we should not c

ontinue that. But what -- absolute growth rates, we said, at the end of the year, I think we have to wait for that.

Moderator: Thank you. We have the next question from the line of Sarang Sanil from RW Investment Advisors. Please go ahead.

Sarang Sanil: Congrats on great execution. First question is, have any GSI deals been converted this quarter? And how is the pipeline like? And is it coming as per expectations for the company? My second question would be, if you could give some more color on how Generative AI see application to your NewgenONE product. Has there been any deal that included this? Or are you still exploring the space?

Virender Jeet: Yes. Thanks for the question. So, on the GSI, we did have some deals in the U.S. this quarter, but not a significant number. From our expectation, we are very, very far from the number. I think, we have done the investments. I don't think they are showing the reasons right now. I think, you have to be on it for some time before things start becoming better. And so that's -- on the generative AI side, I think it's too early in terms of what we are going to do and what things we are going come to the market. So far, generative AI is not part of our any deal. As I said, we are already working on an area which is typically about assembling of applications on a low-code platform. ~newgen

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So, most of the conversation in field is about how the code generation can happen through AI.

That's not where we are right now. But as I said, we are finding a huge amount of opportunities, both on our solution side as well as product side to introduce generative AI and other AI capabilities. And in next couple of quarters, we'll be launching many products in that area.

Moderator: Thank you. The next question is from the line of Akshat Khemani from Carnelian Asset Advisors. Please go ahead.

Akshat Khemani: Yes, sure. So, I largely wanted to understand the section on the trade finance side. If you can provide some color as to what is the pipeline on the trade finance, specifically India and Middle East, what kind of opportunities are there? If you can quantify that, the number of deals, kind of traction, what kind of the potential value, that will be really helpful.

In the next 2 to 3 years, what kind of inquiry pipeline are you building on trade finance? And how is our solution placed when compared to competition? I mean, what is the differentiated section which we are offering on that side? That will really helpful.

And my second question was just on the perpetual license as part of the fees. And at the start of the call, you mentioned that some of the business is shifting to perpetual license. So, if you can provide why is that happening? And how do you see that traction for the balance part of the year or maybe for the next 2 years? Will perpetual license will be higher and why is that situation happening in the market? That will be really helpful in that. So those were the questions.

Virender Jeet: And there were quick questions and a lot of questions within a question. So let me try to answer them and then probably if I miss something, you can ask me. See, first of all, I'll talk about the trade finance. So why Newgen -- I think on trade finance is 1 we realized, Trade Finance is document in intensive and Newgen is very, very strong in any process centric versus or document-centric process automation. So, we've been traditionally strong, and we have been providing some parts of trade solutions to our customers over a long period of time.

Last couple of years, we have gone in and built a full trade product. And I think, we got early wins from some very, very large accounts in India and Middle East. I think some of the largest banks in this territory, which has established us as 1 of our prominent players in the markets, which now we want to complete, especially, as you said, Mid

dle East and India is our market where we are competing strong.

In terms of trade, I think we do expect to close every year, at least 4 or 5 deals on trade. And -- but in terms of these cases that sometimes long gestation, and they are -- as you see the deal sizes are pretty large compared to our traditional thing. So, I think it's so early. And if I'm not wrong, I think we have already around 5 to 6 customers on trade now. And I think we do expect by this year-end, we may have another 3, 4 orders of trade.

Now coming to the second part of, this perpetual license. See, what we have seen lately in many markets, we have seen that -- I don't know whether it's a function of pressure on cost right now or over being oversold on subscription licenses. Some of the customers are demanding perpetual license sales. So, what that actually means they want to pay lower annuities. They don't want to --newgen

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pay very, very high annuities -- so this has been a conversation going on, has been always in India and markets like India, but what we have seen is happening in Southeast Asia, we are certainly happening in Middle East and U.S lately.

So, I do see that a perpetual license sale will continue to be part of our segment, revenue segment. But as I said, I think the growth of that will not meet the growth of the company. So, it will be slightly always lower than the growth of the company because our other heads like subscription, compounding annuity, our support heads will grow faster. And -- but it will continue to be part. How big and -- what percentage of growth may be difficult to predict. But last year, I think when we grew at around 24%, 11% was the growth on licenses. I think this year, if we continue doing that, we will be able to do slightly better than that.

Moderator: Ladies and gentlemen, we take that as the last question for today. I would now like to hand the conference over to Ms. Deepti Mehra Chugh for closing comments. Over to you, ma'am.

Deepti Mehra Chugh: Thank you so much for participating in the call. For any further questions, you can connect with me, or you can go to our website. Thank you.

Moderator: Thank you, ma'am. Ladies and gentlemen, on behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you. --newgen

Call: Oct 2023

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Scrip Code – 540900 Ref.: Newgen Software Technologies Limited

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Sub. : Outcome Transcript – Conference Call – Q2 FY'24

Dear Sir/ Ma'am,

As intimated earlier through our letter dated 10th October 2023 regarding the Conference Call of the Company, which was held on Tuesday, 17th October 2023 at 04:00 P.M.(IST), please find enclosed herewith a copy of the transcript of the said call with the Investors/ Analysts.

The transcript of the said call shall be made available at the website of the Company under the URL <https://newgensoft.com>.

This is for your kind information and record.

Thanking you.

For Newgen Software Technologies Limited

Aman Mourya

Company Secretary

Encl. : a/a

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"Newgen Software Technologies Limited
Q2 FY2024 Earnings Conference Call"

October 17, 2023

MANAGEMENT : MR. DIWAKAR NIGAM – CHAIRMAN AND
MANAGING DIRECTOR - NEWGEN SOFTWARE
TECHNOLOGIES LIMITED

MR. T.S. VARADARAJAN – WHOLE TIME
DIRECTOR - NEWGEN SOFTWARE TECHNOLOGIES
LIMITED

MR. VIRENDER JEET – CHIEF EXECUTIVE OFFICER
- NEWGEN SOFTWARE TECHNOLOGIES LIMITED

MR. ARUN KUMAR GUPTA – CHIEF FINANCIAL
OFFICER - NEWGEN SOFTWARE TECHNOLOGIES
LIMITED

MS. DEEPTI MEHRA CHUGH – HEAD (INVESTOR
RELATIONS) - NEWGEN SOFTWARE TECHNOLOGIES
LIMITED

Newgen Software Technologies Limited
October 17, 2023

Page 2 of 18 Please note that the transcript has been edited for accuracy purposes

Moderator: Ladies and gentlemen, good day, and welcome to the Q2 FY2024 Earnings Conference Call of Newgen Software Technologies Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Deepti Chugh from Newgen Software Technologies Limited. Thank you and over to you, madam.

Deepti Mehra Chugh: Thank you. Good evening everyone. I am Deepti Mehra Chugh – Investor Relations, Newgen Software Technologies Limited, and I welcome you all to the Q2 FY2024 results of the company. Joining with me today on the call is the management. Mr. Diwakar Nigam, Chairman and Managing Director; Mr. Varadarajan, Whole Time Director; Mr. Virender Jeet, Chief Executive Officer and Mr. Arun Gupta, the Chief Financial Officer.

Before we move on to the discussion, let me highlight that this call may contain certain forward-looking statements concerning Newgen's future business prospects and profitability, which are subject to a number of risks and uncertainties and the actual results could materially become incorrect from the forward-looking statement. Past performance may not be indicative of future performance. The company does not undertake to make any announcement in case any of these forward-looking statements become materially incorrect in future or update any forward-looking statements made from time-to-time by or on behalf of the company. For further details, you must please refer to the Investor Relations section of our website.

I would now hand over to Mr. Nigam

for presentation of the results, which will be followed
by a Q &A.

Diwakar Nigam: Good afternoon and thank you all for joining us for our Q2 FY 2024 financial results call.

We are pleased to share that we are making significant strides towards our long-term vision. We continue to build upon the business momentum with four consecutive high growth quarters now. In Q2, we witnessed revenue of Rs.293 Crores up 30% Y-o-Y with robust growth across most geographies. In the recent months, we have witnessed a significant pickup in the market activity in digital banking space across different geographies. Banks are seeing enhanced business opportunity across the lending and trade finance space, that are our sweet spots. As a result, we have been making deeper penetration through our digital lending platform in the banking ecosystem. We are becoming a preferred and trusted Newgen Software Technologies Limited

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Page 3 of 18 platform for leading banks for accelerating their lending business and simultaneously reducing the associated risks.

We have received a number of high value orders during the quarter for this platform. Apart from this, during the quarter, we have also witnessed growth in order intake for the trade finance solution. We expect this market momentum to continue in the coming years.

Talking about the different geographies, in India region, we witnessed a revenue growth of 38% Y-o-Y during the quarter. We received significant order from both public and private sector Indian banks. A significant milestone for us has been the recently announced order from a leading public sector bank for development and management of their complete

digital business platform of Rs 68 Crores . It is the largest order in terms of value for us so far, and an indication of how our solutions have found resonance with leading banks across the country. We are also working with one of the largest banks in India for their Agri lending solution.

In the EMEA region as well , the digital banking acceleration is happening , and we are making deeper inroads and witnessing strong growth momentum. We have a revenue growth of 34% Y -o-Y during this quarter. In this region, we have been winning large value deals progressively. We are expanding business with our existing customers through additional cross selling opportunities, especially in the Saudi Arabia region. We have also added marquee new logos in this region.

During the quarter, we signed a large project for a specialized banking under Central Bank of Saudi Arabia for digital banking. To further expand our footprint in this region through a local presence, we have established a new subsidiary in Riyadh recently. Also, another interesting new logo added in EMEA includes a leading private sector bank in Egypt where we are again working on a digital transformation project for business banking loan origination s.

In the America's region, we witnessed revenue growth of 30% Y -o-Y. We are building additional business with mid -size banks and credit unions . We have also added a significant new logo - a leading global analytics and technology provider to the insurance industry for our content management offering on cloud. In addition, we have recently opened an office in New York to tap the market in that region .

APAC has been relatively weak this quarter. However, the deal pipeline looks positive and overall, for the H1 we have still done great progress.

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Page 4 of 18 Overall, we are witnessing a strong growth in booking and billing in the first half of the year. This includes large orders from existing customers as well as new logos . We added 14 new logos across geographies in Q2.

Our annuity revenues are growing at 26%, and we were at Rs. 179 Crores comprising of subscription revenue of Rs.

90 Crores. License revenue continued to remain strong at Rs.51

Crores during the quarter. Building upon the license and subscription growth in the past, our implementation and support revenues are growing as well.

Coming to the product. At Newgen we are developing thoughtful solutions powered by content, AI, and analytics to automate work flow within a single platform. Helping enterprise to eliminate reliance on legacy point solution and becoming efficient. Our major initiative in banking AI is coming of age and is expected to give us rich dividends in the near future. Our innovation and deep understanding of the unique challenges , and requirements of customer help in adding capabilities and functionalities on our platform to meet the ever-evolving needs of the customers. From lending platform that streamline credit processes to sophisticated trade finance solutions , we are empowering banks to take a lead in this dynamic environment. In insurance, we have transformed areas like policy issuance , grievances, redressal, etc. We are happy to share that our SME lending accelerator has matured, and we see immense opportunities in this area given the large addressable market. Moreover, our accounts payable solution has been recognized in the Gartner market guide for accounts payable invoice automation 2023 reports.

We have also expanded our integration portfolio through partnership with leading ERP, CRM, banking and insurance and cloud providers and being listed on their marketplace.

This enables our customers to leverage our platform capability through their existing applications, making them efficient and more productive.

We are now a global team of 3900 people working towards a common goal. In the last few quarters, we have been extensively focusing on retraining and retaining our young employees and building additional capabilities and efficiencies across different domains, especially product and delivery. With the attrition level stabilizing now across the market , our team is now maturing and working extensively in efficient implementation.

On the sales and marketing front , we are further building upon the strengthening our partnership network. We are working with global consulting partners to give impetus to our sales in the mature markets. We have recently elevated our partnership with Coforge to deliver transformative insurance lifecycle management solution. We are also streamlining our direct sales team through strategic hires.

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Page 5 of 18 During the quarter, we participated in leading industry events globally and had a successful customer meet in Philippines .

We delivered healthy growth in profits and expanded margins during the quarter compared to the same quarter last year.

Profit after tax was at Rs.48 Crores witnessing a growth of 59% Y-o-Y. During the quarter, apart from investing 11% of our revenues on R&D initiatives, the company invested 21% of the revenues on the various sales and marketing initiatives. On the balance sheet front, our net cash generated from operating activities for the six months period ending September 30th was Rs.146 Crores. Our net trade receivables were Rs.316 Crores at the end of September, which resulted in a net DSO of 105 days.

Last but not the least, we have been honored with the prestigious Mahatma Award for Social Good and Impact towards Quality Education showing our commitment to sustainability and community development. In an ever-evolving competitive financial landscape, our banking software solutions have not only thrived, but also have become indispensable to our customers. We have strategically positioned ourselves to be their trusted partners in navigating emerging trends in the financial technology sector. Our progress and positioning reinforces our optimism for the second half of the

year. Thank

you. We are now open for Q&A.

Moderator: Thank you very much, Sir. We will now begin the question-and-answer session. We will take the first question from the line of Baidik Sarkar from Unifi Capital. Please go ahead.

Baidik Sarkar : Hi, good evening and congrats on a very strong show. How should we interpret this phase of your momentum, is this an outcome of our regular go to market investments that just happened to fructify at this point in time today clustered together in a small time frame or the momentum that you are witnessing from the demand side of the genre that we have not seen earlier, to that extent that the super cycle that is fresh and to that extent unique. I am just trying to understand how we should interpret this momentum that probably you may not have witnessed before.

Virender Jeet : The momentum which we are witnessing, of course as a product company, you will have to invest deep and sometimes the returns do come at various different points. But today, what is happening, predominantly our traditional geos are performing very well and some part of activity in the India landscape is around, banking, lending, trade, as Mr. Nigam spoke in his address. But also, some emerging markets like Middle East, APAC are also performing very well for us. So, it is broad based in terms of what we have been doing. There is nothing new as an initiative or something. The only thing what is happening, our positioning in our Newgen Software Technologies Limited

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Page 6 of 18 core verticals like insurance and banking, we are widening that. We have more offerings for customers and the time also in the market is very right and the customers are responding very well to that, and we are having larger deal sizes that is reflecting in the overall growth of revenue as well as the pack.

Baidik Sarkar : How long or deep do you think the cycle will be right, and does the numbers of H1 change the historical 40:60 split that we have seen annually? Normally we see a flush of spends in Q3 and Q4. Is that direction still on or is the cyclical curve smoothening.

Virender Jeet : It is smoothening, but not to that extent. So, I think still we expect Q3 and Q4 to be much larger quarters for us. Because some of the revenue streams are bucketed like that, renewals are bucketed around that, milestones are bucketed around that. But we have been trying deliberately to smoothen a bit of that growth curve with more subscription, more mature market revenue, those streams have not really picked up at that speed. So, as I said, the traditional streams of license sale and emerging markets are still strong. So, till that time that remains strong, some amount of seasonality will continue in the business. So, I do expect that Q3, Q4 to be larger quarters than our Q1, Q2.

Baidik Sarkar : Last question, given that typically your sales cycle in this industry with the genre of 9 to 12 months, if it is not higher and we are already passed this fiscal right. You mentioned in your opening remarks that your position in the core verticals are widening. So, does that indicate to you that in the fiscal 2025, the demand saliency, your execution saliency could probably be better than what we have seen in 2024?

Virender Jeet : It is very difficult. I think we have not really gone that far and can accurately predict that. But what I can tell you right now, the current order book positions over the last three quarters have been much stronger than the revenue. So that is reflecting, and that momentum is continuing. Our order book growth for last Q1 as well as Q2 have been high. We do from the funnel and the deal pipeline, we also look at, at least Q3, Q4 to be strong for us. Now we are looking into 2025 maybe a bit difficult for us. I think we will have to wait for that. We still do not have that.

Baidik Sarkar : In Q1 I

think you quantified the pace of your order book growth was about 30% even though your revenue growth was what it was. Is it still in that genre? I am just trying to see the pace which your order book is growing.

Virender Jeet : Still growing at a faster pace than the revenue growth.

Baidik Sarkar : Thanks, Virender. My best wishes and I will be in touch. Thank you.

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Page 7 of 18 Moderator: Thank you. We will take the next question from the line of Aditi Patil from ICICI Securities. Please go ahead.

Aditi Patil : Thank you for the opportunity and congratulations on good set of numbers. My first question is on implementation revenue, which has grown strongly both on Y-o-Y and Q-o-Q basis. So, is it that the strong license revenue in last quarter has led to more implementation work in this quarter and like what is the sustainability of this growth, and secondly on margins? Has strong implementation revenue like translated to lower employee expenses as a percentage of revenue and thus led to strong EBITDA margin improvement on a Y-o-Y basis, and my third question is on revenue guidance. So, after strong performance in H1 with 30% plus growth, it seems like for the full year we can grow around that 30% range. So, would you like to increase your guidance from current 20 % to 25% to 30% growth for FY 2024? My fourth question is around the pricing structure on the deal, the 68 Crores deal, which you have announced. So, is it license based deal where like license and implementation revenue will get recognized in the few initial years, maybe two years and then you will have support and services revenue for the rest of the year ? These are my questions.

Virender Jeet : It is a long list, I never answered so many questions in my exams too, so nonetheless, thank you for your time and I think on the implementation revenue growth you are absolutely right. The order book which has been strong over last three four quarters, on license now it is culminating into more and more execution and fulfillment of those orders and projects which is growing. So, I do expect the implementation revenue to continue to remain strong as the license order is preceding and that growth has been higher for the H1 of this year also it was more than 50% compared to last year. So that will also reflect on the downstream that will convert into more and more implementation revenue and execution revenue.

On the margin structure I do not think the margin structure has anything to do with the implementation revenue. Margin structure is more about at the beginning of year, we do our costs are frontloaded and we do estimates of growth on cost. So, if we hit more topline our cost do not vary that much because there is a large part of the revenues still linked with the cost because of the high gross margin business. So that is why there is a margin expansion in the Q1 and Q2 which have been traditionally very lean quarters for us, so it is not a factor of implementation, it is more a factor of higher growth rate. On the issue of guidance I do not think we provide any guidance, but we keep on saying that aim for the company is to really accelerate growth and we believe that we have a potential of growing at a much higher growth rate than our traditional growth rate, so we have grown at a growth rate of 30% for last three quarters I think Q3, Q4 are larger quarters for us and we do expect to keep our growth momentum up, but whether it is going to be 22%, 25% or 30% or more I

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Page 8 of 18 think we will have to wait and watch for that. On your last question about pricing. You are absolutely right this is a license plus implementation deal with some amount of residual thing coming in terms of ATS and AMC larger part of this revenue is going to be realized in

somewhere around two years and then it is going to be typically smaller part of the revenue which will be realized over next years. I hope that answers all your questions.

Aditi Patil : Yes. I just had one last question. Thank you for answering the first four. My last question is on can you provide some details regarding how the partnership with Coforge is progressing and like how many new logos or deals you have won so far through this partnership.

Virender Jeet : Partnership with Coforge, it is an initiative which we have launched in terms of taking things to market. Right now, we do not have too many deals, we have good funnel going on, but these partnerships generally take longer time to mature, and success of these partnerships will eventually reflecting more growth in the mature market. That is where we are targeting these partnerships. So, it is too early to quantify it in terms of results, funnels or orders.

Aditi Patil : Got it. Thank you.

Moderator: Thank you. We will take the next question from the line of Vikrant Gupta from ICICI Pru Life. Please go ahead.

Vikrant Gupta: Hi. Congrats on a good set of numbers. I had two questions. Firstly, can you talk about whether anything incrementally has happened in the US geography between Q2 and Q1?

You had talked about the Q1 numbers in US being strong on a low base as well as some perpetual licenses being sold that you did not really think was sustainable. So has anything changed in Q2 versus Q1 the growth number is still pretty strong. So that is one, and second, can you provide some context on how one should interpret the bookings number? Is this something that executes over the next one year, two years or how should one read that number? Two questions. Thank you.

Virender Jeet : On the US geo, I think the situation is not very different than Q1. So, we do continue to win deals in US. I think we have got some very good deals this quarter as well but the overall growth momentum in terms of numbers, so it is roughly around 30% for H1. I think I would still call it on a more leaner year last year. So that is why the numbers are, looking at 30%. The growth in the US is not at the same pace as we are growing in India or Middle East. So, this is still sporadic and on a lower base. Our lot of investments and our lot of restructuring and reorganizing is happening in that region, and we do expect that the real growth momentum starts coming in next couple of years. But right now, I think it is not any incremental thing. It is more sustained what has been happening. We did pivot to larger
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Page 9 of 18 banks, and we are closing now deals in larger banks and smaller banks. So, deal sizes are slightly better, but a lot of these deals still are not converting into revenue. So, I think we will have to wait for that. So, I would still say that what I said in Q1 in terms of US growth looking on account of weaker last year, last few years is still true. So rather than any drastic jump in the business momentum. On the booking side, our bookings are generally our deals are not very, very long-term and when we are talking of growth of 40% booking, we are talking of growth of booking which can be executed in next 365 days. For most of the growth of booking should be executed in next 365 days. There could be some delays, but that is how we look at booking numbers. We do not look at multi year booking numbers most of the time.

Vikrant Gupta: Got it. Thank you. Great. All the best.

Moderator: Thank you. We will take the next question from the line of Arvind Chetty from Tata AMC. Please go ahead.

Arvind Chetty : Thanks for taking my question. Sorry, to harp on the growth for second half. So, what I understand is our order book growth is growing faster than our revenue growth and most of this order book we anticipate to

get converted into revenues in next 12 months. So, is it fair

to assume that our growth in H1 Y-o-Y basis would accelerate from where we are today?

Virender Jeet : So, it is absolutely right. There are two ways to look at it. One is that of course the business which we acquired in H1 of this year would get executed over next 12 months and some part of that revenue would come in Q3 and Q4. But what we have to be conscious of the fact is that Q3, Q4 are very large quarters for us, and a lot of that revenue is driven out of jerky license sales. So, our ability to still win new deals and new large license deals is very essential for growth of Q3 and Q4. The previous booking will add something, but they cannot sustain the traditional growth rates of Q1 or Q2. So, we will have to still wait for new deals as well as order bookings in Q3 and Q4 for higher growth. Yes, the book does not automatically translate into 30% growth in Q3, Q4.

Arvind Chetty : Just to follow up on that. For the last couple of quarters, we have seen license revenues also growing significantly better for us. So, if that trend sort of continues in Q3 and Q4, our growth should look much better or maybe similar to what it is at least in H1, right?

Virender Jeet : Yes, if we continue to sell licenses at the same and in fact much higher pace is what is the requirement of Q3, Q4 we can achieve the same growth rate. But it is very difficult. As I said these are larger quarters and out of our 4 engines generally two to three are only firing, not all are firing. So, we will have to really watch and see how we progress in that. But broadly as Mr. Nigam also said, I think that most of the parameters in terms of funnel, deal
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Page 10 of 18 size the market is looking very good and there is no reason why we cannot maximize for at least next three, four quarters.

Arvind Chetty : Just one last question on margins. We have been in that 17% to 18% PAT margin for most of the years barring one in last few years. This year at least in first half we are trending much better on the Y-o-Y basis and if I heard it right, most of the investments we have done in H1. So, the margin benefit should accrue in H2. So, to that extent on a Y-o-Y basis for full year, the margin should look better, and can we grow higher than 20% kind of PAT margin for the business on a sustainable basis?

Virender Jeet : See generally the H2 of the year does compound to the most of the annual margin. So, in spite of Q1, Q2 being high, but Q3, Q4 is the real quarters and if we can maintain a high top

line beyond our budgeted top lines then we should be able to expand better margins for this year. So, the estimates are anywhere between, 18% to 21% EBITDA and 18% PAT. If you are able to hit any growth, which is about 26%, 27%, the margin should expand.

Arvind Chetty : Great. Thanks a lot. That answers my question.

Moderator : Thank you. We will take the next question from the line of Mihir Manohar from Carnelian Asset Advisor. Please go ahead.

Mihir Manohar : Thanks for giving the opportunity and congratulations on great set of numbers. I mean, these are very good numbers typical in this environment. Largely wanted to understand which parts of BFSI are driving the growth because when we see global scenario, I mean, BFSI specifically on the IT spends are challenging. So just wanted to understand what is exactly driving this growth in BFSI? Are these big market banks or this small market banks? How to understand them? And what can be the sustainability of this growth that will be important. My second question would be the traction on the trade finance side, last time we were mentioned there are some five to six clients which we have already onboarded in the trade finance part of the piece, and you were looking at some four to five clients this

year also. So, what is the update over there? What number of clients or what kind of inquiries are you seeing on the trade finance side and is it higher or lesser than what you were previously seeing? That is my second question, and third question was on the BPO IT part of the piece. When I see BPO IT, I mean, it has come down over the last two quarters. So, is it a conscious effort that we do not want to grow this particular part of the business? BPO IT and if so, then what is your success over there? I just wanted to get an understanding around that. So those were the questions.

Virender Jetti : I will try to answer one-by-one. See on the BFSI side, while globally in mature markets there is a pressure on BFSI, but our traditional emerging markets the BFSI is doing well, Newgen Software Technologies Limited
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Page 11 of 18 especially in countries where there is the growth rates, the economic activities are better. There is huge interest in looking at transforming their processes, especially on the digital side, reduce the cost of lending to give a very differentiated experience to the customers. So like if you take markets like India, Middle East, as well as some in APAC, there is a huge interest in the BFSI and when you are talking about this market you are talking of typically tier one accounts, you are talking of the larger banks, that does not exactly reflect also in the markets in US and Europe because our penetration is very thin and we are trying to pivot, but we have realized even in the same span in last two quarters, we have been able to acquire banks in those mature markets as well for the same kind of problems. So, the India story of what we are trying to lead with digital India we are able to build similar products to the markets like US and Europe. So overall we think that the opportunity for digital transformation in banking especially in the space of lending is extreme and I think it can sustain over a period of time. On trade, I think it is an area where we are very excited about it. We are winning deals and in fact this quarter as well we have won some deals, we do expect that in next two quarters also we are able to close another few deals out there. But trade deals end up being very large. So it is not like the deal velocity or what you call in terms of size of the funnel is going to be very different and we have to be very selective about taking these deals because they are more complex they are more critical for the banks typically the larger banks or the customers for trade and we do think that over a period of time we can make a substantial inroad in this whole segment of trade both in markets like India, Middle East, APAC as well as there is a potential to go with larger banks in the US and Europe. On your third question of BPO IT, I think BPO IT is that typically and what we call enterprise BPO IT / shared service segment. I think the market itself does not have the same potential as the banking because banking is a pretty large market. So that is why if the growth rates are not very high out there as well as, as a company we are growing, our deal sizes are growing, typically the BPO IT do not end up giving us the same size. We are still excited about the enterprise market in India and in Middle East. So, we are pursuing that, and we do want to really kind of realizing products out there and build and so the effort is on. But yes, right now it is not growing at the speed, which is expected, but I think we are investing beyond banking. The other segment is insurance where we are finding a lot of traction and the same kind of digital journey can be replicated out there.

Mihir Manohar : Sure. That is really helpful. Just to follow up on the deal sizes and you have mentioned that deal sizes are going up for us. So if you can just throw some color as to how are the deal sizes

moved in the last 12 months or last 18 months please that will be helpful and just a second follow up on the banking side, what are the kind of people or companies that we are competing with while getting these contracts? Just two follow-ups, over there.
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Page 12 of 18 Virender Jeet : I think we would send you more information exactly the deal size is how much percentage but substantially I think the deal sizes would have grown by 30 %, 40% year -on-year, but I think we will get you more information on that. Sorry, I could not hear the other question .

Mihir Manohar : The last question was basically while winning the banking contracts what are the kind of companies that we are competing with while getting this contracts?

Virender Jeet : So, the competition in banking is about some players who are operating in digital banking side and this competition is pretty fragmented. On the more structured side, the competition globally is around with companies like Ncino, Sales force of the world as well as horizontal players, which are the Appian and Pega of the world. But on some regional side, you have also very regional local competition out there in terms of very different companies in every country. So, it is quite fragmented that way, but I think right now we are luckily operating in a space that the competition is not really affecting us at all. We are able to really convert most of the deals we are fighting.

Mihir Manohar : Sure. Got it. Thank you very much, Sir, and best of luck for the future.

Moderator: Thank you. We will take the next question from the line of Pranav Mashruwala from Dolat Capital. Please go ahead.

Pranav Mashruwala: Hi. Thanks for the opportunity. My question is the one is on NewgenOne comprehensive solution which you launched in July 2021. So, I just wanted to know about the progress of that comprehensive solution rather than individual solutions per se , how is that progressing? Some color on that would be helpful .

Virender Jeet : So, the current flagship platform we have is the NewgenOne and most of the accelerators or the solutions which are being built are built around that. So that is the primary platform which we are carrying to the market. So, it is on one side is helping us to really accelerate the speed by which we can deliver these products, vertical products to the banks, insurance industry. On the other side, we are getting extremely good traction from the GSI's and partners who can build products and solutions around the same thing, whether these are relationship with Coforge or Infosys or other companies whom we are trying to pursue and trying to build this part of their stack. So, we are excited about the product. The product has been well adapted, in many, many implementations we are trying to use this products out there. So, we are excited about that. So, it is going to be the flagship product. So basically, it is going to be the one which will be selling for most of our users .

Pranav Mashruwala: Thank you. My next question is how many clients do we have at present in terms of 100 million plus billing? Let us say today as of Q2 versus previous year.

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Page 13 of 18 Virender Jeet : Sorry, what is the number you are saying in terms of...

Pranav Mashruwala: The number of clients of 100 million plus billing, earlier I think we used to provide that data, but I think now we are providing 50 million plus clients.

Virender Jeet : Actually, we do that at the end of the year because during the year the billing periods are very different for clients, so because we do not have a service revenue stream . So, the revenue streams are jerky. A client could have a license sale, or it could have an ATS renewal dates. So, on the service side, it is very smooth . We

can provide it quarterly in

terms of, but I think we provide this data early, but in case you can ask Deepti and she can provide you what is the situation right now.

Pranav Mashruwala: Sure. I will take that, and lastly, how is your hiring strategy going forward? Hiring, we plan to because we are seeing a good robust order book.

Virender Jeet : We are seeing a growth momentum, and we are continuing to hiring. We are hiring aggressively both on the lateral side as well as campuses. Last year we honored all over campus placements and we have more than 600 people coming in the campus site. This year we have a plan of hiring roughly around 550 to 600, I do not know exactly, and these numbers can also increase, if we look at the business momentum in Jan. So, we are very excited about the business. So, we continue with hiring momentum, and I think we are as a company we have never dropped our campus offer whether it was 2008 or whether it was 2000 . We meet our commitments of campus and so we think it is very essential and it does help our company to grow and so we will be going ahead and honoring all our commitments and in fact all the commitments from last year are already in. The people are already working and for this year we are going again of hiring roughly around 550 people from campus.

Pranav Mashruwala: Sure. Just to follow up on that . What was the time from conversion of fresher campus in a product company like ours to billing cycle?

Virender Jeet : See, when people come into our company, I think there are multiple areas they go, they go into the product areas, they go into supporting our customers, they go into building our

accelerator, and some go into delivery and implementation, and large part of the delivery and implementation is also fixed cost. But generally, it depends on individuals everybody is different, but we are very happy that some people are very productive as quickly as three months and some people can be productive in three to six months.

Pranav Mashruwala: That is it from me. Thank you, Sir.

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Page 14 of 18 Moderator: Thank you. The next question is from the line of Chirag Kacharia from Ashika Institutional Equities. Please go ahead.

Chirag Kacharia: Congratulations for the good set of numbers. A couple of questions. On GSI front, what is the development in the current quarter and second in last two quarters revenue, what contribution is coming from GSI side? And third as we have done a deal with, we have tie-up with the Coforge. So, which are other player which can be potentially there on GSI funnel from domestic market.

Virender Jeet: Our revenue mix between partners and Newgen is still remaining around 20:80. So, it continues to remain at the same level. Our partnership with Coforge, we have also similar partnership with most of the Indian GSIs and we continue our focus on the partnership is predominantly mature markets, but we do have relationships in all emerging markets as well. So that is the way the GSI work for us. We do not have specific relations for specific markets. Generally, our aim is when we are talking about GSIs, we are talking of matured market relationships and that is where we focus. Does that answer your question?

Chirag Kacharia: Yes. One follow up question on same, whenever any partner empanel for GSI related stuff, what is generally the time cycle to deliver the project. If you can share it?

Virender Jeet: The GSI relationship or partnerships are more strategic in nature. Sometimes they may have an account in view, sometimes there is no account in view. So, once you go to the market you end up winning cases, then the execution cycles are normal execution cycles. But we are continuously investing with GSI to train their resources, so they are prepared in both sales as well as execution

cycles and in case also there are challenges then we have a large execution team. We augment those GSI effort and help GSIs to execute better. But it is not linked with the partnership signing agreement with the GSI.

Chirag Kacharia: Thank you. All the best.

Moderator: Thank you. The next question is from the line of Harsh Shah from Dimensional Securities. Please go ahead.

Harsh Shah: Hi, good afternoon, Sir. A broader question, just wanted to understand which part of the business are we seeing more traction, is it on the content service side, the OmniDocs part of the business or is it more on the Low Code /No Code automation? Just wanted to get understanding on that.

Virender Jeet: The traction in the business is predominantly from core verticals, which is like banking, insurance and banking also on digital. The platforms which are built based on our

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Page 15 of 18 NewgenOne platform which encompasses both Low Code capabilities as well as content services. So, most of the use cases which are about digital transformation end up using more than one product, underlying product. So, business orchestration is a need for every platform, Low Code capabilities are essential these days as well as content is very essential, are part of every solution. So, they become the fundamental pillars, on which we build the digital lending platform or a trade platform or a claims system. So, all those cases, our core products are used in all those cases. The biggest traction right now is from the vertical side and in those verticals both the platforms are always used.

Harsh Shah: If I want to understand the size of the market where we operate in a traditional market as well as U.S. market. So, if you can quantify what is the addressable market size. Just to get an understanding of what is the headroom to grow? That would be helpful.

Virender Jeet: I think we operate in a market which is very, very large. You can estimate it if you take the ECM or the content and the Low Code that itself is more than \$30 billion and we are not even at a percentage, but if you look at Low Code capabilities and look at application stacks and Low Code then another \$140 billion and there is no proper estimate and you can see many reports of this we can share some reports with you where you can understand the market. The core message is there is so much of headroom to go, and we are still operating in a very small part of that market. So, our ability to execute is the only constraint and especially our ability to execute in the mature market.

Harsh Shah: To get a better understanding. So, is it that we need to grow by taking market share from someone or is it that the demand which is getting created or this is the new industry in itself which is creating a market for players like us?

Virender Jeet : So, the general, the traditional areas of ECM/ BPM are growing at 8%-9%. So, the market itself is expanding, but the digital use case market we are typically what you are seeing is happening in banking or insurance. These are creating new use cases. Now these use cases are somewhere in a parallel expanding the market. So, a large part of it is around new use cases. But also, we are into the business of ECM replacement modernization where the old solutions are getting obsolete. We have new tech stack where we are trying to replace both on content services side and Low Code side. So, it is a combination of both, but very difficult to really answer this at a size when we are less than 1% of the global market. These questions are relevant when you are having 15 %-20% of the addressable market size.

Harsh Shah: That is all from my end. Thank you so much.

Moderator: Thank you. The next question is from the line of Devang Bhatt from IDBI Capital. Please go ahead.

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Page 16 of 18 Devang Bhatt: Hi, thank you for taking my questions. Just one thing that you said that 17 %-18% of PAT margins are based on 20%-25% growth. So, if you grow higher than 25%, what is the BPS increase in margin for every 1% increase in revenues do you have that quantification? My second question is what kind of order book do you need , order book growth for you to grow at 30% consistently? And the last question is how many logos have you won with GSI this year. This quarter.

Virender Jeet : Sorry Devang, I am not financially so literate to answer these questions, they are too mathematic , but just to answer the correlation is simple. It is basically our costs as you look at Q2 cost base is typically the standard cost base which will be maintained in Q3 , Q4 with small variations, so if you have already the cost and you can look at the top line targets of Q3, Q4, you can clearly estimate the potential margin which can be depending on whether it is a 26% growth or 30% or 24% . But we do not have a correlation that for every 1% top line growth this much of percentage will get executed . I do not think we look at business even that way, we look at still how do we meet growth and what are the best ways of investing the money for the growth. On the booking again, on the correlation of what booking will lead to what kind of revenue downstream is again a question depending on deal composition, whether you got a subscription deal or you got an upfront license deal or there is a larger service component. Again, we do not track it that way unfortunately, but if you can articulate your questions more detail than probably Deepti can work and create some data for you on that side. Does that answer your question?

Devang Bhatt: Yes Sir. Just that how many logos you have won this quarter.

Virender Jeet : Around 14 logos this quarter across all fields.

Devang Bhatt: With GSI.

Virender Jeet : With GSI, we had two deals this quarter.

Devang Bhatt: And last year DSO days were how much Y-o-Y basis we have 105 this quarter. Last year same time it was?

Virender Jeet : For September 111 to 105.

Devang Bhatt: Okay . Thank you for taking my question.

Moderator: Thank you. Ladies and gentlemen, this will be the last question for today, which is from the line of Sarang Sanil from RW Investment Advisors . Please go ahead.

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Page 17 of 18 Sarang Sanil: Good evening, Sir. Congrats on setting up a new office in New York considering the presence of large banks in the region, do you think it is time we divert our focus from selling through the GSI route and go sell directly to these banks? If so, are we expecting an increase in the marketing spend considering also how US players usually do the business there?

Virender Jeet : Thank you. It is a very good question and I think the idea of opening the New York office about being close to the ecosystem where we can succeed, especially in banking and insurance. So, when we are working in GSI, it is very important to understand that in the larger accounts, GSI's ability to execute and implement your product is very essential for success . Because customers do have relationships and some of these programs need GSIs to execute that. But that does not mean that we do not have to sell. We are aggressively looking at actually putting our own sales team on the ground, increasing our expense in marketing, whether that really how much of expense or overhead it creates for the company, I do not think it is going to be very large initially. We still are generating very high gross margins and with the slightly better growth rates we should be able to aggressively invest in US to do all that and again, we are looking at market share where we are looking at larger accounts which can quickly turn into profitable c

customers. So, we are not looking at the US

mode of expansion where we are looking at only account acquisition and burning cash. We are still looking at profitable business what we can expect.

Sarang Sanil: So also, great to see the DSO dropped significantly and move towards the plan target. So, what has really changed in this quarter despite seeing good growth in the Indian market and IMIA where customers usually slack on their payment? Is there a change in the way deals are structured or has the efficiency in the collection improved?

Virender Jeet : Proficiency of collection is improved, and we will try to take some credit that we are doing our job better and also you have to look at the DSO generally in this quarter are much lower. Because these are also relatively lesser billing quarters, of course they are large, but compared to Q3 , Q4 they are much low. So, we would expect that we are improving the hygiene of the whole system. We are following up with clients more aggressively and we keep on improving it and our target to meet roughly around 90 days of DSO in next one, one and a half years we want to achieve that.

Sarang Sanil: So happy to see Newgen celebrating even before the festival season has begun. So, congrats and all the best for the future.

Virender Jeet : Happy Diwali. Thank you.

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Page 18 of 18 Moderator: Thank you. As that was the last question for today, I would now like to hand the conference over to Ms. Deepti Chugh for closing comments. Over to you, madam.

Deepti Mehra Chugh: Thank you so much for attending the call. For any further questions, you can connect to me, or you can go to our website. Thank you.

Moderator: Thank you, members of the management . Ladies and gentlemen, on behalf of Newgen Software Technologies Limited, that concludes this conference call. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: Jan 2024

Newgen Software Technologies Limited

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Date: 22nd January 2024

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Bandra- Kurla Complex

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Ref.: Newgen Software Technologies Limited

(NEWGEN/INE619B01017)

Scrip Code – 540900 Ref.: Newgen Software Technologies Limited

(NEWGEN/INE619B01017)

Sub.: Outcome Transcript – Conference Call – Q3 FY'24

Dear Sir/Ma'am

As intimated earlier through our letter dated 10th January 2024 regarding the Conference Call of the Company, which was held on Tuesday, 16th January 2024 at 4:00 P.M. (IST), please find enclosed herewith a copy of the transcript of the said call with the Investors/ Analysts.

The transcript of the said call shall be made available at the website of the Company under the URL <https://newgensoft.com>.

This is for your kind information and record.

Thanking you.

For Newgen Software Technologies Limited

Aman Mourya

Company Secretary

Encl.: a/a

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"Newgen Software Technologies Limited

Q3 FY'24 Earnings Conference Call"

January 16, 2024

MANAGEMENT : MR. DIWAKAR NIGAM – CHAIRMAN AND MANAGING
DIRECTOR – NEWGEN SOFTWARE TECHNOLOGIES
LIMITED

M R. T.S. VARADARAJAN – WHOLE TIME DIRECTOR –
NEWGEN SOFTWARE TECHNOLOGIES LIMITED

M R. VIRENDER JEET – CHIEF EXECUTIVE OFFICER –
NEWGEN SOFTWARE TECHNOLOGIES LIMITED

M R. ARUN GUPTA – CHIEF FINANCIAL OFFICER –
NEWGEN SOFTWARE TECHNOLOGIES LIMITED

M S. DEEPTI MEHRA CHUGH – HEAD, INVESTOR
RELATIONS – NEWGEN SOFTWARE TECHNOLOGIES
LIMITED

MODERATOR : MS. ADITI PATIL – ICICI SECURITIES LIMITED

Newgen Software Technologies Limited
January 16, 2024

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Moderator: Ladies and gentlemen, good day, and welcome to Q3 FY 2024 Earnings Conference Call of Newgen Software Technologies Limited, hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Aditi Patil from ICICI Securities. Thank you, and over to you, ma'am.

Aditi Patil: Thank you, Muskan. Good evening, everyone, and welcome you all to the Q3 FY'24 results of Newgen Software Technologies. We have with us today from the Newgen management team, Mr. Diwakar Nigam, Chairman and Managing Director, Mr. Varadarajan, Whole Time Director, Mr. Virender Jeet, Chief Executive Officer, Mr. Arun Gupta, Chief Financial Officer; and Ms. Deepti Mehra Chugh, Head, Investor Relations.

I now hand over the call to Ms. Deepti for further proceedings. Thank you, and over to you, Deepti.

Deepti Mehra Chugh: Thank you so much, Aditi. Hi, everyone, and happy new year to all. Before we move on for the discussion, let me highlight that this call may contain certain forward-looking statements concerning Newgen's future businesses prospects and profitability, which are subject to a number of risks and uncertainties, and the actual results could materially vary from the forward-looking statements.

Past performance may not be indicative of future performance. The company does not undertake to make any announcement in case any of these forward-looking statements become materially incorrect in future, or update any forward-looking statements made from time to time by or on behalf of the company. For further details, you may please refer to the Investor Relations section of our website.

I would now hand over the call to Mr. Nigam for presentation of the results, which will be followed by a Q&A. Thank you.

Diwakar Nigam: Good afternoon, everyone, and wishing you a very happy new year. Thank you for joining us for our Q3 FY'24 financial results call. Newgen has always endeavoured to deliver consistent business performance in this quarter continues to be in that direction. We witnessed a record revenue quarter with revenue reaching of INR324 crores with a growth of 27% Y-o-Y.

During the quarter, we also saw robust profitability and significant cash flow generation, highlighting the financial strength and resilience of our operations. Our revenue growth remained diversified across various geographies, specifically in our traditional markets of EMEA and India regions.

In the India market, we are witnessing significant opportunities in digitization in the lending space, especially for MSME segment, where many customer journeys need to be described, Newgen Software Technologies Limited

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including integration with public digital infrastructure. Additionally, corporate and commercial lending, previously automated in part, is now moving towards end-to-end automation.

Other area of focus includes trade finance automation, digitization of supply chain financing, and agri lending digitization. The India region witnessed a revenue growth of 29% Y-o-Y during the quarter. We are expanding our presence, growing the value share, and fostering stronger relationship through cross-selling opportunities in our installed base of public and private sector Indian banks.

During the quarter, we further strengthened our collaboration with one more Indian public sector bank by providing the crucial trade finance supply chain finance solution with a total order value of INR18 crores. We also won an order from the leading player in the financial services industry, offering

g asset and liability product solutions for providing our Loan

Origination System platform. India region, we witnessed robust revenue growth of 42% Y-o-Y during the quarter.

As we have highlighted earlier, in the Middle East region, there has been a notable surge in requirements for innovative banking solutions. Financial institutions in the region are actively

deploying advanced technologies and digital platforms to offer more efficient, secure and customer-centric banking services. Newgen is helping customers in this region by delivering solutions and services that cater to their unique requirements.

In the APAC region, we witnessed the growth of 17%, and in Americas region, we had a growth of 13% Y-o-Y. We have extended our relationship with existing customers in these regions, including a large order from a leading global multinational bank in the Singapore region and one of the leading banks in Philippines as well as a leading health care company in the U.S.

We continue to witness upward trends in our order booking from existing bank customers as well as healthy new logo additions. We added 11 new logos across geographies in Q3. For the year till date, we have added 38 new logos. During the quarter, our annuity revenues were at INR191 crores, comprising of subscription revenues of INR96 crores. Our implementation and support revenue grew at a faster pace during the quarter.

Newgen has been at the forefront of modernizing technology stakes, leveraging ambitious innovative tools and frameworks like generative AI, open APIs, micro services, and intuitive UIs. These investments have enabled us to make application development faster and smarter, meeting the evolving need of businesses in a rapidly changing digital landscape. We are extremely delighted with the response our products are getting from customers across different geographies as well as recognition from the industry analysts.

We have been recognized in October 2023 in Gartner's Magic Quadrant for Enterprise Low-Code Application Platforms fourth time in a row. We have also been recognized as a strong performer in Forrester Wave, a Digital Process Automation Software. Newgen is also

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positioned as a leader in Everest Group's Low-Code Technology Providers in Insurance - Products PEAK Matrix Assessment.

Underscoring our commitment to delivering effective and innovative solutions, we have recently introduced NewgenONE Marvin, a Gen AI powered enhancement to our end-to-end automation platform, NewgenONE. NewgenONE Marvin is set to support organization in rapidly transforming customers' digital journey through faster and smarter application development, automation of customer journey, as well as the help in building better customer engagement framework.

Marvin combines the power of low code with Gen AI, empowering business users to bring best practices into business by creating the necessary elements using Gen AI. This will help us in rapidly developing different state-of-art use cases across sectors. Our multi-versatile team plays a crucial role in delivering excellence across various aspects of our business operations. We are harnessing the combined powers of our global workforce that has expanded to 4,000 people now and steadily growing and maturing in line with business growth.

On the sales and marketing front, we continue to work on enhancing the customer's engagement, strengthening our team and partnership network, expanding our digital presence. We have recently partnered with Duck Creek Technologies, a leading provider of comprehensive property and casualty insurance software and services for insurers, to offer NewgenONE OmniDocs Contextual Content Services platform to insurers.

Our recent customer meet in Mumbai, EkAM 2023, was a resounding success, providing an invaluable platform for meaningful interactions with our stakeholders. The event

served as a

testament to our commitment to customer engagement, fostering a positive environment of networking, knowledge sharing and showcasing the strength of our product team and relationship with our valued client base.

On profits and margin, we delivered healthy growth in profits and expanded net margins during the quarter compared to same quarter last year. Profit after tax was INR68 crores, witnessing a growth of 45% Y-o-Y. During the quarter, apart from investing 10% of our revenue on R&D initiatives, the company invested 21% of revenue on various sales and marketing initiatives.

On balance sheet, we witnessed a strong cash flow generation with our net cash generated from operations activities for the nine months ending 31, was INR193 crores. Our net trade receivables were INR342 crores at the end of December, which resulted in net DSO of 106 days. Keeping in mind our shareholders interest, we have recently declared a bonus in the ratio of 1:1.

In the nine months ending December 2023, our revenues were INR869 crores, witnessing a growth of 30% Y-o-Y. Profit after tax was INR146 crores, witnessing a growth of 51% Y-o-Y. We are looking forward to an exciting 2024, energized by the prospects of continuous growth, Newgen Software Technologies Limited

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innovation and success. We continue to be committed towards building cutting-edge solutions and focusing on customer centricity to achieve newer milestones. We are now open for Q&A.

Moderator: Thank you very much. We have our first question with Aditi Patil. Please go ahead.

Aditi Patil: Congratulations on good set of numbers. So at the start of the year, you had mentioned that order book is growing faster than revenue at around 30% plus growth. Can you provide some color on the order book growth momentum currently? And like based on this order book growth, do you expect a 25% plus growth in revenue to continue in the near term, like for next two to three quarters?

Virender Jeet: Good evening, and thank you, Aditi. Aditi, it is right, I think, over the last few quarters, the order book has significantly grown and that's also on account of larger deal sizes we are doing with the customers. And some of these order books are typically one year or multi-year as well. So right now, I think for the first nine months, our order book growth has been roughly around 20% for nine months period. However, the order book which we have already accumulated over the last four quarters, there's a significant part of that yet to be executed over the next two, three quarters.

We do see generally, our growth will be more determined from our deal velocity and in terms of new deals which we win in the market. And out there, we're convinced that as the market is right now looking both India, Middle East, and also the markets where we are trying hard, like U.S., all are showing good traction. And we find that the growth momentum can continue. Exactly what the numbers would be, as I told last time also that our Q3, Q4 are significant quarters. We've seen a higher growth rate in the Q3 quarter. It has given us more confidence to have a strong Q4. But we'll have to wait for exactly what the numbers are going to be.

Aditi Patil: Okay. Got it. So in this quarter, there was a Y-o-Y decline in the license revenue. But like Q3 is traditionally has been seasonally strong for license revenue. So was this because of already you have recognized a good amount of license revenue in first half of FY'24?

Virender Jeet: You're right, I think. So basically, what there are two parts of license revenue. We are also -- at the beginning of the year, we said that license growth rate is going to be lower than the company's growth rate because we are also looking at subscription-based revenues coming in, which are part of coming in annuity.

Still for the year, we have grown the license for nine months for a period by around 25%,
wh

ich is -- and then the subscription has grown by around 33%. So it continues to grow. So we don't see that as a concern. Q3 has been strong, but last year Q3 was phenomenally large on license deals. So if you compare quarter-on-quarter, it looks flat. But on the year basis, it's growing at more than 25%.

Aditi Patil: Okay. Got it. And the growth in subscription revenue, is it largely driven by growth in U.S. geography, or in other geographies also you are able to get subscription based deals?

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Virender Jeet: I think U.S. predominantly is the larger base, but other geographies are where we are adding the new logos and new customers out there in subscription. So right now, the growth is determined as an outcome of total company's revenue across all geos.

Aditi Patil: Okay. Got it. And -- so this quarter we also saw good growth in the government and health care verticals apart from BFSI. Can you give some color on what is adding growth in these two verticals?

Virender Jeet: I think right now, for both these verticals, I would not say that, they have been growth drivers. But what has happened, some of our existing contracts or existing accounts have been significant deals, especially in health care in U.S., we've got a substantial deal, which has reflected in growth in that account. Government, I think right now the base numbers are very small, and any deal every quarter can change the number significantly. I will say that still the growth is being driven by financial services for us, that too banking predominantly, and all the other segments are following that.

Aditi Patil: Okay. Got it. And one last question on the Gen AI based new product which you have launched. So what is the interest among clients for this product? And are you able to price higher for NewgenONE Marvin?

Virender Jeet: So basically, what's happening globally, all products are looking at leveraging AI to drive use cases and drive functionality. And with the kind of innovation and the interest markets have seen in Generative AI over last, it's a natural expectation from all product categories to leverage that.

So our Marvin is an extension for the same in terms of we are looking at how we can enhance the low code capabilities of our products, how we can enhance the content management capabilities of the product. So these are horizontal capabilities added to our products, which will just make our products better and more competitive in the market.

Some of these components are priced separately if the customers buy, but most of these capabilities get bundled as part of the enhancement of the product in that. So we are not looking at Marvin on its own to drive revenue streams, but we are looking at it as essential capabilities to augment our product to make it more competitive for both mature markets as well as our existing customers.

Aditi Patil: Okay. So like all the new deals which you will be winning, they will include this Marvin by default as part of the default offering?

Virender Jeet: Most of the time, it will be priced as a component or it may be part of the default offering.

Aditi Patil: Okay. Got it. Thank you.

Virender Jeet: Thank you, Aditi.

Moderator: Thank you. And the next question is from Baidik Sarkar from Unifi Capital.

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Baidik Sarkar: Good evening and congrats on a very strong quarter. So Virender, clearly, we are in the midst of a new technology refresh cycle. How do you reckon we understand where exactly we are in the cycle, right? Are we significantly early days or do you reckon that we're closer to a more mature phase because refresh cycle perhaps started right after COVID? How do you reckon we imagine that, firstly? And secondly, how should we deconstruct the growth in your annuity business between newer logo additions versus ramp-up in existin

g users that we've already

won, say, over the last few quarters?

Virender Jeet: Thanks, Sarkar. So you see on the tech cycles, I think every few years, I think, we have some major announcements happening in tech cycles globally, and they are determined from various factors. Right now, I think you'll see more coming from what's happening in AI and how it's influencing. But also previously, whether it was around cloud service platforms or mobility, generally, it's part of the product companies to be slightly ahead of the tech cycle, because when your customers are buying products, they are buying it for typically long-time usage. And they don't want to buy something which is not more contemporary and is not going to keep them slightly [0:19:31 inaudible] tech for technology innovation curve.

So it's a structured process in any serious product company to stay slightly ahead of tech cycle and then invest right in time, so that you are not left behind or your products don't become obsolete. So I think we are quite comfortable. And what we think with AI the way AI as well as Generative AI, the way they are leaving changes in some of the ways the customers are going to consume the system or how the new use cases are going to be delivered, that's why we've a lot of investment in our -- the number theory acquisition was part of that plan, our generative AI launch is part of the plan. And more and more use cases are coming. So we think we are quite comfortable and in fact we'll be leading in some of these areas with our customer base.

Baidik Sarkar: So if I can just position that question in a different way, right. So we know that EMEA and India is the bulk of our customer base, and we kind of know what the end user demand there is, right? So what do your conversations with the decision makers in this geography entail? Is this a refreshed budget that will continue for the foreseeable future, just given how much anecdotally we know digitization remains to be done in the system? I mean, if you could just give me a more granular sense of how your conversations in especially these two geographies not progressing, EMEA and India?

Virender Jeet: Predominantly, if you look at India and Middle East, I think they are on the journey of basically doing what we call end-to-end digitalization. They have done a lot of digital initiatives over the last four, five years, which has been in, what we call, pieces or parts. And they are looking at transforming the complete customer experience or what we call the digital journey out there. And this is a use case which is happening across all major financial industries in these markets.

Now where we are saying right now I think the largest business or the interests where they touch consumers is happening in the areas of specifically lending, and that's where the first transformation is happening. So lending still has got a lot of areas. Like Mr. Diwakar

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mentioned, MSME lending is very important. Commercial lending is very important. Retail has always shown interest. So there is a cycle of that going on right now. And I would say we are at kind of half of that cycle being executed in India, but early stages in other markets. But then what is happening beyond this lending, then there are other areas opening up, which again need to be digitalized for that, where there's going to be next cycle there.

Now the drivers of spend are determining how the business cycles of these financial like banks in India are right now spending on these cycles. So I think the business is moving forward. In some markets, they may lag by one or two years. So I would say that on this wave of even the digital journey, which we are right now writing off, we are probably in the early 20%, 30% of that cycle. And it may last next three to four years in different areas, unless there are more macro situations which affect

spend patterns in the market. Does that answer your question, Sarkar?

Baidik Sarkar: Yes. I mean it does. If I could just squeeze one last question which is tangential to this, which is getting to the new financial year, right? We noticed H1 versus H2, the absolute seasonality kind of contracted this year, FY'24, which means H1, to that extent, has a bigger base to be defended the next year. You do think this is a base we can defend comfortably as we step through the next fiscal, or would you caution saying that given how low the gestation period, I mean, it's something that is really not into bad just things I have today?

Virender Jeet: See, one of the issues of any time you grow faster, you've got a next quarter challenge of growing faster than that. That becomes the dynamics of business. But having said that, in our business, there is some amount of annuity getting generated, which gets some compounding effect, whether it's through annuity revenues or through compounding ATs. And generally, the relationships, once you start there long term, so they keep on continuing.

So somehow, we are always comfortable going into next year, as the base of the business has increased substantially. Having said that, we strongly depend on our ability to go and sell again, which is the reason, post-COVID, we have really grown faster as the markets have opened up. So we'll have to still go and execute our business plans next year. But we don't see the market as a constraint. We don't see -- right now, the conditions in the market seem to be quite favourable, and our products and services are being received well. So I don't see any reason. But yes, there is lot of hard work for growth, which we need to still do.

Baidik Sarkar: Thanks. Thanks, Virender. And all the best.

Moderator: Thank you. The next question is from Mihir Manohar from Carnelian Asset Management. Please go ahead.

Mihir Manohar: Thanks for giving the opportunity and congratulations on a good set of numbers. Sir, largely wanted to understand the U.S. part of the business. I mean, we have had a strong growth in the last three quarters. This quarter, the U.S. business was soft, both on a Y-o-Y as well as Q-o-Q basis. So if you can give color why did that happen? And what is the movement which is happening in the U.S. strategy, specifically GSI part? That will be helpful.

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My second question was on the fact that, I mean, when we see the last year, last year specifically was a year of uncertainty. And even in that situation, I mean, we were able to have such a handsome growth. So just wanted to get your sense, now situation getting more certain with U.S. interest rates expected to remain in a certain range, how are you seeing the client conversations? And do we expect acceleration in growth given the fact that even in a bad period, you had a good growth. So some color around that?

My third question was on the large logos. If you can throw some light. And have we added Tier 1s across any of the geographies, maybe APAC, maybe EMEA or maybe India, that would be helpful?

And just last -- fourth question was, wanted to understand the deal size. What is the average deal size which is there currently? And what it used to be there, let's say, two years before, three years before? That would be helpful here.

Virender Jeet: Mihir, thanks for these rapid-fire questions. I need couple of more drinks to remember all of them. But yes, I'll try. So see on the U.S., you are absolutely right. I think our aspiration to grow in U.S. is even much higher than the company's growth rate. And we think because that's a larger market and we've got an entitlement to do that. Having said that, we have grown by around 25% Y-o-Y in US this year. What is happening is in the other markets, we are receiving far better traction, and that's why we are still leading that growth. So it's not th

at the U.S. is not growing. But U.S. is not growing at the level of our own expectation, our own business plan. And so some amount of our GSI initiatives are still work

in progress. Some amount of work in towards from mid-sized banks to larger banks is still work in progress. Opening of insurance vertical is still work in progress. So there's a lot of work happening. They have not yielded results on that. So I would say, U.S. is still work in progress, but we have still grown -- when we say work in progress, we've still grown at 25% in U.S. this year for nine months' period. For...

Mihir Manohar: Sorry to interrupt, sir. Just a clarification. I mean, U.S. this year is triple-digit growth, right -- for this quarter, sorry, both on a Y-o-Y as well as Q-o-Q basis?

Virender Jeet: So on Y-o-Y basis, for nine months, for U.S., we have grown at 25%, 24.96%, and 13% on quarter-on-quarter compared to last year.

Mihir Manohar: Sure, sir. Sure, sir.

Virender Jeet: Are we clear?

Mihir Manohar: Yes. Yes.

Virender Jeet: Now the second thing is about the certainty of the market. So if you look at the uncertainties people are talking about transferring of age, it's typically a mature market phenomenon. So one thing is, I think we hope that if the mature market starts delivering, our mature market

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business, our GSI business, as well as the U.S. business should see a better traction once we are out of that, as we are also pivoting to larger accounts.

But since our business predominantly is still driven -- the growth is driven from emerging markets, like India, Middle East, APAC, that's why we've been able to still substantially grow when there was pain in those markets. Now if the pain is less in those markets and we are having the same traction in our existing markets, we can also keep on growing faster or make better results happening in U.S. and Europe.

On the large logos and large deals, I think the accounts which we have mentioned in both our press release and our investor deck, they're all typically Tier 1 accounts in India and Middle East. We're talking about Tier 1 banks, one of the top 10 banks. Similarly, in Middle East we are talking. In U.S., the order which we have got from the health care is a Tier 1 account. So there -- but we have not added large Tier 1 accounts in U.S. They have been existing accounts. So in APAC, Middle East and India, we have added Tier 1 accounts, but not in U.S. U.S. predominant business which has come, has come from existing accounts, which are Tier 1 accounts.

So on the deal size, I think I will have Deepti to give some details, we can give you more details. But generally, we keep on expanding. As you see, the number of logo wins are not changing substantially, but the growth rates are changing. So that's a function of our average deal sizes going up substantially. I don't have the numbers exactly, but I think we can share those numbers later.

Mihir Manohar: Sure, sir. That's really helpful. And lastly, just on the GSI strategy. I mean, any uptick over there?

Virender Jeet: I think it's work in progress. So I think GSI, there are multiple things right now. As you rightly said, GSI was predominantly focused on mature markets. And there's a lot of pain happening in those mature markets. And I think as a result of that, we have got some traction from them, but it's not as per the expectations the company had. So we're still working on it. I think our partnership with Duck Creek, Guidewire, those are going to help the whole GSI ecosystem. We are working on three more partnerships. So it will take a bit more time.

Mihir Manohar: Sure, sir. That's it from my side. Thank you very much.

Virender Jeet: Thanks, Mihir.

Moderator: Thank you. And your next question is from Ashish Chopra from Goldman Sachs Asset Management Limited.

Ashish Chopra: Thanks for the opportunity. Just a question as

a follow-up on your previous comment. Could you just explain in a little bit more detail the model that you would have in a partnership with someone like a Duck Creek, which itself would be an insurance product platform. So is it like a product that is having features from you, and hence you make revenues as they sell? Or what

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would be the business model? And also the potential opportunity size that you foresee in such a partnership?

Virender Jeet: Ashish, thanks for the question. So what happens, whenever we are talking of Guidewire, Duck Creek, or any Mambu for that matter, these are typically product-to-product alliances.

There what we are trying to say that the use cases of Duck Creek in terms of what are -- the digital journeys which are implemented on our product have better support of working on Duck Creek platform. So what gives comfort to the customer is that any customer who has a Duck Creek platform and wants to reinvent low-code digital journey, Newgen becomes a better choice because the integrations are already established. So these are product to product integrations.

The way we influence the market is that all of a sudden, the Duck Creek ecosystem becomes our prospect. And then we can run joint go-to-markets with either Duck Creek or with any other partner like the GSIs who have Duck Creek practices on that. One of our initiatives over the next two, three years is going to be to seed insurance in a big way in both the U.S. and EMEA.

So in that, the property and casualty insurance is where Duck Creek plays strongly. And this is one of the areas where we are going to work both on claims and onboarding journeys. And that's where our product-to-product integration is one. So it's early stage. This is what I would call basic steps to go and enter these markets. And then subsequently, we'll have to do all other things to make sure we win those cases. Ashish, does that answer your question?

Ashish Chopra: Yes. Yes. So just to ensure that I understand it correctly. So your contextual services platform becomes as one of the options that can be integrated into a Duck Creek platform is what is the messaging that you have given to the Duck Creek clients and hence that's an opportunity?

Virender Jeet: Yes. Insurance customer who has Duck Creek as a platform, he is looking at content services, he is looking at workflow services, or he is looking at automation of digital processes. So we have automatically an alliance formed where the products work and talk to each other.

Ashish Chopra: Understood. Understood. And which could be the other maybe large potential partnerships even in the banking platform, if any, that would exist today?

Virender Jeet: So in banking, we don't go the same way, because in banking, over the period of time, we have already done integration with most of the core banking in the world. So we are already -- their credentials are quite established that we sit on any core banking and product solutions and services. But in U.S. -- when we went to the U.S. market, we did with all the U.S. core banking, we did these integrations with that.

And on the Duck Creek side or Guidewire, which is another insurance player, this is what -- so insurance is a new area where we are going and implementing and solving larger use cases. So we're focusing on that segment to do that integration.

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Ashish Chopra: Understood. Understood. And my second question was around the license revenue segment in the overall revenues, which has grown now in excess of 70% over the last two quarters. So should that be construed as the flow-through from the high product license deals that we had in the prior quarters and hence which was normalized in line with the license deals that we witnessed? Or is there some other element to it that we should

take note of?

Virender Jeet: No, I think -- so difficult to exactly answer that question, but I think we do still expect the license revenues in the coming quarters to be substantial for us to grow. And so there's no rationalization. You could say that last year, Q3 license was very high, so this year we won't see the growth. But on a Y-o-Y basis, you will see license revenue growing. So as part of our growth still, since the number of deal acquisitions are still in the same traditional range, we still need lot of license deals for higher growth rate.

So as the markets which are showing more traction are India and Middle East, there are going to be a lot of deals that are going to be license-based deals. So we do expect even Q4, and even next year, to continue on license growth momentum. But having said that, some amount of still deals are going into subscription revenue and which will get accumulated in the revenue later, which will be the base of the revenue.

So there is going to be some amount of -- so in the beginning of the year, I said that our target is to -- that license revenue will grow by 10%, 12%, and still we should be able to do a healthy growth, about 24%, 25%. So I think even next year, we should be in the same range. But our base of ATS will keep on growing and other subscription revenues will kick in.

Ashish Chopra: Sure. I was referring to the implementation revenue growth because that is running far ahead of what probably the license sales growth is. So I wanted to know what other elements would be drivers of that?

Virender Jeet: See, I think one of the reasons for implementation revenue growth is the larger deals which we are accumulating. So what happens, in larger deals, the ratio between license and implementation changes. So historically, in a 500 or 700 case deal, it would have been a 60% license and 40% implementation. But on a three million deal, it becomes reverse, or even the license becomes smaller. So that means we accumulate more implementation revenue, more

support, more services revenue. And that's what's building growth in last quarter. I think this may continue for some, because the order books have grown over the last two quarters substantially. So some amount of implementation revenue may continue growing and support revenue may continue growing. But we do intend to increase the deal velocity and to keep our gross margins intact. So in the short term, it may have kind of a jerk for one or two quarters, but typically, in a slightly long term, generally, the annuity revenues will go faster than the, what we call, implementation and service revenues.

Ashish Chopra: Understood. And just one last question from my side. So when we look at the very strong growth Y-o-Y this quarter on revenues, 27%, typically, in that scenario, we would have expected, let's say, the margin expansion to be higher versus the 70 basis points that we see
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this quarter at the EBITDA level. Like you had mentioned in the past that beyond 15%, 20% growth, margins should expand. So just if you could maybe help us with a breakup there in terms of whether this is really the gross margin where we might have seen some adjustment? Or is it more on the operational expenses side so far?

Virender Jeet: See, we have grown for nine months around 30%. And as we say, our budgets generally are always at that -- in the beginning around 22%, 23%. So any higher growth for that should get adjusted in the, what we call, margin expansion. But we have aspirations of growing even faster, so we keep on investing more. We did some -- I think we had a disclosure of doing a large consulting exercise in one of the Tier 1 consulting companies. There was almost near about \$1 million cost which we have taken.

There's also kind of some amount of one-time cost in SG&A, which is typically a supply of hardware, which has come in

this time, which is added to the cost. So there is some amount of, say, \$1 million, \$1.5 million extraordinary cost this quarter. Otherwise, the margin could have expanded slightly. But I think, as we said, the guidance of typically a net margin of roughly around 19% and EBITDA of 23% is what we -- because we do want to invest again next year for higher growth. So that's where we are. But you're right, beyond 23%, 24% of cost, anything -- higher revenues will always expand margins.\

Ashish Chopra: Understood. That's helpful. Thank you.

Moderator: Thank you. The next question is from Chirag Kachhadiya from Ashika Institutional Equity.

Chirag Kachhadiya: Congratulations on good set of numbers. Sir, I have a couple of questions. So if you look at the net logo addition on year-on-year, it's showing a similar trend that what we have two years back also. So what's the strategy going forward to add the logo addition? Yes, I understand your comment that in absolute terms, on per logo bill, the business has expanded in value terms, but from a diversification perspective and reducing the concentration risk as we move forward, how are we going to add more and more logos, so customer client risk can get mitigated?

And second, on annuity revenue growth perspective, what strategy is there to maintain this growth trajectory going forward? Yes.

Virender Jeet: Thanks, Chirag. I think you're right. On net logo for all multiple years, our typical logos additions have been similar. And what we have said is that's part of function of how we are operating the business. We are pivoting away from smaller deals. We're pivoting away from typically the small banks, which we were trying to win in U.S., and we are going for larger deals and it's a conscious effort.

Having said that, our ambition is to bring logo win rates higher than this. But that's a function when all markets perform equally. Right now for us, we can say, out of four markets, three markets are performing, one is very slow right now, because the mature markets are not firing back yet. So as other markets and we start diversifying slightly more into other verticals, we should be able to get better logo rates.

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So you are absolutely right on that, but our targets would still remain at probably take this logo rate to 60 logos a year or 65 or 70. Not really, really high. We don't have concentration risks. I think we are typically one of the most least concentration of revenue or concentration of segments in that. So typically, we have got this kind of a revenue, INR1,000 crores revenue last year by roughly around 520 customers, and no customer contributes more than 2%, 3% of the revenue.

So there is no concentration risk in our business. And when we say logos, these are net new

logos added in that year. So we have also all the other logos. So I don't think the concentration is a risk. On the annuity front, as we clearly said, part of our license business, some amount of compounding of annuity happens through ATS and AMC, but also some of the license deals are shifting to subscription-based deals, which are automatically adding to the annuity. We do hope that our annuity licenses will keep on growing faster than the company's growth rate. I think this quarter is slightly an exception. But generally, if you look at historically, that has been the rate. And we may be back -- next quarter or next to next quarter, we may again come back on the same trend.

Chirag Kachhadiya: Yes, just one follow-up question, sir. I would just say, the economic scenario spanning out in the Western world, and second, in the last seven years, we almost made a 3x jump in our top line. So will this trajectory continue going forward? Any qualitative comment would be useful. Yes.

Virender Jeet: So I think economic scenarios, what we have -- I think we are still operating in markets at a much small

er level. And we have seen the European pain. Europe businesses have really been slow for us. And some amount of also U.S. uncertainty in larger accounts has been there. As everybody is sharing, we are seeing also things are coming out. Customers are asking for proposals, they're asking for -- RFPs are coming out.

We hope that things change. But I don't have the exact answer to that and I don't think anybody has on that. Yes, we have done phenomenally well over the last seven years, and there is no reason we should not do the same thing. But beyond that, I will not be able to state exactly how much it will -- whether we can do next 3x in three years or seven or 10 years is difficult to predict.

Chirag Kachhadiya: Okay thanks. All the very best.

Moderator: Thank you. And the next question is from Rahul Jain from Dolat Capital. Please go ahead.

Rahul Jain: Thanks for the opportunity. I just have one question to Mr. Nigam's comment where he said we are working on helping banks related to some public digital infrastructure side. So can you slightly elaborate more what exactly we are doing out here?

Virender Jeet: So I think, just to clarify, what we said, a lot of public sector banks, we are working on their digital journeys in terms of when they are trying to digitalize, their journeys to improve their Newgen Software Technologies Limited
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quality of service, improve their speed of service and skill, that's what we are helping. And I explained that, examples are like transforming lending end-to-end.

A lot of work has happened and the government has invested in digital stack, India digital stack, how to leverage that and transform the digital journey for lending or a business loan. That's what we are helping Indian banks in that, and that's where we have got a lot of traction from these banks, and we'll continue to do that. Just a clarification.

Rahul Jain: Understood. That's it from my side. Thank you.

Virender Jeet: Thank you.

Moderator: Thank you. And the next question is from Sarang Sanil from RW Investment Advisors. Please go ahead.

Sarang Sanil: Sir, the implementation segment has performed very strongly this quarter, and you had mentioned that large deals would be a driver for this. But apart from that was there any lumpy project undertaken on the implementation side during the quarter, like a one-off?

Virender Jeet: No. Sarang, thank you for the question. Sarang, no. So if you look at service revenues, you can't have lumpiness because of the nature of -- they're related on the execution, and you can't just ramp up execution for a quarter. So they are more sustained and slightly long term. There is no single client which is driving large numbers or value. So we added some large clients over the last 1.5 years. And those have -- the implementation and execution of those is driving this. But those clients continue to be added and we continue to do business with them.

Sarang Sanil: Sure, sir. Also, in general, how is the demand environment in the U.S. geography? Tier 1 IT companies aren't seeing -- it's not very bright to them. And has there been a strong progress in this geography after opening up the branch in New York?

Virender Jeet: So Sarang, I think this is a question typically which is -- see, I think the Indian industry discourses around services and how the service industry is completely depending on the mature market. And I think slightly, we are into a challenger ecosystem. We are a product-based company. We do keep on servicing our customers. And what's important for us is to be in front of the customer. We have seen lately things improving in U.S., not account of opening office, but in terms of some amount of customers, especially our pivot to larger banks and larger banks looking at redefining and reinvesting in their digital journeys. That's where we are seeing some renewed interest in that. But I think we'll have to wait a b

it to see how it pans out.

Sarang Sanil: Sure, sir. So do you see any inorganic opportunities in pipeline?

Virender Jeet: Our strategy around our core products and our core verticals, we are staying on that. Any opportunities which can augment that journey, we are looking at some of them. But right now, there is nothing exactly finalized or something.

Sarang Sanil: Sure. So just to clarify, did you mention that the order book growth in nine months was 20%?

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Virender Jeet: Yes.

Sarang Sanil: Okay. Okay. So could you put a number to the growth and margin expected in FY'25? Any upward revision from the 25% growth? Or do you see -- and on the margin side, do you see also reinvesting back into the business and maintaining the 19% net profit margin?

Virender Jeet: Yes, so on the margin, we have kind of an understanding which we have built internally that in spite of investing for business, we should be able to keep on delivering those. But if we find opportunities to invest aggressively for growth, I think we can go out. There's no commitment or a defined value. That's what we have said. This is a number we can easily reach, and then over a longer period, we can expand that.

See, on the projection of what's going to happen next year, I think it's too early. We will not be able to comment on that. And I think a lot of things will depend on in terms of our ability to execute our business plan. And right now, we are very, very hopeful that we should have good years. There's no reason we can't continue this growth momentum.

Sarang Sanil: And I hope this year also goes well for you.

Virender Jeet: Thank you very much.

Moderator: Thank you. As further there are no questions, I would like to hand over the conference over to the management for closing comments.

Deepti Mehra Chugh: Thank you so much, everyone, for joining. For any further questions, you can connect with me, or you can go to our website for further details. Thank you. Thanks all.

Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your line.

Call: May 2024

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(NEWGEN/INE619B01017)

Scrip Code – 540900 Ref.: Newgen Software Technologies Limited

(NEWGEN/INE619B01017)

Sub.: Outcome Transcript – Conference Call – Q4 FY'24

Dear Sir/Ma'am

As intimated earlier through our letter dated 24th April 2024 regarding the Conference Call of the Company, which was held on Tuesday, 30th April 2024 at 4:00 P.M. (IST), please find enclosed herewith a copy of the transcript of the said call with the Investors/ Analysts.

The transcript of the said call shall be made available at the website of the Company under the URL <https://newgensoft.com>.

This is for your kind information and record.

Thanking you.

For Newgen Software Technologies Limited

Aman Mourya

Company Secretary

Encl.: a/a

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"Newgen Software Technologies Limited

Q4 FY'24 Earnings Conference Call "

April 30, 2024

MANAGEMENT : MR. DIWAKAR NIGAM – CHAIRMAN AND MANAGING
DIRECTOR – NEWGEN SOFTWARE TECHNOLOGIES
LIMITED

MR. T.S. VARADARAJAN – FOUNDER AND WHOLE
TIME DIRECTOR – NEWGEN SOFTWARE
TECHNOLOGIES LIMITED
MR. VIRENDER JEET – CHIEF EXECUTIVE OFFICER –
NEWGEN SOFTWARE TECHNOLOGIES LIMITED
MR. ARUN GUPTA – CHIEF FINANCIAL OFFICER –
NEWGEN SOFTWARE TECHNOLOGIES LIMITED
MS. DEEPTI MEHRA CHUGH – HEAD, INVESTOR
RELATIONS – NEWGEN SOFTWARE TECHNOLOGIES
LIMITED

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Please note that the transcript has been edited for accuracy purposes

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY '24 Conference Call of Newgen Software Technologies Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Deepti Mehra Chugh. Thank you, and over to you, ma'am.

Deepti Mehra Chugh: Thank you. Good afternoon, everyone. I am Deepti Mehra Chugh, Investor Relations Newgen Software Technology Limited. And I would welcome you all to Q4 FY Q4 results of the company. Joining with me today on the call is our management, Mr. Diwakar Nigam, Chairman and Managing Director; Mr. Varadarajan, Founder and Whole time Director; Mr. Virender Jeet, Chief Executive Officer; and Mr. Arun Gupta, Chief Financial Officer. Due to bad throat of Mr. Nigam, Mr. Varadarajan will take up presentation of the result.

Before we move on to the discussion, let me highlight that this call may contain certain forward-looking statements concerning Newgen's future business prospects and profitability, which are subject to a number of risks and uncertainties, and the actual results could materially vary from the forward-looking statements. Past performance may not be indicative of future performance. The company does not undertake to make any announcement in case any of these forward-looking statements become material indirect in future or update any forward-looking statements made from time to time by or on behalf of the company. For further details, you may please refer to the Investor Relations section of our website.

I would now hand over to Mr. Varadarajan for presentation of results, which will be followed by Q&A. Thank you.

T. S. Varadarajan: Good afternoon, everyone, and thank you for joining us for our Q4 FY '24 financial results call. As we reflect on the past year, it has been another remarkable year with our financial performance reflecting considerable strength and resilience. We witnessed revenue of INR1,244 crores, leading to a growth of 28% Y-o-Y. The year saw many milestones and opportunities to get deeper engagement with our clients. We have also witnessed robust profitability and healthy cash flow generation. Customer relationships have been always key for us and have been instrumental in our growth across all geographies, particularly EMEA and India, where we have witnessed growth of 39% and 33% respectively for the year.

In India and EMEA markets, we are automating end-to-end for our customers by tying up the front, middle and back-office processes for them. We have seen strong interest and increase in acceptability of our solutions, including trade finance and digital lending, customer onboarding, card origination and supply chain finance solutions. In the APAC region, we have booked our largest ever project of INR 97 crores with a technology organization in Singapore. In the Americas region, we have been resetting our strategy for the market.

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As part of our client portfolio, we are happy to share that with deeper engagement with our clients, we have seen a notable increase in the business size per customer. We saw an increase in the number of customers with billing of INR5 crores from 51 last year to 65 in the current year. The average revenue per customer has gone up by 29%. This underscores a conscious emphasis on catering to larger scale clients and those who significantly contribute to our business. We are pleased to see ongoing growth in commitments from our existing banking customers as well as healthy new logo additions to our portfolio. We have

added 51 new logos in the year, 11 of which have come in Q4.

For the year, our annuity revenues were at INR750 crores, comprising of 60% of our revenues.

Coming to our products. Over the past year, we have continued with our commitment towards innovation, constantly refining and expanding the capability of our platform. This year was filled with excitement with new version launches of several of our platforms and deeper work on our solution. We have launched the AI-enabled version of Newgen One platform called Marvin during the year. We have also launched newer version ECM and CCM platform.

We have released our next-generation low code trade finance solution, IDP Studio, IDP standing for intelligent document processing with advanced machine learning algorithms and Newgen AI Data science studio. In the new versions, we have incorporated inputs from our customers, industry leaders, analysts and etc, enhancing our platform's features and functionalities. We have worked on different aspects, including use of artificial intelligence, cloud and micro services, security and empowering system integrators and partners and migration. This enables our platform to build next generation use cases, new ways to design the application, enhance the user experience and optimize growth usage. Our vertical solutions and digital lending and trade have done well, and we continue to build on that base. Further, we are penetrating into insurance vertical and strengthening the team for the same.

During the year, we continue to be recognized by industry analysts - Gartner in the magic quadrants and Forrester in the wave reports. We were also recognized for the first time by Everest Group.

Despite the challenges, including the recent cyber security incident, we have demonstrated resilience and came out stronger. We are leveraging the collective strength of our global workforce, which has grown to 4,500 individuals and continue to expand and mature in alignment with our business growth trajectory. Central to our commitment to organizational success is our steadfast focus on talent management and learning initiative. We believe that by empowering our employees with the skills, knowledge, and tools they need to succeed, they can foster a culture of excellence and drive innovations and growth. We are constantly working on increasing our global footprint and brand presence. We've opened our offices in New York and Saudi Arabia during the financial year. We also continue to work on enhancing customer engagement, strengthening our sales team and partnership network, and expanding our digital presence.

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On profits and margins. We delivered a healthy growth in profits and expanded margins during the year. Profit after tax was at INR252 crores, witnessing a growth of 42% Y-o-Y. We continue to prudently invest in R&D and sales and marketing initiatives. During the year, we have invested 9% of our revenues on R&D initiatives and around 22% of revenues on the various sales and marketing activities. On the balance sheet front, we witnessed a robust cash flow generation with our net cash generated from operating activities for the year at INR281 crores. Our net trade receivables were at INR444 crores as of 31 March '24, which resulted in net DSO of 130 days. Our collections for the year have improved by 34% Y-o-Y. We have declared a dividend of INR 4 per share post bonus issue of 1:11, which is INR8 on pre bonus shares. Looking at Q4 results, we are happy to close Q4 with the strongest revenue ever for a quarter at INR375 crores increasing 23% Y-o-Y. Our PAT has also crossed INR 100 crores for the first time in a quarter. As we start the new financial year, we remain steadfast

in our commitment to

delivering value, innovation, growth and providing superior customer experience. Thank you very much. We are now open for Q&A.

Moderator: Thank you very much. The first question is from the line of Baidik Sarkar from Unifi Capital. Please go ahead.

Baidik Sarkar: Congrats to you and the team on a strong quarter and what's been a phenomenal year overall.

Multiple things are firing for us today at the same time. I think the best way to synthesize all of that was last year in your words like you said this in the past few quarters, is your order book and the pipeline is perhaps growing at a pace that is faster than your revenue booking pace. And given where our order pipeline today, where do you think we are in this cycle, right? Are we -- I mean, do we reckon we're in the middle of the cycle or perhaps moving towards the end of the cycle in terms of how banks and financial institutions are thinking about their digital journeys and how that's relevant to us?

Virender Jeet : So, you're right. So basically, order book gives us kind of an insight in terms of how the business is shaping up. And we have expanded our order book to roughly around INR1,560 crores from previous around INR1,300 crores. So, there is a growth -- healthy growth out there. Our order book is, as you rightly said, just one of the dimensions. The other dimension is about the growth in our new deals, which is about mining and new sales. Out there we have also a substantial

healthy growth in that order book.

On the order pipeline, clearly, as of now, we still see good traction in the coming year, both in India and financial services and what we are doing in the Middle East. And in fact, we find the next year to be as a very strong APC recovery year. U.S., I think we are working -- there are a lot of moving parts out there. There's a part which is about our strategy, where we are trying to reset, trying to move away from the smaller entities to getting larger entities and reshaping the market. And it is also about the whole market in terms of being slow, whether it's the European market and U.S. market.

So I think that's a moving part. We are still working very strong. At beginning of every year, we are very, very hopeful to really make substantial inroads in everything. But at the end, the
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outcome depends on various factors. But going into next year, I think the pipeline is quite healthy on the traditional space. It is very similar to what it has been last year on the U.S. side. There is not too much of a great jump by which I can predict a much higher U.S. revenue growth. But on the other 3 markets, which are traditional markets, we are finding the pipeline to be very healthy. We are building the U.S. pipeline. I think we are making forays into both larger banks and insurance. But it's still early to call it out. And also, there is an outline in terms of our other markets, which are just -- we are seeing like Australia and U.K., we closed some deals last year. This year, we expect to close few more deals. So overall, we still look at next year, there's no reason why we can't maintain our growth momentum.

Baidik Sarkar: Sure, sure. So obviously, multiple moving parts, and I will not get into details here, but I think you had highlighted a level of about \$500 million by the end of FY '27, right? So if we have to slice that into the products and the initiatives that will help us get there, how should we imagine each of these parts better?

Virender Jeet: See, I think every company has an aspiration of doing large numbers. And as a product company, we always believe there's going to be a time when we can even extrapolate the growth rates beyond what we have. Our growth momentum for all whether it's a 500 million plan or typically next year's plan is still based on the core verticals we are

driving. The only thing what we are doing is we are opening up insurance in a major way. That's where a lot of investments are happening. So you should see that in the next 3 quarters, 4 quarters to see a healthy funnel and some deal closure happening in insurance beyond the banking, which has been our traditional strong space. There's an organic growth in government segment.

But on the market dynamics, we clearly see, for a 500 million picture to realize in the time space we are talking about, our mature markets have to fire, which is still a kind of a work in progress for us and a lot of investment is happening in those areas. I think there's a healthy push coming from the markets where we are strong and especially in this era where IT companies are struggling on the growth front, we are doing substantially well because our customer bases have been in the markets which have been less affected. And our solutions have resonated in this time period as well in all these markets. So I think we are sitting well on that. But the business composition does not change much. It changes slightly with more focus on insurance to open up as another substantial vertical and it focuses on mature market expansion more quickly. I hope that answers your question.

Baidik Sarkar: Yes. Just last one before I get back to queue. The pace of growth has been so momentum that investment means that our operating leverage aspirations have probably been faster than what you expected, right? So just keeping that growth in mind, how should we read your margin profile in the year ahead?

Virender Jeet: See, I think as you know, most of the cost planning happens at the beginning of the year, there's little variability which happens beyond some tactical manpower or SG&A expenses. So I think we have been given that we don't aspire to generate very large margins beyond this healthy 20% net margin or 21%. But it's going to be a function of that year. So in terms of -- at the
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beginning of the year, we are targeting, say, X percent growth but we end up doing slightly more than X than the margin expansion would happen. So today, we are targeting growth ranges just similar to our past years. And so I think we should be able to maintain the margin.

The other thing on the net margin side, I think maybe Arun will also comment or you can get more data. I think the tax rates for us next year are going to be different, I think because on the SEZ side, I think this is the lowest tax slab. Next year, we'll be on at least 2%, 3% higher tax or

more than the current year. So this on the net margin, while on the gross margin or the EBITDA side, you will still see expansion happening. On the net margin, we'll be able to maintain that kind of margin.

Baidik Sarkar: And just in terms of seasonal visibility, Q1 has always been a step down. I mean, obviously, that correlation was broken last year, Q1 of FY '24, given how things have shaped up for us the last 2 quarters and you're already a month into Q1 '25. I mean, will you revert to the previous relationship of a step down? Or how should we read that?

Virender Jeet: We hope to keep on reducing seasonality. It doesn't go away. I think I don't expect Q1 to be bigger than Q4, even this year. But I do expect the Q1 growth rate to be slightly higher than our average growth rate. The way you've seen this year, I think we have had a higher growth rate on Q1, Q2, and then slightly lesser should, not lower numbers, they're still very large numbers, but not at the same level. On an average, we expect next year also to have the same behaviour.

Moderator: The next question is from the line of Mihir Manohar from Carnelian Asset Management.

Mihir Manohar : Congratulations on good set of numbers. Sir, I wanted to understand the growth in the order booking. I mean at this time, the

presentation we mentioned that the growth in the order booking is 20% versus this number was 30% last year same time when we started the year. So should you see a normalizing of growth rate happening because this year has been quite a stellar year. So should we see us coming back to 20-22% kind of a growth because given the fact that now we are starting the order book at 20% growth, last time, it was 30% growth, so some understanding on that?

Virender Jeet: Your question about order book is right. I think the order book growth on the previous base of last year was a much more muted year for us. It was a very small year for us. And on that we had a substantially large order book rate. So basically, it is -- it jumped from, I think, 17% to 24%, 25% to 27%. So the order book of last year also has got some residual revenue which is going to come in this year as well.

And with the growth of order book of last year, what we have built from we've taken the order book, again, from a very high base of INR1,300 crores to INR1,560 crores. We don't see order book as a constraint to not meet our next year's goals. We don't intend to fall back to 20% growth target. We want to maintain them at a higher level. But what higher I think that is how the future will unfold. While I see order book is one of the dimensions, but it's not to be taken in isolation. So we still feel that this year can be a much larger number than the 20% now.

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Mihir Manohar : Sure, sir. And how should one understand the new dimension. I mean you mentioned order book is not the only thing to repair for the growth rate. So I mean, because of the other dimensions that you are mentioning, if you can provide some clarity around that, that will be helpful?

Virender Jeet : I think we -- it's the same thing. The order book is one. I think new logo acquisition and average deal size per logo. So we have 29% growth on the revenue per customer. That's where we are able to convert maximum. Our new logo additions are at a substantial pace. And all the new logos are at a much bigger size than the previous new logos. So these are some of the factors.

Mihir Manohar : Sure. Understood. Sir, second question was on the insurance. I mean, you mentioned that insurance you expect this year to be quite strong. Can you provide some more color around this or what kind of conversations you have -- are you having with the clients? Is it life insurance or is it P&G? And what kind of quantum can we see beyond the lead times or the revenue side for insurance?

Virender Jeet: See, we are working on the strategy. So we have like -- I think while we have expanded to a large kind of wallet share in banking for our major accounts. We have not been able to do the same size, though we have insurance as our customers, but their deal sizes are pretty small. So working both in life, general and health there are offerings which we are generating, where we can have a larger deal size. This is work in progress, and we expect this to be a substantial part of our revenue in coming 2 to 3 years.

So it's early. So I think once we have a better visibility into the funnel generation part of it and deal sizes, I think we should be able to highlight more. But we are quite excited about it, and we are aggressively investing right now, building teams, building capabilities, competencies, products around that and then taking to the market in the next 6 months' time.

Mihir Manohar : Sure. So what is the growth in order book for insurance? I mean the company level, it is 20%. So for insurance, what could be the ballpark numbers?

Virender Jeet: I don't have that. But I think insurance, we are just building right now. So I don't think insurance growth rates right now, I think even for the last year, banking has been the primary driver of the growth, with more than 30% of

the growth happening. So all other segments have been either at 30% or less than that.

Moderator: Next question is from the line of Ashish from JM Mutual Fund.

Ashish: Any comments on the M&A strategy? And where are we in the G SI led strategy if you could throw some color?

Virender Jeet: So as I said, for merger, I think we are looking at tactical acquisitions for speed to market and access to market, predominantly in major markets. We have not identified any targets yet. I think the work is going on, and we do expect that in the next 1 or 2 years, we should be able to make some amount of acquisitions for -- typically for making sure in the mature markets, we are able to get some speed. But right now, we don't have any update on that otherwise from its work in progress on that side. Sorry, what was your second question?

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Ashish: So the GSI -led strategy, how is that shaping up?

Virender Jeet: See on the GSI -led, I think while we are working on enablement side and I think our product to product tie-ups are happening, and that is growing. The funnel we are targeting still in mature markets. I think on mature markets, the business for the GSIs, as you've seen, has not been that strong. And I think that also has resulted that we also have not any large growth in the funnel. Yes, some interesting cases, but I think I would still say it's not picked up to the speed or expectations which we wanted it to have it.

Ashish: And in the past, we were also thinking of exploring the system integrators to get into the U.S. market. Any development, are we in discussion with some of the SIs?

Virender Jeet: No, no. I think we have a lot of alliances, partnerships. So I think we have -- in fact, we have expanded beyond the system integrators to the consulting company, the top -tier consulting companies to form alliances on that. So that work is going on. I think I will not be in the position right now to comment on the size of business or the size of funnel because of that. I think it is early.

The GSI tractions have not shown the speed. I think the deal ge station sizes are very, very long. I think we are still working on deal sizes, which start from \$500,000 to few million dollars. They are very different appetite. And I think if you become a part of that larger deal, the closure cycles are not under control. We are looking at different ways to reset that whole strategy as well as working with consulting companies in early stages of funnel building. So let's wait for a few more quarters to see how it shapes.

Ashish: And just lastly on -- so your confidence of organic revenue growth to be 20% and more. So where is U.S. in this entire context, do you say that U.S. will continue to grow at a much lower rate than the console business?

Virender Jeet: No, not really. I think even in the weakest of the year in U.S., we still are around growth of 17% or 20% or 22% , last year was much higher than that. So what I'm saying is that -- so while on the organic side, if U.S. does not give us great acceleration, we still can maintain high growth rates out in the U.S. But when we expect to grow to a size of \$500 million or \$1 billion company, the mature market has to fire. So at one moment, our business plans have to see that the U.S. executes at a much faster rate. That is the moment we are waiting for. So in the meantime, all our markets have great potential to grow organically. And what organically is we expect a minimum to go at 20% or more organically. So all markets can follow that.

Ashish: And anything on pricing environment? Last question, sorry. Anything on the pricing environment?

Virender Jeet: Yes. I think one is you see globally, the prices have changed for everything. And I think both in IT products and as well as for the large IT players or small players. The cost itself for manpower

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and other services has also gone up. So we are gradually looking at evaluating various components of our products, services and looking at working with customers to keep on revising the rates right now.

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We will be working on some more serious initiatives over the next few quarters on pricing and resetting some of the pricing. I mean, it's a continuous job. I think I will be able to give you more clarity of that on the next two quarters.

Moderator: The next question is from the line of Ashish Chopra from Goldman Sachs Asset Management.

Ashish Chopra: I think last year, we saw the Y -o-Y growth starts from 34% and then end at 23% in the fourth quarter. You highlighted that the trajectory this year also probably should be the same in terms of the way we should expect it. I was just wondering why should that be the case? And what

was it last year as well that growth is phenomenal?

Virender Jeet: So Ashish, I think simple function that our business is quite seasonal. Q1, Q2 on the total revenue side are much smaller than Q3 and Q4. As the growth is driven from new deals and what you're seeing the new acquisition is quite linear these days now. So we are able to still get higher mining as well as sales in all quarters laterally. Since the base numbers of those quarters are lower the growth percentages are much higher. So you understand for business and control, which is very linear in terms of renewals, is they're very linear. So they get divided over equal 12 months. But your deal velocity. It's not as lopsided as it was previously. So we are able to do closures in Q1. We are able to do closures in Q2. So the quarterly growth rates because they are at a lower base, they end up having higher revenues. Does that explain ?

Ashish Chopra: So just to reconfirm if I understand correctly. So while the linear business obviously is sort of ready state. You're saying that the closures of deals now happen in a more spread -out fashion, versus probably the previous year?

Virender Jeet: Exactly.

Ashish Chopra: Got it. And secondly, and you mentioned about a couple of vertical solutions that are doing well for you, like digital lending, trade finance. Just wanted to understand as to what would be the nature of solution in the insurance vertical as well, which we are looking at in terms of the problem point that will be -- the problem statement that you would be looking to solve? And also -- I mean, the vertical solutions today, what percentage of your revenues would be coming from very specific industry solution?

Virender Jeet: So Ashish, I think you're right on the vertical side of our recent platforms, which are actually also built on low code. So we're trying to reinvent products on traditional banking, whether it's a digital lending platform or a trade finance or a supply chain on the low code approach to do them as a next-generation product.

So on the insurance side, we are exactly targeting very similar. We are talking about journey led solutions, where we are right now automating the whole process, whether it's a claim or onboarding both in life and general and health. And what has happened, why these solutions are being reinvented and rethought, there's a lot of digital ecosystems in stacks, which have got evolved in all countries.

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And people want to have a very differentiated journey in terms of how they are able to onboard their customers or issue policies or to the claims for that. So very similar to what we have done in banking, but on the insurance side. On the point of how much of business is driven predominantly, so what has happened, a large part of our business today is also driven from solution stack beyond horizontal. I don't have the exact number. But we can -- I can just we can provide those nu

mbers in terms of for each accelerator, what is the kind of business.

But for every sale, whether it's horizontal or a vertical sale, a large part of that sale is a horizontal product sale for us. Those customers end up buying our -- these accelerators with the hope that they can build more products over that. So at the end, we are always a horizontal play in an account with an entry strategy or a solution-led sales focus around vertical accelerator. Does that Ashish answer to your question?

Ashish Chopra: Yes, yes. Yes, it does. And you mentioned that you expect APAC next year for APAC to be a very strong recovery year. Is that on the back of the largest deal that you signed in that region? Or are there some more relevant also that are contributing to the thing?

Virender Jeet: See, Ashish, if you look at last few years, APAC has been always a strong growing market for us. I think last year has been anomaly in terms of a lot of misses on deals in terms of closure, contract cycles and also market being not responding to us in terms of closure rates as we expected.

I think even just recovering back to a normal stage would give us a healthy home. I'm just relying right now on that. The deal, which is there, of around INR90 crores, it is a five-year deal of subscription and an implementation. There will be some revenue, but it will not going to make a material difference to the growth rate. So we still feel in terms of our velocity of deal closures and growth in that market to be on the recovery rather than the last year approach.

Ashish Chopra: Understood. And just lastly from my side, on the DSO, as we exited the year at around 130 days. So on a fourth quarter basis, is that the kind of number the continued kind of growth you tend to witness in the last quarter, would that be on the expected lines? Or do you think that it may have coming higher than what we would have been targeting?

Virender Jeet: No. I think DSO is on the expected lines because I think we had a kind of a DSO miss on Q1 because it was slightly higher last year. And then we substantially brought it down. I think comparing to a Y-on-Y quarter. It has come down on an average. Because Q4 is always a large quarter, so the DSO number is much larger. But on the average other quarters. So I think we

should be on an average DSO of 120, 125, I don't know exactly the number. Our target is to reach 100 days. That's our immediate target as an average DSO. That would mean a Q4 DSO of 115 days or something like that. So but this year, I think it's in line with our expectations, but we are taking a lot of majors to even building further down.

Moderator: The next question is from the line of Jyoti Singh from Arihant Capital Markets Limited.

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Jyoti Singh: Yes. Sir, if you can just give an idea on the BPO segment that very small for Newgen 2%. But what are the impact that we are seeing because of the GenAI? And what are expectations from here onwards?

Virender Jeet: So BPO segment is a segment because it has been a traditional segment where typically people are doing -- we were a great partner for one of the most of the BPOs set in India in terms of when they're looking at a fresh stack because they didn't have platforms. Suppose that segment has been typically the APAR segment, the accounts payable and accounts receivable, either it's in the captive or non-captive which are, the BPO-based segments. So it's a potential market for us for horizontal play has not shown some technical traction in India for us or outside India. So we are looking at ways to look at more horizontal play.

Coming to GenAI in BPO, I think it's typically wherever you can bring efficiency in operations using technology. I think the processing centers become the first typically the place you would pay out like if you are an RPA or the BPM. Similarly, I think

both on Generative AI, a lot of use

cases in terms of automating some of the routine tasks would happen out there. We are excited about the platform play in our product. We have created our product offering in all three products, which are our horizontal lines.

There's a GenAI offering, both for whether it's content, going deeper into content, content summarization, in content management, BPM automatic rule building or exploiting the speed by which the processes can be deployed. And CCM also which is customer communication, how fast you can do a multilingual communication depending on different personas. So we are excited about that portfolio. We are right now looking at those cases to be taken across all verticals, not limiting to BPO. So yes, but BPOs do have some use cases, which can be exploited on that. But right now, I won't have more than that insight about that subject.

Jyoti Singh: Okay. And sir, next question is on the GenAI side. So like, since when we are starting, it will be a revenue generation for us?

Virender Jeet: So GenAI, basically, GenAI is a technology and there's any horizontal grade technology, product companies end up leveraging that and creating more offerings. Finally, those offerings are deployed with the customers to either optimize their businesses or drive growth. So what we are excited that with Marvin, which is our GenAI launch and the Number Theory, which is the AI platform, we should be able to accelerate our use cases and growth of those use cases in general. But specifically on revenue generation or not on revenue generation, those will depend on how end customers end up deploying the use cases.

Moderator: The next question is from the line of Tushar Sarda from Athena Investments.

Tushar Sarda: I have two questions. One is you said mature market now to fire much higher. So what kind of growth rate would you look at to reach your aspiration month targets? That's one. And second, because markets are not doing well, M&A should be much easier in this kind of market. So your thoughts on that?

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Virender Jeet: So when I say mature market have to fire well, it's typically for our long-term exploration of the company to be reached \$500 million or \$1 billion. So because that is where the addressable market is. Today, I think at a growth rate of about 20%, mature markets keep up that pace. Then eventually, we will not be able to do justice to the addressable market size in mature markets. So we expect to be much higher. For some years, it can be 30%, 40%, 50% growth in mature markets. That's quite doable for a company like us. So it's more about how -- where the addressable market is and where our share of how do we increase our share of that addressable market.

On M&A strategy, I think, as I told you, our M&A strategy is typically localized around to get access to market so that we can do speed of our sales process established in the country. We have not found too many prospective options right now, depending on different market conditions should generate sometimes opportunities and sometimes challenges. I am not really in a position to really comment on that because I've not really felt about that there's too much of

availability right now. We have not selling t hat.

Moderator: Next question is from the line of Shubham an Individual Investor.

Shubham: Would you be providing any kind of guidance for the next financial year, sir?

Virender Jeet: No, Shubham. I'm sorry. We don't provide any guidance, but we -- as we always say, we intend to meet our -- keep on meeting our growth momentum and do the historical rates which we end up doing. We don't see a challenge. In case there's kind of a delta whi ch is very different than what we did last year or both upside and downside, and we will inform you as soon as we have more insight into that.

Moderator: The next question is from the line of Devang Bhatt from IDBI Capital.

Devang Bhatt: Just one question that you had highlighted that you are resetting you sales strategy in the U.S.

So from the past, what different are you doing? Like you have already tapped GSIs and all to the mature markets. So what kind of resetting in sales strategy yo u are doing in the U.S.?

Virender Jeet: When we are talking about resetting our sales strategy, which is about what was working for last three, four years, we are pursuing banks which were typically in the lower size or typically asset basis of \$2 billion to \$20 billion bank, which is a large nu mber of roughly around 850. We saw that -- I think the account acquisition cost was much more higher than the lifetime cost of the customer. And because the U.S. banking also is kind of in terms of either consolidation phase or they are havi ng a lot of issues raising deposits. these accounts, even after acquisition did not have a lot of upside for us. And for our exploration and the numbers we are talking those company, we thought that it is important to pivot towards larger banks.

So when we are talking of changing strategy, we are talking about pivoting from the smaller bank sizes to a larger addressable bank, which are banks above \$20 billion or \$50 billion up to \$200 billion, which is typically around 100 accounts. So we are foc using on those accounts now.

And of course, there is an entry barrier to those accounts. It needs GSI support. It also needs Newgen Software Technologies Limited

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various other things. But I think the lifetime value of those accounts will be much more meaningful for our company. That is the change we are talking about.

Devang Bhatt: Sir, we have been trying this. I mean, previously also, we were doing this of targeting the larger banks. So in terms of -- I mean -- now for targeting larger banks, have you -- I mean do you have come out with some other sales strategy that was not workin g in the past, and now it will work?

Virender Jeet: Yes, absolutely. I think, first of all, even in the larger segment, we have at least been able to ge t three or four accounts. It's not that we've not got inroads in that. The second strategy is about to keep on accelerating that. And I think we have built up a different sales team. We are looking at product definitions, which are more suited for that. We are looking at working with consulting and SI companies to target those. Yes. But having said that, you're absolutely right. that has not reflected in the numbers of growth right now. So that's why I call it work in progress. But I'm very hopeful that we should be able to track it. We take a few more quarters, but we should be able to make that.

Devang Bhatt: Great, sir. And last one thing. Would you be targeting any M&A in this mature market, which will help you in garnering these larger banks?

Virender Jeet: Yes. I think we have a plan to look at some inorganic expansion for the segments which we want to address and tackle so that we get more inroads or kind of more feet on the ground out there rather than building it organically. And that is one of our pursui ts. Right now, we don't have any final contenders, or anything localized, but we are in the process of that.

Moderator: The next question is from the line of Mihir Manohar from Carnelian Asset Management.

Mihir Manohar: You mentioned with banks about 50 billion somewhere your larger accounts are, how many banks are there, which are more than 50 billion as of now? I mean how many clients are we having?

Virender Jeet: So we are targeting the banking base of roughly around 90 banks which fit in that. They're not megabanks and they are not the smaller banks. They are about 50. These 90 banks should be able to good enough market. And our target is to make sure that in the next three years, we have at least more tha

n 25 to 30 such accounts.

Mihir Manohar: Okay, sure. And as of now, are there any accounts over there in that range?

Virender Jeet: I think we have three accounts in that range.

Mihir Manohar: Okay. And these three have been entered last year or how was it?

Virender Jeet: No. I think last year, in that range, we have been only able to acquire one, right. One of...

Mihir Manohar: Sure. Sir, I just wanted to understand this fundamentally. I mean, as we move the value chain up to larger banks, do you need to fill more product gaps or anything around that? Or is the same product offering your applicable for larger banks? I mean, how w ould you see that?

Virender Jeet: In fact one of the reasons why we are seeing our product offering was more applicable to larger banks rather than because the platform-led play where people have want to buy platform for future users beyond the current solution. Because the smaller banks want to fill a need with the most price effective solution, while larger banks are looking at technology and platform for long-term use.

So we are implying that the current offerings that we have, of course, we'll be looking at complementing that, working on integration ecosystems, building more complementary features for that market. The issue is we think the relevance of what we do is more to larger accounts than smaller accounts. That's why we made this correct.

Mihir Manohar: Okay. Sure. So basically what I understand that is the gap, which is there in GTM strategy and not product per se?

Virender Jeet: Yes, absolutely. We don't. So there will be incremental things to be done in the product. But right now, the gap is predominantly on the GTM side.

Mihir Manohar: Sure, sure. My second question was the on the trade finance revenue. What's the trade to finance revenue in FY '24?

Virender Jeet: I think we would have crossed INR100 crores or something. I'm not knowing sure, but I think if we can send you the data. But we did get around 6 deals in trade finance. And I think all deals are above INR10 crores or some of them are much larger than that.

Mihir Manohar: Okay. So 6 to 7 deals with rough INR100 crores of revenue?

Virender Jeet: But I think you can ask Deepti for a more number.

Mihir Manohar: And what was this number in FY '23?

Virender Jeet: It started maybe two deals or something towards three deals in that maybe INR40 crores to INR100 crores, that kind of a jump.

Mihir Manohar: And what kind of traction? I mean, what kind of inquiries are you seeing incrementally for FY '25 in the trade finance side?

Virender Jeet: Yes. So I think the product segment is quite hot. So there is an enquiry, but I think we are going little bit because I think it's unlike our traditional products, which don't have large implementation cycle. Trade seems to have a much larger implementation cycles. We are really choosing narrowed again narrowing down early our set of targeted accounts, frankly, going only after larger deals and trying to make sure that we have the right fit for all the markets.

So we are like now focusing on Middle East and India. We are not expanding drastically. So we are evaluating whether we should do it in APAC or in Europe or in U.S. Those things are on hold here. So India and Middle East itself has a large potential. So for next year, I think that is where our focus would be and then we can look at also beyond that.

Moderator: The next question is from the line of Vinay Nadkarni from Hathway Investments.

Vinay Nadkarni: Just wanted one question. How has the Marvin being accepted by the AI and what is the channel response to it? And what is the revenue that you have earned out of it this year?

Virender Jeet: So see, Marvin is an expansion of Generating AI cap

ability for our own products. And it does not have a different alternative monetization stream, but it eventually creates more use cases where the product can be serviced right now. So we launched some time not maybe a few months back. I think right now, as the whole industry is damn interested in anything which is AI led or Generative AI added.

So there's a lot of interest in those use cases. We are seeing a lot of interest in horizontal mature market use cases around AI, and sometimes also use cases lead to Generative AI. But I will not be able to -- we don't think of monetizing it separately. We think of opening more opportunities. But at the end, we are still selling our BPM, ECM and CCM platform for solutions built around that. It's Marvin capabilities to enhance the value to the customer.

Vinay Nadkarni: Okay. One small booking question. You have 9% expenditure on R&D has been expensed out in the books, correct? That's the way you have been doing...

Virender Jeet: We always do that. Yes.

Vinay Nadkarni: And lastly, just more forward-looking things since between banking and insurance, almost 77% of your revenue comes from these two industries. I understand you're focusing on that as a primary driver. But going forward, is there any other areas that you are looking at? Because your health care and BPO has not really taken off much. So are we going to be hitching our star only on banking and finance going forward?

Virender Jeet: So you're right, banking and finance will continue to be the global leaders for us across all verticals. Healthcare is typically healthcare, healthcare insurance, which is very similar to healthcare but it's a completely a different segment, and this market only exists in the U.S. So we think we can build out anywhere between \$15 million to \$30 million business of that over the next two, three years. But beyond that, I think government is one important area where we see we can build more into ads.

After that, our horizontal products have quite wide application across, but that is what we are looking at, either through partner sales or channel sales or through GSI, should take us to other verticals. So we do believe that our horizontal sales, which is across beyond the banking and financial service verticals should also pick up. But we are looking at that as a different channel sale rather than a direct sales model in that.

Moderator: As there are no further questions, I would now like to hand the conference over to Ms. Deepti Mehra Chugh for closing comments. Over to you, ma'am.

Deepti Mehra Chugh: Thank you so much, everyone, for joining in for the call. For any further questions, you can connect with me, or you can go to our website. Thank you.

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Moderator: On behalf of Newgen Software Technologies Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Jul 2024

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Date: 23rd July 2024

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Sub.: Outcome Transcript – Conference Call – Q1 FY'25

Dear Sir/Ma'am

As intimated earlier through our letter dated 13th July 2024 regarding the Conference Call of the Company, which was held on Thursday, 18th July 2024 at 3:30 P.M. (IST), please find enclosed herewith a copy of the transcript of the said call with the Investors/ Analysts.

The transcript of the said call shall be made available on the Company's website at <https://newgensoft.com>.

This is for your kind information and record.

Thanking you.

For Newgen Software Technologies Limited

Aman Mourya

Company Secretary

Encl.: a/a

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"Newgen Software Technologies Limited

Q1 FY'25 Analyst Conference Call"

July 18, 2024

MANAGEMENT : MR. DIWAKAR NIGAM – CHAIRMAN AND MANAGING
DIRECTOR – NEWGEN SOFTWARE TECHNOLOGIES
LIMITED

M R. T.S. VARADARAJAN – WHOLE-TIME DIRECTOR –
NEWGEN SOFTWARE TECHNOLOGIES LIMITED

M R. VIRENDER JEET – CHIEF EXECUTIVE OFFICER –
NEWGEN SOFTWARE TECHNOLOGIES LIMITED

M R. ARUN KUMAR GUPTA – CHIEF FINANCIAL
OFFICER – NEWGEN SOFTWARE TECHNOLOGIES
LIMITED

M S. DEEPTI MEHRA CHUGH – HEAD, INVESTOR
RELATIONS – NEWGEN SOFTWARE TECHNOLOGIES

LIMITED

Newgen Software Technologies Limited
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Moderator: Ladies and gentlemen good day and welcome to the Q1 FY '25 Analyst Conference Call of Newgen Software Technologies Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Deepti Mehra Chugh. Thank you, and over to you, ma'am.

Deepti Mehra Chugh: Hi. Good afternoon, everyone. I'm Deepti Mehra Chugh, Investor Relations, Newgen Software Technologies Limited and I welcome you all to the Q1 FY '25 results of the company. Joining with me today on the call is our management: Mr. Diwakar Nigam, Chairman and Managing Director; Mr. Varadarajan, Founder and Whole-Time Director; Mr. Virender Jeet, Chief Executive Officer and Mr. Arun Kumar Gupta, Chief Financial Officer.

Before we move on to the discussion, let me highlight that this call may contain certain forward-looking statements concerning Newgen's future business prospects and profitability, which are subject to a number of risks and uncertainties, and the actual results could materially vary from the forward-looking statements.

Past performance may not be indicative of the future performance. The company does not undertake to make any announcement in case any of these forward-looking statements become materially incorrect in future or update any forward-looking statements made from time to time on or by behalf of the company. For further details, you will please refer to the Investor Relations section of our website.

I will now hand over to Mr. Varadarajan for presentation of the results, which will be followed by a Q&A by Mr. Virender Jeet.

T. S. Varadarajan: Good afternoon everyone and thank you for joining us for our Q1 FY '25 Financial Results Call.

With the start of the new fiscal year, I'm pleased to report another strong quarter, showcasing significant revenue growth and robust financial performance. Revenue for the quarter reached INR315 crores representing a 25% Y-o-Y growth. There was good business growth across regions with EMEA region growing at 25% Y-o-Y. India at 20% Y-o-Y. APAC has come back on the growth path with 65% AOI in the quarter and U.S. region was at 13% growth.

Historically, the business has been seasonal in nature, with Q1 being the leanest quarter, though the impact of seasonality is slowly reducing to a certain extent.

We had good additions in our client portfolio and added 13 new logos in Q1. Upselling and cross-selling to our existing customer base has also contributed significantly to our revenue growth. We are seeing increased adoption of our trade, digital lending and supply chain finance solutions, driving significant revenue growth. With substantial license revenues in Q4 of last year, the current quarter marked significant uptick in implementation revenues. For the quarter, our annuity revenues were at INR201 crores.

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Key orders during the quarter include: Order for retail loan origination system or a large Indonesian State Bank with an order value of INR11 crores. We are providing business financing solution to a leading Malaysian government-owned bank with a total order value of INR10 crores. In the U.S., we entered into an agreement with a commercial and retail bank for the digital account opening solution, again for INR10 crores. We are also providing a fintech onboarding solution to a large bank in Qatar for INR10 crores. One of India's leading engineering conglomerates selected Newgen for implementation of its loan origination system.

Coming to our products and solutions, we are really excited

with the good traction and customer

response received by our vertical solutions in areas of trade, lending and supply chain finance.

We continue to work with customers in understanding their evolving requirements to innovate and improve our solutions and support our customers in growth and management of their financial operations more efficiently.

Further, we are working on strengthening the insurance vertical by expanding our team, building the product and deeper solutions into the space.

During the quarter, we launched a new product, LumYn, and are very excited about taking it to the market. Newgen LumYn is a ground breaking Gen AI powered hyper personalization

platform designed specifically for the banking sector. This innovative growth intelligence system is set to enhance profitability and significantly improve customer experiences for the bank worldwide. LumYn understands and adapts to customers' evolving preferences, behaviours and live stages in real time to drive deeper engagement and drive business growth, while ensuring data privacy and security.

We continue to receive accolades and analyst recognitions, underscoring our ability to deliver value to our customers. During the quarter, Newgen was recognized in Gartner Market Guide for state and local government grant management solutions. The company has also been reaffirmed the short-term rating of CRISIL, A1 for its debt instruments.

We continue to build on our global workforce and have made additions to the senior management across the globe especially on the sales and marketing side. The quarter also saw new hiring, both campus and lateral to support our growth plans.

Strategic partnership with leading technology firms and industry alliances is helping us in broadening of the market reach and increasing the global footprint. During the quarter, we partnered with Finastra, a global financial -- provider of financial software application to offer best-in-class banking solutions for existing customers and also jointly expand the market base.

Reinforcing our commitment in nurturing talent and fostering inclusive growth, Newgen unveiled the pioneering initiative aimed at accelerating the skill development and digital prowess of women in underserved communities. The company inaugurated a dedicated skill development center in New Delhi to serve as a hub for imparting skill training and essential digital education to the mothers of students associated with the company's flagship social project, Newgen Digital Discovery Paathshala.

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On profits and margins, we delivered a healthy growth in profits and expanded margins. Profit after tax was at INR48 crores for the quarter, witnessing a growth of 58% Y-o-Y. We continue to prudently invest in R&D and sales and marketing initiatives. As we had indicated earlier, the sales and marketing investments are being increased on account of key strategic initiatives being undertaken by the company.

On the balance sheet front, our net trade receivables were at INR402 crores as of 30th June 2024, which resulted in net DSO of 112 days. Our collection for the quarter has witnessed a growth of 18% Y-o-Y. We remain committed to delivering exceptional value to our customers, and stakeholders while driving sustained growth and innovation. Key focus areas for growth in the coming quarters for us include continued product innovation, scaling of operations and increased global reach, especially in the mature market and enhancing our banking and insurance solutions.

Thank you and we are open for Q&A.

Moderator: Thank you very much. Our first question is from the line of Ansh Suri from Systematix. Please go ahead.

Ansh Suri: I want to ask sir, like what was your partnership during the quarter of FY '25, like I mean this quarter partnership like the growth, what like partnership led to growth in the quarter?

Virend

er Jeet: Sorry, I'm not able to get exactly what are you referring to in terms of percentage of revenue, which has driven by partners?

Ansh Suri: Yes.

Virender Jeet: So generally, I think it remains static on an annual basis, at around 20% of revenues, which is partner-related and 80% is still direct. So with the growth is both the engines, there is not a significant shift that the partner one is going at a faster pace. So it's still at the same level as the company is growing.

Ansh Suri: Same level. Okay. My next question is that what is PAT margin?

Virender Jeet: Yes. So for the quarter, it is roughly around 15% being a seasonal quarter, it's lower in top line, while the costs are slightly more flattish for the year. But I think as you see, historically, it keeps on accumulating as the annual revenues become much larger.

Ansh Suri: Okay. So 15% for this quarter, the PAT? What is the ROE -- the return on equity percentage?

Virender Jeet: Return on the quarter, I don't have a number as the business is seasonal, but I think if you can write to Deepti on the investors, she can send you the details or you can look at the presentation.

Ansh Suri: Okay. Also I remember in the webinar, you also claimed that you launched in your product, right, this quarter that accelerated your sales and the revenue.

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Virender Jeet: No, I think the products are generally very early leading stages of revenue. So predominantly banking is a prominent sector for us. So we keep on expanding our portfolio of offerings and services. And since AI as well as Generative AI, are driving most of the use cases and frightening them. So it was important that we augment our product stack. So we have launched a product for almost a couple of months back and it's an early stage of adoption. We are doing at least proof of concept with at least 2, 3 customers globally. And I think it will help overall build all product portfolio and strengthen our revenue streams going forward.

Ansh Suri: So you think that the product you launched a few months ago will really streamline the growth of the company in the next few months, right?

Virender Jeet: Yes. So I think for product companies, it's essential to keep on launching new products to be ahead of the market and ahead of the curve. So I think while some segments like if you open products in insurance or other verticals, which will expand, but in your core verticals also in core segments, you have to keep on expanding the portfolio.

Ansh Suri: Okay, I got it. And I just have one more question. I was going through it and you also said that -- so yes, this quarter launched a very significant growth, right, like a very high growth compared with the previous quarter in the results?

Virender Jeet: No, not really. I think it is in trend, it's in line with where we have been going for the last 8, 9 quarters and we have been growing in the range of 24% to 30% in last 8, 9 quarters. So it's a line with that growth.

Ansh Suri: That's very good growth. And you said your relationships with clients is good, like that's something that's contributed to growth, the consistent growth?

Virender Jeet: Yes.

Ansh Suri: We also think that you established an agreement on banks, if you remember like some agreement you established?

Virender Jeet: Yes. So I think what we also referred in that of significant deals which were acquired this quarter and that conversation was in reference to the deals we had in Indonesia, Malaysia, Qatar, U.S., India. So these are some of the significant ones. Yes.

Ansh Suri: So your global deals had an increased outreach?

Virender Jeet: Yes. We do get roughly around between 10 to 15 deals quarters. So we have 13 deals. So these are some of those significant deals.

Ansh Suri: 14 deals a quarter, but you've got 15 this quarter?

Virender Jeet: 13 this quarter.

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Ansh Suri: Okay. 13 this quarter. I also -- one thing. I'm sorry for so many questions, but you also had -- talking about some inaugurated skill development center in Delhi that you -- this quarter, you launched, Delhi you will launch some center skill development center?

Virender Jeet: Yes. Ansh, that is basically a part of our CSR initiative, where we have a Newgen Discovery Digital Paathshala, where we help not only students, but even their parents to upskill themselves. So we launched a large program where we help the parents of the students to upskill themselves so that they can really contribute to the society.

Ansh Suri: Call Paathshala?

Virender Jeet: Newgen Digital Discovery Paathshala.

Ansh Suri: What did you tell Digital Discovery Paathshala. Okay. I'll just need a note on that. Digital Discovery Paathshala.

Moderator: Mr. Suri, may we request you return to the question queue for any follow-up questions as there are several other participants waiting for their turn.

Ansh Suri: Okay, anyway I'll return to the queue.

Moderator: Thank you. We have a next question from the line of Ashish Shriram Thavkar from JM Mutual Funds. Please go ahead.

Ashish Shriram Thavkar: Yes and thanks for the opportunity. Sir we had said that obviously, in mature market the product companies are not able to penetrate to an extent that they would have like to, but then on the other hand we do have a huge Middle East market also wherein also we have a very important play. So how do you compare these two markets especially given the fact that you as a company are targeting 20%, 25% top line growth and US could be a critical component of that overall growth aspiration?

Virender Jeet: Ashish, thank you for your question. You are absolutely right. So what has happened while we have kind of a leadership position in our traditional markets let us say India, Middle East and we continue to grow at a much higher pace. Our aspiration to be a larger company and capture global market that is both in US and Europe continues to be where we lead most of our initiatives of marketing and sales.

So we have grown in the US to a threshold of 75 accounts and we are pivoting the business to

really find where we get footholds to growth. This is an early stage for us also and I think though our -- this quarter's growth in the US is around 13%, but we have not really got up a handle to do a real exploration now.

Having said that, we have launched multiple initiatives, restructured our teams out there. There's a lot of strategic work happening for mature markets. While that's happening, our traditional markets continue to perform extremely strong. This time of whole crisis of IT has been completely decoupled from four regions like India and Middle East and we have grown at a

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substantial pace during the last three years, four years in fact which has helped the company to maintain.

While we continue to leverage and maximize our traditional markets our aspiration to be a global leader in our area of business continues to be there and we'll continue investing in that.

Ashish Shriram Thavkar: So sir the initiatives that you talked about possibly we ended FY '24 with around 22% EBITDA margin, how much of the incremental margins are you willing to invest into all these initiatives?

Virender Jeet: Generally I think-- as you said this company delivered a very healthy gross margin because a large part of our business is a high gross one. It's a license or an ATS or a subscription business.

So we keep on with growth, we keep on expanding margins. We have said that generally roughly around 20% PAT and roughly around 23%, 24% EBITDA that's kind of a target number we are carrying today on our mind.

And anything beyond that we keep on aggressively investing for growth that's the guideline. But as times and situations keep on ch

anging and evolving in the market we can reassess where we

go. But the purpose -- the broader purpose is to build for investment, grow business to invest that for further growth, both in mature markets and our traditional markets.

Ashish Shriram Thavkar: Sir, lastly in terms of first half is usually like 40%, 45% of our full year and in terms of making our business more annuity based, when do you see our business becoming more annuity based?

Virender Jeet: So it's happening, but happening at a gradual pace because we are still driving top line growth at a much higher number about 20%, 25% which also means there's a large dependency on upfront license revenues. So I think that more and more revenue contribution coming from mature markets will shift it. Right now the primary growth drivers seem to be our traditional market where the business model is still license-based.

So the shift is not happening at the speed which we expected, but as the revenue share from the mature market starts accumulating and the size of the company grows you will see that generally it will get more smoothened out.

Ashish Shriram Thavkar: Yes. This is helpful. Thanks and all the best.

Moderator: Thank you. The next question is from the line of Mihir Manohar from Cernelian Asset Management. Please go ahead.

Mihir Manohar: Yes. Thanks for giving the opportunity and congratulations on good set of numbers. Sir, I mean, I wanted to understand there's a new product that we have launched Newgen's LumYn. So what is it exactly catering to and what problem is it solving in which area that would be helpful.

Second one is the Western geography. I mean IT services companies are talking about the improvement in trends specifically for Western geographies. So what does your take specifically US and EMEA region?

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Do you see these geographies doing well for us for the balance part of the year versus what time we have been previously over the last 6 months? And the third question was on the fact that you just indicated about the PAT margin number of 20%. I mean earlier we used to get 18% to 18.5%, 19% kind of margins. Does it mean that our new numbers that we are looking at should be considered at 20%? Those are the questions?

Virender Jeet: Thanks, Mihir. Nice talking to you. So I think the LumYn is basically an AI-based hyper personalization platform where you can go in the hyper personalization for individual customer behaviours for upsell and cross-sell, predominantly targeted for banks in terms of either product recommendations or any other recommendations by which they can maximize their sales to their end customers in terms of whether the products could be about loans, accounts, credit cards.

So we have fine-tuned the product not as a horizontal layer of AI, but basically verticalized layer of AI where we are able to go to a bank, help them in terms of what is the information we seek them for and what is the outcome they can and where can they integrate that outcome.

As you know we are already very strong in digital lending platform and this product sits on over

the digital lending platform to add more services and finally help customers drive the banks and drive better customer revenue or better wallet share per customer in terms of upselling and cross-selling more products, that's where we are targeting it.

This product is an extension of our family. The core platforms which we have are again the NewgenONE family platform which has data sciences platform and this is one of the flavors which is an integration of data science and GenerativeAI. It is one of the cutting-edge products which has been launched I think, in the market.

There are very few products like that. So a lot of excitement in the market, but you are saying as any new things there's a lot of excitement, a lot of POCs and the business can follow over a period of time. I hop

e that answers the first question. Regarding the Western geos, I think as you are saying most of our growth over the last two years, three years have been driven around the emerging markets which is our Middle East and India and some part of APAC.

U.S. though we have grown, but it has trailed the growth rate. Right now for us as you are rightly saying there are early signs of revival of our banking the large because the large banks is one of our target customer portfolio. We see some hope, but we have not seen a big momentum shift right now out there.

So I think we will be still for this year, we'll be a bit conservative in the US. We'll still target our growth which can be healthy rate, but I don't think substantially the equation for us has changed. And again I may not we are not probably the best judges of the market because we are slightly away from that business, not like service companies.

The third is about PAT margin. You're absolutely right. I think we were looking at 18% to 19% or 20% -- roughly around 21% to 23% EBITDA. Clearly, what is happening that as the company is growing our cost basis, our ability to -- with stabilization of manpower there is some amount Newgen Software Technologies Limited
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of advantage in terms of margins right now because there's not too much of churn and you are able to deliver get better productivity of your team.

So because people do affect our business in a long way. So I think we should be -- if we are able to extend our growth rates above 20% and between 20%, 25%, we should be able to expand our margins and bring PAT to roughly around 20%. I hope that answers your question.

Mihir Manohar: Sure sir. That's really helpful. Just on the Newgen's LumYn side. I mean is this product like this development which is coming, is this development coming after having interactions with the customers in the Western geography or after having interactions with the India and Middle East clients? I mean what this product will be most suited for? Will it be most suited for large clients operating out of US or operating out of digital India?

Virender Jeet: It's a difficult question to answer. The product has been originated from our current core geos not from the use cases. Though it is equally relevant in all geos, but we are right now fine-tuning in our traditional markets, India and Middle East. But we have already enough cases running with customers in US who are trying to evaluate the product for that. So it is still built from home and taken out but we hope this product is quite horizontal, sits very neatly on any kind of a digital lending platform and should be able to deliver considerable value to the end customers.

Mihir Manohar: Sure, sir. And just one last question. Are our deal sizes going up over the last 6 months, last 1 year, if yes by what percentage broadly?

Virender Jeet: So I think our average deal sizes last year has substantially grown I think, from -- around 20%, 25% because our number of deals were at the same level, but the average deal size has grown substantially. I think on this quarter it will be too early to judge about because it's a smaller quarter with smaller number of wins. So it won't make an effect on deal sizes, but I think towards the end of the year we still hope that, that trend continues.

Mihir Manohar: Sure. That's it from my side. Thank you.

Moderator: Thank you. The next question is from the line of Bharat Sheth from Quest Investment. Please go ahead.

Bharat Sheth: Hi sir. Congratulations on good set of number and thanks for the opportunity. Sir can you give some color how much currently our revenue mix if you can say which is on the annuity base and how much is AMC that do we get or do we get any AMC revenue?

Virender Jeet: Bharat thanks for asking the question. I think the revenue mix will be better to look at annual basis, but I can tell you exactly what it is roughly around

. Yes. I think annual basis Deepti could you please answer.

Deepti Mehra Chugh: On an annual basis we have the annuity revenue...

Bharat Sheth: Your voice is -- I'm getting a lot of echo. .

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Deepti Mehra Chugh: We have about 60% of revenue coming in from the annuity streams. We have three annuity streams which is the ATS, AMC, the SaaS revenue and the support revenues together they comprise 60% of our revenues on an annual basis. We have about 18% to 20% in any particular year coming in from the license revenue and then we have the implementation revenue which is a service component which is again 21%, 22%.

Virender Jeet: You will have enough details if you go to the investor presentation, there's a quite a good big section about the percentage of revenues coming from various streams. .

Bharat Sheth: And sir how do we see that those are growing in which line? I mean see how much of say license revenue we are expecting to grow and second thing that within that how much it could be an annuity base and how much would be your up fronting and AMC. So if you can give some color on that also?

Virender Jeet: So Bharat the way it is right now since as I explained earlier in the question that since our business is driven both from mature markets as well as emerging markets. The emerging markets tend to follow the same revenue streams which are traditional, which is perpetual license sales followed by ATS followed with the implementation and some newer use cases and new markets are going to subscription sales.

So I don't think a large shift is going to happen in terms of distribution of that. This will continue to grow all streams at the same level, but what happens with subscription/ ATS there's a compounding effect. So generally every year a bit of that increases. On the other hand as your deal sizes are growing the service part of the business which is the implementation is also contributing to large order side.

So the implementation is growing at a much stronger pace. You will see that also in Q1 which is also balancing the growth in the subscription. So I would say for this year the overall numbers may look very similar to what they been last year as a distribution.

Bharat Sheth: Okay. And sir, what are we doing to grow in a faster pace in the mature market. I believe the profitability is much better. Is that fair understanding in a mature market than the emerging market?

Virender Jeet: This is a service gap if you put on yes because the per person realization is more, but what happens in mature markets the cost of sales and marketing and R&D are disproportionately large.

So generally if you look at our peer companies spend roughly around 40% of the revenue on sales and marketing.

So it is not that the mature markets are going to be cheaper or have better margin profile. They have better gross margin profile, but in terms of net margin they are also very expensive markets.

So we have done the hard work. We have already been investing for 7 years, 8 years and our base is quite strong. So what we think is right now margin is not going to be that important. We can continue with these margin profiles, they are very healthy anyway, but our growth -- so we're spending most of the market in dollars for growth and revenue.

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Once the revenue reaches a particular threshold the margin will expand automatically. So absolutely right what is happening right now the most of the investments the delta investments are happening for mature markets whether they're for horizontal product sale or whether we are opening up a new vertical in insurance. So you see last 3 years, 4 years we have opened subsidiaries in Australia. We have strengthened our U.S. office. So those are the things we are doing out there.

Bharat Sheth: And sir, last question sir, what

ever I mean expenses we incur for the new product development.

So do we capitalize or we write it off in P&L itself?

Virender Jeet: We expense off always in P&L. We don't capitalize any expenses.

Bharat Sheth: Thank you and all the best, sir.

Moderator: Thank you. The next question is from the line of Vinay Nadkarni from Hathway Investments Private Limited. Please go ahead.

Vinay Nadkarni: I just wanted to check up -- I have got 4 questions.

Moderator: Sorry to interrupt, Mr. Nadkarni you're sounding a bit muffled if you're using the speaker phone, may we request to use the handset mode, please.

Vinay Nadkarni: Sorry for the trouble. I just wanted to check out for the revenues that you have made this year, around INR315 crores in quarter one. What would be the breakup between the first time orders and those which are repeat orders?

Virender Jeet: So Vinay, generally at the annual basis the existing customers contribute roughly around 80%

to 85% of our business. So that also means new deals in those orders. It does not mean the repeat of business because you have to sell more. And for the same year because if you book also orders you may not be able to realize all. So for the same year, you will be only able to get around 15% in a great year between 15% to 20% revenue is the max we can get from the new logos. We call them new logos, so basically.

Vinay Nadkarni: Correct. Okay. And these new logos that you have roughly they are more in the same banking and health sector or you're getting some new logos in some new categories?

Virender Jeet: Generally, predominantly in the focus verticals, which is typically banking, financial service followed with insurance and then some amount in terms of shared services, BPOs and government. So those are our verticals and I think we continue to get logos in the same vertical.

Vinay Nadkarni: Okay. Quickly on the hiring side, how many people have we hired in quarter one? And how many -- is there any layoffs made?

Virender Jeet: No. I think we are a fast-growing company, so we need people. So what has helped, I think we have hired roughly around 500 campus people since January to until now. So they are already on board most of them maybe. There is some tactical hiring laterals going on.

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Vinay Nadkarni: Okay. What is your order book size, sir now on 30 June?

Virender Jeet: So we don't have an order book at the quarter. We do provide eventually annual order book sizes at the end of what it was. So I think that you already have. Quarterly, we have the number but it does not mean anything because there is a lot of renewals which happened in different periods of time.

Vinay Nadkarni: Okay. And do you have a cash and cash equivalent number as on 30 June?

Virender Jeet: Cash and cash equivalents?

Deepti Mehra Chugh: INR850 crores with cash bank and investments put together.

Vinay Nadkarni: 800 and?

Deepti Mehra Chugh: INR850 crores.

Vinay Nadkarni: Okay, thank you very much.

Moderator: Thank you. The next question is from the line of Deepak Rao from Qber Asset Advisors.

Deepak Rao: Yes, can you hear me?

Virender Jeet: Yes, Deepak. Please go ahead.

Deepak Rao: Yes. I actually have 3 questions. First 2 questions are regarding seasonality. So could you tell us in FY '2024, what was the revenue breakup in each of the quarters? And you also mentioned that, that seasonality is getting diluted now. So like compared to, say, FY '2023 and the next year, what are the changes happened in the seasonality pattern?

Virender Jeet: Yes. So I think broadly, I can -- but you can look at the exact numbers but if I remember right I think we have moved from the Q1 generally falls between roughly around 17% to 21% of our annual revenue for the same year. And from 17% to 20%, 21%, we have moved over the last 3 years. So there is a 3%, 4% shift happening every year and Q1, Q2 are leaner quarters

in Q2 and

Q4, Q4 being the largest quarter. So I would say that this has been the shift has been not more than 4% over last 3 years.

Deepak Rao: Got it. So it's basically, say, 20, 20, 30, 30 or so.

Virender Jeet: Yes. So something like 20, 22 and then followed by.

Deepak Rao: The second question I have is that when we say 60% of revenues annuity, why should annuity would not be seasonal, right? So is that also seasonal?

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Virender Jeet: No, you're absolutely right. Annuity is completely non-seasonal. But then- the growth is driven from the new deals which you make within the quarter or what you have done in previous quarters. So annuity basis remain the same. They almost get in revenue realization divided by 4.

Deepak Rao: Is it therefore the product sale that gets pushed to quarter 3, quarter 4.

Virender Jeet: Exactly. So basically, with all software companies globally in the license model typically, Q3 and Q4 are the large negotiated deals where they end up closing. So the lumpiness will come from predominantly the licensing across quarters as well as corresponding milestone revenues, which are linked to those licenses and really milestone revenue realization also happened in Q3, Q4 more.

Deepak Rao: I have one more short question if I'm allowed to.

Virender Jeet: Sure. Go ahead please.

Deepak Rao: The third question I have is related to the ESOP scheme. What your objective, who are the people

given this what is the scheme? And what is the impact on the bottom line over the next few quarters and years?

Virender Jeet: So see, predominantly, we have been doing this for the last 15 to 20 years making employee participation as a part of the growth of the company. And the last 2, 3 years, we have been making -- again trying to do a very broad base ESOP scheme where there is a more kind of a time based ESOP allocation to all employees predominantly on their performance, promotions and other such activities.

The quantum is small but we believe that the people who stay for long term the overall aggregate values will become bigger for them. I think what we have got, I think in the last 3 years, we have got roughly around 2% and 1% permission from the Board to add to the ESOP scheme.

Exactly on the financial terms, what is going to be the impact over the next 1 or 2 or 3 quarters on that? I think you can write to Deepti and she can exactly give you that information. But it is not very different than what we have done in the last 3 years. So there's not going to be any incremental P&L impact just because of any ESOP or a long-term incentive scheme.

Moderator: Thank you. The next question is from the line of Rahul Jain from Dolat Capital. Please go ahead.

Rahul Jain: So actually, I wanted to understand your perspective at how your go-to-market strategy has been evolving around 2, 3 aspects if you want to address on those lines. Firstly, in terms of our expanding product offering right from LumYn, Marvin, NewgenONE and so on. And also the way we have upscale our solution scoping, we do compete lending or supply chain versus a much smaller element of the process we were doing earlier? And thirdly, from a developed market strategy perspective where our past efforts towards driving that market which not played to be out expectations. So from these perspectives, if you could share your thought?

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Virender Jeet: Yes, Rahul. So thank you for the question. You almost answered the question. You explained exactly our GTM strategy. But yes, I think on a more serious note, you're absolutely right. There are 3 elements to that. I think on the horizontal product expansion, it continues to be relevant and fewer products to be considered at a global stage is top 2 or 3 or 4 products, you have to keep on investing in that.

And as you're investing, you

you're also making the spectrum of what they cover wider, but we don't want to move away from the areas of content management, local or business process management and customer, these are the 3 areas on horizontal. So whether analytics comes Generative AI comes or any other technology comes, they get expanded and added to the same stack, which makes them relevant and also increases the deal size value because you're adding more functionality to the product.

But the larger part of our growth strategy or which comes from typically the GTM, there is typically expanding our vertical offerings. So, if you look at 4 years back predominantly around origination and account opening and lending, that was all. Today, I think we have expanded into trade as we've seen supply chain financing, some amount of what we are doing also in service request management, which is typically a large area emerging in banks.

So expanding our offerings in banking solutions as well as now we are investing currently also to go deep on insurance, both on health and general both on claims as well as origination offering. So these products are being developed and co-developed with customers right now. So this is the direct material growth driver for us because we are able to get per account realization as well as go and penetrate into more accounts.

Third, which is the most important is the geo expansion. And for this, that is typically the mature market penetration. Out there, there are at multiple strategies, how to put the horizontal product sales through partners or then how do you exactly go again like in India or Middle East? How do you go and talk with 100 banks and get the wallet share among that?

So all these 4 strategies do almost operate in parallel and at different times, they have different returns. What has fired really for the last 2 years, 3 years has been the second strategy, which is our additionally -- adding our solution sales products in banking and insurance. The other things will take time to fire or will have a different time line when they will fire.

Rahul Jain: So, I got the pulse. Just with one more element if you could share, like how you would define and redefine your sales team because -- if you generally, we see companies are either horizontal or vertical, we have markets to play where horizontal and vertical. So is it everybody carries a different type of quota from the horizontal, vertical and geo perspective? Or it's like 1 strategy for market or all?

Virender Jeet: So the GTM pursuits are completely predominantly for us verticalized. So our sales engines are almost verticalized because it's a named account targeting, which we do. So predominantly, we don't expand our named accounts beyond insurance, banking, financial services and government.

So everything else come in the bucket of either partner-led or an inbound led case for us.
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So for us it's typically in our mind, there are 2 things. One is about what we go out with that means we take an x number of things, and that's what we sell very aggressively as a named account, and then there is another, which is a channel strategy or a partner strategy or an inbound strategy, which is a more horizontal product sale.

Out there, we are slightly agnostic to the vertical because the partner may have a vertical capability and we may use horizontal platform to sell our product. And this is an area we are very hopeful as the time goes, this will start contributing to a larger share of our business over the next 3 years, 4 years.

Rahul Jain: Thank you and best of luck.

Virender Jeet: Thank you. Rahul.

Moderator: Thank you. The next question is from the line of Dr. Nisheeth Patel from Nischay Healthcare Private Limited. Please go ahead.

Dr. Nisheeth Patel: Congratulations for the good set of numbers, sir. I just want to ask you one question that the new products he

re, you have launched this LumYn and NewgenONE Marvin that you have been launched last year. So how this is going to impact your top line and bottom line in the future? And how much you are expecting the revenue growth from this both products?

Virender Jeet: So thank you for your question. So I think as I already answered, just generally, when you expand your horizontal product offerings, they are typically to be more competitive, more relevant and increase the overall offering size for that. These products on their individual lines to drive a delta revenue, that happens over a more significant time.

It may take 3 years to 4 years to evolve the funnel on an individual product. So right now, we are in the early stages of these products. We hope that once the sales is being driven through these products and that picks up, we surely think that we can add to a delta. But right now, I think at the time of launch, attributing the dollar value is too premature for that.

Dr. Nisheeth Patel: And what is the basic difference between the NewgenONE Marvin and NewgenONE LumYn, is it both a different vertical or the same vertical or horizontal?

Virender Jeet: So Marvin is our Generative AI addition to our horizontal product offerings. So wherever you are doing concentration, process definition, any other capabilities you're adding when the Marvin helps you to define it better and uses the large language models to make it more efficient and very fast. LumYn is targeted for banking specifically to help them on hyper-personalization. So they are proved different that almost targeted to different areas of product.

Moderator: Thank you. Ladies and gentlemen, we would take that as a last question for today. I would now like to hand the conference over to Ms. Deepti Mehra Chugh for closing comments.

Deepti Mehra Chugh: Thank you everyone, for attending the call. For any further queries, you can go through our website or you can connect with me and ask your questions. Thank you.

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Moderator: Thank you. On behalf of Newgen Software Technologies Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Oct 2024

Newgen Software Technologies Limited

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(NEWGEN/INE619B01017)

Scrip Code – 540900 Ref.: Newgen Software Technologies Limited

(NEWGEN/INE619B01017)

Sub. : Outcome Transcript – Conference Call – Q2 FY'25

Dear Sir/ Ma'am,

As intimated earlier through our letter dated 10th October 2024 regarding the Conference Call of the Company, which was held on Tuesday, 15th October 2024 at 4:00 P.M. (IST), please find enclosed herewith a copy of the transcript of the said call with the Investors/ Analysts.

The transcript of the said call shall be made available on the Company's website at <https://newgensoft.com>.

Thanking you.

For Newgen Software Technologies Limited

Aman Mourya

Company Secretary & Head -Legal

Encl. : a/a

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"Newgen Software Technologies Limited

Q2 FY'25 Analyst Conference Call "

October 15, 2024

MANAGEMENT : MR. DIWAKAR NIGAM – CHAIRMAN AND MANAGING
DIRECTOR– NEWGEN SOFTWARE TECHNOLOGIES
LIMITED

MR. T.S. VARADARAJAN – FOUNDER AND WHOLE -
TIME DIRECTOR– NEWGEN SOFTWARE
TECHNOLOGIES LIMITED

MR. VIRENDER JEET – CHIEF EXECUTIVE OFFICER–

NEWGEN SOFTWARE TECHNOLOGIES LIMITED
MR. ARUN GUPTA – CHIEF FINANCIAL OFFICER–
NEWGEN SOFTWARE TECHNOLOGIES LIMITED
MS. DEEPTI MEHRA CHUGH – HEAD, INVESTOR
RELATIONS – NEWGEN SOFTWARE TECHNOLOGIES
LIMITED

MODERATOR : MRS. ADITI PATIL – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to the Q2 FY '25 Analyst Conference Call of Newgen Software Technologies Limited hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mrs. Aditi Patil from ICICI Securities. Thank you, and over to you, ma'am.

Aditi Patil : Thank you , Good evening and welcome you all to the Q2 FY '25 Earnings Call of Newgen Software Technologies. It's my pleasure to introduce the senior management team of Newgen who are here with us today to discuss the results. We have with us Mr. Diwakar Nigam , Chairman and Managing Director; Mr. T. S. Varadarajan, Whole -Time Director; Mr. Virender Jeet, Chief Executive Officer , Mr. Arun Gupta, Chief Financial Officer; and Ms. Deepti Mehra Chugh, Head – Investor Relations . I now hand over the call to Mr. Deepti for further proceedings. Thank you, and over to you, Deepti.

Deepti Mehra Chugh: Thank you, Aditi. Good afternoon, everyone. Welcome to the Q2 FY '25 results of Newgen. Before we move on to the discussion, let me highlight that this call may contain certain forward-looking statements concerning Newgen's future business prospects and profitability which are subject to a number of risks and uncertainties and the actual results could materially vary from the forward-looking statements.

Past performance may not be indicative of future performance. The company does not undertake to make any announcement. In case any of these forward-looking statements become materially incorrect or update any forward-looking statements made from time-to-time by or on behalf of the company. For any further details, you may please refer to the Investor Relations section of our website. I would now hand over to Mr. Varadarajan for presentation of results, which will be followed by a Q&A. Thank you.

T. S. Varadarajan: Good afternoon everyone, and thank you for joining us for a review of our Q2 FY '25 performance. Newgen delivered another strong quarter driven by continued momentum across our key markets. Revenue for the quarter reached INR361 crores representing a 23% Y-o-Y growth. Revenues in EMEA region witnessed a growth of 21% Y-o-Y and India region grew by 19%. APAC continues to be strong for the second consecutive odd quarter with 53% Y-o-Y growth.

We believe these markets will continue to be a sustainable driver of long-term growth. Revenue growth in U S region was at 17% Y-o-Y as we continue to work on our restructured strategy of tapping larger accounts in that market. We saw a substantial increase in license sales during the quarter, witnessing a growth of 52% Y-o-Y followed by implementation revenues.

Annuity revenues grew were at INR205 crores. While banking and financial services continue to be our core vertical, we saw an increased traction in the insurance and government segment in the quarter. One of the most significant growth areas this quarter was cross-selling within Newgen Software Technologies Limited
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our existing customer base. We continue to see customers expanding their adoption of our platform and solutions. This is a testament to the value of our platform offer and request our customer base in our -- as a strategic partner.

We have closed many significant deals during the quarter which includes a project of about INR 25 crores from a large insurance company in India for building their system of engagement. Providing enterprise content management solution for one of the top financial institution

in US with an aggregate order of value of about USD 1.5 million. Received an order from a leading financial leasing company in Saudi Arabia with an order of value of USD 1.5 million for loan origination and collection system.

In India, we received an order from a large infrastructure financing services company with a value of INR 16.9 crores. In APAC, we entered into a contract with Singapore's leading financial institution. We added 8 new logos in Q2. Coming to our products and solutions, we are seeing continuous traction across our existing accelerator line including customer onboarding, SME lending, supply chain finance, payment hub and trade finance.

As part of our ongoing efforts to strengthen Newgen's footprint in the Middle East market, we have launched the Islamic retail and SME financing too. In India, our focus has been on expanding our presence in the captive finance segment, particularly with our leasing capabilities. During the quarter, we released new versions of our enterprise content management products which are OmniDocs and OmniXtract. We also enhanced video KYC, an essential part of all digital onboarding processes.

We also increased NewgenONE Marvin APEX version. This is expected to further streamline complex workflows, enhanced customer engagement and ensure secure AI integration. We continue to receive accolades and analyst recognition. During the quarter, we were recognized in Forrester's Task-Centric Automation Software Landscape for Q3 2024. We were also recognized among notable vendors in the Content Platform Landscape of Q3 2024. We remain focused on executing our long-term strategy in building key competencies across our product line and customer-facing and implementation teams as businesses increasingly embrace digital transformation.

We are ensuring that we are all well positioned to support them with the right skills, expertise and product innovation. We continue to invest and build internal capabilities in critical areas such as AI, Gen AI and machine learning which are becoming essential to modern enterprise software. We continue to invest in and develop our global workforce and their training and development programs. Continue to work on our strategic partnership with leading technology firms and industry alliances.

During the quarter, we announced continuation of our strategic partnership in Fadata a trusted core insurance solution provider. The partnership is aimed at helping insurers achieve centralized systems and effectively handle complex and content-rich processes. On profits and margin, we witnessed a growth in profit and expanded margins. Profit after tax was at INR 70 crores for the quarter witnessing a growth of 47% Y-o-Y.

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Our increased investment in competency development is reflecting in our R&D and sales and marketing expenses. R&D expenses were at 9% of revenues for the quarter and sales and marketing expenses were 22%. On the balance sheet front, our net trade receivables were at INR442 crores as of 30th September 2024 which resulted in net DSO of 117 days. For the 6-month period, our revenues were at INR676 crores witnessing a growth of 24%. Profit after tax was at INR118 crores witnessing a growth of 51%.

As we look ahead, we remain focused on driving innovation, expanding cross-selling opportunities, adding new logos and continuing to grow profitably. Thank you very much. We are now open for Q&A.

Moderator: Thank you. We will now begin the question and answer session. The first question is from the line of Ruchi Mukhija from ICICI Securities. Please go ahead.

Ruchi Mukhija: Congratulations on a good set of numbers. I have two questions. Firstly, if you look at the APAC has seen a 50% plus growth for second consecutive quarter. Sequentially, also there is the recent growth for second consecutive quarter. This

appears to be supported by a large

project ramp-up. So, is this ramp-up complete or likely to continue in the near future?

Virender Jeet : Ruchi, thank you for your question. You are right. So, what has happened, the APAC has grown this year on a base which was weaker last year. And predominantly in both the quarters, we have got substantial license deals out there. So, these are typically wins which have resulted in a higher growth rate on that. Also, the orders which we have received are in the process of execution. They will be executed over the next 18 months and they will have a long-tail revenue to them, but predominantly to reflect on the growth of the H1 is on account of license wins and new logo acquisitions out there in that market.

Ruchi Mukhija: Understood, sir. Secondly, annuity-based revenue this quarter has registered 14% Y-o-Y growth which is softer and has fallen below 20% mark after 10 quarters. So, could you explain the reason and how to think about the trajectory going forward?

Virender Jeet : Yes, I think this is slightly more complex to discuss because there are two factors broadly there. One is predominantly our shift in US from lower accounts to larger accounts has also -- we have closed down a lot of existing accounts in small values which were typical contributors

about the SaaS business, that's one part of it.

So, unless the momentum of logo acquisition starts in US, the annuity -- new logo acquisition on the annuity side will be softer because most of the other markets, the sales is happening still on the perpetual side. The second contributing factor is that if you look at deeper in the data, you look that the ATS growth has been a bit muted compared to historical levels. And this is on account of a lot of large wins over the last at least five quarters are typically very long-tail businesses. Their execution cycles have stretched.

Thus, our ability to start realizing the ATS revenues have been limited out there, but we are hopeful that this quarter and next quarter, we should be able to close some of those deals and the ATS bucket should grow. So, as Newgen has pivoted to larger deal sizes, they have

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correspondingly reflected in larger execution cycles and that slightly delayed our realization of our subscription revenues.

So, two factors, mature market sales, especially in the US on licenses which is slightly less than the run rate of our business and longer business and execution cycles, which have muted down ATS. We think it's a transient affair. It may last for one or two or three quarters, but I think we should -- the nature of the business is, it keeps on compounding annuity irrespective of what we do. So, I think as a matter, it may be -- we may be able to recover it in one or two quarters and come back to a healthier growth rate of annuity.

Ruchi Mukhija: Got it. Thank you and all the best.

Moderator: Thank you. The next question is from the line of Aditi Patil from ICICI Securities. Please go ahead.

Aditi Patil : Thank you for the opportunity. So, I have a question on order book. How has the order book grown in FY '25? And can you give some color on deal pipeline?

Virender Jeet : Yes, so Aditi, thank you for your question. So order book, generally, if I remember the numbers right, has grown by roughly around 20%, 22% for H1 for this part of the year which is -- and also you should understand this is not the pending order book, some part of it will be executed and some would be also pending to be execution, but if you look at just linear order book growth that has been roughly around 22% for H1.

On the pipeline side, I think broadly as you see the business, we have the traditional markets, they continue to grow. The deal sizes keep on going bigger as well as our financial services base is becoming slightly wider with the offer

ings like trade or service request management,

they're making the offerings wider, but what is more interesting or what we are excited about to slightly diversify, it is getting more business in insurance and government.

We have invested some amount of energy in the last 2 quarters in building capabilities in that, ramping up sales teams. And we think the insurance and government also in subsequent quarters should start contributing in a meaningful way to the business. So, we are very excited about the whole funnel and especially about the new initiatives we are launching with that.

Aditi Patil : Okay. Sir, this insurance vertical growth, are you -- will you be seeing that across your traditional and developed markets? And have you launched any new products or new products in pipeline with respect to insurance?

Virender Jeet : Absolutely. So, when we take a vertical, we have completely looked at the potential of that vertical across all markets. And I think we are investing in building solutions in what we call accelerated products in all markets in terms of looking at integrations and local ecosystems, looking at integration with third-party systems or core insurance providers. So, we have really built product lines, which are more fitted for these each individual market separately because what happens in enterprise product, lot of integration ecosystem changes from market to market and also the digital tax change from market to market.

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So, we have invested and the work is still going on. It's not that we have completed all the product lines, but we are ready to go to the market with them now in most of these use cases. We are opening up pipelines in APAC. We have started building pipeline in India. US is showing some early signs of good healthy pipeline.

Though we have not closed a new insurance deal out there so far, but we do expect in next two quarters, we should be able to have some good wins out there. So, it's broad-based, and we are building it as one more like -- exactly like banking, we want to build over in multiple years, a large vertical for us.

Aditi Patil : Okay. Got it. And can you talk about your progress on winning large clients in US and how many more logo additions have been in US in this quarter?

Virender Jeet : Yes. So, on the US, I would broadly summarize it in work in progress. And though we have -- as I told you, on the large client side, we have already got deals. So, the ability to get these customers and as well as our products being helpful to those customers have been established. But the deal velocity in the US is slightly muted. It's a bit slow.

We are still hoping that both the insurance and banking as well as health initiatives in US start firing in Q2, so second half of this year, and we are able to get some more deals. But right now, I would classify it as work -in-progress rather than -- so right now the business is still relying heavily on our emerging markets. And we are hoping that our investments in mature markets start showing results in next two quarters.

Aditi Patil : Okay. And so, we have seen a strong traction in banking in India and EMEA, like this quarter, the banking revenue, if you see Y -o-Y growth is slightly lower than the company average growth. So, should this traction in banking sustain in the medium term, like can you give some commentary on that?

Virender Jeet : So, I think it's -- the quarterly growth rate is a factor of many things. We don't, as a company level, see any change in the market dynamics right now or the opportunity funnel size. On a single quarter, one license deal can change the number from 17% to 27%, so I think that's why the quarterly, the numbers are still. Having said that the kind of momentum, which was there for the last 2 years on financial services, especially in India, has -- is slightly because we have

also penetrated in a lot of accounts and now, we are diversifying in other solutions like we talked about capital finances. And we are looking at still larger deals in trade and captive finance area.

So, I think some of those deals will start coming in the second half of this year, and we should be able to recover the growth rate. In Middle East, I mean, I think Saudi is still not showing any signs of weakness. We are out there really, really working on very large deals, some of them should come in now. I would broadly say that right now, I don't see any concerns that there's any kind of a slowdown or a momentum shift in financial services in India and Middle East.

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Aditi Patil : Okay. Got it. Okay. And I had one last question on what has been the response for the LumYn GenAI product which was launched last quarter and in general on AI and Gen AI like is there -- what has been the response of your clients?

Virender Jeet : See the client there's an enormous interest in every industry and every opportunity around AI in general and also lately generative AI in specific. So, our ability to drive these use cases through AI is really showing a great traction in it and also opening new kind of opportunities in these accounts. But having said that, there is also a kind of what we call there is an interest and then there is business. So, the interest should translate into business downstream, so we do see opportunities, all opportunities having a strong flavour of AI. But we don't see opportunity here just which are completely AI -led.

So, you have lending, which has to be transformed through AI, but you will not have an AI use case independently running in the market. Too many of these, we don't see. Health, both in claims and onboarding, there are great use cases of AI and Gen AI, which we are servicing. We have recently tapped into an industry, which is about what we call regulatory frameworks and how Gen AI can support those regulatory.

I think we're building a strong funnel on that, so it's a work in progress, I would say, but without AI today or Gen AI being in the first two slides of any corporate presentation on any account, I don't think we'll do a great job. The customer is demanding that to be at central to all the use cases he's implementing.

Aditi Patil : Okay. Got it. Thank you.

Moderator: Thank you. The next question is from the line of Pranay Roop Chatterjee from Burman Capital. Please go ahead.

Pranay Roop Chatterjee: Thank you for allowing me to speak. Good evening. Am I audible?

Virender Jeet : Yes, Pranay. Please go ahead.

Pranay Roop Chatterjee: Sir, this is the first time I'm interacting with your business. So if you could just help me -- and my first question is basically trying to understand your business, I've gone through all the public filings, but if you could just in simple words, for someone who doesn't belong to the sector, help me understand what is the type of client you are trying to serve and what is the exact problem you are serving for them, right? And I've seen your R&D is also high on you have various patents, so what is the IP that differentiates the business. If you could just help me understand in simple words ?

Virender Jeet : Yes, Pranay, I'll try because it's a long story, but I'll try to -- so Pranay, predominantly, we are a software product company. That's why you see a huge investment in R&D as well as patents, that's a part of. So, all our sales across whatever vertical or whatever solution we are talking is led by sale of our software licenses. And then, which eventually ends up followed up with other revenue streams like what we call services, implementation, support or any other things of that. So predominantly a license -based business.
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The end cust

omers, which we are targeting are generally enterprises, the larger enterprises. So, our sales model is B2B. It's typically an enterprise sales model. And the kind of problems, which we solve for these enterprises are in financial services is the larger part, almost 70% of our business comes. So, we end up solving problems about customer servicing things like how a loan is processed, how a loan is approved, how an account is opened. So, we sit between their core infrastructure, their systems and their users, where users, whether they're internal, external and orchestrate their journeys. So predominantly a bank would look for us to orchestrate and modernize their digital journey for -- whether in any process, whether in customer service or customer origination or any -- more complex processes like trade. That's our business.

The same product is sold to all customers and all use cases predominantly with frameworks of implementing the customer's use case over that. So, I have the same product being sold to insurance, banks, government, health or any other segment. So, I will stop here because explaining the business beyond that will take much more larger time.

Pranay Roop Chatterjee: Got it, sir. That does justice. So then continuing from that, would you say you're in a space where -- which is highly competitive and you will have to fight for a contract with multiple clients or is this a space where you are relying on specific solutions that you are developing for specific clients? And hence, the focus is essentially just on business development, that is signing new clients and then you build specific solutions. Like how is this market that you're operating look like?

Virender Jeet : So, any products -- so basically, the product space we operate is called broadly enterprise content management, business process management. This is a contested space. It's a product space. So, platform products are generally companies who have been there for 15, 20 years, they operate. In every such area, we have four or five global players who compete with us. And then what -- depending on what markets and what use cases you are strong with; you end up becoming having more stronger muscle to sell in out there.

So, it is typically, from our perspective, it's a sales and marketing -led initiatives to go and sell with R&D -based core product as a differentiator of how you solve your problems to that. So, it's a highly competitive space and you differentiate by your ability of your product and the ability of our team to service the use case.

Pranay Roop Chatterjee : Perfect, sir. Sir, my last question is what does a typical contract that you sign entail, right? So, let's take the largest segment, which is your BFSI space and a typical contract, which is like something that you do more often than not. Like how large a contract are we talking about that you usually target in terms of range? What is the contract life? And what is the recurring portion in the contract? Like which streams are recurring? And do you see over time or do you focus on increasing the recurring portion in your revenues? Is that even possible?

Virender Jeet : So Pranay, basically, what our deals generally on an average when we enter an account vary between somewhere around \$700,000 to \$2 million, on an average. There are larger deals and
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then there are smaller, but this is an average framework. All deals initially are roughly around 60% license fee and some 40%, which is called implementation charging, which is to configure the system for the user.

Beyond that there is a 20% annuity, which customer pays on this fee to maintain and support, have right to upgrade. Thus, the nature of the business is every time you end up selling, you end up creating some compounding effect. As long as the percentage share of your license to your revenue stays in

the healthy ratio that every deal you are making 50%, 60% license say, your annual annuity keeps on growing at a better rate than your growth rate. But if your service revenues become larger than the annuity just compound, but does not

compound at the said rate. So, the nature of any software license or a subscription business is that annuity compounding does happen. Does that answer your question?

Pranay Roop Chatterjee: Yes, so that answers my question very well. Thanks a lot for being patient and great set of numbers. All the best.

Virender Jeet : Thank you, Pranay.

Moderator: Thank you. The next question is from the line of Mihir Manohar from Carnelian Asset Management. Please go ahead.

Mihir Manohar : Congratulations on a good set of numbers. Sir, largely, wanted to understand the Newgen LumYn side. If you can throw some color as to which area is this particular offering exactly trying to solve? Is it trade finances? Is it working capital? If you can just throw some color on what is the use case and application over here, that would be helpful. And second question was on the restructured strategy. I mean, you mentioned that the restructured strategy of tapping larger accounts is playing out well. So, if you can throw some color around the internal KPIs that we are tracking to get more confidence on this thing ?

Virender Jeet : Mihir, thanks for asking that. So first off on the LumYn, so predominantly I can tell you what the product does and where we target it. Predominantly, what LumYn is a product, which let's use the traditional machine learnings, but exposes it through a generative UI interface. So that you could almost do, what we call brainstorming or you could do a very interactive discussions with the end business systems you have. So, where we position it?

We are right now positioning it wherever the customers find opportunities to either segment their information for cross -sell and upsell. So, discovering, which are the right opportunities for cross -sell. So, we have a variant of LumYn which we call Harper which is used in retail. LumYn, we are targeting predominantly in financial services for cross -selling and upselling. So that is where the broad -- but the product is very horizontal. It can be applied to many use cases, but we are trying to go to market initially on identifying these use cases. So predominant usage is going to be in retail journey or in the journeys like collection. We are not using right now on trade. Trade, we have a very different product, which is about document analytics. That's a very different product. So that's about the LumYn.

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On the shift of strategy, I think, what predominantly if you look at some KPIs internal -- and linking into internal goals and KPIs, our core strategy has been on two things. One is about changing the increasing our average deal size every year. And then also getting the number of logos from mature markets. That is broadly -- because that ties up in terms of what we want to do.

What we have shifted out is that we have shifted out from ability to what you call in terms of giving options for our salespeople to go and sell at a lower price in terms of certain accounts. That means they have to pivot towards larger accounts to make those larger deals. Now if you look at last 3 years data, our new logo acquisition or number of deals in general have been always flat, but we have grown at about 25% consistently on that and the reason it is that because we have changed the per deal size about that.

So, the KPI is not based on the strategy of shifting out, the KPI is more based on the revenue and number of logos and how the revenue in terms of annuity thresholds of those logos coming. But the result of all that is that finally, we have to make sure that we are able to get business sizes up in these geos.

So, what has

happened in that the traditional markets have responded very well to that and we have got much larger deals in Saudi, much larger deals in India, APAC. U S, we have got the inroads in some large accounts, but we have not had the follow -up sales at the same velocity as in these markets. So that's why you see the market lagging at between 16%, 17%, 18% of growth. So, it does not match the growth rate of that.

Having said that, we are hopeful that in next two quarters, we should -- with both insurance, health and banking kicking in slightly we should be able to get some more new logos and build the momentum.

Mihir Manohar : Sure. That's it from my side. Thank you.

Moderator: Thank you. The next question is from the line of Mohit from Oculus Capital. Please go ahead.

Mohit: Sir I wanted to ask that in the opening sentence you said that you guys are seeing good traction from the government and the insurance sector. And after that you said that you have cracked some large deal worth INR25 crores from insurance companies. So firstly, are you in talks with some other insurance companies? And as you said, you are seeing a good traction from insurance sector, so does that -- does this INR25 crores order categorize a large portion of that inquiry, which you are seeing or you are seeing from other players also?

Virender Jeet : Thanks, Mohit. So Mohit, when I say that we are looking at government and insurance sector,

we are looking at building. If you look at today's revenue share of government and insurance in the company, it's less than 20% of the overall business. So, our aim is to make it to a much larger. We want the government and insurance together probably to reach around 40% of our business, which does not mean that it is tied to one deal.

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So, the deal we are talking about insurance is a large deal, but that is not what we are referring to. We're referring to a broader funnel, which we are building across markets like India, Middle East, APAC and U S in insurance. And also, our initiatives of government, especially in markets like Singapore, Saudi, Kuwait and some amount of -- also in India, which we are hopeful that the market will recover.

So, we are talking these as a broader strategies to really build sizable businesses in these areas. And what we are excited about is the funnel, which we have started to build in these cases and some of the early interest and early wins we have got on that. We closed the deal of insurance this time in Middle East. We closed a deal of insurance in India of that. So, these are 2 good deals and they are sizable deals.

Similarly, we closed the deal of government, one in the Middle East, and we expect next quarter also to have some more strong momentum on this. Thus, we expect this to be a kind of a growth driver going forward.

Mohit: Okay. Also does that INR25 crores deal which you have bagged with some large insurance companies, is this from the Middle Eastern region or it is from India?

Virender Jeet : So, this deal is from India. This is from India market. A part of this revenue has come in as license, but the subsequent part will be executed over the next 18 months.

Mohit: So, it's an 18 months project?

Virender Jeet : Yes.

Mohit: Okay. And my second question is that in the Middle East sector -- in the Middle East market, you said that you want to grow and you are seeing some good footprint there. So, wanted to know that which area or which region are you specifically targeting? And in which domain do you want to grow your footprint?

Virender Jeet : Mohit, we are already in Middle East in a large way. It also -- it almost gives us 37% of business. We are almost established in all countries, so there's no new region. It is the same region, so -- but the business -- predominant business, which we do is from countries like UAE, Saudi, then some a

mount of business from Oman. And then, lately, we're also looking at Qatar and Kuwait as the market.

Beyond that also, Africa countries like Nigeria, Ghana, they have been strong countries for us. And Kenya. Kenya, we have got at least 6 of the top 10 banks. So, we are looking at that in the same market, but we are also looking at more use cases in this banking as well as getting more revenue in insurance and other segments.

Mohit: Okay. Thank you so much sir and all the best.

Moderator: Thank you. The next question is from the line of Mohit Motwani from Tara Capital Partners India . Please go ahead.

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Mohit Motwani : Hi. Thank you for the opportunity. I'm fairly new to the business. I have two questions from my end. One is on your US mature -- on the mature market side, you said the US is relatively showing some weakness. So just wanted to understand if this weakness has been experienced on the industry -wide across all other -- of your peers as well or is it -- and is it because of the tough macros?

And that is the first question. And then secondly, some of the IT service companies have spoken about some green shoots and recovery around the BFSI space. Now is it that the spending on software products comes on the lower packing order for these banking companies in these US markets or how does it work there? If you can shed some color around this?

Virender Jeet : So Mohit, thank you. So, first of all, Mohit, our peers operate slightly in a wider and a very different business and we are still in a product business focused on typically transformative products. We are typically -- while our peers look at the larger business and their business is more mapped directly to the industry. Having said that, there are two things. One as we have pivoted to larger accounts then our peer accounts and our accounts tend to be same, so their behaviour tends to be same.

So, they have the same problems. If they're not spending, then they're not spending also on

new initiatives. So I hope that there is a correlation on that, but today also at the size we are and the kind of challenges we take for ourselves in terms of growth rate, we still think that we are decoupled from a larger problem in an industry we need to first make sure that we establish ourselves, get our first 5, 10 large banks and then replicate from that.

And then we can look at -- once the accounts are very large, then we can look at whether we are connected, so I don't really -- I'm not the right person to answer that because we don't operate in the industry of our peers. We are still a very niche product company solving problems, very specific problems to our customers on that. So green shoots of BFSI, again, I have the same opinion. We have been always with customers' interest in the product kind of which we propose has been always there.

What we have found challenges in our ability to close in terms of the conclusion of those deals happening, that's taken really a large time. So, I'm sure if the market and the economy overall recovers, if some amount of diligence cycles become fast, then we should be able to see better results. But beyond that I really don't have that much of insight into what's happening broadly in the market.

Mohit Motwani : Sure. And one more last question. So today, your revenues are largely linked to banking side of things. Do you expect that this mix will change in the coming years and your insurance and other verticals will gain up in proportion to the overall revenues in the coming years?

Virender Jeet : Yes, we hope. See, we have drawn an internal plan to kind of build the insurance and government business to a largest number. But having said that, we still think that banking will keep on being the largest segment. Whether it's 75% or it becomes 60% of the market, that will Newgen Software Technologies Limited

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depend on how fast we can scale the other businesses along with that. But the idea is exactly to at least have a substantial dollar value coming from insurance as well as government.

Mohit Motwani : Sure. Thank you for answering my questions. Thank you.

Moderator: Thank you. The next question is from the line of Rahul Jain from Dolat Capital. Please go ahead.

Rahul Jain : Thanks for the opportunity. Just trying to understand that what are the initiatives we are taking to ensure that our pipeline continue to enhance given that we grew by 25% ballpark and the size of it? Also in terms of scaling up the deal sizes, what are the initiatives we are taking because as we become a slightly larger organization than what we were a couple of years ago, we need to increase the size of the deal to ensure that with a similar win rates, we end up growing much larger entity. So, any initiatives on these fronts that you could talk about?

Virender Jeet : Rahul, thanks for your question. So predominantly, Rahul, what it is -- so for us, the way it has worked in the past is exactly what we are doing in the future. As we are deeper into the verticals, we end up creating more new solutions and making our offerings very wider, especially if you look at banking or insurance, we have more products to offer.

So, what amount of our deals -- we see the products which we have created, whether it's capital finance, digital learning platforms, trade finance, these itself tend to be larger deal sizes. And then we have opportunity to not only go and upsell it in our accounts, but also go and address -- sell the same things into new logos. So, one way of increasing our funnel or deal size or what you call the overall coverage is to create more offerings in the same verticals...

The second thing which is predominantly driven over by investment in sales and marketing, which is a substantial investment is to go wider in the market and so -- because still globally, there are more than 50,000 banks, we are hardly in any number, so there's a huge market to be captured. So, we do both from geo expansion. We look at more -- many -- better penetration. In that cases, we are doubling down on initiatives, which are really helpful to do lead generation in that.

The two larger things which give returns on every company today is digital. So, our digital budgets keep on growing and our digital plans in terms of enhancing how can we get more of inbound through digital channels. And second is typically being in front of the customer, that is our ability to be in analyst quadrants, all the events, industry coverages. That is what we are doubling on. We are increasing our budgets in marketing our go-to-market activities so that we are having the larger funnel.

So, one is the broader coverage of the market as well. The second is typically deeper penetration into each of those accounts by having more solution offerings. These things have really worked for us over the last 5, 7 years, and that's what we keep on doing.

Rahul Jain : So yes, one interesting point that you mentioned is that mining the same account by scaling up more offerings within the same customer base. So, have we seen several such inferences where Newgen Software Technologies Limited

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people might have started with a smaller deal, but then we have sold them loan origination or trade supply or bigger products compared to the process offering that we initially used to sell a couple of years back. I'm sure there are good case study, but are there meaningful upsell that would have happened? Anything that you could share on that front?

Virender Jeet : So, Rahul, exactly like that's core of our business. So, if you look at our growth targets of next year, we almost rely on 50% of that growth coming from upsell to our existing accounts. And that historically, if you look at

also today, number of deals, which we come up -- when we talk of new logos, we may have anywhere between 10 to 13, 15 logos a quarter. But then if you look at deals, we may have more than 25 deals in a quarter, and those other 12 deals are in the existing accounts.

And those existing accounts deals are of sizable deals. And I think if you look at even the disclosures, which come in terms of materiality, they're equally spread, both in new deals as well as existing deals. So, there's a good evidence and history. And in fact, this is a core of our business, our ability to go and upsell. We remember accounts, which started with the kind of an annual revenue of INR1 crore s, a large bank, now going up to annual revenue of INR20 crores, INR25 crores. And this has what happened in one account, this has happened in at least tens of accounts for us.

Rahul Jain : Yes, Jeet. I completely understand what you said and we appreciate that. What I was specifically referring to some of your larger offerings that have become more recent, for example, like trade supply or loan origination bigger -- I mean to say, cases where the deals were much bigger relative to your historical benchmark?

Virender Jeet : Yes. I think 80% of the large deal both for trade or digital lending have come to existing account, 20% have come to new logos.

Rahul Jain : Right. And there are more win rates even after going live because that is what would be the key metrics, whether they -- are they moving from one module to more, something like that?

Virender Jeet : Exactly. So, I think that's -- because if they become still, they're not going to buy the next product from us. So, every 2 to 3 years, you have another very large deal happening. But even between the 2 to 3 years, there are other components being sold, whether they are horizontal product components or other smaller solution components.

Rahul Jain: I appreciate it. Thanks. That's it from my side.

Moderator: Thank you. The next question is from the line of Deekshant B from DB Wealth. Please go ahead.

Deekshant B: Congratulations on great numbers, sir. So, my first question is basically, since we are so much catered to the banking side of the business and we have helped them grow in a lot of ways, that's why they keep giving us good -- bigger deals. Can you just highlight one or two particular products that help our clients grow, that's why they are coming back to us. The idea
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of asking this question is for -- we can understand that what makes them keep coming back to us and growing this so that we can make this cycle bigger and bigger as the time goes by ?

Virender Jeet : Okay. So yes, Deekshant . So just one way to explain is to understand what we sell.

Predominantly, what we sell to the enterprise is a system which is called -- our product is called NewgenONE or iBPS and OmniDocs. This sits between core banking, where all other systems and all other people and interfaces.

So, what happens in any digital transformation project which they take that is broadly implemented on this platform, for most of the use cases. So, once you implement the use case, the way that they are buying this is, they're buying this platform to make sure that they don't have too many software's and too many vendors.

So, if you are able to make a successful case, it became natural to go and implement another case from the same platform. Because finally, it's typically a low -code way of doing it. It's loosely coupled, it's built for change rather than going and buying point solutions. So, our story and journey for all these 15 years has been that once you have become -- you've implemented a product, which the bank's users or insurance users are using.

Whenever there's a next opportunity to transform the journey or transform the journey in another area of business, they end up leveraging the sa

me platform. So, we end up getting an

ability to go and upsell more licenses because of usage as well as customer ends up using the same infrastructure and leverage the same knowledge base, which is around the system for

other processes.

So, the examples would be, if you look at 10 years back, we were selling something like around systems of centralization or what we call a BPM or workflow systems. From that we pivoted to lot of systems where we sold about what we call digital onboarding. These days, it's our end-to-end digital retail or trade or service request management or collection systems, so these are examples. So, most of our marquee clients you will at least have three or four of such solutions rather than one.

Deekshant B: So, if I'm understanding you right, is this -- so basically, we are selling them a better efficiency for their team rather than helping them gain their sales directly. So, it's indirectly because their efficiency is slowing, their team is able to make more sales by increased efficiency. Is that the idea?

Virender Jeet : Yes. So basically, we are directly putting systems. So basically, we end up selling where the customer is implementing systems for growth and the growth is driven out of two things. I think 10 years back, it was driven around centralization, which is about efficiency, what we call turnaround time. Nowadays, it is our build around engagement straight through, low-touch, no-touch.

Can you reach customer, can you solve a loan in half a day, can you open account immediately? So again, it needs an orchestration. So, to open an account instantly, you need to reach the customer, you need to orchestrate the journey, you need to integrate with all the Newgen Software Technologies Limited

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digital stack. You need to implement complex workflows and corporate rule engines through a single platform. So, in -- so this is exactly what we do.

Deekshant B: Okay. My last question is on our general cycle on our profitability and growth cycle, so on the accounts we see, sir, the second half of the financial year, we have more sales and earnings realizations. Is that correct or is it -- am I looking at it the other way?

Virender Jeet : I think this business is slightly back-ended towards Q3 and Q4 where larger license deals end up happening. It's a history of every software license product company which has perpetual license. So roughly around -- our distribution today is roughly between somewhere 42% to 44% in H1 and between the corresponding remaining in the H2 part of that. So, we do expect that even this year, it's going to be slightly back-ended on that. And -- but as the company becomes a little bigger, I think, this whole SKU is slightly shifting and reducing slowly.

Deekshant B: Got it. Can I ask a follow-up question, please?

Virender Jeet : Please go ahead.

Deekshant B: So, the growth that we are expecting and that we are so much focussing on. You said that the new labels that we are -- we don't focus on new labels as much rather than we focus on making our existing business grow. In the next 3 years, is the goal remaining the same that we are going to focus more on existing labels or is it going to be much more that we will now focus on getting new customers or is it in tandem, both things are going to go side-by-side?

Virender Jeet : Yes, Deekshant I think, probably you got me wrong on that. I think what I said, the potential is large in existing account and we have an ability to grow, but our predominant effort in sales and marketing is for new logo acquisition. I think we measure our success by our ability to win new logos. And because that is where our larger -- because once you win a logo, all other stories unfold.

You are able to sell, you are able to upsell, cross-sell, but if you don't end up selling to new logos, you will not be able to grow beyond a particular

point. You can grow for short term. So,

our whole focus is predominantly, you can say 70% is on new logo acquisition and 30% is on mining.

Deekshant B: Thank you so much sir. Best of luck to the team.

Moderator: Thank you. The next question is from the line of Chirag Kachhadiya from Ashika Institutional Equities. Please go ahead.

Chirag Kachhadiya: Congratulation on a good set of numbers. I have a couple of questions. So, a few years back we were guiding that we have an intention to reach around USD 0.5 billion kind of revenue in the next couple of years. Is that still intact? And by what are we aspire to be there on the milestone which we've spoken earlier?

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And second, the number of logo addition, which we are providing every quarter in the presentation, how many of them are active and giving business on a regular basis at aggregate

level whichever logo we have disclosed so far in the presentation? And third, what average engagement size are we looking whenever we empanel any logo with us and even from the current empanelled logos and from potential one? Yes, that's all from my side?

Virender Jeet : Chirag, thanks. So, our ability to reach USD 500 million depends on our ability to execute. The business has got enough potential, the market segment and the addressable space for us is quite large and we have seen peer companies in other markets, especially in geo markets, in geos like US have reached revenues of 500 million a USD 1 billion and they have started almost either slightly earlier than us or slightly later than us.

So, the market potential is there. We have drawn aggressive plans for ourselves. We have aligned the strategy for that and we are aggressively investing on that. As the results start unfolding, as the areas start giving us returns, you will see that the revenue mix and we hope that our growth rates start accelerating from even the current growth rates out there, but pinpointing exactly a date and year is something, which is -- it's an aspirational plan. We have to translate that aspirational plan for execution, but we have not completely translated into a target in a number of years. So, I think you will -- if you track the story, I'm sure that in the next 3, 4 years, you will see that we are not very far from there. On the logo retention, the number of new logos is or whatever number of logos are the logos, which giving this business. That's how we count it. And we don't count anything else who does not give us business. Our retention rates are pretty high for all businesses which are sizable size.

So, anybody who's giving us a recurring business of INR50 lakh, we almost will have 95% to 98% retention. So, on the smaller logos or what you call partners which we are pivoting up is a higher churn rate. But roughly, I think today we may have somewhere between 520 to 540 clients which are typically you will see they will keep on growing by 20, 30 clients every year as we are now pivoting to more larger deals.

Our engagement size of -- preference of engagement size is broadly to understand that we generate at least an annuity of 100,000 to 200,000. So that means any deal between 500,000 to 700,000 to start with going up to 2 million is the sweet spot where we do business today, but then there are deals, which are sometimes smaller than that or predominantly larger than that, so that's where we are. I hope that answers your question.

Chirag Kachhadiya: Just one follow-up if I can. So, going forward the health care practice, what percentage are we looking to have in overall pie, similar to the portion that we have at BFSI right now or is the second order will remain on the health care side rather the BFSI?

Virender Jeet : So, we are predominantly looking at three verticals. One is banking and the other is insurance and health care also we look at health i

nsurance market. It is not health care as a segment. So, when we say health care, it's about payers and payers and predominantly in the US. This market is more active out there. So, these markets we expect to get us multimillion-dollar Newgen Software Technologies Limited
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businesses, but still we think the banking is going to be predominantly large numbers. They may struggle to reach a size of banking, unless we really hit a jackpot about some industry and we replicate very fast.

But I hope that insurance and including insurance health and government should be sizable and material businesses for us. And we do expect in the next 3 to 4 years, they come very close to banking, maybe they become -- both together become equal the size of banking.

Chirag Kachhadiya: Thank you so much. All the very best.

Virender Jeet : Thank you very much .

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. We have reached the end of our question-and-answer session. I would now like to hand the conference over to Ms.

Deepti Mehra Chugh , Head of Investor Relations for closing comments.

Deepti Mehra Chugh : Thank you so much everyone for joining us for the call. For any further questions, you can connect with me or you can go to our website. Thank you.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us. You may now disconnect your lines .

Call: Jan 2025

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(NEWGEN/INE619B01017) Scrip Code – 540900 Ref.: Newgen Software Technologies

Limited (NEWGEN/INE619B01017)

Sub.: Outcome Transcript – Conference Call – Q3 FY'25

Dear Sir/Ma'am

As intimated earlier through our letter dated 14th January 2025 regarding the Conference Call of the Company, which was held on Monday, 20th January 2025 at 4:00 P.M. (IST), please find enclosed herewith a copy of the transcript of the said call with the Investors/ Analysts.

The transcript of the said call shall be made available on the Company's website at

<https://newgensoft.com> .

This is for your kind information and record.

Thanking you.

For Newgen Software Technologies Limited

Aman Mourya

Company Secretary & Head-Legal

Encl.: a/a

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"Newgen Software Technologies Limited

Q3 FY '25 Analyst Conference Call"

January 20, 2025

MANAGEMENT : MR. DIWAKAR NIGAM – CHAIRMAN AND MANAGING
DIRECTOR – NEWGEN SOFTWARE TECHNOLOGIES
LIMITED

M R. T.S. VARADARAJAN – WHOLE-TIME DIRECTOR –
NEWGEN SOFTWARE TECHNOLOGIES LIMITED

M R. VIRENDER JEET – CHIEF EXECUTIVE OFFICER –
NEWGEN SOFTWARE TECHNOLOGIES LIMITED

M R. ARUN GUPTA – CHIEF FINANCIAL OFFICER –
NEWGEN SOFTWARE TECHNOLOGIES LIMITED

M S. DEEPTI MEHRA CHUGH – HEAD, INVESTOR
RELATIONS – NEWGEN SOFTWARE TECHNOLOGIES
LIMITED

MODERATOR : MS. ADITI PATIL – ICICI SECURITIES

Newgen Software Technologies Limited

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Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '25 Analyst Conference Call of Newgen Software Technologies Limited, hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note

that this conference is being recorded.

I now hand the conference over to Ms. Aditi Patil from ICICI Securities. Thank you, and over to you, ma'am.

Aditi Patil: Thank you, Alaric. Good evening, and welcome to the Q3 FY '25 Earnings Call of Newgen Software Technologies. It's my pleasure to introduce the senior management team of Newgen who are here with us today to discuss the results. We have with us Mr. Diwakar Nigam, Chairman and Managing Director; Mr. T.S. Varadarajan, Whole-Time Director; Mr. Virender Jeet, Chief Executive Officer; Mr. Arun Gupta, Chief Financial Officer; and Ms. Deepti Mehra Chugh, Head, Investor Relations.

I now hand over the call to Ms. Deepti for further proceedings. Thank you, and over to you, Deepti.

Deepti Mehra Chugh: Hi. Good afternoon, everyone, and wish you all a very Happy New Year. Before we move on to the discussion, let me highlight that this call may contain certain forward-looking statements concerning Newgen's future business prospects and profitability, which are subject to a number of risks and uncertainties, and the actual results could materially vary from the forward-looking statements.

Past performance may not be indicative of the future performance. The company does not undertake to make any announcements in case any of these forward-looking statements become materially incorrect, or update any forward-looking statements made from time to time by or on behalf of the company. For further details, you may please refer to the Investor Relations section on our website.

I would now hand over to Mr. Varadarajan for presentation of the results, which will be followed by a Q&A. Thanks.

T. S. Varadarajan: Good evening, everyone, and thank you for joining us today for review of our Q3 FY '25 performance. Wishing you all a very, very Happy New Year. Coming to the results, we have had another consistent quarter with overall deal velocity across different markets. Revenue for the quarter reached INR381 crores, representing an 18% Y-o-Y growth. In terms of geographies, the highest growth was witnessed in APAC region at 44% Y-o-Y. EMEA grew by 19% Y-o-Y, while revenue growth in India region was 10%. U.S. region revenues grew by 13% Y-o-Y. We saw a substantial increase in license sales during the quarter, witnessing a growth of 70% Y-o-Y, followed by implementation revenues. Annuity revenues were at INR208 crores. While deal velocity has been very good, our projects now have longer execution cycle due to the level Newgen Software Technologies Limited
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of complexity we are handling. This has led to the implementation cycle moving beyond one year for some of our larger projects.

While banking and financial services continue to be our core vertical, we saw increasing traction in the government segment in the quarter. We closed many significant deals during the quarter. We have won an order from RBI for implementation and maintenance of the Regulatory Application Management System with an aggregate contract value of INR32 crores. Our expertise in data science and AI embedded in our core products have contributed to our success in the RBI bid, and we plan to work with other financial institutions as well.

In India, we also entered into an agreement with Aye Finance Limited for loan origination solution for an aggregated commercial value of INR24 crores. In Saudi Arabia,

we entered into an agreement for \$2.3 million with a large power generation and transmission company. We are also providing Knowledge and Records Management System to a customer in Singapore with a total contract value of SGD1.7 million.

In U.S., we are working with a banking client for digital account opening, retail loans, ECM and collection upgrade for a total contract value of \$1.8 million. In India, we received a contract for Newgen Remittance system for a value of INR20.8 crores. In EMEA, Newgen has entered into contract for providing digital lending and onboarding platform for retail products with a total value of \$2 million. We are also providing credit automation services to a leading banking and financial services company in Africa with an aggregate value of \$1.6 million.

In total, we have added 15 new logos in Q3. Over the nine months period, we have added 36 new logos. Newgen's core strength lies in its low-code platform, which automates various business applications and customer journeys. In banking and financial services segment, we are extensively working across multiple transformation areas, including lending, payments, deposits, collection, early warning system, co-lending, trade financing, lead generation, supply chain finance and many more.

We have recently launched our AI-enabled captive finance solution to transform lending and leasing operations. We are also working extensively in the insurance and health care market and have started winning new deals in this segment, especially in the mature markets. Our aim is to

offer solutions in payers, provider, pharmacy, and life sciences areas of health care under one ecosystem. We continue to receive accolades and analyst recognition.

During the quarter, we were recognized as a niche player in the Gartner Magic Quadrant for Enterprise Low-Code Application Platforms of 2024. This is fifth time in a row. We are also recognized in Forrester's The Low-Code Platforms for Professional Developers Landscape. During the quarter, Newgen has also been recognized as a leader in the IDC MarketScape Report for Intelligent Customer Communications Management and Automated Document Generation and Customer Communication Management.

We are happy to share that as a significant step towards being regarded as a trusted and employee-friendly organization, we have been certified as a Great Place to Work in India in Newgen Software Technologies Limited
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December. It is a matter of great pride and satisfaction that as we grow and scale our business, we are also enhancing our employee experience and workplace culture.

In terms of our long-term roadmap, we continue to focus on new deal wins and strengthening and expanding relationships with our existing customer base. We are investing heavily in terms of building our internal capabilities on our product and solutions, along with new technology areas like AI, Gen AI and machine learning. AI use is transforming from a tool of automation to a partner in intelligent decision-making through strong contextual insights.

We are revamping and stabilizing our sales team, especially in the mature market, refining our brand and product positioning to enable us to scale to the next level. During the quarter, we received a tremendous traction on our annual customer event in Mumbai, EkAM 2024. As businesses increasingly embrace digital transformation, we are ensuring that we are well positioned to support them with the right skills, expertise and product innovations. We also continue to invest in and develop our global workforce and improve operational efficiency. Coming on profits and margins, we witnessed a strong growth in profits and expanded margins. Profit after tax was at INR89 crores for the quarter, witnessing a growth of 30% Y-o-Y. For the nine months period, our revenues were INR1,057 crores, witnessing a growth of 22%. Profit after tax was INR207 cor

es, witnessing a growth of 41%. Our investment in building capabilities across the organization for the next level is reflected in our R&D and sales and marketing expenses. R&D expenses were 9% of revenues and sales and marketing expenses were at 22%.

On the balance sheet front, our net trade receivables were at INR463 crores as of 31st December, which resulted in net DSO of 118 days. We are excited for the new opportunities that 2025 will bring, and we remain committed to executing with focus and determination. The momentum we are building as an organization across markets, combined with our strategic investments in innovation will help us in enhancing value for our customers and differentiating ourselves in a competitive landscape.

Thank you very much, and we are now open for Q&A.

Moderator: The first question is from the line of Ruchi Mukhija from ICICI Securities.

Ruchi Mukhija: Very congratulations on a good execution. My question is regarding your India and USA business. In India, we've been hearing banking deposit growth has been weak. So does that change demand narrative for you in India? And in contrast, for USA, your larger peers have been indicating that the discretionary demand is picking up. So do you see that translating into any uptick in business momentum in USA?

Virender Jeet: Thank you for your questions. You're right. I think what happened in India, I think there was a wave of lending, which started in terms of modernizing the platforms, and it is still continuing.

The issue in deposit growth predominantly has been more on the -- typically, not the Tier 1 accounts, because I think they are more into -- their lending is more secure. So while we see there is a bit of slowdown in the overall momentum of digital lending projects, but on the other Newgen Software Technologies Limited
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hand, the new generation NBFCs, they are right now in the position to go and invest in the market to gain market share. I think if you see in this quarter also, we have gained at least two, three orders across places around in that segment.

So broadly, I think there may be a disruption for a quarter or so, but I don't see that to be a long-term disruption. The only difference I see for our business is while last few quarters or more, like last six, seven quarters, the order sizes from large accounts were substantial, the Tier 2 accounts will have smaller orders, but the numbers will be much larger, which should

compensate for that.

As for the U.S., we do see -- we are hopeful that the U.S. banking space is picking up, and I think the larger players have a very different business than ours. But we are hopeful that this quarter and next quarter, we should start winning some banking deals in U.S. And we have cultivated and nurtured these deals. I think they are ripe. I think there is a slightly positive environment momentum and we should be able to succeed in those. Ruchi, does that answer your question?

Ruchi Mukhija: Yes.

Moderator: The next question is from the line of Aditi Patil from ICICI Securities.

Aditi Patil: My first question is on the strong license sales which we had this quarter. So was this mainly led by APAC and EMEA geography? And how were the license sales in India?

Virender Jeet: Okay. Aditi, thank you for the question. Aditi, the license sales has been broad-based. In fact, I think all regions have contributed. And the license growth numbers Q-on-Q have been significant in all. So you will also see what has happened in terms of the large deal wins have been substantial this quarter. And the license growth for the year also has been healthy, almost at a 40%, while this quarter was slightly better because on account of some larger deals coming out of India, in fact, and some more coming out of APAC and Middle East.

I think the orders like what we have got in terms of records management in APAC is substantial. Simila

rly, what we have got in Saudi Arabia is an entry into utilities and energy segment, it's a significant order. But the largest of that was coming from India is the payments. It's on Tier 1 account. One of the new areas we have got into a Tier 1 accounts, which were more substantial than these two.

And then around \$1.5 million, there were multiple orders, both in Middle East, U.S. and India.

So I would say it is still a broad-based license growth. What has slightly muted down the growth rate in India compared to last quarter is about the longer execution cycle. Because while we are able to get the leading revenue of the license and account wins, the long tail of the subsequent follow-up revenue, we are not able to convert at the speed we were converting before, because, as I said, the previous quarter's orders were very large in size and their implementation cycles are slightly running beyond one year. So the ATSS and the subsequent support revenue streams are not kicking in at the same speed. Aditi, does that answer your question?

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Aditi Patil: Yes. And has this also -- the longer execution cycle, has that also led to decline in your implementation revenue?

Virender Jeet: It has impact on all downstream. See, our deal win is about license win. So license win eventually -- the follow-up revenues are implementation, then followed with ATS and support. So the implementation cycle is delayed, you have a problem with realization, a lot of implementation revenue, but also the bigger problem is your annuity models don't kick in immediately.

So some amount of challenge on large deals we have on that front, while on the other hand we have substantially increased our new win ratios and deal momentum. But then on a very large base, they cannot compensate too much in the same quarter on that. You're absolutely right, the implementation cycles do determine the follow-up revenue cycles.

Aditi Patil: Okay. Got it. And can you let us know the deal bookings growth for nine months FY '25? And you gave out some of the large significant deals, but can you provide more color on the traction you're seeing in health insurance and government vertical?

Virender Jeet: Yes. So I think I'll come to the deals first. You see, I think we have been deliberately trying to focus on insurance. So insurance, you would have seen up to the nine-month period, we had substantial some early win deals. We had deals in Saudi, we had some deals coming out of India.

And also, we have a very good funnel now, which we think that in this quarter, we are expecting at least two to three insurance deals getting closed and some of them being led by the U.S.

Government, you've already seen the results. I think the accounts like RBI or what we got in Singapore on records management or in utilities, they're all predominantly government license deals on low-code BPM. And they don't have the same large implementation cycles. There are typically smaller implementation cycles of three to six months where they should get translated into revenue. So government is working well. Insurance is working. Banking is still strong for us. So, overall, if you look at the deals, on the booking side, I think we are almost at a similar number on a nine-month basis compared to last year.

The difference is that the previous bookings were slightly more multiyear and larger accounts, which will get switched. The unexecuted order book of them in last quarter is still pending to be executed, while the newer bookings are more short-term orders typically to be executed in six to nine months. So I expect the translation of revenue of this booking to be faster than the older booking.

Aditi Patil: Okay. Got it. But from here on, like past two years have been a strong growth in banking sector, especially in India and EMEA. So should we see that growth moderating to some extent in next year?

r? At least we are seeing that in bookings, which is like flattish on nine months basis.

Virender Jeet: Yes, you are right. So see, what happens is, still for our kind of a business, still smaller, I think we keep on shuttling between which are the firing verticals and firing territories. But broadly, you would have seen the financial services, combination of banking and insurance always continues to lead. And similarly, India and Middle East continue to perform on that. I don't see any broad-based change is going to happen in that. So we may have a quarter of slower banking
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or two quarters of slow banking, but we think still the banking insurance will recover faster than any other segment.

Similarly, if we're still seeing that India and Middle East potential are the largest potential for us, until we crack the U.S. puzzle. So I don't see this making any change in a longer-term phenomenon. But yes, on a near term, we can see some impact on the numbers. The banking growth is not at 20% growth this quarter. Similarly, insurance and government growth are much bigger, but their bases are very small. Like right now, the government growth may be more than 100%, but the base number out there is pretty small.

Deepti Mehra Chugh: And I think, Aditi, you can look at the annual numbers again for us even in terms of bookings or other aspect that makes more sense. So I think we should wait a bit for that as well.

Moderator: The next question is from the line of Abhishek Shah from Ambit Limited.

Abhishek Shah: Congrats on another strong quarter. So just to get some more understanding on the slower growth that we've seen in India and the U.S. Specifically on India, you mentioned that they are longer cycle orders, so the implementation timeline is longer. But you've also said that the newer orders you've received this financial year are actually short-cycled. So can we expect that in the quarters going forward, growth EBITDA should accelerate again?

Virender Jeet: So Abhishek, as I broadly said, so see, we still are a company where a single order changes completely the quarter numbers. So I would still say, broadly, the business should be looked at in annual terms. Having said that, as I earlier said, I continue to believe that both in India and Middle East continue to be our growth drivers. And in that, financial services, banking and insurance will be the primary growth drivers for us. I don't think that changes.

What could change is that we may pivot from digital lending to more collections or origination-based systems. We may get into more supply chain-related areas, new areas may emerge or some segments may slow down for a moment. But if you look at slightly in a larger time, may be on an annual basis, you will see they will continue to outperform.

We don't see any broad reduction on our growth prospects. We think that we can continue maintaining a healthy above 20% growth for a long period of time. So now the issue is, for some quarters, a territory or a segment or a vertical could have a slightly different number, because we missed a deal or got a couple of deals more. But I think in the broad base, it will not have any difference.

Abhishek Shah: Okay. And any color on the margins for this quarter, because they were significantly higher than we've seen in the past for similar December number. So any color on that?

Virender Jeet: Yes. So Abhishek, what happens, as we said that we always invest for growth. But for the same year, any growth which is above 17%, 18%, 19%, we'll keep on expanding margins. So our budgeted costs are somewhere between 18% to 19% or 20%. And since we are still at nine-month cumulative growth at roughly around 22%, 23%, so margin expansion is bound to happen.

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Also, slightly, quarters are getting more non-lobby, in

terms of lopsidedness has reduced. So

you are seeing that the profit growth in Q1, Q2 has been significant. So they've been above -- and for the nine-month period, we are almost at a 40% profit growth, which means the margins would expand. But the Q4 is a larger quarter, and we still expect Q4 margins to slightly be better and maintain a growth rate. And that means for this year, we may have slightly better margins than we planned earlier.

Moderator: The next question is from the line of Mr. Ashish Chopra from Goldman Sachs Asset Management.

Ashish Chopra: Jeet, a couple of questions on the trends that you were highlighting. Firstly, on the fact you're

mentioning that the execution cycle of the orders you're now winning is maybe slightly shorter in terms of tenure, but there are implementation cycles of previously won orders, which are much larger. So the downstream support and AMC revenue is also kind of getting delayed. But then should that not reflect in your executable order book? So while your nine months order inflow is the same, but could you throw some color on how the executable order book as a consequence of this is changing maybe right now versus where it was this time last year?

Virender Jeet: Yes. So I think, Ashish, you are absolutely right. So what I'm saying, when we say execution cycle, there are three parts of downstream revenue. One is about the unexecuted order book of the same implementation value. So typically, if the implementation value is 100, I have only implemented 40, so 60 is the unexecuted order book. So that gets added, and I think Deepti can provide you that number exactly what that is. But since that has not completed, my next two orders of support and AMC have not got initiated. So that does not reflect even in the order book. So for our business, generally, the follow-up revenues are almost guaranteed, because the software needs to, but they are not contracted in the beginning, they have to be contracted every year. So some of the booking value does not reflect in the numbers, because the implementation cycles have not finished. But for the unexecuted order number, we can provide you that number.

Ashish Chopra: Yes, that will really help. That's very clear. And also on the insurance segment, so I think you called out that as an area of focus earlier during the year, and now you've shared some highlights of wins and the wins you expect next quarter. So it seems to be progressing quite encouragingly, just in line with your plans. But just a couple of questions, if you could help us with, in terms of, first, what are the segments within insurance? What's the kind of product or solution that you're selling there versus the likes of digital lending and supply chain trade finance and banking? And secondly, how do the order sizes here compare, let's say, from a mature insurer versus a mature bank when you win an order there?

Virender Jeet: Yes. So I think this is quite interesting. So we have enough focus and we are thinking that insurance will pave a very strong way for logo acquisition for us. So there are two things. What we are selling in insurance is exactly the journey we are selling in banking, but it's more around claims and underwriting, both in life and non-life. That's on the typical general insurance and life insurance, but also we are playing in the segment of health payers and payers which is in U.S. So this is a segment of insurance.

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In our early funnel, we have seen that insurance does not have the appetite to pay multimillion deals in the first entry point. But the encouraging thing is we are finding that opportunity pool in insurance is very broad-based. Like we have found very strong traction on the ECM and CCM front in where we've won. So we think this business will be built with multiple deals happening in quick succession and then pivoting towards a larger

deal.

So right now, we are slightly also not that encouraged about the deal sizes in insurance. But what it is opening up, it's opening up a large amount of accounts, Tier 1 accounts in insurance for us. So I would say that insurance may -- the curve may be slightly slow. We may have logo acquisitions at faster speed, but the revenue is slightly slower, but the downstream revenue can be pretty large.

Ashish Chopra: Understood. That's helpful. And just one last question from my side on the margins. So while you explained that it is the operating leverage of the quarterly seasonality because of which we saw the expansion. But I guess the quantum of expansion this quarter was much higher, I think, 540 basis points Q-on-Q. And I was just wondering if that is because of the fact that in terms of your revenue split, the product license revenues has grown quite sharply. And as that normalizes, let's say, in the fourth quarter, despite it being the highest quarter in terms of revenue, should we be cognizant about that maybe pulling the margins back in case the mix is not as high in product licenses as we saw in this quarter?

Virender Jeet: You're right. But the phenomenon in every quarter is that there's going to be a large bulky license revenue in every quarter, which pushes up the margin. The only thing is what the base revenue determines how the rest of the costs are balanced. So I think from a long-term outlook, we always continue that our endeavour is to maintain around 20% of net margin and 23%. And some quarters, it can be more in some years as a total.

So since we are already sitting on close to that number, we're sitting on 19.6% and 22.6%, broadly. So I personally feel that this will still expand maybe 0.5 basis points or 1% more by the year. So we will reach there close to 20% and 23% what we had initially planned, if we continue to maintain our top line momentum. But if there is a slight weakness in top line, then the margins will be muted or may remain at the same level or slightly shrunk.

Moderator: The next question is from the line of Akshat Khemani from Carnelian Asset Management.

Mihir: Mihir this side. I think I largely wanted to understand, when we see the license revenue, license

revenue has done well over the last 2 quarters...

Virender Jeet: Mihir, I am sorry, we can hardly hear you.

Mihir: Is it better now?

Virender Jeet: Yes.

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Mihir: So basically, when we see the license business, license business over the last two quarters, I mean, up 25% and 30%. So I wanted to understand what is leading to higher license revenue? Is there some requirement of on-prem business being there? That was the first question.

Virender Jeet: So Mihir, I think the license is fundamental to any business. Any sale we do is based on a license sale. So what is fundamental is that we continue to have good win momentum in the market.

And as we were previously, for last two, three years, pivoting slightly to larger deals, especially on the license side as well, that is where the growth is coming from.

And this quarter, as I said, the growth is quite broad-based. It's across all territories, across multiple segments. So we do expect that the license growth momentum will continue. It's not that this is a one-time phenomenon. We should be able to. And if you look at all three quarters, you will see significant license numbers coming in all three quarters.

Mihir: Okay, sure. So this is because large banks are adopting it and they are I think more for license-based approach rather than subscription-based approach. Is that understanding correct?

Virender Jeet: This is perpetual license sale. When we are saying license-based, it's predominantly cases we are still operating on the perpetual license model, and that's why they're upfront realized and they are larger numbers. And their subscription or annuity is just around 18% to

22%.

Mihir: Understood. Sure. Broadly wanted to get a sense, with a good license, this will follow for a better AMC and a better implementation going ahead, right?

Virender Jeet: I'm absolutely sorry. If you can just slow down a bit, I can get slightly more what you're saying, because I can't get what you're saying.

Mihir: Sure. So basically, I mean, the higher license revenue, this will be followed by a better AMC and a better implementation revenue, right, coming quarters?

Virender Jeet: So better AMC for sure, because it's a percentage of license. So implementation depends on the size of the project. So I think some of the current projects don't have such large implementations there, which is good for us, because as soon as the implementation finishes, our other streams of revenue kick in, the ATS and the support things. But you're absolutely right, the better license will follow on the better downstream revenue of ATS.

Mihir: Sure. Understood. And my third question was just on the India business. India business, you highlighted there is some weakness in the near term on the domestic banking side. I mean, what is leading to this weakness, which is getting compensated by NBFCs? Some color on that will be helpful.

Virender Jeet: So Mihir, I think what I said last time. So we don't see weakness in the general market, but we see there is a change in the dynamics of the accounts we are acquiring. Last two years, Tier 1 accounts in the market went with their DLP programs. And their order and deal sizes were substantially larger, even their implementation and licenses. Now predominantly, there are some of those accounts we are still pursuing. And some of them, we are also mining by selling other

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solutions. But larger DLP market is shifting to the Tier 2 accounts NBFCs and the new generation companies, like some of the ones we have already won. Their deal sizes are significantly lower, but their numbers are more. So we think that we should be able to compensate over a period of time by doing better deal velocity on that.

And then some of these NBFCs we think they should end up becoming larger accounts, either buying multiple products or eventually finally finding some ambition to become a bank or a larger financial institution. So that's how they will become. And if you look at the older phase of companies -- of NBFCs when the previous license eight, nine years back was given, now some of them are big banks right now. And that's the roadmap. So we are hopeful about the overall banking market and the lending market in India. But the point I was making, there's a difference between the type of accounts we acquired two years back vis-à-vis what we are acquiring now.

Moderator: The next question is from the line of Ashish Thavkar from JM MF

Ashish Thavkar: Sir, if you could talk about AI. So what's the development there? So we had this Marvin with intelligent document processing and all those initiatives. How are they panning out when we talk

to our customers?

Virender Jeet: So Ashish, it's a very good question and important one. So most of our sales today, AI is very central to that sale. So most of the use cases have to be either complemented or they have been centered around AI. So some of the recent deals, whether they are in the part of AI-enabled digital lending or what we got from the Central Bank, the RBI, they are completely AI-centered deals. So we are both on the ML, which is our Number Theory platform, and the generating AI models like Marvin and Harper, these are becoming central to make these sales.

But as I say, generally, we end up always selling our platform, which is our NewgenONE and the ECM platform together, where the AI gets bundled as part of the deal. So it's an enabling technology. So we are very hopeful that in more and more markets like in segments like insurance, segments like docum

ent approvals in central banks, or even in banking, I think AI will become central part and the investment we have done through the Number Theory as well as the products and platforms what we are coming out from there is going to play a very important role in that. So I think fundamentally, it's very central to what we do now.

Ashish Thavkar: Yes. And in terms of bench strength that we have on the AI side, are we good enough with the investments or there's more to come?

Virender Jeet: No. I think we don't have any bench. So for sure, we are a product company, so we are always short of good talent and resources. We have a team of roughly around 50 people right now dedicated for AI, who are creating our products and helping our customers on that. I think this team will expand organically over a period of time, and we are continuously looking at augmenting good talent out there.

This is not a game of really numbers, because we are not going to really go and provide 100 people of AI servicing to our customers. That's not our market. We still want to build products
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and sell those products. But I do think over next two, three years, there will be an incremental or an organic expansion of this team.

Ashish Thavkar: Great. And just two questions on the number front. So you said we have short-cycle deals, which we will start executing in the next six months. So typically, obviously, fourth quarter is the largest for us and 1Q is seasonally the weakest. But could things be different this time around, since there are a lot of short-cycle deal execution? That is the first part. Second part, and in your overall journey of targeting \$500 million revenues in the next four years, so does that stay intact? And any update on M&A would be helpful.

Virender Jeet: Yes. So I think on the Q4, broadly, what happens is, Q4 is going to be a function of orders which we have already booked, and the new deals, we can do on license front. So broadly, a lot of this business, which we have booked up to Q3, has to be executed in Q4. And then also a lot of license, we are still dependent on a large number of license deals to happen in Q4 to meet our goal. So it's not different than any other quarter or any other Q4 for that matter.

And whatever in terms of I communicated about execution or charter cycles, they will have very small incremental effect. They will not have a drastic effect in terms of either having a higher number or a lower number. On the larger plan of our revenue, as I said, Gen AI is very central, and we look at them in a combination to solve the customers' problems. And wherever we are operating, whether it's a segment or a territory, technology is an enabler to solve the use cases. At the end of the day, we are solving use cases. And I said this is going to be very central to all those things. And we continue to aggressively look at better talent in that and keep on investing in the use cases.

Recently, we have also built a lot of AI-enabled accelerators for many of the insurance segments and banking ones. And we keep on enhancing that. But I don't think you can think what is an incremental value AI provides to the company. We think of it as a comprehensive bucket. AI is centered for all use cases. I don't think you can exist as a software company if you are not leveraging AI in all aspects.

Ashish Thavkar: Sir, like referring to your \$500 million vision that you have in your business, how important is the mature markets to fire up now? And is there a shift in timelines, like is it a three to four-year or a four to five-year kind of a vision you have?

Virender Jeet: So you're absolutely right. Broadly, the larger addressable markets are the mature markets. That's where 80% -- 70% of the market remains. India, Middle East keeps us engaged and keeps us surprised, because the growth rates are phenomenal out there and

a lot of companies are coming and looking at this market as a potential. But we clearly believe still the mature market is the number one important strategy for us to fire to reach our \$500 million. And we do think that our next three, four years are the timeframes where we think should be able to do things, so that we

can be closer to that goal.

Moderator: The next question is from the line of Rahul from Dolat Capital.

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Rahul: My question is related to implementation. I know it's being talked around. What I want to specifically understand is that what could be the challenges as a business we might see as we scale up and there are diversity of deal and market and vertical. So is that a challenge which we might see over time on how well the implementation piece grow? And this is where bulk of the execution capabilities are getting tested, because other pieces are more like once you make a sale, a lot of things happen on its own. But implementation is something which is time-consuming and energy-consuming kind of an exercise.

Virender Jeet: So Rahul, I think you're absolutely right. What happens is the proof of pudding sometimes only unfolds in implementation. Before that, license is a commitment and finally, the implementation is when the customer gets value. See, some of the business challenges which we keep on highlighting about is to understand that what we are implementing for a customer is typically very transformative in how they're going to run their business. So if you're talking of a bank, you are saying that most of the lending, you are saying 100% of their lending is going to happen on this platform.

So now they are also leveraging the new digital ecosystem. They are leveraging the new digital architecture. They are leveraging the AI and other systems. So customer is also evolving these solutions along with us. So some of these things are not like that, hey, there is a scope and let's go and implement. There's a lot of learning, relearning and discovery along with the customer, which makes these solutions also very sticky and provide enormous value, on which we can build our business. But in the early cycle, this is always like that. And we have seen this multiple times, whenever you are trying to do transformative solutions.

And one of the things is since these solutions are very stitched with a lot of integration ecosystems, so the learning from one country to another country also changes. So the integration ecosystem changes. But as soon as you have stabilized first three, four, you are able to scale and build the business faster. So while I think it will continue to remain in challenge typically whenever you are trying to do transformative products and solutions, but it is a challenge for our kind of companies, which we have continuously surmounted and done multiple times.

But every new phase of growth, higher acceleration of deal velocity can lead to some amount of delays or some amount of, in terms of, longer cycles of implementation. But I don't think this is something which can hold us back. This is just a function of really maturing something for six, nine months, 12 months and then scaling on that.

Rahul: Right. So I got that point. What I'm trying to also understand on top of it is that how we ensure that this scales up, because given the diversity of the geography and vertical in terms of hiring of the talent, our talent across markets are that fungible to ensure that once they are done with one implementation and move to another, there is not any time lapse to that? And what we could do to avoid a situation like what we saw this time and what we are trying to do to mitigate that?

Virender Jeet: No, actually this problem of talent is going to be always there as you're scaling fast and especially in execution side, which are very execution centric. So what we have so far learned, at

least from

teams that easily -- the knowledge gets passed on from one implementation to another, one

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account to another. Also 60%, 70%, there is an overlap across geos also about what we are trying to do in that. And I think luckily also there has been a huge amount of talent stability and availability of talent in market for the last two, three years.

But how do we solve it that this does not become a bottleneck in future is entirely just about internal operation issue of internally maturing our systems. I don't think this is such a big challenge. What has happened right now is our estimation of going live for larger projects, typically in public sector on Tier 1 enterprises in India, that has run out of control. Since this is the first time we are doing, and all of them started almost parallelly. They didn't start one after another. So if they have started one after another, then there would have been a lot of learning, which could have been incorporated.

So last two years, I think we would have started more than 20, 25 digital lending projects all parallelly together. So some of the learnings from one another has not been caught on so actively. But I think now if we are going to take a project today, I think we can easily deliver it in eight, nine months with the whole comprehensive things. I think we are very sure about that. But what

we have already opened on the table, we need to close that.

Rahul: Sure. And just last bit. From a client's perspective, does that change? Is there any part of SLA which leads to this kind of a conflict in terms of any delay of execution, or they are indifferent, or they are also cause of a reason for this to happen?

Virender Jeet: See, it is joined. So finally, there is no project plan which is not in sync with the client. And I think whatever you are selling to the clients are extremely critical for their business. So they want to go live as soon. So any delay does hurt them and does hurt us, both of us. But I think we are in sync with the client. But the -- see, one of the things is the value we deliver at the end of the day is so transformative. So we should be able to build substantial business over that. And that's what the customer also realizes and we also realize. So a delay of one or two quarters should not affect our business model broadly at all.

Moderator: The next question is from the line of Chirag Kachhadiya from Ashika Equity.

Chirag Kachhadiya: Congrats on good performance. Sir, I just wanted to know as on nine months FY '25, the deals which we have signed, the growth rate is similar to like last year or it is relatively lower compared to last year?

Virender Jeet: See, the number of deals we have signed is very similar on that. A number of deals which have got license components are much higher, so 40% growth on licenses, which should translate into downstream better revenues for us. That's how it is. Total booking values are very similar, because as I said, the previous year bookings were multiyear bookings and larger account bookings, larger service delivery part of it. This time, bookings are more license-based bookings and shorter execution cycles.

Chirag Kachhadiya: Okay. So whatever we signed, can I assume that the revenue will flow in FY '26 or in first half of FY '27?

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Virender Jeet: Yes. I think we should assume that 90% will flow in FY '26.

Moderator: The next question is from the line of Vinay, an individual investor.

Vinay: Just two questions. One is, when I see your H1 growth rate, it was around 24% plus, and your nine months growth rate is 22% plus. So any particular reason why this growth rate has dropped over this quarter?

Virender Jeet: So Vinay, yes, so basically, the growth rate, there is a small amount of drop in growth rate in terms of because the revenue

realization from India business has been slightly lower than previous years, while other markets have continued to do what they have done, and we explained in this call about the problem we had in India on the execution side. But we don't see any challenges on the deal win side or the deal win velocity side.

So some amount of -- and one thing is also you should understand, at the end of the day, we always expect this company to deliver 20% or higher growth rate. But I think since it's a business, so there are going to be fluctuations, and we're still at a business of roughly around INR1,000 crores, INR1,500 crores, in that range. A single deal changes a lot of percentages in every quarter. So that's why we advise that this business should be looked at more at an annual basis.

Vinay: The reason why I have asked this question is because you mentioned that the deal sizes are now getting a little longer in terms of execution. So longer execution would necessarily entail bigger team sizes, right? So if I look at your -- how many employees do we have? And what is your kind of hiring for the quarter?

Virender Jeet: See, we are roughly around 4,500 employees as of now. And since this year, our hiring targets, we have taken much lesser numbers, because we have previously hired. Because the deals which we are talking about are longer, have been all from previous two years. And so the resource ramp-up has happened drastically over the last two years. So we are already sitting on a lot of capacity to execute these and the teams are already in place.

We still rely on a lot of manpower to come on campuses. So we continue to go to campuses to get good quality talent, and we'll continue to hire from campuses this year, both in Jan and then in March. So I think the people does not seem to be as important issue as it was in COVID and post-COVID immediately after that.

Vinay: Okay. The last question is on what percentage of your revenues in this quarter is coming from existing clients? Or you can give us nine months, whichever...

Virender Jeet: Yes. If you look at it, around 80%, 85% comes from existing clients. Because even a lot of new license deals are from existing clients, because they're about mining of those records. But broadly, it should be in that 80%, 85%, but you can write to Deepti, and she can send you exactly the numbers.

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Vinay: Okay. And lastly, whenever the licenses are signed in a particular quarter, when you get a new logo or new licenses revenue, it gets booked in the same quarter or it gets postponed to the next one?

Virender Jeet: So most of the times since it's perpetual and as soon as the licenses are delivered to the customer and customer acceptance is taken, they get realized in the same quarter. But if it's about subscription or linked licenses to payment, then they get realized proportionate to the term of the license.

Vinay: Okay. So we can't just extrapolate logo additions this year or this deal sizes into the license revenue?

Virender Jeet: Yes, you can't extrapolate the license revenue and multiply it by 4, no, that you can't do. That's the jerky part of the business.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Ms. Deepti Chugh from Newgen Software Technologies for the closing comments.

Deepti Mehra Chugh: Thank you, everyone, for joining us today. For further questions, you can connect to me or you can go to our website, and we've shared all the details there. Thank you.

Moderator: Thank you. Ladies and gentlemen, on behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

Newgen Software Technologies Limited

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Date: 08th May 2025

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Ref.: Newgen Software Technologies Limited

(NEWGEN/INE619B01017)

Scrip Code – 540900 Ref.: Newgen Software Technologies Limited

(NEWGEN/INE619B01017)

Sub. : Outcome Transcript – Conference Call – Q4 FY'25

Dear Sir/ Ma'am,

As intimated earlier through our letter dated 25th April 2025 regarding the Conference Call of the Company, which was held on Friday, 02nd May 2025 at 4:00 P.M. (IST), please find enclosed herewith a copy of the transcript of the said call with the Investors/ Analysts.

The transcript of the said call shall be made available on the Company's website at <https://newgensoft.com>.

This is for your kind information and record.

Thanking you.

For Newgen Software Technologies Limited

Aman Mourya

Company Secretary & Head -Legal

Encl. : a/a

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"Newgen Software Technologies Limited

Q4 FY'25 Earnings Conference Call "

May 02, 2025

MANAGEMENT : MR. DIWAKAR NIGAM – CHAIRMAN AND MANAGING
DIRECTOR– NEWGEN SOFTWARE TECHNOLOGIES
LIMITED

MR. T.S. VARADARAJAN – WHOLE -TIME DIRECTOR–
NEWGEN SOFTWARE TECHNOLOGIES LIMITED

MR. VIRENDER JEET – CHIEF EXECUTIVE OFFICER–
NEWGEN SOFTWARE TECHNOLOGIES LIMITED
MR. ARUN GUPTA – CHIEF FINANCIAL OFFICER–
NEWGEN SOFTWARE TECHNOLOGIES LIMITED
MS. DEEPTI MEHRA CHUGH – HEAD, INVESTOR
RELATIONS – NEWGEN SOFTWARE TECHNOLOGIES
LIMITED

MODERATOR : MS. ADITI PATIL – ICICI SECURITIES

Newgen Software Technologies Limited
May 02, 2025

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Please note that the transcript has been edited for accuracy purposes

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY '25 Earnings Conference Call of Newgen Software Technologies Limited, hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Aditi Patil from ICICI Securities. Thank you, and over to you, Aditi.

Aditi Patil: Thank you, Pooja. Good evening, and welcome to the Q4 FY '25 Earnings Call of Newgen Software Technologies. It's my pleasure to introduce the senior management team of Newgen.

We have with us today Mr. Diwakar Nigam, Chairman and Managing Director; Mr. T. S. Varadarajan, Whole Time Director; Mr. Virender Jeet, Chief Executive Officer; Mr. Arun Gupta, Chief Financial Officer; Ms. Deepti Mehra Chugh, Head, Investor Relations.

I now hand over the call to Ms. Deepti for further proceedings. Thank you, and over to you, Deepti.

Deepti Mehra Chugh: Thank you, Aditi. Good afternoon, everyone. I'm Deepti Mehra Chugh, Head, Investor Relations, Newgen Software Technologies Limited. And I welcome you all to the Q4 FY '25 results of the company.

Before we move on to the discussion, let me highlight that this call may contain certain forward-looking statements concerning Newgen's future business prospects and profitability, which are subject to a number of risks and uncertainties and the actual results could materially vary from the forward-looking statements. Past performance may not be indicative of future performance. The company does not undertake to make any announcements in case any of these forward-looking statements become materially incorrect or update any forward-looking statements made from time to time by or on behalf of the company.

For further details, you may please refer to the Investor Relations section of our website. I will now hand over to Mr. Varadarajan for presentation of the results which will be followed by a Q&A. Thank you.

T. S. Varadarajan: Good afternoon, everyone, and thank you for joining us today. We are pleased to report our results for full year and Q4 of FY '25. FY '25 was a year of healthy revenue growth and margin expansion for Newgen. We witnessed revenues of INR1,487 crores, leading to a growth of 20% Y-o-Y. The year unlocked new opportunities for us, identifying fresh revenues for expansion. We witnessed strong growth in our license and implementation revenues. License revenues witnessed a growth of 41% Y-o-Y. This is expected to generate further downstream revenues moving forward. Implementation revenues grew by 25% Y-o-Y. For the year, our annuity revenues were at INR834 crores comprising of 56% of our revenues.

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Our business model is well diversified across geographies, with each geography meaningfully contributing to our growth. APAC has been the highest growth market for us during the year, witnessing a 59% YOY growth.

The year witnessed some landmark wins in banking and in the government sector for records management in the region, strengthening our market position further. India and EMEA continue to be the largest contributors to our revenues. As digital transformation continues to accelerate, banks are facing increased pressure to adopt AI, automation and data revenue decision making. With adoption of Newgen solutions, banks are able to enhance business volume, improve operational efficiency and provide better customer experiences. Our efforts have started yieldi

ng

results in US region also. The region witnessed a strong growth of 20% Y-o-Y in the revenues and we have seen some early success with deal wins, especially in the insurance sector in the last quarter of the year.

We expect these early wins to open the door for broader regional adoption. Continuing with our emphasis on catering to larger scale clients and those who significantly contribute to our business. We saw an increase in the number of customers with billing over INR5 crores from the last -- from the 65 of the last year to 87 in the current year. Moreover, we added 62 new logos during the year.

Coming to our product, we embraced AI as a core enabler transforming it into a tool that augments human intelligence, automating classification, extracting insight and streamlining of workflows. As part of our AI-first strategy, we are making significant investment in AI-driven products and solutions. We are moving towards conversation, agentic frameworks where voice will play a central role. By leveraging AI, we can help boost productivity, decision quality and even employee engagement with these enterprise systems.

During the year, we have launched our groundbreaking AI agents, Lum Yn, Harper, and Marvin. Lum Yn is a growth intelligent agent. Harper is a conversion intelligence agent to boost engagement and sales. Marvin is a productivity agent for task automation and efficiency enhancements. These products are designed to deliver cost-effective and cost-efficient -- efficient value while prioritizing transparency and governance.

These agents have already demonstrated their potential through several promising and rich use cases. Some of our compelling use cases include an AI-based case management solution to streamline, automate and enhance the management of cases. These would be extremely critical in reducing the processing time significantly across knowledge industries and regulatory authorities and so on.

Another interesting use case based on our AI agent LumYn includes an AI-first early warning system for corporates, financial institutions and SMEs which has been designed to proactively monitor and identify potential risks such as credit default, fraud, liquidity issues or systemic threats in order to take pre-emptive action. These systems use machine learning, data analytics

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and real-time monitoring to detect warning signs from various data sources across around 1,500 parameters at account and borrower level.

In the insurance sector, we are working in the agentic work space for underwriting and claim processes to enhance the decision-making and making it more straight through by clearing anomalies in exception, underwriting cases, data-driven models for faster, more accurate and more consistent decisions. We anticipate further growth and innovation in AI-led journey as we build upon these use cases and successes.

We have provided to a vertical first go-to-market focusing on various journeys, clusters on the basis of their revenue potential, product maturity, investment and portability across geographies. Newgen's transformative growth vision include targeting banking at scale across these regions and expanding in insurance and government segments. We are also strengthening our partnership with advisory firms, system integrators and independent software vendors.

In Q4, Newgen has been named A Leader in The Forrester Wave Content Platforms report Q1 2025. NewgenONE Contextual Content Services received the highest possible scores in 10 criteria including metadata, search, content migration, life cycle management, intelligent data extraction, document generation and digital process automation. The report recognized that Newgen continues its solid innovation strategy with a focus on AI automation and app design capabilities.

Our culture of innovation, combined with

deep domain expertise is what truly differentiates us.

Out of our global workforce of over 4,600 professionals, we have more than 600 people scanning -- spanning product development, AI engineering, domain consulting. During the year, we have added senior leadership talent to strengthen go-to-market, delivery and innovation capability also. We are proud to be recognized as a Great Place To Work. This certification is a certification -- is a testament to our unwavering dedication to fostering and empowering dynamic work culture, where our people thrive and deliver outstanding results.

Coming to profits and margins. We delivered healthy growth in profits and expanded margins during the year. Profit after tax was at INR315 crores which is 21% of revenues. We continue to prudently invest in R&D and sales and marketing activity. During the year, we have invested nearly 10% of our revenues in R&D initiatives and around 21% of revenues on the various sales and marketing activities. On the balance sheet front, we witnessed robust cash flow generation with our net cash generated from operating activities for the year at INR215 crores. We have declared a dividend of INR5 per share.

Looking at Q4 results, we crossed quarterly revenues of INR400 crores for the first time. We witnessed 15% Y-o-Y growth in the quarter to reach the revenues of INR430 crores. Our profit after tax reached INR108 crores in this quarter. We are excited about the future and expect to continue to maintain the growth momentum with our unique solutions in the financial services, insurance, government sector and innovation in AI-led journeys. These solutions and our results-based services help our customers with their revenue enhancement, optimization and efficiency improvements.

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Our strategy is built around the full life cycle of our users. And that journey-led mindset is paying off in stronger engagement, retention and growth. While we remain mindful of the broader market conditions, we are confident in our ability to continue delivering value to our customers and shareholders. That's all. Thank you very much, and we are now open for the question and answers.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Ruchi Mukhija from ICICI Securities. Please go ahead.

Ruchi Mukhija: First, if I look at the annuity revenue mix, it's been trending down even when I look at the annual number. Could you help us understand why we are trailing behind or why the annuity revenue mix is trending down?

Virender Jeet: Ruchi, thank you for your question. You're absolutely right. What -- the growth on this year, especially this quarter, has been predominantly on license and implementation. And as you understand, the annuity revenue is typically a downstream revenue. And in our last quarter, we had clearly mentioned that some of our larger deals have delayed annuities kicking in. And we had given a projection that by Q3, Q4 of this year, we should be able to restore our healthy annuity growth rate. So it's a temporary phenomenon. We don't see as a normal, but the business automatically compounds annuity. There is not a question about that.

But yes, in the short term, so the license growth rates and the implementation growth rates are a higher side, we don't see the annuity growth rates up proportionately. We do think that in next 2 quarters, we should be back on the track so that the growth rates can be restored on those annuity side of it.

Ruchi Mukhija: Secondly, if we look at the growth number this year, we saw a successive growth moderation for FY '25. Q1 we had 25% growth rate. Now we are ending Q4 with 15% Y-o-Y top line growth. So when you look into the deal wins, what do you see the near - to medium -term growth that Newgen can have?

Virender Jee

t: Yes. So while you look at the 15% growth, this is a large quarter for us. And if you look at our deals and momentum, I think this has been one of the very good years for us. In fact, we have won 62 large logos this year and which is significantly much higher than in previous years. Not only that, our -- some of the challenges in the U.S., they have been addressed in Q4 with almost 10 large deals in coming from U.S. and APAC can grow. On India and Middle East, which are primarily large markets. I think we just recall that last year, our growth rates were almost 40% in the Q4. So relatively, their growth this quarter was muted.

But going on, in terms of looking at number of deals which we have won, the larger license growth of 41%, we do -- we're confident that downstream revenues will start kicking in. And the way the market currently is shaping and in spite of uncertainties, since our revenues are pretty diversified. They are now equally -- APAC is playing a very important role in the revenue. It has reached a significant number. India, Middle East continue to be large markets for us and U.S. kicking in. We are still positive to maintain a growth momentum going into next year.

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Moderator: The next question is from the line of Aditi Patil from ICICI Securities.

Aditi Patil: My first question is on EMEA market. what -- specifically in Q4, what has led to year-on-year decline in EMEA? Was there any unexpected ramp down?

Virender Jeet: No, Aditi, not really. I think we see -- I think this is -- Q4 is a very large market. And I said last year, we had like a 40% growth. And a lot of them were license deals. This year, I think we missed some of the deals coming, which were about to come in Q4. And that is the number. Since on a quarterly basis, and when you divide the whole annual number to quarterly and then you also divide by regions, few deals make huge difference in performance. They are not the true reflection of the market is behaving. We have not lost any major deals. We have just been able to close less number of license, which were anticipated to be closed. That is it. So there's

no -- nothing bigger than that in that.

Aditi Patil: So do we expect these license deals to close in like Q1 or Q2 of FY '26?

Virender Jeet: We do hope that. We do hope that, but unless the deals come in, we are all waiting. But yes, the market is still -- we got -- this is a strong market for us, especially in government and financial services. We expect the growth momentum to continue out the re. And we have built some very, very large deals in last year. Some of them should surely come up in Q1, Q2.

Aditi Patil: Okay. Got it. And I have a follow-up on the question, which Ruchi asked. So if we see for Q4, the support revenue has dipped Y-o-Y. So if -- I understand like the support revenue run rate should continue like because, I mean -- can you just help us underst and why the support revenue has dipped?

Virender Jeet: It's a marginal dip. I think it is a kind of a correction in certain accounts. We have some -- in terms of quarterly adjustments. We are still looking -- working with the customer to get those revenues back. But right now since they were held by the custom er for a particular Y-o-Y. So again, if you look at it on a quarterly basis, a single deal or a single case makes the difference in the revenue. We don't read too much into that. And we...

Aditi Patil: Okay. So, like, we haven't seen like a drop on Y-o-Y basis in support revenue since FY '22. So that is why I was curious to know, like, does it mean that the client has not renewed or support, or is not going to renew them further?

Virender Jeet: See sometimes the timing of the contract happens. Sometimes there's an adjustment or sometimes there are also -- see also there is an element of churn in the business anyway. But those churn

s are in a minor 1% or 2%. So they are not the effect. So there is no major change or a major loss of client. So it is more about adjustments or more about in terms of the timing of the deal happening of renewal.

Aditi Patil: Okay. Got it. And on the implementation revenue. So for Q4, we did see a strong growth both in Q-o-Q and Y-o-Y. So does it mean that the deals which were stretched for our Indian PSU

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banking clients, the implementation that was stretched, that is progressing well. And so when should we expect a major part of that to get completed?

Virender Jeet: Yes. So, I think we had a strong implementation revenues projected coming into Q4. We are still in the process of executing some of those projects. I think most of them will be in the more final stages in Q3, Q4 of this year. And that is where we're hoping to kick in the more support revenues and the ATS revenues we should get.

Aditi Patil: And can you remind us what is -- typically what is the percentage of support and implementation revenue as compared to -- sorry, support and AMC revenue as a percentage of your license revenue?

Virender Jeet: So there's -- so basically, ATS/AMC have direct correlation. They're somewhere between 18% to 22% of our revenue when they kick in. Support is depending on more about complexity of engagement. So clients could have disproportionate. So clients could have a support team of 5 or they could have a 50 support team. That's more to do with the kind of work and where they are rolling out. So it does not have a direct correlation.

Aditi Patil: And can you share the order book number as of end of FY '25. How much it has grown?

Virender Jeet: I think at the end of FY '25, our order book stood at -- yes, it is INR1,664 crores. The order books don't give the complete picture. I think the way we look at it is we look at order book and the unexecuted order book, which is going into the next year. I think we expect a more healthy growth on the unexecuted order book side going into the next year which results in more business and control, which is typically either renewals or unexecuted order book. So we are seeing growth of more than 20% in the business and control part of our business.

Aditi Patil: So can you share what has been the unexecuted order book number?

Virender Jeet: I think Deepti can share those numbers accurately. I don't have right now on that, but she can share it for the next -- last 3 years.

Aditi Patil: Okay, sure. And last one on -- so we have seen a moderation in the banking revenue -- we have seen a strong growth in banking for last few quarters. And now we are seeing the growth moderating. So is it because for our large clients in India and EMEA we ha ve implemented our key solutions and the demand is now saturated. Can you share growth outlook going forward over here?

Virender Jeet: You're absolutely right. I think you're seeing this year, there's a higher jump in insurance and government growth and banking growth is more at, I think, 11%, 14% of growth, if I'm correct, 15% growth in banking rather than close to 20%. And you are right , I think last 2 years, there's a huge momentum around public sector spending on banking, especially also on the digital lending side, which we are trying to do in both India and Middle East.

Some part of that has been serviced, but still the unserved part is very, very large. I think it's

some, we see slightly muted. We don't see that for the next few years, still banking is going to be the predominant growth driver for the company, while insurance and government will start taking up some market share where we can do -- we're going to have accelerated growth.

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But for the company to grow, we still expect the banking to do extremely well. We have cases going forward, both in India, Middle East this year. And we don't see a challenge there to maintain the growth momentum. I think this current year saw 15% growth vis-a-vis 20% growth in banking, I would still treat as an anomaly rather than the -- that is the trend going forward.

Aditi Patil: Okay. So can you talk in a bit detail about the unserved part or like which client segment or which solutions comprise this?

Virender Jeet: See, I think while -- even on the core product of lending, we have covered most of the public sector and maybe some Tier 1 banks. There's a huge set of markets still, which is typically doing second generation of transformation on those products. So private banks are available to us. And then there's a large list of, what we call, finance companies or NBFCs, which are there. Last year, we got around 6 of them. There are still in India, roughly around 30 more which is an addressable market for us.

Beyond that, we sold some of things like payments and trade in some Tier 1 accounts. So there's a huge probability of multiplying those businesses across all -- both in India as well as in Middle East. So I would say continued momentum on lending, plus more to do in payments and trade in Tier 1 banks is going to provide a wider market for us and then supported by the deals which we can do in financial non -- what you call, NBFCs.

Moderator: The next question is from the line of Pranav Mashruwala from Dolat Capital.

Pranav Mashruwala: Yes, just one on the broad revenue and revenue outlook, considering the overall macro situation, any pockets of headwinds that we are particularly seeing in terms of the delays. So we've seen certain delays coming out in our SaaS and also in some of our licenses. So any headwinds that you'd like to call out for FY'26?

Virender Jeet: Sorry, I think there's a lot of disturbance. Again if you can go ahead.

Pranav Mashruwala: Yes. Is this any better?

Virender Jeet: Thank you. So, Pranav, I think as you were rightly saying, I think right now, the whole -- everything is pretty uncertain, and we don't know how things are going to shape. Having said that, as I said, we are pretty diversified. There's not a single market or a single client segment on which we are dependent. And some of our markets do seem to be less affected initially. I think our markets like India are less affected right now.

We are also working in APAC. And the third thing is the financial services companies where we are dealing predominant and insurance. They probably have second degree impact and third degree impact.

So we are -- in the beginning of the year in our planning stage, we are clearly driving for growth this year. We don't see any larger challenges hitting our way. Having said that, I think we'll be cautious. We'll be assessing situation every quarter. But as of now, in the beginning of the year, we are looking at our historical growth rates and trying to do better than that.

Pranav Mashruwala: Agree. Also, just doubling down again on the growing the SaaS business. So we expect SaaS to recoup some of the slower growth in FY '26 considering some of the deal pipeline and that we have been building in base as well as marketing teams in U.S.?

Virender Jeet: No, I don't see that. I think some of the momentum, which has come in U.S. and also momentum in other geos like Australia and U.K. should push the SaaS revenue up. And we are hopeful that I think in next year, we should do a better number on SaaS. So SaaS is, again, it's a kind of where we are providing both software service on cloud. But beyond that, our license deals are equivalent to SaaS deals. So in U.S., we are doing a combination. Some Tier 1 accounts are looking at even license deals, but mostly are looking

at SaaS. So any growth in U.S., Australia, U.K. and even some in other markets is trending towards SaaS. So I don't see any challenge in SaaS business per se next year.

Pranav Mashruwala: Great. Sir, just also one on the margins aspect. So we are really right now exiting Q4 on a high note. How would you see margins trending over for the next year?

Virender Jeet: See, I think we have been always maintaining this. For our company, we always operate for higher growth mode. So we initially upfront, we have cost loaded. And somewhere between 16% to 18% is what we load cost in the beginning of year as a part of the plan. So any growth which we hit in above 20%, our market -- margins should keep on expanding.

And I think unless we are more aggressively able to invest in growth. But in any eventuality, we fall below 17%, 18% of growth, we may have flat margins or contracted margins. So margin is a function of our business. We have at a gross level about 64% margins. So as long as we can maintain a healthy growth rate, the margins will keep on expanding.

Pranav Mashruwala: Finally, on the expected tax rate for FY '26. So Q4, we exited with around 23% and Q3, we had about 16.5%. So some color on that.

Virender Jeet: So this is the base now. I think it's because of the SEZ full benefits and no w partial benefits coming in. Now the current base of 23% is going to be the likely base which will continue going forward. And so last year, we had roughly around 17.5%, I think more close to 18% tax. This year, we are operating at 23%. So this is the new base. I don't think it can never go back unless we have some change in government policies. So this is going to be the new norm on operating at 23% tax.

Moderator: The next question is from the line of Akshat Agarwal from Jefferies.

Akshat Agarwal: I have 2 questions. Firstly, a follow-up on one of your other participant's questions where you said that we should take about a couple of quarters for the annuity revenue growth to come back to double-digit levels or mid-teens levels? So if the first half is going to be in single digits and Newgen Software Technologies Limited
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annuity forms a bulk of your revenue portion, is it fair to expect that you would be able to grow 20% in FY '26? That's the first question.

Secondly, when I look at the region-wise margins, India margins have gone down from mid-20 levels to 15% levels in FY '25 versus FY '24. What will be the key reasons for this? Those are the 2 questions.

Virender Jeet: Akshat, nice talking to you again. So, Akshat, what is -- the issue is while I'm saying annuity margins recovery is we are talking of where all our ATCs start kicking in back and the support revenues start coming in. While that is happening, we still are selling aggressively more licenses and more deals. So like in this quarter, also in previous quarter, we have continued to sell more licenses and our license growth rates are 40%. I do hope that while the annuities take some time to pick up, our new deals and our -- what we call deals in existing accounts should be able to compensate for that, and we should be able to maintain a healthy growth momentum on that. On the region-wise margin, it's the same function. I think India has not grown at the pace we expected it to grow. It's more like a growth rate of, I think, 14%, 15% this year, while the cost in India has grown at 17%, 18%. So there's a margin contraction out there. But yes, so I think it's, again, at the beginning of the year, if you take a call again this year, we will be taking a call of growing our cost at 16%, 17%.

But we are planning that India should be able to go back to the 20% or above 20% growth mark. So I think these are momentary things. But I don't think annuity holds us back for the larger growth. I think what -- if you look at Q4 phenomena about growing at 15%, is a function of also

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y high growth rates last year on Q4, plus the annuity things not kicking in, in terms of some of the larger deals.

I don't think both of the problems are in Q1 and Q2. Q1 and Q2 are relatively smaller quarters for us. Large deals can -- new license deals can compensate for a lot of growth rates and slowdown in the annuity side. And in the meantime, also, we are looking at multiple ways to enhance the support revenue stream and enhance the ATS support. So we are looking at rate revisions. We are looking at again price renegotiation in certain cases. This should also give a few percentage points going into next 1 or 2 years.

Moderator: The next question is from the line of Heenal Gada from UBS.

Heenal Gada: So a couple of questions. We have seen that quarter 4 is typically a stronger quarter in terms of license revenue booking, but we don't see this panning out in the current quarter. And I'm cognizant that quarter 3 was a good quarter in terms of these bookings, but then is there any other reason which has attributed to this deceleration?

Virender Jeet: I think on a Q4 basis, it has been always a strong quarter for us as a percentage of annual revenue. So this year also, if you look at our annual revenues and divide cross quarters, Q4 is the largest quarter for us. So it has grown. The challenge has been that Q4 last year has grown at 40%, both on Y-on-Y and also sequentially to a very large number. When it comes to license sales, I think Newgen Software Technologies Limited
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if you look at this year license sale Q4 to Q4, let me look at this number, we have grown at 31% Y-o-Y on the license sale. So license sale momentum has kept up.

The point we were discussing about some of the annuity streams have not caught up with that same thing, which is to do with our -- in terms of our ability to execute large projects and make them live. So it's a momentary challenge. We think in a couple of quarters, we should be able to see that. But, however, you can clearly see our deal momentum in Q4 are the highest. I think this is probably the highest. We have gone up to INR97 crores of license sales, which is our highest ever license sale. And in Q3 we were very strong at INR93 crores or something like that. Heenal Gada: And so a follow-up to that. So you mentioned the implementation, which got delayed, which has kind of impacted our revenues. Are there any corrective measures which need to be taken from our side probably to avoid the same in the future? Like, if you could just help us understand what exactly has caused this delay?

Virender Jeet: Yes. So okay. It's a longer story. I think if you look at a couple of years back, I think last 1.5 years, we've entered into much larger deals, which is more traditionally and there are also deals which are more complex and more large, in which the downstream revenues, which typically start accumulating after the projects complete, finish, have started got delayed. Our typically projects used to be 6, 7 months. Now they are 1.5 years to 2 years. So that's -- it was a part of great wins, and then this is the impact of that.

What is happening right now in most of these projects in next 2, 3 quarters, we are towards more closure of those projects. We are almost now closing at the same time. And the next stage of large deals are also coming at a faster execution cycle because now we have done most of them. We are trying to compress the time line. So this is a function. It's a onetime impact, which came to our business. And it was a bit of a surprise because we assume that annuity automatically compounds, did not compound. And we do hope that as soon as our projects get live, we should be able to restore most of that revenue coming from those clients.

Heenal Gada: Sure, sir. And so in the current quarter, we saw a couple of large deals being closed in the U.S. So I just wanted to understand what is

the strategy that we are using here? And what is the potential opportunity that we're looking in this geography? Maybe if you could give some time lines?

Virender Jeet: Yes, so Heenal, so in the U.S., we have been investing very aggressively for a long -- in a long time. We created a strategy with one of the consulting firms to address 3 segments: banking, health insurance and insurance market. We had hired -- at the beginning of last year, we hired complete teams to drive these markets. And now we are getting the early results of that, we have broken into cases this quarter in enterprise. We have broken into health insurance. We have broken into insurance and then also a large deal from bank. So almost all 4 areas have fired this quarter and resulted in deals.

So in fact, this was the first quarter we got 10 deals from U.S. and some are very marquee deals. Now that we have got these wins, we expect now the growth rate and the momentum to continue
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building. But we'll have to wait for a few quarters seeing how consistently we can go. We are hoping that next year, U.S. should be our growth driver. And the market for us out there, the global area we are targeting.

In banks, we are targeting roughly around 80 large banks. We have pivoted away from the largest set of 1,000 banks. Similarly, in insurance there are 120 companies. And again, in the health insurance, we are another 40 to 60 companies. This is a universe we are targeting and we are trying to build much deeper relationships and build a multiyear contracts with these kind of customers. Does that answer your question?

Heenal Gada: Absolutely. And how about in India? So I mean India has traditionally been a growth driver for us. So what is the TAM that we are looking here? What is the kind of scope that we do see to further mine the existing clients that we already have?

Virender Jeet: See, I think we don't have really very detailed reports of the TAM, but I think we are one of the larger players in the market where we do expect our market share is at least more than 20% in the whole of the space we operate. But the market itself in India is expanding and we're expanding it by getting into more and more areas.

The way we internally look at it is that all our territories have large potentials. So I think we really would like that India it is 1,000 crores in the next 2, 3 years. That's our plan. So I don't think the market opportunity size is a limit. It's our own ability to execute. And we are going after that in a very aggressive way about the whole market.

Heenal Gada: Understood. And sir, lastly, just I mean, more of a very long-term question. So GenAI has been

one of the big tech disruptors. And then is there a case where we probably see this could cannibalize Newgen revenues probably on the content management or the B PA? Like is there a possibility of that?

Virender Jeet: I think this is a question for service companies, not for product companies. Technology is our enabler to sell. GenAI has actually reinvented all the use cases across industry for kind of things which we sell. In fact, using AI for content ingestion is one of the most hot cases right now in the market by which the last quarter around 6 deals we got in U.S., 3 to 4 are just around the AI capabilities of our product, which is typically a combination of ML and GenAI.

See, we are leading this right now. I can confidently say, I think we are one of the most content management and low-code AI-led products in the market with our Marvin, with Lum Yn and Harper.

Most of the cases, we have won in the last 2 quarters, AI has played a very important part of that. So the way you see the content management and GenAI complement each other. So far, people used to retrieve content. Now they can discover more value out of that content. That's why the GenAI works on the

content, either through RAG or vector embedding or many other technologies like that. So there is a renewed interest in the enterprise content management space globally, right now, both on the ingestion and the management and knowledge management side of that.

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We got 2 orders in Singapore government, which are to do with kind of things we are talking about. We got one of the largest orders from the primary regulator media, which is AI-led content management. And similarly, we've got 3 to 4 orders in the U.S. around insurance companies, which are around document ingestion, which is AI. So in fact, this is what we are excited about, not threatened about.

Moderator: The next question is from the line of Baidik Sarkar from Unifi Capital.

Baidik Sarkar: Virender, Congrats on a good year overall. Well, there was a time in the previous years when you specifically called out that order book growth was higher than your revenue booking, right? Obviously, that was more sentiment led given how strong FY '24 was. If I just backtrack to just the current quarter, not perhaps Q3, but the first month of April and Q4, how does that sentiment look on the ground today? I ask in the context of oil prices in the Middle East, the U.S. led issues. And broadly, probably cessation of banking products like demand in India. So just keeping this in perspective, how would you define that sentiment as things look today?

Virender Jeet: So I really don't have an answer that I can look at only our business and what I tell you our Q4 order book was pretty strong. I think in fact, for -- we had a Q1, Q2, Q3 was a weaker order book than the Q4 order book. It was predominantly -- in fact, our maybe it grew by around 30% or something Y-on-Y on Q4 order book. Q1 order book, I can only tell you after the end of Q1 because 70% of our business comes at the end of the quarter in last 3 weeks of that. This is the nature of the license business. See, everybody is cautious right now. Most of the customers we talked about, nobody has given an indication of holding back the project, especially in the spaces we are.

But they are cautious about. So there may be a kind of an impact of wait and watch. But right now, I think in for our -- in our sales planning and in terms of what we hear from the market, we have not seen too much of an impact. And I hope that it remains the same way for the year.

Baidik Sarkar: Sure. I understand. In terms of the complicated 18 -, 24-month projects, that kind of long gestation period, which were the primary geographies that saw that? And is it fair to assume that in H1 of this year, sorry?

Virender Jeet: So India and Middle East are the primary geographies, which are typically having those large gestation projects running for us. I think most of the Middle East ones, we are close -- we are very close to closing and some of the Indian ones will take a couple of more quarters to do that. So these are the geographies where we have. Other geographies we don't have such a problem.

Baidik Sarkar: So my question was, given that you specifically called out that H2 of this year will be a far stronger year in terms of revenue booking, is it fair to expect some kind of a Y-o-Y margin compression as far as H1 is concerned, given that we have fixed costs to be taken care of and we can't pull back on SG&A commitments. I'm just trying to get an understanding about margin propensity in H1 this year.

Virender Jeet: No, I don't think so. See when you are saying Y-on-Y, it will not have a compression. I don't think there's any reason because our costs are flat, and we are still growing at a good healthy

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growth momentum. See the margin compression only happens. And I think we look at margins typically at the annual side because on a quarter

ly, they can change because still there is a kind of a revenue distribution, which is not very even while the cost distribution is fairly even on that. We are slightly being cautious about looking at our investments along with the returns which come in quarters. So we should be able to manage this. And unless there's a huge surprise on top line, which we are not seeing, I don't see a challenge on margin.

Baidik Sarkar: Right. Right. So baking in the H2 estimates, you're still saying that there's no risk to -- I mean, we ended this year with about 20% growth, which is a healthy number. So that number of between 22% to 25% is -- will that continue be a sanguine expectation for at least '26 in terms of top line?

Virender Jeet: See, I don't know exactly what we'll end up doing because we end up always planning a lot and then delivering something. We've historically delivered about 20% or near 20% growth. In this year, we don't think our plans don't change much. We still expect to do that. And we internally would end up trying to do a much better number. But surely when it comes to budgeting, we do plan for that much of growth and that expenses accordingly. But what will happen at the end, we'll all have to wait and watch.

Baidik Sarkar: And very lastly, Virender, is -- will growth say for FY '25 and onwards, will that be driven by our investments in new product use cases? Or is it the deepening of the market for existing products that we have. How should we read this?

Virender Jeet: So, I think, we look at growth from 2 areas. One is about expanding our coverage in a vertical. So getting more deeper into banking, selling more solutions to banking, insurance. The second is also getting better penetration in mature markets. These are the 2 areas we are looking at. So how much more revenue contribution can come from markets like U.S. or Europe? And then how many more new logos they end up winning.

And then also in the same logos per account realization, how can we improve. You can see why we have lot of smaller accounts out of business. You will see revenue per account has constantly grown. Accounts of greater than INR5 crores revenue have constantly grown at a much higher speed. That is the churn we are driving, and this is driven from 2 things about going wider into each account and selling more to them and also getting a healthy number of new logos, which are sizably large.

Moderator: The next question is from the line of Mihir Manohar from Cernelian Asset Management.

Mihir Manohar: Sir, you mentioned about the 10 deals, 1 in the U.S. So this 10 deals are for the full year or are they for the quarter?

Virender Jeet: So these deals are generally for us in perpetuating because customers have long-term relationships, but generally, these are license plus implementation which may have a cycle of 7, 8, 9 months, 10 months.

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Mihir Manohar: And sorry, 10 deals were during the year or during the quarter?

Virender Jeet: Okay. The winning is for the quarter.

Mihir Manohar: Understood. Out of these 10 deals, I mean, how many of these deals would be with larger Tier 1 accounts where you can have a bigger revenue potential?

Virender Jeet: See, all these 10 deals are sizable. See what -- we have already, Mihir, pivoted towards only large accounts. We don't do small account deals anymore in the U.S. So we are telling these are either Tier 1, Tier 2 insurance companies, banks or health insurance companies. So all of them are large accounts for us.

Mihir Manohar: Understood. Sure, sure. And is that coming largely from insurance -- I mean, insurance and health insurance side, right? Banking will be lesser as of now? Or how is it?

Virender Jeet: So I think 3 from banking, I think 3, 4 from insurance and a couple from health insurance. I think that -- this we can send you as a distribution about

t these accounts.

Mihir Manohar: Second question was on these -- I mean, annuity kicking in for one of the deal -- some of the deal businesses in India and Middle East. Now when annuity starts kicking in, in the second half, does the annuity percentage which you mentioned 18% to 22%, that remains the same or that changes?

Virender Jeet: So that is the percentage payout of annuity for ATS on licenses. So that broadly remains the same. It has not changed. The only thing what happens. It starts kicking in that means now it is due and we can recognize the revenue from that onwards.

Mihir Manohar: And the third question was on the new product. I mean this is like 2, 2.5 years back, they were looking at a \$500 million of a business. Naturally, the progression has happened well over the

last 2 years. Just wanted to get a sense for us to have that \$500 million kind of a number. Do you feel any specific products need to be developed, product gaps needs to be addressed? Any development or any color around new products that will be really helpful.

Virender Jeet: So, Mihir, I think this is a work in motion. So last year, at the beginning, we defined a strategy about where we need to invest. We have to verticalize our insurance products across domains and then across geographies. I think 80% of that work has been already done. We expanded our banking portfolio like in Islamic banking and then also building banking integration. We expanded our insurance portfolio with integrations with companies like Guidewire and all that. So a lot of that has been already in place.

Beyond that in last 2 quarters, we have doubled up on -- in creating the AI road map for the old products because what we are seeing, the AI is driving most of the use cases. So a lot of our investment while increasing our vertical products and making them more relevant for the market is one dimension. The other is creating the AI-led interfaces for our most of the content management, the low code as well as customer communication products. I think between these 2, there is enough market and now it's our ability to go and execute and sell.

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Mihir Manohar: Understood. We will be looking at the core banking part of the piece to enter the corporate core banking is part of the piece?

Virender Jeet: No, we have not. We have not considered that, and we are not interested in that. I think we work in the layer of innovation where most of the action is happening about that, which is about journeys, processes reinventing them. And core is where we end up making sure that we sit on integrated with the core and keep on expanding the functionality of the core. Core is a different business. It takes hell lot of a time to build credibility in the core and then build systems and core. So we are not interested in core.

The only thing what we are slightly interested in some in health space. And in insurance space, we are interested in building policy administration services, which are kind of the semi core out there. Those we already have some products and then we are trying to expand out there. But in banking, we are not interested in core.

Mihir Manohar: Sure. Just one last question from my side. What was the order booking growth for the full year on a Y-o-Y basis?

Virender Jeet: I think our order booking was at INR1,664 crores. which was almost 10% or around compared to last year same time.

Moderator: The next question is from the line of Chirag Kachhadiya from Ashika Institutional Equities.

Chirag Kachhadiya: I have a question on order book only. Like, what is current value of unexecuted order and -- as well as the new one which we received during the year.

Virender Jeet: I think we can -- if you can write a mail, we can send you those because those numbers, I don't have the unexecuted exact sizes. But as I said, our unexecuted order

book compared to last year

same period has a healthy growth. I expect more than 20% growth in that.

Chirag Kachhadiya: And this unexecuted order book likely to come in execution in FY '26 or it will extrapolate for 1 in FY '27 as well?

Virender Jeet: We have been talking generally unexecuted order books, which are relevant for this year.

Moderator: The next question is from the line of Aditi Patil from ICICI Securities.

Aditi Patil: I have a question on Singapore -- sorry, the APAC market. So it has grown strongly for us in FY '25, what has -- which verticals and which countries have driven this growth? And how do we see growth outlook over here for FY '26?

Virender Jeet: Yes. So Aditi, what -- you're absolutely right, APAC has grown strongly, and I think they've got -- the business has gone in 2 areas. One is around government. We have consolidated our position in the Singapore government space. I think we have won some marquee accounts out there, and we expect that momentum to grow into next year. I think some of the strategic deals

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out there, we have been able to close. The wider market is still banking insurance for us across all these markets.

And in APAC, I think predominant market is around for us. Malaysia, Indonesia, Philippines, Singapore and then we are also trying to do something in Vietnam and other areas. But this is the market. So most of these deals which have come in banking and government space, which has given us that. It has become a substantial part of our revenue. It is almost now reached around 15% of our revenue, which is a good thing. And we are quite hopeful that I think the APAC can

maintain a growth momentum. Also having said that, I think if you look at last year, APAC growths were much muted.

And since they didn't have high growth, this year numbers almost jumped almost 60% of their growth which is -- but I think there is a considerable improvement in what our entitlement to win in government and APAC, especially in Singapore, and that's what we can ride on next year. And some of the marquee banks which were acquired, we should be able to expand both in Malaysia, Philippines and Indonesia and in some more countries.

Aditi Patil: Got it. And one question on the DSO days. So DSO days increased by 7 days in FY '25. So what led to this increase? And what is our target range?

Virender Jeet: So I think the culprit was EMEA out there. And so some of very large payments got delayed out there, which I think some part of them has been already recovered in some. I think that has been predominantly. Rest, I think the larger deals that we have got in to slightly our -- the improvement in DSO for the last year was more flat. But on Q4 since some large payments got delayed, I think that's why the DSO jumped out there. I think we should be able to do fine in the next couple of quarters. We should be able to bring it back on track.

Aditi Patil: So what should be our target range for DSO like -- once last year, it was 130 days?

Virender Jeet: See our average, we look -- it will keep on coming down, now that since it's a smaller quarter because Q4 is very large. It always goes very high on that. But on the -- so we think an average for around 120 for a year, and then we can improve it from there. So I think it will keep on becoming better for next Q2, Q3, but Q4 again becomes high because of a very large amount of our billing happens in Q4.

Moderator: This was the last question for today. I now hand the conference over to the management for closing comments.

Deepti Mehra Chugh: Thank you so much, everyone, for joining in. For any further questions, you can connect with me or go to the website. Thank you.

Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jul 2025

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(NEWGEN/INE619B01017)

Scrip Code – 540900 Ref.: Newgen Software Technologies Limited

(NEWGEN/INE619B01017)

Sub. : Outcome Transcript – Conference Call – Q1 FY'26

Dear Sir/ Ma'am,

As intimated earlier through our letter dated 12th July 2025 regarding the Conference Call of the Company, which was held on Thursday, 17th July 2025 at 4:00 P.M. (IST), please find enclosed herewith a copy of the transcript of the said call with the Investors/ Analysts.

The transcript of the said call shall be made available on the Company's website at <https://newgensoft.com>.

This is for your kind information and record.

Thanking you.

For Newgen Software Technologies Limited

Aman Mourya

Company Secretary & Head -Legal

Encl. : a/a

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"Newgen Software Technologies Limited

Q1 FY '26 Financial Results Analyst Call"

July 17, 2025

MANAGEMENT : MR. DIWAKAR NIGAM – CHAIRMAN AND MANAGING
DIRECTOR– NEWGEN SOFTWARE TECHNOLOGIES
LIMITED

MR. T.S. VARADARAJAN – FOUNDER AND WHOLE -
TIME DIRECTOR – NEWGEN SOFTWARE
TECHNOLOGIES LIMITED

MR. VIRENDER JEET – CHIEF EXECUTIVE OFFICER–
NEWGEN SOFTWARE TECHNOLOGIES LIMITED

MR. ARUN KUMAR GUPTA – CHIEF FINANCIAL
OFFICER– NEWGEN SOFTWARE TECHNOLOGIES
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MR. TARUN NANDWANI – CHIEF OPERATING OFFICER
– NEWGEN SOFTWARE TECHNOLOGIES LIMITED

MS. DEEPTI CHUGH – HEAD, INVESTOR
RELATIONS – NEWGEN SOFTWARE TECHNOLOGIES
LIMITED

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Please note that the transcript has been edited for accuracy purposes

Moderator: Ladies and gentlemen, good day, and welcome to the Newgen Software Technologies Limited Q1 FY '26 Financial Results Analyst Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Deepti Chugh, the Head of Investor Relations at Newgen Software Technologies. Thank you and over to you, ma'am.

Deepti Chugh: Thank you. Good afternoon, everyone and welcome you to the Q1 FY '26 results of the company. Joining with me today on the call is our management: Mr. Diwakar Nigam, Chairman and Managing Director; Mr. Varadarajan, Founder and Whole Time Director; Mr. Viren der Jeet, Chief Executive Officer; Mr. Arun Kumar Gupta, Chief Financial Officer; Mr. Tarun Nandwani, Chief Operating Officer.

Before we move on to the discussion, let me highlight that this call may contain certain forward -looking statements concerning Newgen's future business prospects and profitability, which are subject to a number of risks and uncertainties and the actual re sults could materially vary from the forward -looking statements.

Past performance may not be indicative of future performance. The company does not undertake to make any announcement in case any of these forward -looking statements become materially incorrect or update any forward -looking statements made from time to ti me by or on behalf of the company. For further details, you may please refer to the Investor Relations section of our website.

I would now hand over to Mr. Varadarajan for presentation of the results, which will be followed by a Q&A. Thank you.

T. S. Varadarajan: Good afternoon, everyone and thank you for joining us today for the Q1 FY '26 Earnings Call. It has been a muted quarter for us given the uncertain economic and geopolitical environment across the globe. We witnessed revenues of INR321 crores during the Q1 . As mentioned in the past year, Q1 is traditionally a seasonally weak quarter for us in terms of business, which is further accentuated by current condition s. The U.S. tariffs and global conflict have led to a complex mix of consequences for customers and industries.

While the pipeline is healthy and holds up well, we are experiencing that customers are taking more time and being cautious in decision -making and the project starts. As a result, the funnel conversion is lower than initially anticipated at the start of t he quarter. These deferrals and closure delays have led to slow license sales and subsequent implementation in Q1.

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However, our subscription revenue growth is getting back on track. During the quarter, we witnessed a growth of our SaaS, ATS/AMC revenues, which reached INR121 crores. These revenue streams saw a 19% Y -o-Y growth compared to Q1 last year. We see the dema nd of our BFSI solution holding up and being resilient.

Overall, we won 12 new logos during the quarter, which will add up to the revenues in the coming quarters. However, the average deal sizes have been lower in comparison to earlier. Our key wins, include working with a bank in the EMEA region on the enterprise workflow and content management, the aggregate value of the order being USD2.5 million . Working with a finance company in Saudi Arabia to develop end -to-end financing system, the aggregate order value is USD1.6 million . Added an insurance and health care customer in Philippines for developing health claims and OCR systems. In India, working w

with a Small Finance Bank for a loan origination system for personal loans.

Coming to our products, as part of our AI strategy, we are making significant investments in AI-driven products and solutions. Our platforms are leveraging AI, especially machine learning and Generative AI to drive decision-making, automation, personalization and intelligent user experiences across the entire workflow. The AI-led use cases are driving deals and customer discussions across all verticals.

As mentioned in the last quarter, we are continuing on the path of the vertical first go-to-market, focusing on various journey clusters across banking, Insurance and government segments. The journey clusters are decided on the basis of their revenue potential and product maturity, investment and portability across geographies.

During the quarter, we were granted a patent for inventing a system and method for data compression. The invention addresses efficient data compression for large volumes of data files, where the majority of content is similar with a smaller amount of varying data. It aims to reduce storage space and improve speed and efficiency of data handling in a much better way than conventional data compression technique.

This is especially relevant in industries handling volumes of structured document, forms or system-generated report, enabling them to save storage at costs and faster data handling. In total, we have 25 patents already granted under our name.

During the quarter, the company was also recognized in the Gartner Market Guide for U.S. Health Care Provider Credentialing and the Forrester's Digital Process Automation Software Landscape.

As an organization, we are adapting to the evolving environment with focus on improvement in growth trajectory and maintaining profitability.

Our profit after tax for the quarter was at INR50 crores and net margins were at 15.5%. We expect that in order to retain good quality employees, our wage costs would increase. However, Newgen Software Technologies Limited

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this would be balanced by enhancement of productivity through automation and AI. This would help in optimization and maintaining our profitability.

We continue to prudently invest in R&D and sales and marketing. We have invested 9% of our revenues on R&D initiative and around 26% of revenues on the various sales and marketing activities. On the balance sheet front, we witnessed a robust cash flow generation, with our net cash generated from operating activities for the quarter at INR81 crores. Our net trade receivables were at INR504 crores as of 30th June, which resulted in net DSO of 123 days.

We began FY '26 in a challenging but transitional environment. During the year, our strategic focus would remain on AI-led transformation, optimization of effort and building resilient client relationship.

We believe that our funnel continues to be strong and closure would gradually improve in the quarters -- in the coming quarter, leading to improvement in overall growth in the second half of the year. In addition, the annuity revenues will continue to pick up growth with project closures. We remain focused on our growth path and disciplined execution.

That's all. Thank you very much and we are open for Q&A.

Moderator: Thank you, sir. We will now begin the question and answer session. The first question comes from the line of Rahul Jain from Dolat Capital.

Rahul Jain: Firstly, if I look at the deal win data, it is still healthy at 12. But the sale of product did not do well much. So is it that we have seen a smaller size deal, maybe in the insurance where probably the size of the deal are lower? Is there something to look into that?

Virender Jeet: Thank you, Rahul. And yes, we can hear you clearly. Rahul, you are absolutely right. So basically, if you look at overall deal wins, the deal win rates has been the same and

and it has been

across all geos, we have won deals. And the deals have been both in insurance, financial services, government, in all 3 segments, we won considerable amount of deals.

Yes, one thing which has changed is compared to last year or at least last 5, 7 quarters, the larger programs which customers were deciding, those programs are getting slower. So in terms of the tactical deals, which are in the range of somewhere between INR4 crores to INR8 crores, INR9 crores are getting decided.

But the deals which were in INR20 crores, INR30 crores, or INR50 crores ranges, we are seeing slight amount of slower pattern decision-making in that. So the current ratio of the license sale being lesser than last year's licenses is on account of having deals but not at the same value as the last year.

Rahul Jain: Interesting. And also another impact that we saw was on the implementation revenue. So is this a slower ramp-up that has in the existing deals or this was more of a balance schedule, which we saw in this quarter on the implementation side?

Virender Jeet: Yes. I think implementation is more this quarter specific and it is on account of 2 things. One is also that the new deals also have some residual implementation, which we typically used to get billed, which has slightly been muted as the deals are much smaller. The second is also that some amount of our previous large orders, they are still in kind of a slow-going execution mode.

So not much has been realized from the previous order book in that case. So we think -- but on the implementation front, we think that it should balance themselves, next quarter it should become automatically better.

Rahul Jain: Okay. So we should see a stronger implementation in Q2 irrespective of our new win momentum in Q2?

Virender Jeet: You see, the new win momentum will determine the largest outcome. So next quarter, I think the current momentum and the previous momentum should drive slightly stronger implementation.

Rahul Jain: Right. And there was another comment that we should see a better deal momentum in H2. So are we seeing that the slower decision-making impact to sustain in Q2 and Q2 may also be seen as a weak quarter for us?

Virender Jeet: See, the way I see it is, Rahul, that predominantly, the funnel is quite strong. And significant -- we have significant number of large deals in the funnel. What we have experienced slightly a slowdown in conversion of those. And I think that right now, the way the status is projecting a great turnaround in just next 30 days or next 60 days seems to be difficult. That's why the commentary of the H2 seem to recover is more logical rather than saying the Q2 may see a change.

Rahul Jain: Okay. So in that light, what kind of an outlook one should see for this fiscal or you think our typical 20% kind of an outlook could still be achieved? Or we think, for -- given the macro that should be pegged lower at this point?

Virender Jeet: See, Rahul, see, we are still pegged, whether in the end of March or now, we are still pegging the whole year for the growth and that's what we are investing in across all places. The number 1 challenge for us right now is the deal size. And that is the only difference which has happened in the business. We don't see too much slowdown in the overall business momentum.

We'll see closures. Whether we can reach 20% higher or lower than that, it will be very difficult to project right now for us. So right now, we'll have to hold on to that and see how the year shapes up.

Rahul Jain: And just last bit from my side. Let's assume a scenario where we might be seeing this lower conversion of the smaller deal to remain more in stay. You think our other expenses or SG&A side investment might go slightly lower and may drive the margin up for us in this year? Or you think we would r

etain the previous year margin on a broader basis?

Virender Jeet: See, I think right now, there is enough variabilization of cost build up to a certain extent. But I think as we have been telling that we are always a growth-led company. So we do have upfront costs and then eventually, we end up making sure that we meet our targets. So if we achieve any reasonable sense of growth, we should be able to expand margins or at least retain the margins. I don't see margins becoming a challenge as of now because we are still pegging for a growth for this year.

Moderator: The next question comes from the line of Aditi Patil from ICICI Securities.

Aditi Patil: My first question is on -- so what has led to the smaller deal sizes, is it more structural in nature? And also, could you give color on the client behavior across Middle East and India?

Virender Jeet: Thank you, Aditi. So think about, Aditi, what has led to smaller deal sizes, predominantly, I think what we have seen over the last 3, 4 quarters is the momentum of typically the larger DLP programs, from public sectors or even enterprises, is getting converted into more single journey cases now.

So we see the larger programs being lesser in terms of compared to what there were in funnel 1 year back. Having said that, there still are at least, both in trade and lending, we have a large funnel of large cases which are bound for conversion. So we're hoping that some of them will close there.

In India, specifically, it is the public sector momentum of DLPs is slightly lesser but it is picking on other areas like trade and other things. In Middle East, we see overall, generally slightly, we are seeing a slightly slowdown of spend in banking for us. In that case, what happens, the tactical

deals are still able to sail through and the larger deals are slightly having an elongated sales cycles. So that was the first. Sorry, what was the second part of the question?

Aditi Patil: Yes. I think you have also covered the second question about client behavior in Middle East and India. So is this specific to the banking vertical?

Virender Jeet: Yes, predominantly. If you see our larger deals, predominantly come from banking. And I think the insurance market for us has been small. It's always tactical deals. Government has both, they can be sometimes large and sometimes small. We don't see change in out there in that behavior. But the larger behavior since banking is almost 60%, 65% of the business. So any impact on that does have an impact on the company.

Aditi Patil: Yes. So this come back of the larger deals, especially the deals in -- larger deals in trade finance and distress lending. So do you think that this may take some time and like a recovery may happen only like towards the end of this year? So like how should we look at the full year growth? Should we consider Q1 as a base and then model based on the Q1 run rate?

Virender Jeet: See, Aditi, I think for us, it's also a difficult question because we are always poised for growth. So we treat this quarter as an exception. And we will again go with full momentum to recover growth in second, third and fourth quarter of that. Having said that, what I see right now, there

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is globally also, not only in India but in other markets, we do see that customers are slightly pulling back across all major decisions.

So we are still hoping that if that behavior slightly improves, our larger deals also can close apart from the smaller deals. So I don't think that Q1 will become the base. A lot of our existing business for which we don't have to get any orders also is spread slightly lopsided. So Q2, Q3, Q4 are much larger than Q1. Though the dependency on large license sales is across all quarters but still the base of the business is

not -- Q1 is not the base. So Q2, Q3, Q4 have a different base than Q1, like in the previous years.

Aditi Patil: Okay. Okay. Got it. And our other vertical has grown at a healthy rate since last 2 quarters. So which sub-segments are growing in this? And is it a focus area or it would be one-off growth?

Virender Jeet: No. So I -- as we said, insurance and both enterprise are becoming focus areas for us. The funnel in that is becoming wide. AI is driving a lot of new cases and innovation in the, typically which was very stagnant use cases. So the funnel out there is -- the only difference in that both insurance and enterprise, you will see the deal sizes to be a very average value.

They are not substantial, deal sizes. So what we are expecting to increase the overall velocity of wins. We want to really improve our velocity of wins from 60, 70, to all the way to take up to 100, right.

Aditi Patil: Okay. Okay. What I was referring to is, so we gave out verticals split as BFSI, health care, insurance, government and others. So others has done well since last 2 quarters. So which sub-segments are included in others?

Deepti Chugh: Enterprise is part of others segment.

Virender Jeet: Yes. So others is enterprise, yes.

Moderator: The next question comes from the line of Hardik Doshi from White Whale.

Hardik Doshi: On your comment on the slowdown in decision-making and just because of macro uncertainty.

I just want to understand, I mean, because most of our business comes from India and the Middle East and Asia. And in general, I mean, I understand the slowdown in U. S. and Europe.

But why this would impact especially like countries like India and Middle East, where there's not been that much of an impact. So what are you -- what are the clients talking about? And why do you expect this to come back in the second half?

Virender Jeet: No, Hardik, these territories have more localized issues. Like in India, the issue we are facing is about slightly amount of pullback in retail lending across in terms of the risk exposures, how the market is seeing and then how do you pull back in. So larger segments of unstructured lending are pulling back.

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So -- but still on secured lending side, there is still some momentum. So that's why I said the single product journeys are still going on in the market. Middle East is also -- it's -- I think Middle East has multiple issues. Middle East does not have the same issue. So surely, the oil prices stay still but also the geopolitical turmoil, like I think one of the challenges we faced in the Q1 of this quarter, all the visas for Saudi were blocked.

So there was hardly any business travel or any execution travel which could happen in Saudi.

So though this problem has nothing to do with the turmoil, it was to do with Haj or something around that.

So there are local issues which are affecting these. And so they don't seem to be major, larger. That's why I'm hopeful that as slightly the temperament or mood changes, like in -- I think we don't have the Saudi issue now this quarter. We're hoping that the visa restoration will happen this quarter. So they will -- this will get normalized on that.

Similarly, in India if the retail lending or lending pushback slightly goes away, we still have a lot of cases and a lot of banks to address where we can go and sell our product. Trade is decoupled with these but trade, again, is an issue which takes larger gestation cycles of closure of deals.

So overall, you're right, the larger global issues have a lesser impact in India and Middle East. But I think, what we have sensed in last 2 quarters, there is a slightly organic slowdown in decision-making across all places.

Hardik Doshi: Got it. Also, I think in the last quarter or a couple of quarters, we've been talking about delayed implementation of some of the

large PSU Bank orders that we had. So where are we with them?

And like, I mean, will that help in the kind of revenue recognition over the next 1 quarter or so while this decision-making is slow?

Virender Jeet: Yes, I think you will see that. I think, as I said, that it may take 2, 3 quarters but I think this progress is happening on that, both on ATS, which is typically the revenues, which starts after the implementation, you will see there's a substantial growth this quarter. In fact, I think the revenue is less. But on the billing side, we have given a much higher growth rate on ATS. So the subscription part of the business, the compounding part has started growing. And I think it will continue growing in Q2 and Q3 this year. It will provide some cushion but it will not provide enough cushion if we don't do large license sales.

Hardik Doshi: Okay. Got it. Just one last question is, I think in one of the slides, we talk about the AI agents that you've introduced, I think LumYn, Harper and Marvin. Can you just talk a bit about how have you kind of embedded these into your products and how this has enhanced the application?

Virender Jeet: See, Hardik, what we realized, especially with the traditional AI, the ML models, as well as the GenAI with end uses. So lot of use cases where customers were stagnant in the area of ECM or the customer communication management. They have got reignited. Customers have started looking at even the last mile of automation, which was left out of that.

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So all -- what we call the intelligent document processing use cases are getting induced, both in enterprise as well as in segments like insurance and banking. What we have done is, we -- our products have anyway are slightly ready. They have been ready for some time out that. But in terms of our GTMs are getting more stronger about that, getting mind share, our ability to demonstrate, execute these projects. That's what we are building right now on that.

One thing is clear, most of the use cases we are driving now, I think 70%, 80% of use cases, AI is either a very central part of that or is a very substantial part of that. Even on lending use cases, we are having AI as a substantial part of those cases. So we have been -- we have made ourselves ready for that. And we are hoping that, that should lead us to getting even larger number of deals on the table.

Moderator: The next question comes from the line of Shaleen Kumar from UBS Investments.

Shaleen Kumar: So sir, this -- the growth has been a bit on the surprise side. Are there any cancellation that have happened?

Virender Jeet: No, we have not got any cancellation based any impact in this quarter.

Shaleen Kumar: Because you've impacted -- even during the quarter, it doesn't feel like that it was -- doesn't feel like a sudden surprise to you as well, if somebody just doesn't happen?

Virender Jeet: So as I said, we have been -- we have a very long history of growing consistently. And I think this has been a surprising quarter for us. I think what -- it has happened also there is -- I think broadly, if you understand the contours of the business for us, I think we are still dependent on large amount of license sale for the growth every quarter, which is the jerky part of that.

So there has been some amount of mutedness on that. And which also the implementation, which is a result of that license, there has got a some impact on that. But the impact on implementation is only -- not only on account of that, it's also on account of some delayed executions in our existing projects and other things, which I think has slightly started recovering, which will also recover next quarter on that. Yes, it is a surprise, but the surprise is predominantly based out of our ability to go and get new orders.

Shaleen Kumar: One is you're saying that customers are

taking longer but then those deals you couldn't close in June are you able to close...

Moderator: I'm sorry to interrupt, Shaleen, you are not quite audible. Could you at least move to an area where the cellular network is better?

Shaleen Kumar: Is it better?

Moderator: Yes, better.

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Shaleen Kumar: Sir, I was asking, so some of the deals which you were not able to close in June, were you able to close them in July? Were you -- are you able to say then that those will be coming back in July or this quarter?

Virender Jeet: You see, it's a natural thing. Every quarter, if some deals slip, some of them do come in July and some of them vanish. But what I'm worried about is still about the larger deals coming in. So I have not still got any -- in July, we have not got any of those larger deals yet in. We are still projecting some of them to close this quarter. So if we can close those 2 deals or 3 deals this quarter, I think we can do a better quarter compared to Q1.

Shaleen Kumar: Right. Sir, I got dropped off in between. What -- did you talk about any guidance for this year?

Virender Jeet: No, sorry. I think we never talked about guidance. This is the only guidance I can tell, which is internal. We still are projecting for a growth here. We are going to still go in investment mode in sales, marketing, our ability to ramp up, build our products. And we will always treat some of these quarters as some intermediate jerks, which we can either springboard on or at least recover fast.

Shaleen Kumar: I mean you have a very strong history growing close to 20%, sir, 18%, 20%, right? So from that perspective, how should we think about like, can we still think of like mid-teen kind of a growth despite muted 1Q?

Virender Jeet: We have never given any guidance. We have only a history. But in history unless it is proven wrong, it's always becomes a history. But as I said, I can only tell you what we exactly think -- internally, we are planning for a growth year. We are not planning to manage at a flat or a muted growth year.

But I think right now, the way the environment is unfolded for us, we think slightly there's a huge uncertainty. So right now, commenting on guidance may not be the right thing to do. And just give us a few more months, I think we should be able to give you much exactly. We get the hold of whole situation and try to move forward from there.

Shaleen Kumar: Right, sir. Sir, anything else like an external factor that could be affecting our growth like a competition or change in customer behavior towards our product?

Virender Jeet: See, right now, I think from looking at my funnel and my opportunities on the table, we don't see any threat or any losses which have been. So we have not lost too many cases. That is what would -- or we have not seen the funnel shrinking. So right now, we have a healthy funnel growth compared to last year.

And also the conversations on closure, there are a lot of conversations on closure. And so I don't see any big change, external factor. What has really happened, only 2 contributing, large deals, lesser conversion of large deals and typically slightly amount of slower decision-making. That's all what we are looking at right now.

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Shaleen Kumar: Sir, what could be the possible -- is there -- can there be a case where these large deal customer decided not to go ahead? I mean, is there an alternate for them? Like -- or is just that they can keep on delaying it and they have to come?

Virender Jeet: See, I think in enterprise B2B software, we have realized that the competition to any deals are multiple front. And I think one of the competition is always status quo in case of uncertainty. So it's also what happens and when the overall momentum is more positive, more custom

ers are

deciding, more deals happen. And when less customers are deciding, or slightly reluctant, less deals happen. Those deals won't go anywhere for us.

But they may change from 1 quarter to -- they get deferred for 3 quarters or 4 quarters sometime if you lose to the customer. So I don't see broadly any customer behavior, which is very different. We have seen this always in uncertain times. We scale it through either more acceleration in sales, more better deal conversions and getting more number of logos. That's how we fight it out.

Moderator: The next question comes from the line of Grishma Shah from Envision Capital.

Grishma Shah: I'm curious to know how the U.S. market has done in particular? And what is the outlook, given

that quarter 4, we had seen very good deal wins in the U.S. market? That's the first question.
Virender Jeet: Grishma, thank you for the question. I think the U.S. market, we are staying invested. I think we have -- that market also has not been very different on growth compared to this last year. Though Q4 of that, we are able to close 10 deals, some in existing and 6 deals in new.
In Q1, we had just, I think, 2 major deals coming from existing accounts, 1 in insurance and 1 in one more segment, I think. We have a good funnel both in U.S. and around U.S. market in both insurance, health, as well as banking. Out there, we are also running after some very large deals and we hope that at least few of them will close in this year.
But yes, right now, we'll have to slightly wait for some more time for the market to really kick in for us. It is not -- right now, it is not helping the growth. It is staying at the same rate as other markets are.

Grishma Shah: Yes. The other question that I had was on the margin outlook, given that we would also have wage hikes and the growth slowing down, so the operating leverage in the business also gets impacted. So what's the range that one should look at in terms of operating margins? Or if you could give some color on the wage hike impact, either way?

Virender Jeet: See, right now on the operating margin, we have historically maintained that our net margin should remain at around 20%. But also I think there is one important thing. We are -- since we are already pivoting for growth every year, so our costs are slightly front-loaded in terms of our manpower. Though we have a lot of -- depending on sales performance, we have a lot of variability on that. So that should kick in. So I would still go and hope that in this year, we should still be able to maintain our margins as we are saying.

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But if the growth rates fall substantially, then the margin will get affected irrespective of what we do in that because internal levers are much lesser on a slower growth rate for us. So we are not poised that we can maintain margins at 1% or 2% growth. That's not the way the company can handle right now.

So on the wage hike, so I think we have not taken a final call on that. There is going to be surely wages increase for our campus people and certain level -- up to a certain level. We will decide that exactly in next 1 month or so. And I think in next quarter, we can give you a more clear picture about that.

Grishma Shah: Okay. I mean any color or more color on the competition? Do you see more competition emerging in certain geographies which, like the Middle East or the African region? I mean, is there some new competition emerging, if you could throw some light on that?

Virender Jeet: See, nothing material. So what happens is we have these global players who are competing all the time in like the ECM players and the BPM players. And then on a local basis, you have local competition in every country, depending on what vertical use cases are there.

And then there is always a third competition, which is about the startup ecosystem,

AI-led

companies which are -- so I think that remains the same. I don't think there's any big -- and right now, competition is not determining any threat to us or any challenge, which is, we are losing too many cases to competition.

So I wouldn't say there is too much -- the only what is structured, the larger platform players are entering our traditional market areas like you have more and more players coming to India, more and more players coming to Middle East. So there is a some amount of slightly crowded market out there.

But then both our platforms and our vertical focus is helping us win those cases because we are still very specialized for banking, very specialized for insurance. Those things give us that strategic advantage against that competition.

Grishma Shah: Okay. And there hasn't been any pressure on pricing as such, right?

Virender Jeet: Nothing more than which has been usual. I don't think any -- anything.

Grishma Shah: Yes. Okay. And can you also just tell us about the tax rate that we would have for the next 2 to 3 years?

Virender Jeet: I think around 23%, 24%, tax range.

Management: Yes, it's 22.5%.

Virender Jeet: 22.5 %.

Moderator: The next question comes from the line of Mihir Manohar from Carnelian Asset Management.

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Mihir Manohar: Sir, you mentioned about large deals pipeline, I think, [inaudible 0:36:51]. When we see the

India business, okay, I mean on the India side, there was PSUs which was -- there was rationalization coming on the PSU side, some saturation also you had mentioned?

Deepti Chugh: Mihir, can you repeat your question once?

Virender Jeet: Mihir, sorry, it was not audible. Can you just repeat it? I think are we dropped or?

Moderator: Mihir, please go ahead with your question and unmute your line in case if you are on mute. Since the participant has dropped, we will move to the next participant.

And the next question comes from the line of Ruchi Mukhija from ICICI Securities.

Ruchi Mukhija: I have 2 questions. First, was the slow -decision making persistent throughout the quarter?

Virender Jeet: Yes, Ruchi, I think we have seen this not only this quarter, we saw it also last quarter. I think last quarter, I think some of our deals did were back into that slow decision -making process. So we have seen this slightly creeping in from Q3, Q4 and now slightly more prominent because the Q1 is also a smaller quarter for us. The results become more prominent in Q1. I don't think it is -if you're saying has it been consistent for the quarter, yes, it has been consistent for the quarter.

Ruchi Mukhija: And could you help us, what are the signals that we are watching to monitor this case of client decision, what steps you're taking especially to ensure it's not getting worse?

Virender Jeet: So Ruchi, sorry, I couldn't get your question. Could you just repeat it?

Ruchi Mukhija: What are the signals or signs we are keeping a watch in order to monitor this health of client decision -making, especially any indication to keep a tab that it's not worsening?

Virender Jeet: Yes. So I think what -- this is typically a part of the sales process. We are looking at our conversion rates. We are looking at, I think, stage movements of cases. Finally, also the contract phases and the time span of cases. So you can -- so see, there are 2 ways to look at it. One, we look at it at a holistically across the enterprise statistically, because that is where the larger data comes from the sales management system.

But also for our core cases, they're projection for closure. We look at accuracy of that projection in terms of commit accuracy. And that is where we get exactly like in terms of are we at 70% of commit accuracy, 80% or 40 % of commit accuracy.

That gives us that indication how the market is moving because when we are talking about slowdown

when we are talking of in cases which are at the decision -making, which are at the closure stage, which is called negotiation stage or a closure stage. Both -- we are tracking on both ways. I think we do get a fair amount of indication about when things start changing their -- either momentum either way.

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Ruchi Mukhija: And if this slowness persists, do you think some strategic change in terms of what kind of work we seek out in the market? Maybe if the small deals is what we are getting in the market as we try to reach out to more customers so as to make up good revenue numbers?

Virender Jeet: Yes, Ruchi, absolutely. I think we can't just hope for things to change. We change them ourselves. I think right now, the core focus is slightly expansion of our target market and increasing the velocity of the deals which are typically in that sweet spot. So rather than targeting 60 deals, we think that we should target more like 100 deals and try to compensate for if there is a slowdown in the larger deal segment.

And also, as last year, we diversified into insurance, we opened that vertical. Enterprise is also showing some traction. So we are expanding the addressable market as well as looking at more velocity. So -- and also the plans will be very specific to every geo and every account how we want to solve it.

Ruchi Mukhija: Last question. Now when compared to large deals -- now between the large deal and a small deal, could you talk about how does it change the profitability economics for the company?

Virender Jeet: See, I think large deals have large license components, which are much absolute better margin. So typically, however we meet our license targets, I think will have the same impact. Whether we do the revenue from 3 large deals or 30 small deals, if the license amount is same, then it does not change the profitability of the company, it is at the same thing.

So as long as we meet the high gross margin revenue streams, which is the license, ATS/AMC and subscription, the percentage of that revenue to the percentage of the overall revenue does not shift significantly. Our gross margin positions don't change.

Moderator: The next question comes from the line of Mridul Goenka from CLSA Capital.

Sumit: This is Sumit from CLSA. Just 2 questions, Virender Jeet. First is, sir, wanted to understand, is there any structural impact of AI agents or Agentic AI on low -code, no -code industry altogether?

And the second question is, I mean, are you still holding on to longer -term growth potential of 20% for your business given that the overall TAM is pretty big and you have a very small market share?

Virender Jeet: Sumit, thank you for this question. I think this is a very important question. So what -- you're

absolutely right, the Agentic AI space or the GenAI space in general is also disrupting lot of code generation initiatives. And of course, since it also, in a way proposes a very different way of low -code or no -code so in terms of reducing the overall development cost, there is an overlap. But in our use cases, if you understand our GTM is predominantly determined on verticalization of offerings using low -code or no -code as a technology.

So what we ride on is similar. So basically, now we are saying that you can build our loans origination system through a low -code platform, which also uses Agentic AI or GenAI to augment the code building part of it.

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So we don't see a challenge on that. So there is no direct competition between Agentic AI, GenAI and low -code. I think what low -code plus augmented low -code with GenAI is the new offering, which most of the people will be proposing, including us in our offering. So I don't see a concern, I also see, it may also accelerate low -code in terms of GenAI may

add one more capability, the

whole low -code just accelerating the whole low -code initiative in the market.

On the overall, I think you're absolutely right. We still -- since the total TAM is very, very large and also our aspiration is to go deeper into U.S., Europe and other things, we don't think there is going to be any kind of a muting down our overall aspirations.

Our overall aspiration is to even accelerate the growth rate above our historical growth rates to reach higher. So I don't see there's any challenge. We may have 1 or 2 quarters, few quarters and every 5, 7 years like this but that does not change the overall outlook of the company.

Sumit: So do you think this is more like a phenomena where certain deals and projects are being pushed out rather than being canceled? So you're over a 3 - to 5-year period, the growth will still be in high teens or low 20%, similar to what you have been delivering for the last several years?

Virender Jeet: Absolutely, I don't think -- whether the reason is that or not but I think, yes, over the long -term outlook, we don't see any change in the long -term outlook. Whether these deals are pushed out or there's an overall delay in deals, I think we -- what -- as a sales company, we'll find ways to really overcome that and start selling more.

And because as you rightly said, the overall addressability of what we have is very, very wide. We'll have to really find -- the market is not a bottleneck. We have to prepare for more markets, more use cases and go and sell them.

Sumit: Right, right. Because I think the only problem, the issue we face is, I mean, like if you look at the Indian banks or Middle East banks or the economy, they have been still humming well. The earnings growth has been resilient, not that bad. So that performance for you guys from Middle East and India and the banking sector is a bit of a, I would say, an outlier in that context where we don't know what's happening with the competition or on the product side. So that is, I think, the main concern from the investor community from this results?

Virender Jeet: No, I can understand and appreciate that. But I think, no, what happens is, we have seen few quarters because of various reasons. But as you rightly said, they don't change the overall picture about that. We still don't have any larger challenges in the market, we -- at least in these 2 markets, we are the player where everybody has to fight.

That picture has not changed. So I think we'll have to just get some of the large deals in this market in place, which we'll address. But on the larger time, we'll have to get the U.S. story going. Europe story going and the Australia story going.

Moderator: The next question comes from the line of Mihir Manohar from Carnelian Asset Management.

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Mihir Manohar: Yes, sure. So really wanted to understand the large deal pipeline. I mean, you mentioned that for India side, specifically, there was some situation which is there on the PSU. But why is the large pipeline getting shrink, specifically, I mean, Middle East as well as Middle East, U.S. and Europe? Some color on that will be helpful.

Also, you made a comment, in the second half, you expect the numbers to turn around on a better shade. I mean, from an external perspective, let's say, how to get confidence around that? Some color will be helpful.

Virender Jeet: Yes, Mihir, thank you. I think 2 things you are rightly saying. So when I said large deal, I think the bigger concern is not the pipeline but it's about the closure. So what we have seen, that our large deals have not closed. And what I was saying that I think what last year and 2 years, we had a huge momentum of public sector orders which were decided, which were very large in size.

I think overall, the addressable market of that public sector also has closed. We ha

ve almost

implemented most of them. I think there are 3, 4 left, which we are probably going to get in next quarter or next quarter or next quarter, something like that would happen.

But it is that whole addressable market itself. While that has closed, we have opened opportunities in payments and trades, again, in those things. But I think, again, the pipeline in payments and trade is not as strong as the DLP program was pipeline. So I think there is 2 issues in large deals. One is about overall pipeline in India of large deals. The second is also the closure rates and across market in large deals. So both of these are -- have added to the problems of this quarter...

Mihir Manohar: Sorry, can I interrupt?

Virender Jeet: Yes, sure, go ahead.

Mihir Manohar: In terms of India, there is this DLP program, which got completed, which is true. But what's the reason for the large deal pipeline getting lower in other geographies?

Virender Jeet: See there, if you look at very large deal pipeline is happening only in India and Middle East.

Those are our big markets. Rest, there are large deals but they are similar, they will be in INR6 crores, INR7 crores, INR8 crores, INR9 crores only.

In Middle East, as I said, I think this quarter, we had one strong phenomena and that in Saudi, we were not able to travel for sales or for service delivery. That did impact our ability to close, our ability to move on to those deals. So we think we should be able to recover from that going forward in next quarter or next, next quarter.

So come to the second part of your question, I think why we are confident because we are still generating more cases and we're still generating more new deals, which are large deals. So overall demand situation, we have not seen very difference. The only difference we are seeing right now our ability to close the large deals.

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So we are hopeful that things should change for us going forward in next quarter or in the next half of the year. But I think we'll have to wait and see how the market behaves. And as we get more into -- in a few more months, we'll get more insight into exactly what's happening and how do we mitigate the current situation.

Mihir Manohar: Understood. Sure, sure. And just last 2 questions. I mean have we lost any customers in the top 20 accounts or on the sales team side, our sales team, is there any churn which has happened, which could be a point of concern?

Virender Jeet: I don't think we have any churn, which is impacting revenue. But I think I can ask Deepti to send you the top revenue contribution from top 20 accounts last year versus this year.

Deepti Chugh: They keep changing in anyway.

Virender Jeet: They keep -- the names keep on changing. So there's no big account churn, which can make a material difference to our business in such a large way.

Moderator: Does that answer your question, Mihir?

Mihir Manohar: Yes, yes. I had just one question, which was there. Have we lost any customer in top 20?

Virender Jeet: See, we have some churn of customer, at least smaller -sized customers, which are typically the channel partner customers every year. I think historically, we have 2, 3 customers we end up losing every year through contracts or through cancellations or some times through mergers and acquisitions, change of priorities. But none of -- nothing which is very different from last year. In top 20, we don't lose anything.

Moderator: Does that answer your question, Mihir? Mihir, are you there? You're not audible.

Virender Jeet: I think his line is not fine.

Mihir Manohar: That does answer my question. Actually there is some disturbance in my line. I'm sorry for that.

Moderator: The next question comes from the line of Debashish Mazumdar from Svan Investment.

Debashish Mazumdar: So sir, I have 3 questions, 2 at the macro level and 1

at the company level. So the first question

I have is, there is a concept that because of AI coming in and the implementation to -- implementation cycle to cost benefit of an enterprise software business will change significantly for a client.

So do you see that happening at the ground level or is there any change happening that your cost -your period of implementation is coming down so that your cost to a customer comes down and that's why the acceptance goes up? That's my first question. I will come back with 2 more questions.

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Virender Jeet: Yes, Debashish. I think you're absolutely right. See, one of the biggest advantages of GenAI is about -- in terms of the speed by which the software development cycle can get affected, both in the coding and other stages of software development.

So what we see happening is that with AI, overall, what people can execute with the same amount of time and resources will substantially change, will change by a large magnitude, which would, for use cases, make compressed execution cycle and will provide material advantage to the customers.

But what it triggers is also is the faster innovation cycle. So you now end up opening up more projects and more execution. And you end up -- customers end up automating or digitization or using AI for more and more cases. So overall, from my outlook, I think the overall spend on IT or projects would keep on increasing. But yes, for the same project, the cost may substantially improve.

Debashish Mazumdar: And do you -- are you kind of seeing this kind of trend that because of this thing, the acceptance is going up? Or it is still early for us?

Virender Jeet: See right now, I think right now, I think at the top level, there's a communication, people expect optimization, people expect use of AI. But I don't see right now the tangible it has translated in some amount of expectation of value and numbers. But we are not very far from that. I'm very sure in next 2 quarters, you will see this conversation happening on all existing projects and all existing contracts of how to optimize them.

Debashish Mazumdar: Understood. The second question is and pardon if you have already answered this question, I have joined little late. If I see my product or license growth this quarter, there is a sudden drop. I understand there's a kind of seasonality here.

So is it more to do with the macro challenge with -- especially with the BFS segment and some of the other segment clients? Or there is some lesser acceptance of our product or moving into more updated version or stuff like that, which is more transitory in nature?

Virender Jeet: So see, right now, we see the traction for our products overall can be determined from the funnel and the funnel side. We don't see any challenge. We also don't see any challenges in terms of number of opportunities which are coming to closure. That's why I think our license sale is dependent on 2 things.

One is about number of new deals and number of mining cases we create in existing accounts. But also, it also depends on the size of those cases. While you see on the number, we are very close to what we did last year.

But on the size, we have shortened and that is the result because we didn't get any substantial large license order this quarter, which we think will not stay same going down the quarter. We should be -- because the funnel has a lot of cases which have large license deals. I think in Q2 or H2 of this year, we should be able to recover that.

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Debashish Mazumdar: And one last question is, if I see my support revenue, which is more service in nature, it is kind of stagnant for last 4 quarters. Now if I understand correctly, until last quarter, my license growth was significantly higher. So why it is not getting

percolated into higher support revenue and why specific decline in last quarter and very anemic growth this quarter?

Virender Jeet: Yes. So I think we had explained this. I think this was one of the concerns last few quarters in our revenue, both support and ATS. Since we said a lot of large projects have not reached the closure stage, this revenue stream has not triggered. So this is still an opportunity for this year for both our AMC, support and subscription to grow much more faster than last year.

And I think some of these projects are coming in the stage of closure. So the first thing you will see that the AMC will grow out of that abyss. And the second subsequent next few quarters, you will see the support revenue growing on that.

Debashish Mazumdar: And sir, this delay in closure is largely to do with the longer execution cycle because of the general uncertainty in the market?

Virender Jeet: No, no. Sorry, there are 2 parts. One is about license deals. The value of license is impacting...

Debashish Mazumdar: Yes. That part is understood. Why there is a delay in execution in existing license implementation or the service revenues?

Virender Jeet: Yes. So I think that's what I'm saying. Last year, we had, over the last 2 years, got very substantial large orders, which had substantial part of execution. So some of these executions have got delayed. They were planned for 9 months, they have taken 1 year, some have taken 2 years. So which has affected this downstream revenue, which is the ATS because as soon as things -- the customers go live, then only they start talking of ATS and subsequently, they start talking of extended support. So these 2 streams, if you see last year also had not grown substantially for

us.

Now we had advised that from this quarter and next quarter, you will see that these 2 streams will start substantially growing because these projects are now coming more to fructification and some of these customers are getting to next stage of orders. So that's what I was saying. This year you will see -- you should expect that both ATS and support to grow.

Debashish Mazumdar: Okay. And one last question, if I may. You were talking at the initial part of the call about increasing competition from global peers. So can you just help us to understand who are these players? And what kind of competition you're seeing there in which a reas of the business?

Virender Jeet: See, generally, what has happened that typically, we are seeing the markets where we are strong, like India and Middle East, in multiple countries, also in APAC. We are seeing there is a substantial investment done by all major global players like who are either in the ECM quadrant or the BPM quadrant to enter the market. And that the overall competition dynamics of every account is changing. So there are 2 things.

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One is, there are more global players coming to the market. And second is also the local competition is emerging in terms of new start -ups, local vertical companies. So this is -- but this phenomena has been there for constantly some time. And I think -- so what we see is that in our strong markets, we still have a very strong strength in terms of both referenceability, proven track record and our products are much more recognized because of our vertical knowledge and expert in that. But overall, yes, the c ompetition, in general, is increasing in all cases.

Debashish Mazumdar: So sir, are you saying that this new competition is basically the traditional BPM players who are trying to productize their services?

Virender Jeet: No, not only traditional. It can be platform players like Salesforce is also entering spaces like digital lending or you can have companies like ServiceNow entering the operation, which was not prevalent very much in India, now it's more prevalent. You hav e companies l

ike Mendix,

OutSystems also entering the market, which were not there 2 years back.

So these are -- so the market in the whole space of low -code is also getting very cluttered and not defined. That's why we have always pivoted in terms of our strategy going with vertical -based approach and using low -code platform as a way to accelerate th e engineering cycle.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Ms. Deepti Chugh for the closing remarks.

Deepti Chugh: Thank you so much, everyone, for joining in. For any further questions, you can go to our website or you can connect with me. Thank you.

Moderator: Thank you, ma'am. Ladies and gentlemen, on behalf of Newgen Software Technologies, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

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(NEWGEN/INE619B01017)

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(NEWGEN/INE619B01017)

Sub.: Outcome Transcript – Conference Call – Q2 FY'26

Dear Sir/Ma'am

As intimated earlier through our letter dated 17th October 2025 regarding the Conference Call of the Company, which was held on Tuesday, 28th October 2025 at 4:00 P.M. (IST), please find enclosed herewith a copy of the transcript of the said call with the Investors/ Analysts.

The transcript of the said call shall be made available on the Company's website at <https://newgensoft.com>.

This is for your kind information and record.

Thanking you.

For Newgen Software Technologies Limited

Aman Mourya

Company Secretary & Head-Legal

Encl.: a/a

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"Newgen Software Technologies Limited

Q2 FY'26 Earnings Conference Call"

October 28, 2025

MANAGEMENT : MR. T.S. VARADARAJAN – WHOLE-TIME DIRECTOR –
NEWGEN SOFTWARE TECHNOLOGIES LIMITED
MR. VIRENDER JEET – CHIEF EXECUTIVE OFFICER –

NEWGEN SOFTWARE TECHNOLOGIES LIMITED
M R. TARUN NANDWANI – CHIEF OPERATING OFFICER
– NEWGEN SOFTWARE TECHNOLOGIES LIMITED
M R. ARUN GUPTA – CHIEF FINANCIAL OFFICER –
NEWGEN SOFTWARE TECHNOLOGIES LIMITED
M S. DEEPTI MEHRA CHUGH – HEAD, INVESTOR
RELATIONS – NEWGEN SOFTWARE TECHNOLOGIES
LIMITED

MODERATOR : MS. ADITI PATIL – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to the Newgen Software Q2 FY '26 Earnings Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask a question after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Aditi Patil. Thank you, and over to you, ma'am.

Aditi Patil: Thank you, Saisha. Good evening, and welcome to the Q2 FY '26 Earnings Call of Newgen Software Technology. It's my pleasure to introduce the senior management team of Newgen. We have with us today Mr. T.S. Varadarajan, Whole-Time Director; Mr. Virender Jeet, Chief Executive Officer; Mr. Tarun Nandwani, Chief Operating Officer; Mr. Arun Gupta, Chief Financial Officer and Ms. Deepti Mehra Chugh, Head, Investor Relations.

I now hand over the call to Ms. Deepti for further proceedings. Thank you, and over to you, Deepti.

Deepti Chugh: Thank you, Aditi. Good afternoon, everyone, and welcome to the Q2 FY '26 results of the company. Before we move on to the discussion, let me highlight that this call may contain certain forward-looking statements concerning Newgen's future business prospects and profitability, which are subject to a number of risks and uncertainties, and the actual results could materially vary from the forward-looking statements.

Past performance may not be indicative of future performance. The company does not undertake to make any announcements in case any of these forward-looking statements become materially incorrect in future or update any forward-looking statements made from time to time by or on behalf of the company. For further details, you may please refer to the Investor Relations section of our website.

I would now hand over to Mr. Varadarajan for presentation of results, which will be followed by a Q&A by the management.

T. Varadarajan: Good afternoon, everyone, and thank you very much for joining us today for the Q2 FY '26 earnings call. I'm pleased to report a strong quarter, reflecting our continued focus on product innovation and customer success. Our growth momentum has been restored in Q2. This quarter, we have achieved revenues of INR401 crores, marking an 11% Y-o-Y growth. Our performance was driven by robust demand across regions, especially new and matured geographies and increased adoption of our digital solution.

Our subscription revenues reached INR126 crores, witnessing a strong growth of 20% Y-o-Y. During the quarter, we made 15 new customer logo addition. We are happy to witness new territories opening up and large break-throughs in matured market, which is expected to help us in further scaling up in these geographies. U.S. and APAC regions witnessed strong growth of 22% each during the quarter.

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India region witnessed a growth of 7% and EMEA by 3%. We are working on expanding wider in India and Middle East market. Increasing focus on Make in India initiatives is expected to give us advantage vis-a-vis international players in the Indian market.

Further, we are deepening our presence in the banking vertical and working on building customer journeys in private enterprise. Moreover, we have also witnessed early success in the insurance past segment across geographies. Our key wins in Q2 include we won a project of approximately GBP3 million from a major life and pension consolidator in the U.K. market to provide an enterprise content management and customer communication management platform. Newgen signed a 5-year contract worth of EUR4.2 million with a major retail group with diverse

portfolio of food and non

-food segment in Europe for a modernized cloud-based enterprise records management platform. We secured a 5-year contract valued at \$5.6 million from a Ghana-based conglomerate for implementing a loan management system. The company also entered a 2-year USD1.6 million deal with the bank in Americas region for supply, installation and implementation of the Newgen enterprise content management system platform. We signed a 3-year agreement valued at approximately USD2.6 million with a leading U.S. healthcare company for annual software subscription, cloud hosting services and implementation. Newgen was awarded a 5-year INR21.24 crores deal by a general insurance company in India for policy administration system. We were awarded a multiyear INR8.9 crores deal for licenses of BPM platform and its implementation for the PAN 2.0 initiative in India. Coming to our products, we are working on creating viable use cases in AI through significant investments in AI-driven product and solution. By leveraging AI, we can help boost productivity, decision-making, quality and employee engagement with enterprise system. During the quarter, we also launched the Newgen Developer Community and received an overwhelming response with over 500 registrations on day 1. During the quarter, the company also registered as a strong performer in the Forrester Wave Digital Process Automation Software in Q3 2025. We have also been recognized in Forrester the insurance agency management systems landscape. We have also been recognized as a representative vendor in Gartner Market Guide for Commercial Banking, Cash Management and as a sample vendor in Gartner Hype Cycle for Bank Lending 2025. We are happy to share that we have been selected in the Forbes Asia Best under a billion issue publish in August 2025 for the second time in a row. Our profit after tax for the quarter was at INR82 crores and net margins were at 20.4%. We are working on various steps of enhancement of productivity of our workforce through automation and AI. We continue to prudently invest in R&D and sales and marketing initiative. We have invested 9% of our revenues on R&D initiatives and around 21% of our revenues on the various sales and marketing activities. On the balance sheet front, we witnessed robust cash flow generation with our net cash generated from the operating margin activities at INR90 crores during the 6-month period. Our net trade

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receivables were at INR521 crores as of 30th September 2025, which resulted in net DSO of 124 days. This quarter has been a testament to our resilience and agility.

Despite evolving market dynamic, we have delivered strong financial performance, expanded our global footprint and deepened client relationship across key vertical. Our strategic wins in U.S., APAC and EMEA regions underscore the relevance of our solution and the trust our clients place in us. Our funnels continue to be healthy and strong, and we see improvements in project closures, especially in new and matured market. We are hopefully of continuing the momentum in the second half of the year as well.

Thank you very much. We are now open for Q&A.

Moderator: Thank you very much. The first question is from the line of Ruchi Mukhija from ICICI Securities Limited. Please go ahead.

Ruchi Mukhija: Many congratulations to the management on a wonderful quarter, excellent delivery. Could you help us understand, last quarter, we commented that there has been some delay and change in the large deal momentum. How that has played during the quarter, we heard a couple of large deals, but most of them are from developed geography, Europe, U.S. So, now how the situation in India and EMEA stand, if you could comment, especially regarding the large deals?

Virender Jeet: Ruchi, thank you, and thanks first for congratulating on the result. You're right. I think what we

had indicated at the end of Q1 that while the business momentum and deal win momentum was strong, typically, there was a significant delay on large deal closures, especially in territories like EMEA and India. I think a large part of the challenge still remains. We are -- while we are closing lot of deals and the EMEA and India large license deals are still fewer compared to last years.

So we have done a good significant around INR70 crores of license this year out of this, a significant part comes from India and Middle East. Most of the large win this quarter have been also from matured markets. So, their revenue recognitions are quite delayed. So they are not really factored in the revenue, while the deals which come from India and Middle East, you are able to realize because they are license-based revenues.

So, I would say that partly the challenge has not completely been resolved. But as I said that we are focusing on more deal velocity, organically expanding our use cases and also trying to get into newer verticals and using AI to drive some of that momentum. We should be able to also

weather these tough times and still register growth. And that's where we are right now.

Ruchi Mukhija: This quarter, even the profitability was a surprise. Is it fair to associate the better profitability to the growth from the mature or the developed market, which comes with a better margin profile?

And if we see similar growth mix across geography to continue, the margin -- upward biased margin should hold on. Is that right interpretation?

Virender Jeet: Yes, because I think as you previously mentioned that any -- our costs are typically very standard at the beginning of the year. This year, I think since the market momentum was not very strong,

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we were slightly more cautious about spend and some of the costs also about manpower expansion were not needed because the services and deliveries are getting optimized and there's also advantage of some amount coming from the AI. So the manpower additions were much muted. And the better margins due to the distribution of revenue coming from Geos is an organic thing.

We clearly understand as the subscription revenue becomes larger part of the revenue and the matured market sales where we have better realization for the same deal, we should be able to further expand margins. But margins are also a function of how aggressively we want to invest. So I think our indication of we can do something between around net of 20% of margin will continue. And the business organically as it grows, does expand margins and thus, we have an ability to deliver higher margins, but we would prefer to invest that in growth and accelerate the growth.

Ruchi Mukhija: Got it. And the last one, this quarter, we saw a significant jump in other expenses. Could you add more color to how this expenses got inched during the quarter?

Virender Jeet: I'm not very sure because significantly, we did not, as I remember, there is one sale of hardware, which has an impact of roughly around INR6 crores to INR7 crores, which could be -- maybe that is the case or I don't see there's some consultant fees which came on this quarter, but they're not very different from what we have been doing in previous quarters. So, but I think Deepti can send you more detail about -- we can exactly tell her share more details about. Nothing significant...

Ruchi Mukhija: I was trying to correlate, I mean, have we increased marketing events and given our expectation that the larger geography...

Virender Jeet: Slightly, not substantially, slightly. I think in next couple of quarters, we will start again increasing them, but nothing significant. I think there will be more incremental as to the investments.

Moderator: The next question is from the line of Aditi Patil from ICICI Securities Limited.

Aditi Patil: My first question is

on the order book growth. Can you give some qualitative sense on how our order book has grown in H1?

Virender Jeet: Aditi, thank you and yes, Aditi, we have -- last year, we said that the order book at the end of the year is a better reflection. Right now in the middle of the year, it is looking quite strong. I think the numbers are above 20% on the order book growth, in fact, mid of 20s or even higher than that. But I would take that data in the context of looking at -- because some of the order flow between H1 and H2 can be also to do with where the ATS has got renewed, where the subscriptions got renewed.

But it is surely better than last year, clearly for the same period by a significant number. And I do think over next few quarters, that should reflect in the conversion of that business. But I

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would say the order book numbers at the end of the year are a better indicator than in between on a quarter level or at a half year level.

Aditi Patil: Okay. Got it. And so last quarter, towards the end of the quarter, we had signed a couple of large deals. So did they get converted to a license revenue in Q2 because we see a Q-o-Q strong jump in license revenue.

Virender Jeet: No, not really. So, what happens in any license deal, whenever -- whichever quarter it is closed and it is built and revenue is realized. So, I don't think orders of last quarter of license would have reflected. These are typically all the orders which would have been closed this quarter. It could have some amount of service delivery revenue or some coming from those orders.

But generally, slightly all orders take a bit of lead time. Beyond license values, they all take slightly at least a quarter or sometimes 2 quarters to ramp up and start execution and some revenue started coming in. So, I would say that most of the non-license revenues from Q1 and

Q2 orders are yet to be realized. They are not in the system.

Aditi Patil: Okay. And my last question would be on -- so globally, we have seen large software companies seeing strong growth in their AI features. What are our plans on growing AI-led product revenues? And like what traction have we seen so far? And also, you mentioned about AI-led productivity helping lower employee cost or the increase in the employee cost is lower. So, can you share how our employee headcount has grown on a Y-o-Y basis?

Virender Jeet: Yes, Aditi, I think there are 2 parts of this question. First of all, for global companies, typically most of the conversation, at least in the context of India is around service companies. And their challenges, their problems and opportunities are very, very different than ours. We are -- so -- as a product company, generally, we have to pre-invest in AI to be relevant in our products. So, most of our use cases are AI-led and AI delivered.

So, product capabilities are getting enhanced or have been done for last 3 years. We have also clearly have GTMs around 5 different AI product area like credit decisioning, the trade document or IDP based cases or there are cases in insurance. These are our GTMs which are trying to drive sales, and we got some successes in Q1 as well and some in Q2.

So, I think our strategy is still about using -- leveraging interest in AI, transform use cases and enhance the digitalization of businesses. And that is where our products fit in. We are not into looking at overall AI demand and servicing that demand because I only service the demand through my products and my use cases.

So, I think we are hopeful that this over a period of time, product companies end up being net benefit of any large digital movement. And -- but we'll have to file for the space because again, in that space, I have to compete against rest of the product companies, not against the service opportunities.

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So, for the AI-led productivity, I think clearly, with the generative AI, one of the biggest advantage of use cases is what gets deployed in the whole software engineering and development.

And I think so far, the data is that people can expect between 20%, 30% productivity once they deploy all the tools. It may take time to reach that. So, we have taken an internally a target, ambitious target to make sure that we optimize and there are some pockets of zones where AI is being deployed.

So, clearly, I think in next 2 to 3 years, we think for the same revenue, we should be able to lower our service delivery, execution and product cost by 20%, 30%, which some of them will get also translated to the client. We have not added manpower compared to last year. In fact, we are roughly around 100 people less than the last year right now. So, Aditi, does that answer your question?

Aditi Patil: Yes, that answers my question. Thank you for patiently answering.

Moderator: The next question is from the line of Rahul Jain from Dolat Capital.

Rahul Jain: Yes, hi. So I was asking about this the deal win data. If we just go by the calendar period during this quarter that we have announced, the wins look, hello, I can hear some background. Hope, I'm audible?

Virender Jeet: Yes, Rahul, we can hear you clearly. You can go ahead, we have no noise.

Rahul Jain: Yes, yes. So I was saying that from a signing perspective, it's meaningfully higher even if I have to compare about whatever we have announced in the previous fiscal overall basis. So, I want to understand this from your perspective, from a demand confidence point of view because I think I heard that you mentioned somewhere that the challenges still exist. So how we are comparing these 2 element and how we are seeing market in general?

Virender Jeet: First of all, thank you for the question. So you're absolutely right. I think we had a significant quarter of new deal wins. And one of the things you can understand realize this time, a lot of deals were outside India. They were more in matured markets.

We had deals coming from Australia, U.K. and some from U.S. And compared to other quarters, these were significantly more for the same period. Now these deal wins are generally -- most of them are subscription-based deal. So they don't have any immediate effect on the revenue for that quarter.

While previously, our deal acceleration was happening in markets like India and Middle East, which had upfront license revenue realization. So, while I said that we have overall business momentum is looking good, our products are having more relevance, we are winning more and that deal movement. What is missing, the India and Middle East market, the large license deals are still lesser compared to the last year or almost same as last year. While we generally have an expectance that we should grow at least 30% in license revenues in these markets.

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So that is the challenge and the challenge is also in the area where there are typically larger deals getting signed where there's a slight amount of delay or there's not faster decision-making. So, both the realities are true. Our deal momentums are great. We are winning more and more deals in matured markets. But the other part of that in India and Middle East, our license sales are not as per the expectation we want. We want to accelerate that over the coming next quarters.

Rahul Jain: Sure, sure. Now one more question. So basically, what I'm trying to infer is that we might see a better traction in SaaS kind of a deal -- SaaS kind of a segment momentum, while license, of course, will grow, but given the mix, SaaS could see a better traction. We also observed that there were a couple of deal that came from the SI channel, and they were from a size perspective, also relatively more compared to what we typically announced. So, any colo

r in terms of how

you are seeing this channel driving momentum to us?

And the deal value that we announced to the SI includes some part of their revenue also as a subset of this deal value or this is just a value that gets into our books and there is no pass-through element for SI in this space?

Virender Jeet: Yes, I'll handle the second part first. I think we -- all our deal based net to Newgen. There is no any other component of SI or anything. So, SIs may have a different order or maybe having the similar order. So we have nothing to do with. This is an order which is placed by customer or through SI to Newgen for the Newgen value. So that is around the size of the deal.

So, in terms of better traction on SaaS is a function of where we are selling. For us, typically, all sales outside India and Middle East and some in APAC are in SaaS model. So, we have a higher acceleration of growth and order book in those markets, it will lead to better SaaS revenues. But so translation from deals to revenue will take few quarters at least because initially, they're not upfront loaded. They will be proportionately realized over 12 months, and then they will go over a few years.

So, some of the momentum which comes into the business, if it comes from the SaaS side is slightly lagged into revenue. So that way, yes, it is better because it is more even. It increases the subscription and the annuity side of the business, which is more predictable, but also as a challenge that it does not give you immediate returns in that quarter, does not give you the credit, adequate.

So, for us we have to focus on license to look at our quarterly P&L. And so India and Middle East markets since they have more habitual to purchase in licenses, it works in our favor. And all other markets, subscriptions are 90% of the cases, but also some are licenses, but I think that is the case. Rahul, does that answer your question?

Rahul Jain: Yes. Yes, it does. And just one last follow-up on that. In light of if you think the mix of license versus SaaS might change in favor of SaaS, let's assume that is how the Western market would behave for us. So in that light, the 20% revenue alignment that we aim for and the margin that we have delivered last year, let's say, 25.3% EBITDA margin and we have done similar in Q2.

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So, you see that number -- these numbers should also be seen in a different lens if that mix changes? Or it's too early to comment on that?

Virender Jeet: So, Rahul, we have always maintained that this issue of moderating our growth target on the account of subscription is a trap. Sometimes if you get into that, then you make a habit of lower growth. So we don't want to do that. We are clearly saying that whatever the subscription business, though it is back ended, I think we should be compensate either by acceleration in the business momentum or looking at higher license deals.

So, our focus is very clear that we still want to continue on a healthy growth momentum. And the subscription switch can happen organically over a period of time. So, if -- some of our business comes in subscription, then the only answer for us that we have to do more business.

Rahul Jain: Yes. So that's even better. It's good that if you -- then it creates more visibility as well. And just on the margin side of it because yes, you could compensate with more wins to generate equivalent revenue. But from a profitability point of view, also, there would be more SG&A involved for more deal per revenue basis. So, this 25% margin that we did last year, should that hold as a medium-term objective for us? Or you think we could be improving or going down, whatever view?

Virender Jeet: I think we are right now at not at our desired levels of top line. So, on our desired levels of top line, we said the margin would expand, and I think -- but we will keep on r

investing in the business. Right now, the costs are on the lower base. Luckily, also the people movement is lesser in the industry, we were able to maintain some cost out there. So we should be even at a lower number, be able to very close to that margin. But in the natural course of business, I think the margins would expand, but we would be more aggressive in reinvesting that in sales and marketing.

Moderator: The next question is from the line of Sachin Jain from Prahas Capital.

Virender Jeet: Yes, Sachin, go ahead, please.

Moderator: Mr. Sachin Jain, please go ahead.

Deepti Chugh: I think we can move to the next question.

Sachin Jain: Yes. Jeet, congratulations on good set of numbers. After a long time, heartening to see the traction by system integrator channel. And how do you see from here? Do you see a meaningful traction going forward from here?

Because after 2, 3 years lag, we are now seeing -- started seeing some good deal wins, particularly in matured markets. The strategy which you articulated 3, 4 years back through this channel looks like it started now giving you the desired results. So how do you see going forward this channel particularly contributing to Newgen?

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Virender Jeet: Sachin, I think when we started, I think we talked a lot about it, and we were slightly over optimistic about this whole channel, and we did not realize how much effort and time it takes to build it. I think the hard work has happened over last 4 years. But we clearly realize that at the product level companies, they are still at a size where the product sales has to be done by us. And still, we need to manage all the system integrators, their competencies and collaborate them to win large deal. I think that's what's happening.

I would give a large credit to our own sales efforts in the regions and then also our partnership and alliance teams, what they have worked over the next last few years to build these alliances strongly. But it is -- I would not say that we have reached a kind of a breakout point where we should expect lot of deals coming through system integrators. We are still relying on our direct sales efforts and along with partners to go and win those deals.

So, it is -- I'm also hopeful like you are, but I would still today rely on that to -- we have to organically go and sell more. It will gather momentum surely. But when does that threshold or a breakout happen, it is difficult to predict. But we have excellent relationships in different markets with different GSIs and multiple GSIs orders have come in single regions and then across continents and countries. And there are fewer coming every quarter.

I think this quarter, we had more than a few. That's the only difference. And let's hope that the deal momentum continues. But I would not take that data and draw a conclusion. So, we are -- I think we can be together hopeful about it.

Sachin Jain: Understood. Understood. And Jeet on second, the way AI is also seen one is enabling your products, particularly adding lot of features, you can agentic AI and all you are adding to your product. But on the other side, how do you see AI as a risk? Can it disrupt the product itself -- just what are the risk you envisage, particularly taking AI into account?

Virender Jeet: Yes, see, for product companies, any major technology disruption always poses these challenges. It happened at the time of mobility. It happened at the time of when the large SaaS players started coming in or the cloud aggregators came in. So, what -- for us, generally, people who invest in R&D, they are able to convert changes into opportunities. That's a broadly a 30,000 feet answer. Now for us, what we have seen with AI, there's a renewed interest in some use cases, which was very ideal, like in content management system use cases, the intelligent document processing systems, the records management, governance, how to capture information, how to organize information, the AI is transforming those use cases. So more interest is getting generated in our traditional use cases.

So similarly, the product road maps can become more wider, they can cover larger cases. But at the same time, as you rightly said, there will be diverse competition. Use cases traditionally, which we are operating in a way may get disrupted by a newcomer or can get disrupted by deploying AI, customer on his own can deploy AI. So those challenges do it, they exist. We are pretty good in terms of investing upfront in using AI to leverage.

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And then with the strength of roughly around 500 customers we have across the places and on the top of at least 3 verticals and use cases, we rely on that to drive our next momentum of

growth in terms of using AI as a tool and an enabler for us.

On the risk side, I don't see like typically a direct risk -- but the risks are typically around where this whole promise and flux is there. So, I think that a business, there's kind of a slowdown of all contemporary cases or decision-making because people are evaluating can they deploy AI, can they use AI in a different way? Do they really need that much of people? Should they approach.

So those are the things which are happening right now in the market. So, we'll have to go and win our own rattle and take the market forward. So typically thinking for product companies, all disruptions turn up being advantages. You are able to -- but if you don't invest and if you sleep over it and say that we keep on doing what we are doing, then you may end up losing the market share.

Sachin Jain: So, Jeet, in last 2, 3 years, whatever investment you made in AI, particularly enriching a product from Marvin or LumYn whatever product investment you made from AI-related investments, how clients are perceiving? Are there initial -- what are the initial feedback?

Virender Jeet: So, I think this is exactly what I'm saying. First of all, for me, it is not a choice. First of me, all my customer use cases when I compare as a product company are driven by AI these days because my competition has done it over the last 3 years, the global companies have done it by that. So customers do perceive that AI is fundamental to all their use cases. And second, I said that part of our funnel, there is a renewed interest in certain areas of AI, where I have started generating a better funnel.

We also converted some major orders in AI, which were typically the early movers in AI. We had the Indian regulators coming in, and that is -- was an AI case. We have a Singapore regulator, some central bank cases are with the AI.

We are also pursuing a lot of cases in banking on AI right now. So, I don't see the investments of the last 3 years, 90% of that is to not sustain you as a company as a product company because if you don't do it, then you're out of the game. And 10% provide you an advantage in new use cases and other tactical places you can go.

Moderator: The next question is from the line of Param Vora from Trinetra Asset Managers.

Param Vora: Congratulations for a great set of number. So sir, can you describe which industries or geographies are you are seeing fastest growth in?

Virender Jeet: So, Param, thank you for the question. So we have -- I think this quarter, we have done better in U.S. and APAC and if you also include these 2 also regions include some amount of U.K. revenue and Australia revenue. And generally the verticals, which is banking has been very strong for us.

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It continues to do the larger part of the business, but the growth has come from government and other verticals, where I said the AI-led or the document centric cases are coming up. So, growth is more in other vert

icals rather than banking for this quarter. But overall size of the business, banking and insurance still are the major business for us.

Param Vora: Okay. And my follow-up question is regarding the patent. So with new patent grants, how are you monetizing the patents? Like are there licensing models in place?

Virender Jeet: So -- see patents are of 2 things. One is about developing the culture of innovation and making sure that you are ahead of the market. Second is about protecting yourself in certain key areas. And so they are not directly monetized. Patents eventually those technologies get into your products and over the period of time. And sometimes you have to also defend your territory in terms of doing the right thing or you have the first mover advantage.

We don't have a separate strategy to monetize an individual patent because between the issuance of a patent or working on that idea to monetizing, sometimes we have a very quick cycle and sometimes a late cycle. So, we don't have any direct aims that the patents would be monetized, but that's a culture of innovation by which we want to make sure that we protect our IP and we also stay ahead.

Moderator: The next question is from the line of Mihir Manohar from Trust Mutual Fund.

Mihir Manohar: Congratulations on a great set of numbers. I wanted to understand, sir, on the U.S. side, I mean U.S. macroeconomic situation is improving. Banking numbers also reporting good numbers, corporate profits also doing well?

So should we expect acceleration of growth, particularly for U.S. for us from here on and also when we see the order booking numbers that you shared that also GSI order booking is doing well. So should we see further acceleration of growth, especially in U.S. geography from here on?

Virender Jeet: So, Mihir, thank you for your question. And I think, yes, we are hopeful, I think with the early - - so we have pivoted around 2 years back into larger cases by walking out from smaller accounts.

That transition almost walking out is almost complete. Now it's more about growing the business in other market. What we have achieved so far is we have got the marquee customers in terms of most of -- we have got the marquee customers in health. We have got the marquee customers in insurance and in banking now.

Now it's a point of using these examples to replicate. I'm hopeful, but I would say that we have not reached a threshold that we could predict a number and be very certain about it. But we are very hopeful that, yes, the efforts of both on GSI as well as pivoting to the large accounts should start showing results. It showed results last quarter. I'm very sure in this quarter, we record some good wins in the U.S. and then we take it from there.

Mihir Manohar: On the GI side, sir, let's say, 1H FY '26, how many number of deals have we won from GSI or let's on a broad cut basis the last 12 months versus, let's say, the 12 months or 24 months before
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that? Just to understand from a broader comparison, is the GSI geo traction improving us or how to understand that?

Virender Jeet: So, we have -- I'm sorry, I really don't have data online. I think on the revenue from coming from partners, clearly though there is a growth in that number compared to last year. But Deepti do you have the numbers, how many deals came through GSI compared to same financial year?

Deepti Chugh: I'll get back to you on that. I don't think there will be a significant change in the number. There are some large interesting deals that we won. So, I think that...

Virender Jeet: But we can -- I think we can come back with the number in terms of the what the exact number is.

Mihir Manohar: Sure, sure. Understood. And third question was on the Middle East and India side. India, there was a situation that you were mentioning in banking side, yes, with banking a lot of saturation. And so

we were trying to make inroads by the NBFCs and other private banks?

How to understand the trade-off here as to if the private banks at certain point in time will become larger enough for us for the growth to compensate. And also the Middle East, I mean as far as I recollect that in Middle East, the lower growth last quarter was because of Middle East tensions and not because of any fundamental reasons per se. So how to understand the reversal for these 2 particular geographies?

Virender Jeet: Yes. So, I think let me take India first. So, I think India you clearly said that the large deal momentum in the public sector, there was some saturation. And then we focused on NBFCs and some of the new banks, which typically will end up becoming the larger banks. I think that's going on well.

If you see also in India, we have sold roughly around sizable licenses to all these accounts, and we have got a lot of wins in that. What we are missing in India is still the larger deals coming from some of the large accounts, which are large license deals, which can be realized in that quarter.

So, we think that momentum will start shifting. We have got entries into now private segment.

So more deals are coming from the private segment where we can get the larger licenses. And that should follow up because that market is even wider than the public sector market for us, we should be able to build. So I'm hopeful that in couple of quarters, Indian banking can come back to its growth momentum.

EMEA, I think the challenge beyond the turmoil also was our largest growth market has been Saudi and slightly, that was shut for a couple of quarters for us. I think that has started opening up again. I think it was on account of certain things out there. Now it is starting to open up. I think and as the deal moment in Saudi starts picking up, we should be able to. We have opened more markets like Kuwait, Saudi and other markets around that where we have got significant deals. But both these markets are very important.

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We have a kind of a leadership position in the areas and verticals we process. I think sometimes there is -- in preceding quarters and years, we end up doing phenomenally well, we are growing at 40% with license growing. Now to match that growth rate and also to repeat that sometimes becomes a challenge on the license because license has key value. So we are in that period where we need to settle the base slightly for a quarter or so and then the growth momentum can repeat.

Mihir Manohar: Understood, sure. And last question was on the employee expenses. When I say employee expenses, they are flattish on a Q-o-Q as well as Y-o-Y basis. Is there any deferment of wage hike, which has happened? Or is it largely because of lower employees giving a higher revenue?

Virender Jeet: So what -- so we see like employee costs are three bucket for us. I think one is around overall addition. I think we don't have any addition of employees this year. But I think the last year's base cost itself increased the cost this year because last year we added lot of people. So we have a lot of people in capacity in that sense. We will -- but on the second half of the year, we will keep on expanding.

The second is the campus. I think campus is one thing which we rely heavily. We have never in all these years of 20 years, 25 years, never declined campus offers. So we have taken all our campus people this year also. So, we have not gone back. And I think we'll be again hiring more people in January as well as March. And third is in the employee wages cost improvement, the salary.

So, for us, I think predominantly, the wage revision is due in July. This time onwards, it is from 1st of October. We have gone ahead and done the wage revision of roughly around 80%, 85% of the people in the organization. And depending on how the further quarters look

, we will be

looking at how to take care of other people.

Moderator: The next question is from the line of Sanjay Gupta from SKS Securities Limited. Please go ahead. Mr. Sanjay Kumar, yes sir, you are audible.

Virender Jeet: We can hear, we can hear you.

Sanjay Gupta: Congratulations Jeet and your team, nice results this quarter. I have a question about -- I think on last 30th September, there was announcement that there was some order passed by Qatar Investment and Trade Court where company needs to make a payment to the customer around \$1.4 million plus some compensation. So is that something sorted out already and the provision for that already done in Q2 or it will be done in Q3?

Virender Jeet: Yes. So, Sanjay, this case is about in Qatar Central Bank, I think some years back, we had sold licenses and there were issues in implementation. So, the claim from them is about which we don't think can be substantiated. They've got a judgment in the lower court. We are appealing that will -- that's how -- we have the lawyer to appeal it in the higher court.

And we are hopeful that we can get better favorable judgments in those cases. I think any provisioning can be done only after the final judgment of that case is done. So in the transient,

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we don't have any option to either provision or part provision or do. It will -- it's a contingent liability which will be reflecting in the books at the same level.

So, we have put the contingent liability in the book. Whatever the judgment finally comes, whether we win the case or we lose the case in the same quarter wherever legal request is not there anymore available, then we'll be provisioning it.

Sanjay Gupta: Sure. And one more question about -- during quarter 3 and quarter 4 of last financial year, there was a -- the big projects we have won, but the implementation was delayed or deferred and that time you mentioned that most of the revenue for those implementations will be considered in -- I think, after Q2, probably or Q3 on that. So those implementations are going well, going okay and then those revenues should be coming in Q3 and Q4?

Virender Jeet: Yes. So I think we have -- what the challenge we had reflected is that some of the cases which we have won, which were large deals they had not come to the stage where we could take the subsequent revenues, which are about ATS, AMC and support. Now if you see that the ATS, AMC growth this year is substantial. We have not only recovered on those projects, we have also grown ATS and AMC, and I think that momentum will come.

So, a lot of these projects are coming to a stage where they are live with the customer and customer is trading the ATS. We still have not increased support revenues because I think that will take maybe a couple of quarters more to do that. So they are going on.

I don't think the challenge we had last year in terms of the -- what you call downstream revenue lines not kicking in. I think part of that challenge has been solved. But the opportunity part in terms of generating more business, adding more support resources out there, that is still going to be happening in the next 2 quarters.

Moderator: The next question is from the line of Ashish Soni from Family Office.

Ashish Soni: Sir, Indian government is promoting homegrown software companies like Zoho and even Tata Motors signed a deal with Genesis. Are you seeing any uptake or interest in your bid pipeline from Indian private [inaudible 0:46:31]?

Virender Jeet: Ashish, this is a music to hear to all product companies. And I think we are one of the most prominent globally enterprise software product company which we play in enterprise space. So far, I think unfortunately or fortunately, I think lot of our Indian enterprise has been dependent on global software. There is clearly an interest and a direction coming in many enterprises about

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king at Indian software. But I think we should be very cautious that they want to run their business.

They want to get the best software for their enterprise. That is their first priority. So, the products and companies which can deliver that. So in that, we stand a very good chance. We have credible products which are best in the world, recognized globally, sold in around 70 countries.

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And so there are no compromises. But clearly, if there's an interest in Indian enterprises where they could consider Indian products more favorably, it should give us an advantage over a period of time.

But I think between lot of noise and action on the ground, it takes time. There is a -- so, I do expect that if this trend continues and the direction continues, we have product categories in the area of like enterprise content management, record management, which we implement globally, but India has not ever implemented any records management or enterprise content management strategies.

So, we can get a huge opportunity in the Indian market. But for that, many things have to fortify on the ground. So we will be working on this opportunity. We'll be making more people more aware about the overall product portfolio we have. And then -- but yes, we want to compete on merit. And also, we don't want to only win in India, we want to win globally.

Ashish Soni: And regarding -- there is a news about sort of recession in U.S. and maybe slowdown in other geographies. Is your developed markets deals coming because of that? Or do you see still be acceleration because of that condition -- macro condition?

Virender Jeet: No, I don't think anything. Right now, it's -- I think there is an overall -- if you look at last 1.5 years, there's been turmoil in decision-making. Banking and some services are recovering across the globe. We think that being our primary segment, we should be able to ride on that. Europe is opening up a bit.

I think not as much as you want, but it's opening. So, some traction is coming up. Australia market is opening for us. So it's a very organic process. We are still small and most of our outcomes depend on our own efforts. And though market conditions do play, but we would still like to rely on our own efforts to go and drive the business.

Deepti Chugh: Hello?

Virender Jeet: Ashish...

Ashish Soni: Yes, go ahead. Thanks and all the best.

Virender Jeet: Yes, Ashish, did you hear me, I -- that's all I have to say, does it, is there any follow-up question you can ask.

Moderator: Thank you very much. Ladies and gentlemen, that was the last question. I would now like to hand the conference over to management for closing comments.

Deepti Chugh: Thank you so much, everyone, for joining us on the call. For further queries, you can connect with me or you can go to our website. Thank you.

Moderator: On behalf of ICICI Securities Limited that concludes this conference. Thank you for joining us, and you may now disconnect.

Call: Jan 2026

Newgen Software Technologies Limited

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Date : 25th January 2026

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(NEWGEN/INE619B01017)

Scrip Code – 540900 Ref.: Newgen Software Technologies Limited

(NEWGEN/INE619B01017)

Sub. : Outcome Transcript – Conference Call – Q3 FY'2 6

Dear Sir/ Ma'am,

As intimated earlier through our letter dated 13th January 2026 regarding the Conference Call – Q3 FY'26 of the Company, which was held on Tues day, 20th January 2026 at 4:00 P.M. (IST), please find enclosed herewith a copy of the transcript of the said call with the Investors/ Analysts.

The transcript of the said call shall be made available on the Company's website at <https://newgensoft.com> .

This is for your kind information and record.

Thanking you.

For Newgen Software Technologies Limited

Aman Mourya

Company Secretary & Head -Legal

Encl. : a/a

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"Newgen Software Technologies Limited

Q3 FY '26 Earnings Conference Call "

January 20, 202 6

MANAGEMENT : MR. T.S. VARADARAJAN – CO-FOUNDER AND WHOLE -
TIME DIRECTOR –
NEWGEN SOFTWARE TECHNOLOGIES LIMITED
MR. VIRENDER JEET – CHIEF EXECUTIVE OFFICER –

NEWGEN SOFTWARE TECHNOLOGIES LIMITED
MR. TARUN NANDWANI – CHIEF OPERATING OFFICER
– NEWGEN SOFTWARE TECHNOLOGIES LIMITED
MR. ARUN GUPTA – CHIEF FINANCIAL OFFICER –
NEWGEN SOFTWARE TECHNOLOGIES LIMITED
MS. DEEPTI MEHRA CHUGH – HEAD, INVESTOR
RELATIONS – NEWGEN SOFTWARE TECHNOLOGIES
LIMITED

MODERATOR : MS. SEEMA NAYAK – ICICI SECURITIES LIMITED

Newgen Software Technologies Limited
January 20, 2026

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Please note that the transcript has been edited for accuracy purposes

Moderator: Ladies and gentlemen, good day, and welcome to Newgen Software Technologies Limited Q3 FY '26 Earnings Conference Call, hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I would now like to hand the conference over to Ms. Seema Nayak from ICICI Securities Limited. Thank you, and over to you, ma'am.

Seema Nayak: Thank you, Rudra. Good evening, and welcome to the Q3 FY '26 Earnings Call of Newgen Software Technologies. It's my pleasure to introduce the senior management team of Newgen.

We have with us today Mr. T. S. Varadarajan, Co-Founder and Whole-Time Director; Mr. Virender Jeet, Chief Executive Officer; Mr. Arun Gupta, Chief Financial Officer; Mr. Tarun Nandwani, Chief Operating Officer; and Ms. Deepti Mehra Chugh, Head of Investor Relations. I now hand over the call to Ms. Deepti for further proceedings. Thank you, and over to you, Deepti.

Deepti Mehra Chugh: Thank you, Seema. Good afternoon, everyone, and welcome to the Q3 FY '26 results of the company. Before we move on to the discussion, let me highlight that this call may contain certain forward-looking statements concerning Newgen's future business prospects and profitability. These are subject to a number of risks and uncertainties, and the actual results could materially vary from the forward-looking statements.

Past performance may not be indicative of the future performance. The company does not undertake to make any announcements in case any of these forward-looking statements become materially incorrect in the future, or update any forward-looking statements made from time to time by or on behalf of the company.

For further details, you may please refer to the Investor Relations section of our website. I would now hand over to Mr. Varadarajan for presentation of the results, which will be followed by a Q&A by the management.

T. S. Varadarajan: Good afternoon, everyone, and thank you for joining us today for the Q3 FY '26 earnings call.

As we reflect over the first 9 months of the year, it showcases our strong business momentum. We achieved a revenue of INR1,122 crores during the period, witnessing a 7% Y-o-Y growth in total income. Overall, in the 9-month period, we onboarded 34 new logos reinforcing the trust and preference of global enterprises placed on our platform.

Subscription-led growth remains robust with strong contributions from U.S., U.K. and Australia, validating our geographic expansion strategy.

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Q3 was a quarter of balanced performance in a still selective market environment. During the quarter, we achieved revenues of INR400 crores, witnessing a growth of 5% Y-o-Y. Last year's Q3 and Q4 were among our highest license revenue quarters, creating a naturally high base and making year-on-year comparisons challenging under current market conditions.

However, we remain confident of a license recovery in the quarters to come, supported by active near closure deal pipeline. However, we acknowledge that the larger enterprise deals are facing elongated decision cycles and traditional people-based support engagements are more difficult to scale in today's tight market. Despite these macro factors, underlying demand remains healthy. Order bookings continue to scale sharply, particularly across deferred revenue streams, enhancing revenue visibility and long-term stickiness.

Our annuity revenues continue

to grow steadily. Annuity revenues were at INR250 crores during the quarter, witnessing a 20% Y-o-Y growth. Within this, subscription revenue reached INR134 crores, witnessing a strong growth of 29% Y-o-Y. We witnessed a significant growth contribution from the U.S. geography during the quarter at 21% Y-o-Y revenue growth, while the APAC region witnessed a growth of 7% during the quarter. India and EMEA regions were weaker in terms of growth during the quarter.

During the quarter, we made 7 new customer logo additions. Our key wins in Q3 include :

An order from a public sector bank in Saudi Arabia for designing and developing a loan origination system with an order value of INR38.6 crores over the next 2 years.

Agreement with a leading financial institution in the U.S. for enterprise content platform with an aggregate value of \$5.3 million over a 2-year period.

Providing contract management platform for a specialist insurance company in Europe, helping users across the enterprise to create and manage policy documents. The agreed order value is GBP 1.5 million.

Working with a leading bank in Malaysia to provide end-to-end project management services for enterprise content management system implementation with an order value of approximately INR14 crores.

An order from a large bank in India for supply, installation, customization and maintenance of digital lending platform with an order value of INR16.5 crores.

An order from a captive finance unit of a leading car manufacturer in India for a loan management system with an order value of INR14 crores.

Our leadership in insurance is deepening steadily with our policy administration system offering, helping us secure a strong foothold in this high-value vertical. Meanwhile, our AI-driven solutions are gaining global traction, most notably through impactful early deployment, establishing us a credible player in applied AI for mission-critical use cases.

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We are also strengthening our offerings in our core vertical organically. Our global customer base remains extremely strong and sticky, and we are expanding our footprint, both within existing accounts and across new markets.

Looking ahead, we are particularly excited about next-generation AI-led products, which will significantly enhance customer productivity, design intelligence and automation. Examples include AI-powered document understanding, generative process design, intelligent communication automation, AI-first vertical solutions. And these innovations will not only strengthen our competitive differentiation, but also elevate customer value across industries.

AI is increasingly embedded in our deals, and we continue to work on creating viable use cases in AI through significant investments in AI-driven products and solutions. We have also launched our employee AI upskilling program to build and scale a cohort of AI skilled talent within the organization. During the quarter, the company was recognized as a niche player in Gartner Magic Quadrant for business orchestration and automation technologies. We have also been added as a representative vendor for Gartner and Forrester in various market guides. Coming to costs and profit. While Q3 registered a muted 5% growth rate, we maintained margin strength through improved productivity initiatives. We are accelerating AI-led engineering, automation and operational efficiency across our delivery and product team. Our adjusted profit after tax for the quarter, without considering the impact of the new Indian labor code changes, was at INR90 crores and net margins were at 22.5%.

During the quarter, we have considered a onetime impact of new Indian labor code to the extent of INR35 crores. In the 9-month period, the profit after tax, before considering the impact of the labor code changes, was at INR222 crores. The profit

after tax after considering the impact was at INR194 crores.

We continue to prudently invest in R&D and sales and marketing initiatives. In the 9-month period, we have invested 9% of our revenues on R&D initiatives. We are also investing around 23% of revenues on the various sales and marketing initiatives. On the balance sheet front, we witnessed robust cash flow generation with our net cash generated from operating activities at INR154 crores during the 9-month period. Our net trade receivables were at INR530 crores as of 31st December 2025, which resulted in net DSO of 125 days.

In summary, with strong deal momentum, expanding subscription revenues, a sticky global customer base, deepening vertical leadership and the transformative potential of our next-gen AI product, we remain confident in driving long-term sustainable and profitable growth. We anticipate a healthy recovery in the traditional markets and are well-positioned to capitalize on emerging opportunities. Thank you very much. We are now open for Q&A.

Moderator: The first question is from the line of Ruchi Mukhija from ICICI Securities Limited.

Ruchi Mukhija: This quarter, growth in our core markets was soft. As you look into your pipeline, how do we

Virender Jeet: Ruchi, thank you for your question. And first of all, wishing everybody a happy New Year. You're absolutely right. I think while we had a strong deal momentum almost getting 34 new logos, which is typical to what we did also last year with a healthy growth, in markets like India and Middle East, the numbers did not add up, because though we won the deals, we did not get substantial large license deals in these 2 markets.

And I think if you look at globally, the pipeline is looking very strong, and I think we'll see some amount of -- what we are waiting for is the larger deals conversions. So I think we are seeing slightly more deferment in large deals, decision-making. So cases are there, but the conversion of cases which are typically slightly larger is much more slower at this moment of time.

So in the near term, I think for the next quarter, we may find some conversions out of the pipeline which have got slightly pushed out, but I think next year we think things should shape up much better. Some amount of recovery and confidence in the market is expected. Some amount of uncertainty around AI has to settle down. And this is a challenge we are seeing across all markets.

When we, at the beginning of year, realized this challenge, we had really pushed for deal acceleration and increasing the funnel velocity. We have been able to successfully do that, get our both new deals and existing logo deals. But the larger ones are a challenge. And I'm not very sure how soon that challenge will get resolved. We hope that some part should get addressed in Q4, and then next year, we should get into a better shape. Ruchi, does that answer your question?

Ruchi Mukhija: Yes. You did mention that, I mean, AI is kind of leading to some kind of uncertainty. But when we look at, let's say, India and EMEA versus U.S.A., we see different vectors of growth or different growth momentum. So are we trying to suggest that in domestic market, there is more reconsideration and maybe the catch-up, how enterprise clients think about AI, will need some maturity or some catch-up before we see similar momentum as we see in the U.S. or the developed market?

Virender Jeet: Yes. I think what is happening in -- at least this is what I feel what is happening in emerging markets, people are keen about venturing into AI-led solutions. But also on the traditional solutions front, they are looking at more AI-led services and solutions to solve their problem, which is creating a bit of more debate and more

of deferment rather than anything else right

now. I think as soon as -- it's also about business confidence and overall business activity.

Once the business confidence is there, the decision-making cycle starts becoming better. So Indian customers are also very keen and the Middle East also, they are very keen to go up with AI projects. But also, we see on the downside that any large initiative, there is a slowdown in decision-making.

So it is difficult to clearly estimate what is the cause and what is the effect. But this is what we have seen in at least 4, 5 of our large deals where people are just waiting and holding on to decisions, seeing what else is happening across the world and in their own enterprise.

Ruchi Mukhija: Are smaller ticket size AI deals easy in the domestic market and EMEA?

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Virender Jeet: Yes, yes. I think smaller ticket size, they are typically tactical in nature. See, all deals have an AI component nowadays. I think that's given. So those things out here, we don't see the same amount of challenges. And that's also you will see that acceleration in our deals. I think we have not gone in terms of number of logo wins or number of mining orders. We continue to cite that. The only difference is the large license deals, which were there for at least Q3, Q4 last year, we are not getting the same number of large license deals.

Ruchi Mukhija: Okay. AMC revenue has caught up a healthy pace of growth. Do we see this pace of growth or momentum continue in the near-term quarters?

Virender Jeet: Yes. I think surely. This is also because AMC growth is led by the previous performance of years of your license revenues and completion of projects, which are going live. More and more projects are going live. So the AMC keeps on accumulating. So at least in near few quarters, we'll see that growth momentum continue.

Moderator: Next question comes from the line of Rahul Jain from Dolat Capital.

Rahul Jain: Basically, my question too is around Jeet, we have seen that our order announcement even in Q2 and Q3 were pretty strong, but that translating into growth has not been the case in terms of the actual revenue. So is it that there are some nature of deals where we are not able to recognize as

much as we have been doing in the past because of the SaaS nature or any other factor? And even from Q-o-Q perspective, I thought the implementation tailwind of Q2 strong deal win should have supported Q3 and there are further Q3 wins. But that part of the revenue stream has also fallen. So is there a challenge around companies ramping up on the decision that they have taken, or they are ramping on the schedule?

Virender Jeet: Thanks, Rahul. I think you're absolutely right. I think on the announcement front, there are 2 things. As the companies -- the materiality limit of announcements is also very low in terms of it's almost becoming equal to many of the orders which we win. So as the logo acquisition and the deal win rate is same, so the announcements will be there.

Having said that, you're absolutely right. A lot of orders of Q2, Q3, you would have seen, have come from regions like U.S., U.K., Australia, which are typically subscription-led sales, where the upfront realization is almost nothing or there's a ramp-up period before the revenue gets realized. So there's a lesser correlation directly with order booking and the revenue realized in immediate quarters. While traditionally, on our traditional markets, since licenses are realized, there's a more upfront realization of those revenues.

On the account of order wins which have happened in Q2 and the impact on the implementation revenues, I think you are right, in a way what is happening, the larger order deals, the ramp-up periods are slightly slower in terms of when the revenue will start coming in. Also on the subscri

ption orders which we have got also, it takes a little more amount of time to ramp up for the implementation streams.

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So eventually, they should ramp up, because as the order deals have a significant part of implementation, we should be able to service them. So I don't see it's a short-term challenge, but implementation will start reflecting the size of typically the number of deals we win, orders.

Significantly, it should downstream impact, the implementation revenue.

Right now, it is not showing in numbers because we are almost, for 9 months, almost 7%, 8% of implementation growth or more flattish around that. But yes, I think in coming quarters, as the more and more orders start rolling out, we'll have higher implementation revenues.

Rahul Jain: Sure, sure. Just one clarification. You said the implementation is lower even in the SaaS or subscription deal. Can you elaborate why you say that?

Virender Jeet: So in subscription also, I think before the order -- post order, since the revenue realized in all orders is typically you have to ramp up, you have to set up the cloud infrastructure, you have to eventually start the engagement. And only after that, you can start realization. So it lags almost by a quarter to start realizing the implementation revenue.

And then also initially, you will start realizing very little implementation revenues, because it's going to be milestone led or some of those things. So between second to fourth quarter, that's where you will get the maximum implementation revenue for engagement.

Rahul Jain: Okay. Okay. So we charge implementation after going live?

Virender Jeet: No. It's typically milestone based, but revenue is realized in terms of your efforts, how you realize. But the starting date, the lag between the order and the start date of implementation, there is a lag, and that lag can be almost a quarter.

Rahul Jain: Got it. Got it. And one bit more on this large deal holding up in terms of getting signed and decisioning. So how you think this would shape up from a calendar '26 perspective? What are puts and takes that could add to the confidence in terms of how the year should pan out?

Virender Jeet: See, right now, the funnel does not show any weakness of large deals. The funnel has substantial amount of large deals. The only behavior in India and Middle East of not fructifying those deals is what we have seen. We are quite hopeful about Q4, and we will see early signs in Q4 in case we are able to create a significant amount of those deals. If that starts happening, we'll have a confidence that the next year can also continue to have the large deals.

But again, like we have to de-risk cover. So that's one strategy. The other is about increasing the overall deal velocity. That's what we are working on. We are working on getting the number of wins, both in mining and new logos, at much higher rate, which can compensate for that. And then there are also new solutions, both in AI or in PaaS or in insurance, what we are trying to do, which are higher ticket items.

And they should also add to larger deal accounts for us. So multiple efforts are being done on that. But right now, as of now, what we have seen the challenge in at least this part of the year is in India and Middle East, the large deals -- it's not that no large deals have happened, but the

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number of large deals we traditionally used to win vis-a-vis one lesser amount of deals. And also one thing we should look at when we look at numbers, it's clear just to -- if you look at last year Q3, Q4, we were the largest ever license sale quarters.

We almost reached, from our regular run rate of INR30 crores, INR40 crores of license, to INR90 crores. And so the bases are much higher. So this year also, I think we

have maintained a INR70

core s run rate of license, and which we have to improve to like INR100 crores or INR120 crores.

That's the target.

Rahul Jain: Yes. And just last bit, if I could. We have seen 2, 3 years of back-to-back pretty strong performance. And this is not a business where you -- I mean, this is a business where you have to replenish a lot of your revenue, because they are onetime in nature. So is it fair to expect this kind of a year once every 3, 4 years, because that is how it would steam out at some point of time?

And also, does this kind of a year also make you think from a 2 -, 3-year perspective, a more realistic growth that we would say from a rolling basis should be more like 15% rather than 20% plus that we were conveying, let's say, beginning of the year?

Virender Jeet: See, I think mathematically, what you're saying does make sense because typically, since there's a lot of revenue which has to be repeated and has to be replenished. So typically, if you have high velocity growth, then you have to continue to maintain higher velocity growth. So that's one way of looking at it. But I think for us, the way we look at it, we also look at it compensating with our foray into mature markets and compensating more from the subscription growth, which will give a more strong base.

Right now, last 3 years, our U.S., Australia, U.K. have not grown at the same size as India and Middle East growth. The way I look at is that we will have license growth coming from our traditional territories, but higher subscription value and higher size of business coming from mature markets, which should even it out over a period of time. The second thing, the way we look at is overall, broadly, the addressable market for us is pretty wide. So it does not matter if we have grown by 20% or 30%.

The potential for the business to continue that growth is quite clear out there. But yes, you're absolutely right, if the license part of the business alone keeps on growing for a few years, then again, you have a risk every few years that, hey, you may have a slightly slower because the license does not repeat. But we think in the next phase of our growth for next 3, 4 years, our subscription mature market and cloud revenues will also grow at a thing, so that there is going to be lesser impact in terms of slightly drop on license.

Rahul Jain: Just one small suggestion. We could possibly start giving an RPO data or unexecuted book data, because now if the business keeps shifting towards SaaS, I think that would be one more data to monitor the traction, because recognized revenue could be not justifying the traction that the business might have because of the deferment.

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Virender Jeet: Yes, that's a good idea. I think we'll just consider it and we can work with the team to bring it as part of the data point.

Moderator: Next question is from the line of Aditi Patil from ICICI Securities Limited.

Aditi Patil: Okay. My question was on margins. So our margins have held up. Like 9 -month FY '25 EBITDA growth has been in line with revenue growth. So can you help us understand how we are managing this? Because earlier, we used to guide that our cost will -- at the start of the year, we budget for a 20% Y-o-Y increase in cost, and revenue growth above that directly flows to margins. So this year, have we recalibrated our sales and marketing expenses? And like how should we think about this going forward?

Virender Jeet: So Aditi, thank you for the question. I think you're right. So what happens on the margin front, there are 3, 4 things which have really helped on the margin front. One is about there is a great operating leverage coming out of using AIs in the general engineering and tooling. So the need for the number of resources typically for the same job has gone down.

And since we are still talki

ng about our growth rates which are like not very significant, so we didn't have a lot of need of people. In terms of our number of people, it's almost flat, and has got even optimized by a bit now. So overall, the manpower cost has come down. The second amount of variabilization has also kicked in because we are typically running on very extremely high sales performance numbers.

So typically, there is a variabilization of salary buildup because of that. So that has optimized. And broadly beyond that, if you look at our investment in R&D and sales and marketing, it's

held to the same 9% and 22%, 23%. That has not gone down. But overall, we have been able to manage the cost because of these 2 operating levers we have got in this.

The other things also, if you look at the high gross margin part of the revenue, the AMC, the license, subscriptions have grown, which are not direct cost related. So typically, the operating margin overall has improved for us. So though at the beginning of the year we had planned for much more higher cost investments, but we could variabilize them looking at the business performance.

We do feel that what is happening over next 2, 3 quarters also, there is an opportunity to also still have better operating margins and as you optimize and do more AI-based enabling of various functions. So we should be able to increase our acceleration of engineering, increase our velocity of product development as well as other functions. So there is some sort of margin, which is a good thing, which has been able to have -- we have been able to hold on to.

Aditi Patil: Okay. And this quarter, did we roll out wage hike?

Virender Jeet: Yes. I think I said that for roughly around 3,000 people or something like that, yes. More than 3,000. Out of 4,500 people, almost 3,500 people we had rolled out wage hikes in October. Yes.

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Aditi Patil: Okay. So our sales and marketing investments as a percentage of revenue remain constant. But as the revenue has come down, the absolute amount has also come down. So do you think you may need to increase this to like mine for, or I mean, to go for newer areas of growth?

Virender Jeet: So Aditi, when we look at sales and marketing and product investments, they don't take very quarterly lenses or yearly lenses. They are more long term. They are depending on opportunity in the market, also where we are able to find right talent. So we'll keep on investing. It's not that we will not be investing.

So what happens is a cycle of -- we have been investing very aggressively for 3, 4 years. Then we have a cycle of optimization and look back. And again, I think in this quarter and next quarters, we'll keep on investing. So they are slightly more long-term views of things. They are not short-term views of things.

Aditi Patil: Okay. Got it. And the wage hikes were in line with the previous years? Or like what was the quantum of wage hikes?

Virender Jeet: Slightly less since we covered up to -- we have not covered all. So typically up to GM and above, we have not gone ahead with wage hike this year. So it is lesser in total value compared to last year.

Moderator: Next question is from the line of Mihir Manohar from Trust Mutual Fund.

Mihir Manohar: Sir, at the start, you made a comment that there is AI-led uncertainty, which is being an impediment for making a decision. Can you throw some more light over here, when we say AI-led uncertainty, is it the case that the customers want more better products, more better offerings across the AI-led space? Or is it just a deferment happening because of the uncertainty which is there?

Virender Jeet: Sure, Mihir. So let me explain what I feel like which is AI-led uncertainty. So one thing is, typically whether it's a business environment or internal landscape of IT, what we are seeing is the large

st orders across geos, at least in India and Middle East, are taking more time. And some of these orders, what we have discovered, since there's a huge interest in enterprises around AI, generative AI, all other tools.

And technologies which are emerging around that, customers are also having a re-evaluation in terms of how is AI going to impact that area of the business. So while they may have worked on the RFPs, they may have built business cases, they are slightly unsure about taking large order bets for us. This is our impression of the business.

Now on the ground, I'm not sure whether that is the real -- exactly what's happening. But clearly, what we have seen, at least in a few of our projects, even at the late stage of decision-making, customers are slightly reluctant in terms of they are looking, are there alternate ways to doing it? Are we getting the right technology stack?

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Should they wait for a few months and see what things are happening and how the AI settles down or the tooling settles down. So that is what I meant by in terms of AI uncertainty. The degree of interest on AI, AI-led use case in POC is high. So that's not the case. The issue is, but on all other traditional cases, AI is disrupting it in a way that customers are reevaluating whether that's the right way to proceed. Does that answer your question?

Mihir Manohar: Yes. Okay. Understood. Second question was on the Middle East side. I mean, Middle East, last 4 quarters, the Y-o-Y numbers are, I mean, on the muted side. The expectation earlier was that, as travel restrictions will get eased, we will see growth coming back on the Middle East. So is there a challenge on the demand side? Or I mean, is it a challenge pertaining to the supply of services?

Virender Jeet: Yes, so as I said, the challenge remains the same. I think we are winning deals, I think in the Middle East, but we have not significantly won large license deals in Middle East compared to -- our license revenue for first 9 months in Middle East has declined by at least 15% to 20%, if I'm not wrong, in spite of number of deal wins being the same as last year. So the larger deals of licenses we are not getting, so that is impacting our business.

So we do expect things to start improving and slightly shaping up more in terms of both our getting more number of deals on our table, but also some of the larger deals getting fructified, getting the orders, getting sorted out that. As I said also, because the uncertainty which the whole AI environment is creating is creating also after the orders have got initiated.

Sometimes the orders are put on hold in execution stage because of people want to reconsider or the Board is reconsidering things. So this is some amount of uncertainty we are clearly seeing in at least Middle East and India.

Moderator: The next question is from the line of Meet Virani from M&S Investments.

Meet Virani: All right. So my next question would be around growth visibility. Despite a strong order book and pipeline, we have seen revenue growth has remained muted over the last few quarters. But what specific changes should investors track that would signal a clear inflection of growth? I mean, in which part of FY '27 or part of FY '28, do you realistically expect these inflections to materialize?

Virender Jeet: Sorry, I got half of your question, but I'll try to answer. So I think, yes, one of the things is typically, since we have very lumpy revenues of licenses, so predicting in future about immediate growth in that quarter becomes difficult because it is based on -- at least the last year, the same quarter was completely high on license. So unless a large or significant license is recovered in the same, you will not be able to predict.

See, there are 3, 4 pillars of prediction. The growth in annuity models are quite

predictable,

because they don't go down or up so soon. They are more consistent. But the license jerkiness will be there. But if you're looking to predict it for 3, 4 quarters, I think new logo acquisition and growth in order book are 2 indicators of that.

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The growth in order book can have this bias that whether they are subscription orders or license orders. So it's a combination of growth in order book, the new logo acquisition, and the jerkiness of license revenue needed to be realized in the same quarter. So these 3 factors are important to look at what's going to happen in the next 2 quarters or what's going to happen.

So in that, we may have some amount of prediction about based on the order book of previous quarters and the subscription growth, but on the license front, we'll have to rely on the performance of that quarter and closure of some deals in that quarter.

Moderator: Our next question comes from the line of Rithvik Reddy from RFI Investment.

Rithvik Reddy: Can you comment how U.S. and Australia are doing?

Virender Jeet: Yes, Rithvik, I think Australia is a nascent territory for us. What we have done is, in a few years, we have reached a stage that it's a self-sustaining territory and regular orders are flowing in. If not every quarter, but every alternate quarter, some orders are flowing in. We do expect a few closures on that.

So this territory right now, our initial target was to build it to \$5 million to \$10 million territory, so that the base reference ability of customers get established, which we are very close to that number. I think this year, we may cross more than \$5 million or something like that. And the potential to cross \$10 million next year is quite high.

U.S. is shaping well on account of a couple of things. I think we are finding some foothold in the insurance space, which we invested heavily on that, both in horizontal cases and journey cases. We got some great deals on the health insurance side. And then the ECM-led large banking cases are also showing some.

So U.S., because the revenue is slightly more smoothened out because of subscription sales, the performance of previous quarters is now reflecting in the numbers, and we hope to continue that going forward.

Rithvik Reddy: Okay. In general, how effective is the AI in our business segment? And within next 2, 3 years, how do you expect, like how much more effective is it going to be?

Virender Jeet: Sorry, could you repeat? Is it about how AI's effect on business?

Rithvik Reddy: Yes. How effective is AI in our current business segment? And in 2, 3 years, how much more

effective it is going to be?

Virender Jeet: See, right now, AI is -- I think everybody is excited about AI. All technology areas are getting impacted and influenced. But there is a huge interest on the enterprise side to start deploying the technology for all use cases. So for us, I think what we are seeing, we are excited about our AI road map, our AI-led products which are coming into the market. First, we are lucky to get our initial orders of AI, both in India and Singapore, and some of those are live now.

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We are excited about replication of those use cases. So I think in next 2, 3 years, you will see AI central to all use cases just sold across all verticals or across all solution areas. So for companies like us, which are product companies getting ready for that change and preparing products to compete in that is what we have been investing for the last 2, 3 years.

And so we're excited that as the customer patterns and buying behavior start getting settled and the business certainty starts coming back, we will see far more explanation of AI-led deals happening in the market.

Rithvik Reddy: Okay. So what I meant is, are companies

looking more effective -- the uncertainty, is this because

the companies are looking for much more effective, and that's why there is a defer?

Virender Jeet: No. I think companies are right now looking at setting up their road maps of AI in terms of what are they going to do? What tool set, what technology, which areas. So basically, we are right now in this whole great area of experimentation. From now, I think experimentation typically has to be converted into real benefits.

So that's where customers are trying to now make the final choices about their AI products, which projects to prioritize, how do you start leveraging, what benefits to get. So I think you will see more acceleration now in spending in the whole digital area, whether it's AI-led or around AI.

Moderator: Our next question comes from the line of Diya Brijwani from White Whale Partners.

Diya Brijwani Yes. So my question was more on the annuity part of the business. It's 50% plus of the revenues now. So any metric that we track like gross retention, net retention. The concern comes from that are we facing any pricing pressure from our legacy customers because of the AI thing? And like at least the core verticals that we've got like ECM and BPM, is there any threat -- like currently, is there any threat to the products for our pricing on the annuity part of the business per se?

Virender Jeet: So I think broadly, the answer is, at least, no, we have not realized any threat to the product pricing or in terms of product categories we have. So predominantly, products in product businesses, people end up consuming typically the products which are at the top of Magic Quadrant or Gartner Wave Report -- sorry, Forrester Wave Report and Gartner Magic Quadrant, you expect those products will be always ready with whatever has happened in the technology. So it is given that our all products are AI ready or they are helping customers use those AI use cases. So we don't see that. The pressure on annuity side of the revenue is going to come on typically, which is where we have seen, which is typically people-led revenues, streams where you are deploying people for further enhancement and upgradation and rolling out more journeys with the product. In the current environment, very few enterprises are looking to augment people aggressively.

So we have seen some amount of challenges in those cases in terms of some optimizations happening here and there, but nothing very significant. But as we roll out more and more use

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cases, we'll have some amount of teams getting added at all places. So I would say this concerns a bit of concerns around support part of our revenue, but not our ATS subscriptions, which are more committed. And there's always a room to really increase the prices out there.

Moderator: Our next question is from Srinivasu K from TIA.

Srinivasu K: Yes. Again, my question is a follow-up to the previous 2 questions on the AI side. Basically, I just want to understand that there's a lot of discussion that AI is fundamentally disrupting the traditional workflows with agentic workflows, which is actually lowering the entry barriers. So from Newgen's perspective, does this disruption put pressure on our traditional BPM workflows? Or is it actually expanding your opportunity because of the new initiatives that you have taken?

Virender Jeet: Yes. I think, Srinivasu, a very important question. And I think, yes, you will see a lot of conversation happening around agentic workflows and in terms of ease of, as you rightly say, the barrier to enter into those spaces in terms of -- so there is a segment of market, which is

typically what we call more ad hoc or departmental or user -centric workflows, which is typically more seasoned developer.

That is an area which is getting slightly more transformed. But again, in that transfor

mation, the

traditional BPM or low -code companies are the ones who are going to win that area. But what Newgen's predominant forte is, our 90% of market share is very intense, rule -driven, business -centric, integration -heavy systems, where agentics would augment to that workflow.

So we would still use our products to deliver more and more value to the customer in those complex workflows. But on the other hand, you're absolutely right, some amount of disruption you will see in typically the companies which are working on typically what you call seasons development or departmental workflows, because clearly, there are multiple ways to solve that same problem, through agentic workflows, through tools which are coming from Google.

But in serious enterprise workflows, like if you're trying to implement trade or you're doing claims or underwriting or retail loan or gold loan, these are much more structured processes, where AI is going to augment the process, it's going to augment human in the loop. It is going to take some amount of decision -making and make it intelligent. But the core process infrastructure will be used by products like what Newgen delivers.

Srinivasu K: Just a follow -up on that. So over the next couple of years, do you see AI for Newgen as basically a margin lever because AI reduces the implementation effort? Or do you see it as a pricing lever, because agentic workflows improves the STP and reduces the tax? Or do you see it's like staying competitive, because everyone is offering AI, so it's like protecting your moat?

Virender Jeet: So I think very good question again. I think the answer cannot be one. I think it's a combination, because 2 things. One is, more and more value will be delivered out of the product and platform, we'll say. So we'll have some pricing power out there to get slightly higher value for all that. Our downstream revenues, which are typically implementation support, may have reduced, what you call, the time to market, time to implement or overall effort .

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But you will be charging higher premiums to deliver that. So cost for the customer will come down slightly, but also you will get substantial benefits in the speed and velocity of go -to-market. And as our instances grow, so there may be a time period where you will see that larger, higher basically margin revenue streams may grow faster than the other revenue streams.

Moderator: Our next question is from the line of Vinay Nadkarni from Hathway Investment Private Limited.

Vinay Nadkarni: Just wanted -- this new H -1B visa rule of \$100,000, is it going to impact our U.S. revenue streams or your ability to service your customers there?

Virender Jeet: No, Vinay, we are not in the business of sending people or having manpower -based assignments.

We don't need any people movement between countries. We sell products and products don't need -- so most of the staff, we can hire locally. And in fact, even most of the staff in our sales, marketing and other service areas are locally hired.

So we can continue maintaining expansion of our business. We don't do any H -1Bs anyway.

There are very few. Most of the companies will be intercompany transfers if and when they are needed. So for product -based businesses, H -1B is not a criteria.

Vinay Nadkarni: Right. Secondly, if I see the India revenue for the last 9 months, I mean, 9 months FY '26 to 9 months FY '25 is absolutely flat. Is there no opportunity for SaaS -based revenue or subscription -based revenue in India? Or is it not something that Indians prefer?

Virender Jeet: No, it's not either/or. I think traditionally, what has happened, Indian -based companies are more license -based companies. And that's why I think last 3, 4 years, they have grown significantly on those license sales. A lot of deals have come in. There are also subscription deals

and cloud

deals in India, but they are a smaller part of the business, because it's a very large territory. We have been here for 20 years.

So they are not a significant part of our revenue. So I think over the next few years, you will see more and more things coming on subscription even in India. But for many more quarters, we will still be dependent on license -based businesses.

Moderator: This is the last question. I now hand the conference over to Ms. Deepti Mehra Chugh for closing comments.

Deepti Mehra Chugh: Thank you so much, everyone, for joining in on the call. For any remaining questions, you can connect with me, or you can go to our website for details. Thank you.

Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2026

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